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Triveni Engineering & Industries Ltd .
Q1 FY 23 Earnings Conference Call Transcript
August 04 , 2022

Moderator : Ladies and gentlemen, good day and welcome to Triveni Engineering and Industries Limited ’s Q1 FY 23 earnings conference call. As a reminder, a ll participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Please note that this conference is being recorded.

I now hand the conference over to Mr. Rishab Barar from C DR India. Thank you. And over to you, sir.

Rishab Barar: Good day everyone , and a warm welcome to all of you participating in the Triveni Engineering and Industries Limited ’s Q1 FY 23 earnings conference call. We have with us today Mr. Tarun Sawhney, Vice Chairman and Managing Director; Mr. Suresh Taneja, Group CFO ; Mr. Sameer Sinha, CEO of Sugar Business Group as well as other members of the senior management team.

Before we begin, I would like to mention that some statements made in today's discussion, maybe forward -looking in nature. And the statement to this effect, has been included in the invite which was sent to everybody earlier.

I would like to also emphasize that while this call is open to all invitees, it may not be broadcasted or reproduced in any form or manner. We will start this call with opening remarks from the management, following an interactive question -and-answer session.

I will now request Mr. Tarun Sawhney to open the call. Over to you sir.

Tarun Sawhney: Thank you very much. Good afternoon, ladies, and gentlemen, and welcome to the Q1 FY 23 earnings conference call for Triveni Engineering and Industries L imited. I would like to offer you a quick update o n the concluded Sugar Season 21 -22, where w e are pleased to report that the Company has reported a good performance despite the trends of low yield and recovery, especially in the State of Uttar Pradesh. As far as the engineering businesses are concerned, they have both performed well with robust order booking and we remain excited a bout their growth prospects.

Some of the financial highlights of the quarter include revenues from operations, which came in at ■ 1,225 crore registering an 18.2% increase, which was primarily driven by higher sugar and alcohol dispatches along with some higher realizations . The profit before tax was ■ 88.6 crore declining by 28.4% on a year -on-year basis primarily because of the

previous corresponding quarter , which included a ■ 45.3 crore export subsidy in FY 21.

The profit after tax stood at ■66.45 c rore, a decline of just under 30% , which was on account of the aforementioned subsidy. Distillery revenues, net of excise and profitability grew substantially due to the commissioning of our additional capacities of 200 KLPD during the quarter, which resu lted in increase of sales volumes. The engineering business reported a 33% increase in turnover with robust order booking . The outstanding order book for the engineering business stood at ■ 1,889 crore for the combined engineering business which was up from ■ 1,746 crore , it was up about 8% .

On a consolidated basis, our total debt stood at ■ 1,617 crore on the 30th of June against ■ 1,568 crore on March 31 , 2022. This comprise s of ■ 462 crore of term lo ans. T he total debt on a standalone basis was lower on the 30th of June at ■ 1,541 crore against ■ 1,503 crore on March 31 , 2022. It comprises of term debt of ■ 386 crore with almost all loans again, on interest subvention or at subsi dized rates of interest .

The higher debt level that we have experienced as of the 30th of June is due to extremely fast sugarcane price payment and some higher stocks , but primarily this is a much faster cane price payment and to give you some statistics . There are no outstanding dues as of the 30th June 22 . Whereas,

in the previous quarter of the corresponding year, th ere were dues of ■ 213 crore as of March 31 , 2022. And ■ 272 crore as of 30th June 2021. The overall cost of funds is at 5.07%, which is lower than 5.2% in the corresponding period of previous year.

Turning to the businesses, as far as the sugar business is concerned, w e achieved a crush of 8.41 million tonnes of sugarcane with a gross recovery of 11.7% producing approximately 0.89 million ton nes of sugar. This is very much in line with the communication that I have had over the last couple of quarters with you in terms of the slightly lower gross recover y that we would have experienced this year because of inclement weather , very high temperatures in late March and April. And of course, earlier, unseasonal rainfall s at the beginning of the season .

On the reali zation front during the quarter, our average domestic reali zation was ■ 3529 per quintal up 5.7% year-on-year. T he current sugar prices at our factories are ■ 3630 per quintal for refined sugar and ■ 3560 per quintal approximately for 150s (plantation white) . The Company has not exported any sugar during the quarter . And inventories as of the 30th of June stood at ■ 46.8 lakh quintals valued at ■ 32.2 per kilo (kg). At the same time, at last year, inventories were lower at ■ 45.12 lakh quintals.

The co-generation op erations achieved external sales of just under ■ 17 crore during the quarter under review, versus ■14.2 crore in Q1 FY 22 an increase of 19%.

Looking at the industry scenario, and first at the industry domestic balance sheet for the current season 2021 -22, our estimate s i.e. Triveni estimates

are for domestic consumption of approximately 27.35 million ton nes. We expect export s of sugar to be, a shade more than 11 million tonnes.

The production will conclude as our estimate of 36 .2 million tonnes , and t his is after considering a diversion of 3.4 million tonnes of sugar into ethanol. Considering the opening stocks of 8.2 million tonnes on October 1 , 2021, this would imply closing stock s of just a shade abo ve 6 million tonnes on the 30th of September 2022 , which is sufficient for 2 and a quarter month s of domestic consumption , which is the intention by the Government.

In May 2022, the Government had capped exports of 10 million ton nes. We're expecting a small increase in terms of export which will raise t he total exports above 11 million tonnes. However, by the 30th of September, we estimate that 11 million tonnes certainly will have been exported . For sugar season 2022-23 based on our research and initial estimates, the total acreage across the country is expected to be about 58.2 lakh hectares , a 4% increase from 55.83 lakh hectares in the previous year. I think that 's very encouraging on multiple fronts , most importantly for the ethanol blending program.

Based on the current sowing, patterns of rainfall and crop conditions, we estimate sugar production in 2 2-23 to be higher over 40 million ton nes before considering the diversion towards ethanol. And we expect about 4.5 million tonnes of diversion towards ethanol . With that the country will require 8 million ton nes of exports. And it 's important that the Government recognizes that number and releases that much at least as quickly as possible for exports over the next sugar year. And this will lead to a closing balance of again a shade about 6 million tonne s, which is the magic number that is considered acceptable by all players in this industry, especially the Government.

As far as the international sugar scenario is concern the global outlook has now moved to a surplus of 2 to 3 million tonnes for the 22 -23 season , as compared to a marginal surplus expected for this season. This is mainly due to an increase in production in Asia, India is being a very large contributor and Brazil for the 2 2-23 seas

on . In Asia , the substantial increase is expected
in India and also some increase in Pakistan . The production will increase in Thailand after a series of disappointing seasons, and we expect to rebound with Chinese sugarcane production as well.

Mean while in Centr e South Brazil, the sugarcane crop is expected to r ecover next season as it moves beyond the drought impact that has impacted the present and previous season. Al though the mills in Brazil are likely to divert more sugarcane towards ethanol in the coming year given where crude prices are at this particular point in time . Global sugar prices have softened after touching US 20.27 cents/lb in April 2022, and the New York 11 Raw Sugar future month is currently hovering between US 17.5 and just a shade above up to 18 cents/lb .

Similarly, London White s, and now t rading at $522 a tonne, down from about $570 a ton ne earlier this year. A lot of this has to do with the global events, dollar strengthening , those t wo be the primary contributors. And of course,

as a result we've seen a little bit of softening . However, I think we were seeing certainly a lot of bottom formation and in our opinion, we can expect as the next Indian sugar season commences slightly firmer prices going forward. And homes for Indian sugar to be available .

Turning to our alcohol business. During the quarter, we commissioned an additional 200 KLPD. As a result, our production went up by 57 .7% to 42,200 kilo liters . We sold substantially higher quantities of alcohol and up about 42% and the reali zation also increased by 7% to an average realization ■57.8 per liter. As a result, the PBIT and profitability of the business es was also substantially higher .

In respect to the financial performance of distillery operations due to higher realizations due to the product mix and increase in the ethanol price , the commissioning of additional capacity has resulted in the higher sales volumes. The ethanol produced from B -heavy molasses constitutes 90% of the sales volume in the current quarter against 81% in the corresponding period of the previous year.

Subseq uent to the quarter, the Company has enhanced its overall capacity to 660 KLPD , again very much in line with the conversation that I had with you over the last couple of earnings conference calls . We have certainly met the target and this is despite supply chain constraints and material price variances that have happened over the course of this calendar year. And I think it is quite a substantial achievement .

And therefore, as we stand today the unit wise capacities are as follows . Milak Narayanpur , which is a dual-feed plant of 200 KLPD ; Sabitgarh at 200 KLPD ; Muzaffarnagar facility comprising of 200 KLPD on molasses and 60 KLPD on grain hence 260 KLPD total and all totaling 660 KLPD .

Coming to t he industry scenario , out of the 449 crore liters which is f inalized by the OMC s for supply in 2021 -22, against the requirement of 456 crore liters. Against this, 282 crore liters have been lifted by the OMCs and the average blending until the 17th of July stood at just above 10%. So, I think it ’s a huge achievemen t for the nation thus far . Of course, the road head is quite exciting and filled with substantially greater quantities on ethanol. During the next year 2022-23, it is estimated that 545 crore liters of ethanol will be required and that will amount to an a verage blending of 12 odd percent for the nation.

During this quarter, the OMC s have declared relief on the dispatch of ethanol for supplies made from 1st June to 30th November ranging from ■ 1,179 to ■ 2,337 per kilo liter depending on the feedstock. We are happy to give you the details of that , and it is also publicly available information , and Triveni will benefit greatly from its higher dispatche s because of more distillery capacity that has come on stream

going forward until the end of this ethanol y ear.

Turning very quickly to the engineering business . At an aggregate level we have reported strong revenue growth of 33% during this current quarter compared to the corresponding period last year . For the power transmission business revenue grew by just under 8% to ■ 30.5 crore and the order

booking which is the most important factor , grew at 41 .5% and stood at just under ■ 54 crore . The total closing order book was ■243 crore plus, which is a substantial increase compared to the previous quarter, the previous corresponding quarter etc. And it is a direct result of the huge improvement and increase in industrial activity that we ’re seeing not just domestically , but also internationally. Some of this order booking growth has come about also with the add ition o f larger orders from our existing OEMs around the world.

Turning to our water business , revenues grew by almost 50% to ■ 65 odd crore with the PBIT of ■ 2.5 crore . The closing order book grew 4% to ■ 1,645 crore . The water business group has completed construction of various facilities of the Company ’s Mathura Hybrid Annuity Model (HAM) project, which is for the NMCG, N ational Mission of Clean Ganga, and in association with the Uttar Pradesh Jal Nigam . Part of these facilities have already passed through the performance guarantee test successfully, and the balance ones are ongoing .

During this quarter , I'm very happy to also announce that we received our second international order , a large order in Bangladesh. This is an EPC order under a joint venture agreement with a local Bangladeshi company where ■ 170 crore is our share of work in this very important order. As you remember we had an important order that we have received from the Government of Maldives . And so this is again a substantial expansion that we're doing, especially within the South Asia n market and beyond , in terms of expanding our canvas. The Company is expecting robust order booking in coming quarters as well.

Very quickly on the outlook of all our various businesses . For sugar, the upcoming season with an increase of 4% cane area, better crop health, more focused crop surveillance pretty much across the country. And when I speak of Triveni certainly , we are doing a tremendous amount of efforts in the field with respect to crop surveillance , with respect to mitigating any types of pest s, etc. that can occur from time -to-time, and monitoring the growth of our cane crop. And I can see that across the country th ere has been sustained efforts by most people in the industry given the great value of sugarcane to the industry and to the public community.

Based on our current forecasts of monsoon and crop health were anticipating an increase in recoveries certainly in Uttar Pradesh . As far as Triveni is concerned, our previous announcement of debottlenecking and modernization is progressing we ll. And we expect these activities to be completed by October 2022 as we had communicated earlier .

On our alcohol and distillery business , yesterday at the board meeting of the Company, the Directors have approved the expansion program to set up t wo new dual-feedstock that is sugarcane derived and grain distilleries with an aggregate capacity of 450 KLPD at Rani Nangal and at Sabitgarh, subject to receipt of the necessary statutory clearances . This will raise our total distillation capacity to 1 ,110 KLPD as an aggregate cost of approximately ■ 460 crore . We expect that these distilleries will commence commercial production in Q3 FY 24. So about a year and quarter plus away . We have full confidence in the commitment of the Government of India's ethanol

blending program. And as such, the augmentation of our capacities on a dual stock basis will provide us with sufficient flexibility to select the feedstock based on commercial

considerations and economics. Overall, the distillery expansions will lead to signif icant growth in turnover and profitability in the segment.

Looking quickly at the engineering businesses ' outlook . Our power transmission business , we believe that there is significant growth expected in the domestic economy. This is a direct result of th e Atmanirbhar Bharat program, which will drive CapEx across domestic end-user industries .

Power transmission businesses is focused on increasing global market share and global footprint as well across a variety of different sectors. And we are seeing tre mendous activity within the power, cement, fertilizer, petrochemical, steel, sugar and ethanol sectors to name a few.

The Defence business is also poised very well and is expected to grow the expanding portfolio of products that we are developing, tender ing and producing is growing quite substantially and this will augur very well for Triveni's medium to long -term growth.

Lastly, our water business is expected to achieve many new successes in the upcoming quarters. There are several new opportunities th at are arising out of center and state funded schemes. And we see huge bidding opportunities including in E PC and in HAM projects. And I think that is very, very exciting because those are fantastic structures. And Triveni's water business is a leader in t erms of execution of HAM projects. In the water business, the growing water scarcity is catalyzing new opportunities. And this is the fundamental reason for an increase in business where there are areas of recycle, reuse and zero liquid discharge are growi ng across the country and leading to more opportunities. We believe that the disruption caused by the pandemic is largely over and normalcy of the business environment has returned.

A quick update before we open up to questions on the remaining Triveni Turbine divestment as you are aware, on the 9th of May 2022, the Board of Directors had decided to divest the company's entire shareholding of Triveni Turbine Limited shares of approximately 21.85%. The matter of TTL divestment is under progress, and we are hopeful of generating the demand and concluding this transaction early. The Company will make appropriate disclosures in due course. Thank you very much. I would like to now like to open it up for questions.

Moderator: Thank you very much. Ladies and gen tlemen, we will now begin with the question and answer session .
The first question is from the line of Riya Mehta from Aequitas Investments.

Riya Mehta : What you just mentioned in your comment ary that we have been trying to increase the recovery. So, I think last few quarters that we have been talking about the new varieties you are working with , so what kind of improvement are we seeing there in terms of recovery?

Sameer Sinha : So, there are two portions to this answer. The first is we are already work ing on our crop health per se, through a very structured surveillance program to minimize the impact of any pests, diseases, insects, etc. So along with better climatic conditions, that should lead us to an increase in recovery. Secondly, we have a plan, a medium -term plan over three years to reduce our dependence on C o 0238 and going for the new varieties which are 15023 but largely the proven varieties of 0118 and 98014. So, this is the basket of varieties that we are focusing on going forward. And we are looking at the performance of 15023 which have been grown in our pilot demonstration plant.

Riya Mehta : So how much w ould this form in our next year's crop and what kind of recovery do we look at like any qualitative outlook on that?

Tarun Sawhney: So ye s, we can give you a qualitative, we cannot give you a quantitative outlook because it is very challenging, given where we are in the cycle right now. But these, you see with a further very m

icromanaged process of cane
development a nd cane health, more imp ortantly, the subject of cane health within cane development, we are certainly looking at two things. It is not just recovery, but it is also yield, which leads to greater cane availability. So we are certainly at this point in time encouraged by the yield s that we are seeing. They are higher than the previous year, it is difficult to give you the percentage because we are in the gran d growth phase at this particular point in time, but we see greater number of tillers, we see greater cane height. And we wil l be in a better position, certainly in a couple of months to be able to tell you . The moment the monsoon season finishes, we will tell you where we are at that particular point in time. The second with respect to recovery. Now recovery is influenced by a variety of different factors, as you are well aware, one of those controllable factors is pests. So last year, we did see, and we did see some diseases, it did n't impact Triveni, but it did impact other parts of Uttar Pradesh, this is a disease called red rot on 238. Our impact was minimal a t best, it was very small. And that is something that we have certainly covered. But there was a small impact of top borer, which again when the cane is at the height that it is , that you can do very about it. When

you can do something about it, is now and that sort of very micro level field to field, acre to acre type intervention will ensure that the health of the crop is better. And that is a direct contributor towards increased recovery, you can see the recovery tren ds that we have had in the last few years. And if you sort of map it out , you can see what sort of the top potential ends are and so far, we are looking at everything, sort of all guns blazing, everything going rather well with no negatives at this particu lar point.

Sameer Sinha : And just to supplement Mr. Sawhney's answer, you know we are also in the midst of our de -bottlenecking and modernization which will enhance our net crush rates. So therefore, we feel that during December etc. when there is some in ciden ce of field s taling that could be taken care of which will also positively impact our recoveries going forward.

Riya Mehta : Okay, so basically actually, I was reading your presentation and mentioned that the sugar production in the next season is est imated to be 40 million

tonnes which as against 39.6, so it is more or less flattish. So why do we think so?

Tarun Sawhney: No, we expect the overall production to be higher than 40 just a shade above 40 million ton nes. We feel that because there's greater cane area and the monsoon across the country is normal. So, it will lead to more cane availability, greater crush, we also believe that the factories in Maharashtra and Karnataka will be starting their seasons in very early October, so that they can crush all this very, very large quantity of cane because they do have capacity issues in that part of the country. As a result, a shade about 40 million ton nes is achievable with Uttar Pradesh also returning to a healthier state.

Moderator: The next question is from the line of Lokesh Maru from Nippon India Mutual Fund.

Lokesh Maru: Congratulations on healthy set of numbers. I wanted to just one clarification on our ethanol production which is, when we say 90% is B-heavy, is that after deducting the 18% of ENA, so 82% of total ethanol that we produce, is that interpretation correct?

Sameer Sinha : Look that interpretation is not correct. I mean, there is a factory which of ours which produces C-heavy which we give out as levy molasses so whatever is the quantum that we have produced, which is, and dispatched let us say which is of 389 lakh liters in this quarter, 90% of that is B -heavy ethanol and ethanol as a total percentage of this 389 is about 94%.

Lokesh Maru: Oka

y, so 90% of 94%.

Sameer Sinha : Yes, 90% o f 389, not 90% of 94.

Lokesh Maru: Understood. Okay, so just lastly, how is the current monsoon impacting currently at this point in time. If you look in sugarcane crop in our command area, any clue, or any hints towards that?

Sameer Sinha : See our facto ries are spread across the state of U.P and definitely other than in two factories, this year in July, there had been a little less rainfall than previous year. But a large number of these factories have deep low -lying areas. So, to that extent it is good for us, the couple of factories which had some what more upland areas which were about to face some water stress etc. There have been heavy rainfalls towards the end of July, continuing in early August, which has taken care of that. So, there is no water st ress. And going forward in the second phase of monsoons, the forecast is for normal monsoon both in North and India, which will take care of our units also.

Moderator: The n ext question is from the line of Bharat S heth from Quest Investment

Advisors.

Bharath S heth: As you mentioned, we are setting up new distillery on the dual-feed. So, can you just explain a little more on that , which is a second feedstock that we are going to use and the economy of that refinery ?

Tarun Sawhney: Sure. So we have alrea dy established and are currently processing grain , rice actually at our existing distillery at Milak Narayanpur, which was commissioned on the 5th of April of this year. And the results of which are included in our quarterly results statements, the two new distilleries again will follow the same engineering format of dual-feed. They are primarily designed to process the grains, the grains that are available in North India especially where our factories are, is primarily rice. However, we will have the flexi bility of using other grains as well. And the second product will be sugarcane juice or B-heavy molasses etc. And in terms of the economics, at this particular point in time, given what the prices are including the small increase that has been made by the Government of India a few weeks ago, the highest profitability is for B -heavy molasses followed by grain , followed by juice.

Bharath S heth: Okay. And second thing, recently the Government has announced this increase in Fair and Remunerative Price (FRP) . So how that will affect our profitability and when Government is thinking of putting up the 20% blend, in that scenario, how much will be the additional requirement of ethanol and second, the prices of the ENA, do we produce ENA and sell. So how the economy between this ethanol and ENA works out?

Tarun Sawhney: Okay. Firstly, I am very happy that you have asked this question as far as FRP increase is concerned, our sugar factories are in Uttar Pradesh, in Uttar Pradesh, we pay a state advi sed price, and the refore we are not impacted by FRP. The FRP increase that has happened just now is a net increase of only ■ 7.5, because the base has also been increased. And that is something for you to consider when you look at the impact on other companies in other states. But as far as Triveni is concerned, it has no direct impact in terms of cane price. The impact is important with respect to the directional increase that can be collected from ethanol prices going forward. Since the Government is looking at the ethanol program as a direct program to benefit farmers, the increase in ethanol prices that will happen for the next year , I think there are strong correlations between the increase in FRP and the industry's expectation of increase in ethanol prices going forward . So, from that perspective, it augurs very well for Triveni going forward. Next with respect to your delta between ENA and ethanol, I think there is a sense of clarity and yes, demand, supply does vary from month on month, but broadly speaki

ng, it will ke ep pace with the increase in ethanol prices as we go forward. You had another question in there, which I think I am missing.

Bharath S heth: Yes, on this increasing, I mean yield of this sugar and we are working on these micro processes, I mean, what you s ay, so some of it has been already started and what are the yield improvement or what will be the economy of that also, because even if Government has to go for say 20% blending, this sugarcan e crop has to increase substantially, of course, dual-feed will do but so how that whole economy will really play out for that is one is that , currently a lot of concessions are given but if once it becomes a free trade of ethanol, so, what will be the really OMC and whole eco -point of view will work out?

Tarun Sawhne y: Sure. Okay. The point of course is in your question was how much more ethanol is required for 20% blending, it will be well above 1,000 crore liters. So let us say the estimate for next year is 545, it is double , that maybe 1,000

crore liters is what i s required for 20% ethanol blending. Now, you asked an important question in the ramp -up to 20% ethanol blending, the contribution of the sugar industry is quite important, contributing at least 65%. So, two-thirds will come from sugarcane, and one -third w ill come from grain, it requires expansion of distilleries from both sectors, frankly speaking, going forward. The increases in yields and the change that is happening across the country and the yields that we are seeing, I think these are very, very encou raging steps in terms of our short -term move because 2025-26 is literally short -term. Our short -term objectives are 20% ethanol blending. I personally believe that a lot of this, we already have a lot of sugarcane that is diverted to the unorganized sector in parts of the country. So, there is the quantum of cane that is available is quite substantial, it is growing quite substantially. The kind of work that Triveni is doing is enhancing our yield by leaps and bounds over the same time period. And we will, of course then have that kind of feedstock available to feed our distilleries, which we are also establishing concurrently. I personally believe that the sugarcane industry is well settled in terms of being able to deliver that 20% or contribute 66% toward s that 20% ethanol blending levels. But as I mentioned, this is a short -term level. Beyond that, there is already a lot of talk about E85 and higher blend levels. And therefore, that is the next step in terms of what will need to happen in the country. As you know, the sugarcane farmer gets the best return of all the staple crops across the country. So, I do not see any farmer pretty much going away from sugarcane in the near -term. Companies like Triveni of course, pay at such an accelerated manner that farmers want to grow more and more . The cane intensity will increase as time goes by, and therefore feed directly into the E20 program and beyond.

Bharath S heth: That is fair, but my question is, again, I mean for the economy of the OMC also.

Tarun Sawhney : I wanted to also mention, you mentioned that there are subsidies given, there are no subsidies given, the ethanol industry gets some interest subvention which is only on the de bt portion, but it is a small contributor and certainly not a make or break in terms of setting up plant capacity. As far as the OMCs are concerned, this is really about the national agenda. I think you are forgetting that . India imports a massive amount of crude. Our current account deficit is growing to unimaginable levels. We are at 3% already. And, frankly speaking to develop a national energy program, which includes the development of a nationwide ethanol policy and ethanol production policy is absolutely vital. So, I stand completely behind the Central Government's agenda of no t just ensuring that we h

ave greener fuel , so we
have a positive pollution impact, which is extremely important. And number two, in terms of saving precious foreign exchange, which will have an impact on inflation, on the currency and on other broad macroe conomic parameters. And therefore, that is something that will benefit everybody, including the OMCs as we go forward.

Moderator: The next question is from the line of Anupam Goswami from B&K Securities.

Anupam Goswami: Sir my first question on the recovery of this month we have seen 30-40 points in lower recovery. Whereas in previous quarters, we were anticipating about 20 basis points of recovery for the whole season ? But today, we are a

little worse than that. And also given this quarter, some late sugarcane that is crushed . Wouldn't it be a little expected that recovery should have been improved? But it actually did not happen? So, what was the reason on that side sir ?

Tarun Sawhney: As I mentioned in my opening remarks, we had some very u nseasonal weather. There was a massive heatwave across North India that started at the end of March and went through April. You are absolutely right. The best recoveries in the sugar industry going back a decade even longer have always been in the month of April and early May , the best recoveries by far. However, we had three to four degrees centigrade, higher temperatures during this entire period, which created significant field -related problems and curtailed that increase in recovery that we would have seen in the sugarcane crop this year. That is the reason.

Anupam Goswami: Okay, sir. So, my next question is , now that you mentioned that there is a global out look of surplus and Brazil and Asia , Thailand also coming back to surplus production . And it is necessary to maintain our 6 million closing stock that 8 million tonnes export is required. So , do we need Government support on subsidy again, for this kind of export given the outlook on the global surplus production and crisis?

Tarun Sawhney: Well the surplus pr oduction is up 2-3 million tonnes. So, you know, yes, there is a slight surplus. But I think the world needs India's sugar. The fact that India has been an exporter for several years now means that we have really deep roots in certain countries that import sugar close to us, whether it be Bangladesh or Sri Lanka, or Indonesia or towards the east , if you look at the Middle East , Iran and the eastern seaboard of Africa. These are big homes. India's geographical proximity and the time at which we export sugar matches the time when they need the sugar. So, India's role in global trade is absolutely vital. Now the question about exporting and the viability of exports, prices go up and down. I think looking forward and looking at future prices , they augur quite we ll. We have had some disruptions, the disruptions have been because of geopolitical events, and also because of a strengthening dollar. But I see that India can certainly export sugar, especially the coastal states, as we move into the next season. In fact , they are already gearing up quite substantially to be able to export this quantity of sugar. One point that I would like to leave with you is that if the nation has exported in excess of 11 million tonnes which is a total record, something that people co uld not have believe even 12 months ago, I think our capacity to be able to quickly export sugar as well. And evacuate this sugar quickly is something that will certainly happen. So whatever the quantity that is released by the Government for exports, I se e that getting fulfilled in the very near term , meaning Q4 of this calendar year and latest Q1 of the next calendar year.

Moderator: The next question is from the line of Shailesh Kanani from Centrum Broking.

Shailesh Kanani: My question was with respec t to our capacity expansion on the distillery front. First is on 450 KLPD expansion . We have talked about dual-feedstock. So I want to know if it is going to be broadly grain -base d, or it will need to be

more molasses -based . And what is the payback period for this CapEx of around ■ 460 crore ?

Tarun Sawhney: Firstly, let me just say that it is dual-feed, so it can take both grain , as well as sugarcane derivatives. So it is not a portion of grain or the other. I will just remind you of our distillery at Milak Narayanpur w here it is exactly dual-feed. We have not set up a smaller grain -based distillery on the si de. We have made the entire plant into dual-feed, and we believe that that model is exactly what we would like to replicate at these two new locations . One is for Sabitgarh , where w e have a distillery so it is expansion, and the other place is Rani Nangal where it will be a new distillery. As far as our rate of return is concerned. As I mentioned earlier, we do not really disclose exact paybacks, but we certainly see a very healthy rate of return. And the Board in i ts consideration of this has always evaluated the IRR s that we have , hurdle rates that we employ of 16% to 17%. And we are certainly ahead of that, as far as these two distilleries are concern ed.

Shailesh Kanani: Okay, so just a continuation of feedstock point. I was just wondering if do we have extra molasses, do we have extra room at the current level? Assuming the same level, what y ou are saying molasses , what we had in the last two three y ears? Do we have the molasses or its dependent upon only of increasing availabilit y?

Tarun Sawhney: Number one, we are expecting the cr ush to be higher. So, there will be greater molasses availability however, these distilleries will have to run either on grain or on juice. So, we have the juice available .

Shailesh Kanani: Okay. Sir on the second point on monetization of our stake in Triveni Turbine, I know you have said in opening remarks that it is expected soon, any timeline or any flo or price apart f rom Triveni T urbine 's 171 is the rate I guess . Apart from that any development on that front?

Tarun Sawhney: No, I have nothing more to add than what I said in my opening remarks that the divestment is under progress and we are happy and we are hopeful of generating demand quickly and concluding the transaction early .

Shailesh Kanani: Okay. Sir last question f rom me on monsoon side . July per se, has been below normal for UP especially , right? So how it is going to impact the yield and if you can throw som e light on that ? Last week to ten days, I am hearing that it is a bit better. But in general July has been lower than average , right?

Tarun Sawhney: So, for UP July has been , but I am going to remind you of the remarks , the comments that w ere made by my c olleague Sameer. For the Triveni factories, the rainfall has actually been absolutely perfect, because we have some factories which have greater amount of low-lying area where frankly speaking, we do not want excess rainfall. And we have benefited over the re and we are seeing fantastic growth . And in the areas, where the levels are normal or high -lying areas , again, just at the onset of any dryness, we have had fantastic rainfall, and this is perfectly time d for the grand growth period. In addition, I must tell you that all of our factories are near canals. So, in terms of irrigation and supply, from canal irrigation, that is a distinct possibility for farmers. So, I do not foresee any negatives as far as the

monsoon or rainfall or irrigation is concerned . Let me just say as far as irrigation is concerned, for Triveni . In fact, I think we do not want excess rainfall. Last year, we had unseasonal and excess rainfall in some of our factories in western Uttar Pradesh and this year clearly, we are moving in terms of the best possi

ble scenario.

Moderator: The next question is from the line of Sanjay Manyal from IC ICI Direct .

Sanjay Manyal : Just have a few question on the new capacity which we have announced , so what I understand that it includes the grain-base d capacity also. So if it is, if you think that it will be running on the six-month basis in the offseason, would it be right to assume that the full year volumes from the grain would be somewhere around 9 to 10 crore liters?

Tarun Sawhney: So, it could it very well depend . I mean, even in the season , we are just calculating this for you. But let me just say that it has great optionality. So it may or may not run on juice during the season as well, that is totally dependent on what are the prevailing juice p rices. As I mentioned in the question earlier today, the pecking order of returns is B-heavy, followed by grain followed by juice . I do anticipate an increase in prices , because of the FRP increase and also because of the recent increase in prices that the Central Government has announced and that a ugurs very well for next year's ethanol supply year and therefore, based on that, we will have that optionality. But if we were to operate on a scenario, where during the season we w ere on juice, and during the o ffseason, we were on grain … it would be about 7 crore .

Sameer Sinha: On an annualized basis .

Sanjay Manyal : Okay. And if I can get some guidance about the current year's ethanol volumes, and if you can give some guidance about the next year as well.

Tarun Sawhney: So we are looking at above 18 crore liters for this year in terms of total spirit.

And next year not including the new distilleries …

Sameer Sinha: We had given a guidance of about 21 crore lite rs earlier, and with the new additions it will go , let us say about 25 crore liters.

Sanjay Manyal : Okay. Perfect. Just one on the macro front, given the fact that we are having such a huge production now. And we will be at 40 million tonnes on a gross level. Would it not be a risk for the sugar prices going forward , given the fact that, we may or may not be able to export as a country? The huge quantities of 7 to 8 million tonn es, in any events of global price declining substantially . And would it also not sort of be contrary to what the Government earl ier was thinking that replacing the export s with the ethanol diversion . Now this is despite the ethanol diversions , despite the 6 million or 7 million tonne diversion of sugar towards ethanol, we still would require 7 to 8 million tonnes kind of an export every year ?

Tarun Sawhney: So, I think you asked a fairly complex question. Okay. But it is the right question to actually ask. As far as next year is concerned, let me try and answer all the six or seven questions you have just asked. Number one, can

India export sugar? Yes, it can. Can it export right now? Yes, it can. Where is it exporting from? It is exporting from Karnataka, and Maharashtra and they are reading to exp ort. Mil lers at this particular point in time are ready to enter into contract s for next year. If they weren't , they would n't be starting their factories as early as they are in the October of 2022 at the start of the next season and starting them off in raws . And f rankly, speaking with the start of both the state and the start in raws, al l that sugar simply has to be exported, and will be exported earlier, will be exported earlier for two or three reasons. Number one, because I personally believe that there will be some hardening in prices globally as we move forward towards the next year. And number two, because of massive cash flow benefits to the exporting millers in terms of quick price realization, otherwise it lies in the stock and is subject to the release and control mechanism. So , I do see Indi a exporting this quantum of sugar even at these price points .

Going forward , I think there is
no question about it. If the pric es harden , then clearly it may even be faster. And I have also given an indication of the timeline when I expect export s to happen. Number two , going forward , which you are talking about a multi - year situation , I think India's export campaign has to be one that continues and the reason for that is very simple. We have developed very strong homes for Indian sugar . If India disappears like it did, like if you go back into our 20 or 30 -year history, India comes into the market then disappears from the market et c. That has been the trend as the sugar cycle has existed. I believe the sugar cycle does not exist any longer in its previous form certainly . And therefore, with continued export over the last few years, India's role in the global balance sheet is ever more important, especially as far as homes in the northern and eastern hemisphere are concerned. And so, I believe that yes, greater quantum of sugarcane will be diverte d towards the EBP program. And as you know, we are producing a gross value of over 40 million tonnes going forward, I see that number going higher, it has to go higher, and it will go higher. And we will be able to meet our demand for ethanol and some quan tum certainly for exports in the medium to longer term. That is the type of very happy scenario that I see fructifying over the next few years.

Moderator: The next question is from the line of Rajesh Majumdar from B &K Securities.

Rajesh Majumdar: I just have one question, because so me of my questions, have been answered earlier. Y ou mentioned that the portion of molasses versus grain will be two -thirds as against what Niti Aayog has been saying as 50-50. So that is one. Your comment on that and why it sh ould happen and a related question to that is , what percentage of increase do you expect in juice that would tilt economic s heavily towards juice versus grain , because my personal opinion is grain -based capacities are not going to be even 20%? So just thou ghts on that.

Tarun Sawhney: Well, you are thinking on the same lines that I am thinking, which is that sugarcane plays the most important role in our march towards E20. I can't comment on the Niti Aayog number, I rely on our own research team and our own modeling in terms of sharing Triveni's numbers with you and we believe that at least two -thirds is going to come from sugarcane , and it is exactly for that reason, because the number of applications for grain -base d distilleries may be plenty, but physica l establishment of infrastructure for solo grain is

going to be limited as we go forward. Now, in terms of answering your next question in terms of price, given the present status quo if we have another ■ 5 increase in terms of juice ethanol pricing, that is a very happy scenario between ■ 5 and ■ 5.5 will be a very happy scenario. And we will see much greater investment in terms of juice capacity.

Rajesh Majumdar : There are talk of the new technology by Praj which allows you to store juice for a longer pe riod as against using bio enzymes. Does that help mainly in terms of the economics between juice and grain ?

Tarun Sawhney: Well, it does if you know theoretically, if you had, if you did not have dual-feed, you have single feed, then you will be able to u tilize your juice for a longer period during the offseason. The same debate happened with B -heavy molasses, the real questions of B -heavy molasses earlier, can we actually store it through the duration of the offseason and the answer of course has been yes , we can. Now as if we look towards juice storage, the quantum that we are talking about are much, much larger. So for somebody to be able to start using juice through the offseason, the kind of expense in terms of storage is frightening and may not quite work out. And that is somethin

g that you have to consider.

Rajesh Majumdar : Okay.

Tarun Sawhney: So, you may have to produce the ethanol and store the ethanol for longer periods of time rather than store the juice.

Rajesh Majumdar : But how long can you store that ethanol?

Tarun Sawhney: There isn’t a shelf life on ethanol.

Moderator: The next question is from the line of Shreyansh Mehta from SKP Securities.

Shreyansh Mehta : I would like to know whether we have finalized any vendor for the setting up of this expansion of distillery program?

Tarun Sawhney: No, we have not.

Shreyansh Mehta : Sir, any plans to finalize in near -term and you can elaborate on that anything?

Tarun Sawhney: Yes, I think you know in this kind of scenario, we will certainly be looking at cost, very, very closely and looking at vendors that can match our costs, given what has happened to metal prices going forward, and in terms of closing out the ordering, it will happen soon. But at this particular point in time, it is certainl y not happened. And we have not finalized the vendors, but we are very happy with the kind of expansion and capacity that we are looking at in terms of incorporating new vendors potentially and relooking at earlier vendors.

Moderator: The next question is from the line of Udit Gupta, Individual Investor.

Udit Gupta : Good afternoon sir. You said that for FY 23 you are looking at 18 crore liters and FY 24 we will be looking at 25 crore liters, so after this entire capacity comes online sir, how much can w e look at in FY 25?

Sameer Sinha : We would be looking on an annualized basis once the assets are stabilized at somewhere in excess of about 32 crore liters.

Udit Gupta : Okay. And sir my next question is that, Government is looking at E20 and flex fuel going forward, so by when can we expect the cars to become compatible with E20 and flexfuel, so is there a timeline given by the Government in that?

Tarun Sawhney: No, the Government has n't because as far as flexfuel is concerned, you are talking about E85. In fact, even the decision whether it is going to be E85, E93 or what percentage it is going to be , is not presently declared, I see that that scenario happening only when we get closer to 2025-26, where those important decisions have to be made. So, I think over the next year, we are not going to hear anything about greater levels of blending, but maybe 18 months down the line is when you can expect to start hearing more discussion and hopefully a price . Because as you can well imagine a lot of capacity h as to be developed to be able to meet that energy requirement and that demand.

Udit Gupta : In terms of E 20, is there any Government requirements for the cars? Are the new cars expected to come in by next year or something ?

Tarun Sawhney: Absolutely, the cars are, and my understanding is that the cars are expected to be in place by the start of the next financial year. And two wheelers, you are forgetting two wheelers , the greatest option is actually two wheelers . In fact, most cars I think are already pr etty much there in terms of material composition, et c. There are some changes that are required, and I understand , technical changes in the engine that are required but they will be done. But the real question is about two wheelers. And I believe that that will be the beginning of next year.

Moderator : The n ext is a follow up question from the line Riya Mehta from Aequitas Investments .

Riya Mehta : My question was for power transmission and water business. And so basically, we are looking at margin decline on a Q oQ basis. So is this because we could not take in past and we will take it in the future quarters to come? Or what is the change ? Also the percentage of O&M orders in the Water segment have been more or less stagnant. So, are we looking at O&M porti on or it is mo

re of the EPC portion, which is increasing?

Tarun Sawhney: Yes, so two questions . I think to look at the revenue and the margin percentage, even the margin percentage is in one quarter is not exactly the same, because it depends on what we have dispatched. Over the course of the year, we are certainly not looking at any change in terms of our overall margin structures across the businesses. In fact, I think when I talk separately about both the power transmission business, to be able to grow at the pace that it is with the order booking very much in place , is quite positive

that it is doing it without the cost of margin dilution. As far as the water business is concerned, certainly I would again, I would encourage you to look at a longer time horizon because of how we book our revenue, et c. And to look at the annualized results in terms of overall margin. As far as the O&M, specific question is concerned, there is absolutely no intention of dilution of one or the other. This is just how the bu siness has come about over the course of the last quarter . As we go forward, the projects HAM or otherwise that we are tendering include healthy portions of O&M and in fact, it is a very determined strategy of our business to offer O&M services to our customers. This is something that we do very well, this is something that our customers want, we are certainly not about to do away with that.

Riya Mehta : So current order book consists of margin or higher margin value added per order?

Tarun Sawhney: I will not comment on the margin of our order book because I have n’t in the past.

Riya Mehta : Okay, sir my second question would be for the Triveni Turbines, the consideration which we will be getting or that is completely used in the new CapEx or are we plannin g reported the capital allocation for this?

Tarun Sawhney: So in terms of the new CapEx , we have announced ■ 460 crore of CapEx , certainly a portion of it will be funded by debt because debt is under interest subvention , and we would be rather foolish if we did not take that. As far as the distillery assets are concerned, the equity contribution wil l certainly come from internal accruals, because the businesses are throwing off annually, very healthy amount of cash. Now, as far as proceeds of the sale of TTL shares are concerned, what I can share with you is that if there will be two things, we will need some of the normal CapEx requirements of the business, and the remainder will certainly be returned to the shareholders of the Company.

Riya Mehta : Okay, and my last question would be, you are seeing the prices of all the grains have been increasing on a sequential basis, so are we seeing the impact in the higher prices ? So, with the incremental cost or the benefit given by the O&Ms be able to cover the incremental cost increase of the raw materials which is the grain feedstock.

Tarun Sawhney: Yes, your assumption is absolutely correct. It is in fact, more positive, marginally more positive for the business . And it certainly covers the increased costs.

Riya Mehta : And we still have more availability of the grains or the feedstock for our facilities ?

Tarun Sawhney: Yes, you are absolutely correct . We are running at full capacity , at our full rated capacities. And so , we have sufficient feedstock for the remainder of the suppl y year , absolutely.

Moderator: The next question is from the line of Pratik Tholiya from Systematix.

Pratik Tholiya : Excellent performance this quarter . As you already said, what is the current sugar price?

Tarun Sawhney: The current refined sugar price is ■ 36.30 /kg, maybe ■ 36.40 /kg even today, and about ■ 70 per quintal (■ 0.70/kg) lower. So about ■ 35.60 /kg for plantation white.

Pratik Tholiya : Now, we have seen the FRP has also been increased. So, but the MSP continues to remain at ■ 31/kg, any talks o n MSP going up or any clarity on that front?

Tarun Sawhney: I am afraid I cannot offer any clarity. The industry has certainly asked for an increase in MSP. I mean sugar has been sold well above MSP throughout the country. So , it is certainly an ask of th e association, we at Triveni also have written to the Government requesting them to reconsider the MSP at this particular point. But I am afraid I have no news to offer you , in terms of any progress or any developments from the Government in terms of actua lly increasing that MSP.

Pratik Tholiya : Right , now on the ethanol prices of course, whenever possible is that because with the FRP, you can expect the ethanol prices to increase in the next season?

Tarun Sawhney: Absolutely. And you can expect the ethan ol prices to increase because of two factors. Number one, the recent increase for the remainder of the ethanol supply year is a very progressive move by the Government to ensure that the increased costs have been taken into account and that there is no mar gin dilution for ethanol manufacturers, very, very progressive. Similarly, with an increase, and those are sort of more operating costs and some raw material costs, et c. that have gone up. But your main cost, of course, is sugarcane, as you know. So, with the FRP price having gone up, I am very confident that the Government will have a very healthy increase in ethanol price derived from sugarcane. And also , for a variety of reasons, I expect ethanol price for grain to also be higher.

Moderator: The n ext is a follow up question from the line of Anupam Goswami from B&K Securities.

Anupam Goswami: What is the margin of this Indian Made Indian Liquor (IMIL) that we make ; the alcohol ?

Tarun Sawhney: Great, so at this point in time, the unit is losing a little bit of money, we expect not a very substantial amount, but a small amount of money is being lost. And this is ready in terms of development costs and marketing costs that we have in place for the IMIL business. Going forward, I would also like to mention that we do not have, we have not had an increase in the sale price of IMIL for many, many quarters . We expect that when we go beyond H1, we will be absolutely fine. And we will be in black.

Anupam Goswami: Okay, and so by H1, what kind of volumes are we l ooking at such breakeven?

Tarun Sawhney: We have really not given any disclosures in terms of volumes; the volumes are constrained because of manufacturing capacity and the legal limits that we have at this point in time we are at a maximum growth rate of 4 lakh cases a month.

Tarun Sawhney: 4 lakh cases a month.

Anupam Goswami: 4 lakh cases a month. Okay, so annualized that is the target for this fiscal year?

Tarun Sawhney: No, it is not quite the target, because it really depends on where we are, and what supplies we have. As you know, within the IMIL business, there is a greater attraction for Tetra Pak, and we have several Tetra Pak machines that have been ordered and will be commissioned over the course of the year. So, it is dependent on the supply format, as well PET versus Tetra Pak, where Tetra Pak is clearly more desirable by the market. So as and when that comes in, that has commissioned and there are unfortunately, some delays, in terms of getting that machinery, it works out just fine, becaus e we are in the process of establishing greater market share in the markets that we supply. And so , as and when that is commissioned, we will be able to supply more of IMIL as per our legally rated capacity.

Moderator: Thank you. Ladies & gentlemen that w as the last question, I now hand the conference over to the management for closing comments .

Tarun Sawhney: Thank you very much, ladies and gentlemen for joining us on our Q1 FY 23 earnings conference call for Triveni

Engineering & Industries Limited. As we look forward to this quarter and beyond, I think that as far as sugar is concerned, we have to watch and see how the monsoon progresses by the time we speak to you, for the next quarterly results, I anticipate that the sugar season for Triveni will have almost started or started and we will be in a much better position to give you harder data in terms of next year, sugar year, which I expect to be actually a record year certainly for Triveni in many respects. The engineering businesses continues to deliv er very positive growth. And I look forward to reporting to you more positive news next time around. Thank you very much and have a good day.

Call: Nov 2022

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Triveni Engineering & Industries Limited
Q2 & H1 FY 23 Earnings Conference Call Transcript
November 07, 2022

Rishab Barar: Good day everyone and a warm welcome to all of you participating in the Triveni Engineering & Industries Limited's Q2 and H1 FY 23 Earnings Conference Call. We have with us today, Mr. Tarun Sawhney, Vice Chairman and Managing Director; Mr. Suresh Taneja, Group CFO; Mr. Sameer Sinha, CEO of Sugar Business G roup as well as other members of the senior management team. Before we begin, I would like to mention that some statements made in today's discussion may be forward -looking in nature and a statement to this effect has been included in the invite which was sent to everybody earlier.

I would also like to emphasize that while this call is open to all invitees, it may not be broadcasted or reproduced in any form or manner. We will start this call with opening remarks from the management following an interactiv e question - and-answer session. I will now request Mr. Tarun Sawhney to open the call. Over to you sir.

Tarun Sawhney: Thank you very much. Good afternoon, ladies and gentlemen. Welcome to the Q2 H1 Fiscal '23 earnings conference call for Triveni Engineering & Industries Limited. The overall performance of the Company during the quarter and half year ended 30th of Septembe r 2022 has been broadly satisfactory. The key highlights that I would like to mention before we get into the business discussion and detailing of the commentary are that the Sugar Season 2022 - 2023 has commenced, six of our seven sugar factories have comm enced their operations. Our factory in east UP will be starting its operations within a week or so.

From a readiness perspective, the debottlenecking and modernization of the three sugar units has also been completed in a timely manner. This will lead to an enhancement in crushing efficiency. Along with this, we have increased our refined sugar production capability from approximately 40% of total sugar to about 60% of total sugar production, and we have doubled our pharmaceutical grade sugar production ca pacity. Both of this will boost realizations and profitability for the group.

With respect to the distilleries, the additional distillation capacities commissioned during the quarter aggregating 660 KLPD is fully commissioned and operating at high levels of efficiency. And we are on track for enhancing our capacities to 1100 KLPD by FY 24. In our Power Transmission business, the order booking has grown a robust 29% year -on-year and within our Water business, there has been an extremely important developme nt where we have achieved commercial operation s date for the entire Mathura Hybrid Annuity project, the HAM project and this was on the 21st of October 2022.

Turning to the quarter under review, I would like to first start off by discussing the financial highlights. The net turnover has increased by 26% quarter -on-quarter and 22.2% for the half year versus the previous corresponding half year. And this has been primarily driven by higher sales of sugar a nd alcohol. The profit before tax before exceptional items during Q2 FY 23 has declined by 79% to ■ 24.48 crore which was previously ■ 113 crore in the previous corresponding quarter.

The contribution on sales of sugar during the current period is lower d ue to the impact of higher cane price, the S tate Advised Price (SAP) was increased in the previous year and that increased our cost of production. In addition, for the quarter under review and half year under review, there was an export subsidy in the prev ious corresponding periods. And this of course was absent in this quarter and half year under review and that is another significant difference in the profitability numbers. The sugar revenues as I mentioned grew by 26% quarter -to-quarter. And this was dri ven by higher sales volumes and also improved realizations.

The profitability as I mentioned, was impacted due to higher SAP and no subsidy . Further increased cost because of wage board corrections that had to be made, w ere also witnessed during the quart er and added towards our cost. The distillery revenues net of excise grew 45% during the quarter due to additional capacities that were commissioned, which resulted in increased sales volumes. The profitability margins have been impacted due to an increase d price of B-heavy molasses and some stabilization period for the new distilleries that were commissioned around about the turn of the previous quarter.

There was also a slightly lower margin with grain on feedstock , mainly attributed to a stabilization p eriod, the engineering business at an aggregate level reported very strong revenue increases of almost 27% during the current quarter. The outstanding order book for the engineering business stood at ■ 1,825 crore compared to just under ■ 1,700 crore in th e previous corresponding period.

On a consolidated basis, our total debt for the company is ■ 721 odd crore net of Fixed Deposits (FD) of ■ 148 crore which has been made from an operational surplus and this is on the 30th of September '22. The consolidat ed debt at ■ 1,568 crore was on March 31 '22. The above debt position is without considering the net divestment proceeds of ■ 1,593 crore which is currently being held in fixed deposits with various banks .

Our overall cost of funds has marginally increase d to 5.16% during Q2 FY 23 as against 5.09% in the corresponding period of the fiscal year. Clearly, this is not in line with the massive increases in interest rates that we have seen for the nation as a whole and it's because we have the majority amount o f debt under subvention.

During the quarter, the company has divested its entire 21.85 % stake in Triveni Turbine Limited for a net consideration of ■ 1,593 crore unlocking significant value for our shareholders. This has led to an unbundling of businesses and the monetization of non -core assets. As I had indicated earlier, the proceeds from this divestment will be utilized for growth and expansion of businesses as well as rewarding shareholders.

To this effect, the Board of Directors subject to the approval of shareholders has approved a proposal to buyback equity shares of the Company up to ■ 2.28 crores (approximately ■ 2.29 crores) equity shares at a price of ■ 350 per equity share and the aggregate amount not exceeding ■ 800 crore. I would like to mention that this is almost the maximum buyback that the Company could have done at this particular period. I would like to remind on this call that the previous

buyback that the Company has, Company had a rich histo ry of doing buybacks, the last

buyback that we have done which is a smaller one of ■ 65 crore in October of 2020 was done at a share price of ■ 105 and this time as I mentioned, the buyback will be at ■ 350.

Turning to the financial highlights of the Company. The revenue from operations grew at 27% to ■ 1,471 crore while the PBT declined to a profit of ■ 24.5 crore which is the decline of about 79%. The EPS after accounting for exceptional items has jumped very substantially to ■ 57.4 per share.

Now turning to the businesses, I would like to spend a few minutes discussing our different business verticals. Starting with our sugar business. On the realization during the quarter, the average that we have achieved is ■ 3545 per quintal which is about 1.6% higher year -on-year. So, not quite , certainly higher, but not as high as we had anticipated or would have liked frankly speaking.

The current price of sugar however, as of today, refined sugar is selling at ■ 3690 per quintal and sulphitation sugar is se lling at ■ 3615 per quintal. There has been an increase in pricing this morning after the very positive announcement on exports by the Government of India (GOI) over the weekend. The Company did not expo rt any sugar of course, during the quarter. Sugar inventories on the 30th of September stood at 20.81 lakh quintals valued at about ■ 32 per kilo.

The cogeneration operations achieved external sales of about ■ 17 crore versus ■ 14.2 crore in the previous co rresponding half year, an increase of about 19%. And there w ere no operations during Q2 as it was the offseason.

Our domestic realization as I mentioned was ■ 35.45 per kilo during the half year and this was on the base of ~259,000 metric ton nes of dispa tches, ~22% higher per quarter on previous quarter.

From a policy perspective, there has been very big news over the past weekend with the export policy for the Season 2022 -23 being formally announced. The Government has announced exports of 6 million met ric ton nes from the 1st of November 2022 to the 31st of May '23 (Note: corrected to May as it was mentioned erroneously on the call as March) . This was a key ask of the industry and an enormously big positive for the sugar sector. We believe that this is the first tranche and I personally do believe that the Government will come out potentially with the second, and there may be a third export tr anche. The second one being our hope is 3 million metric ton nes in five- or six -months' time so that there can be better planning and execution.

I would like to point out that this again shows that the Government is acutely aware of the needs of the indus try and acts in a timely manner to assuage the market and to provide stability in terms of operations for the entire industry. And of course, this has a cascading effect and benefit all the way down to the farm level and to the farmer level. So it's a grea t positive and yet another example of excellent and timely Government intervention. The 6 million ton nes will be easily exported, in my opinion, during this time, potentially even well ahead of this time.

The past experience from last year shows that India is well capable of exporting this total amount within the six -month window. Earlier in October, the Government has extended the restriction on sugar exports up to the 31st of October '23. However, these subsequent new orders, of course, are in additi on to that previous order.

For the Triveni, we have received a qu ota of just under 205,000 metric ton nes of sugar. And we've contracted a significant portion of this already at substantial

premiums and these are refined premiums for the Company which are in excess of prevailing domestic prices. We intend to dispatch this entire quota during this current financial year, which will of course improve the financial performance for H2 fiscal '23.

Turning towards the domestic scenario, based on the re

cent ISMA estimate, the
total acreage for the country is about 6% higher than the previous year. I would also like to mention that it is our belief that the State Advised Price (SAP) which is the sugarcane price, th at Triveni pays in Uttar Pradesh will remain the sa me and that is our earnest hope for sugarcane for this current season.

Looking at the balance sheet for the nation, for sugar production in 2023 before considering diversion to ethanol, we anticipate that to be about 5% higher at 41 million ton nes, anothe r record production of sugar in our country. It's expected that 4.5 million ton nes of sugar will be diverted towards ethanol this year. With an opening balance of about 5.5 odd million ton nes, I anticipate that with balancing export numbers, we will close out sugar season 2022 -23 with the same figure as the opening balance about 5.5 million ton nes on the 30th of September '23. And that, of course is also the hope of the industry.

Based on international reports , the forecast for the global sugar industry is a surplus of about 5 million to nnes up to about 5.2 million ton nes. And this has been driven primarily by major sugar exporters such as India, Brazil, and Thailand. Higher supply will of course lead to higher ending stocks as well. In the Centre South region, I think the Brazilian sugar production will return to normalized levels of 36 million metric ton nes odd next year, which starts in April '23.

So, it is anticipated that there will be more sugar produced relatively in Brazil and that will come to g lobal markets for sale. Similarly, in Thailand, we're anticipating an increase , of about 11.5 million ton nes of sugar for the season 2022 -23 which starts in October '22. Having said that, I think this has all been very well factored into global sugar price s, which have actually performed quite well. New York has been hovering between US 17.5 to 19.4 cents per pound. At present, the prices are US 18.7 cents per pound which is a reasonably good price. And the London white sugar contract for the December month has been trading at about US $540 odd per ton ne with the March trading at just under US $513 per ton, again a very healthy price of a solid white premium actually.

So we at Triveni for exports are hoping to at least capitalize on this wide White's premiu m for a portion of our total exports. Turning to the alcohol business, the production was 57% higher, the sales quarter -on-quarter was 23% higher, the average realization was just about 13% higher. The key changes for this quarter are our product mix and our higher capabilities which led to higher volumes. The sale of ethanol produced from grain accounted for 24% and 13% of total sales volumes in the current quarter and half year corresponding .

Ethanol produced from B -heavy constituted 70% of the sales volume of the current quarter versus 73% in the previous corresponding quarter. There has been big news also in the Distillery segment where the Government has recently announced an increase in prices under the EBP program. We note that the increases for B -heavy , juice and grains are only marginally higher when you include the relief that was provided by the O il Marketing Companie s (OMCs) earlier.

And therefore, it is my view that more support w ill be required as we march towards EBP20 and beyond that and we need more capacities to come up to convert juice which is definitely the most reliable feedstock for the ethanol blending program. We can see that from Q4 of the ethanol supplier that the mos t

reliable supplies at the most precarious time has come from the sugar sector. And I do believe that as we move towards E20 and beyond , the sugar sector with respect to ethanol has to be the bedrock for this particular program.

The ethanol suppl y year , this is important , has been redefined. And it will now be from the 1st of November to the 31st of

October in the following year. And therefore in view of the above changes to the ethanol suppl y year , the ethanol suppl y year for 2022 -23 will be considered f rom 1st of December to the 31st of October '23, 11 months. Out of the 455 crore is finalized by the OMCs and a total requirement of 458 crore, contracts for 454 lite rs have been executed after the 23rd of October '22. The total lifting has been about 82% of the contracted quantity and the average blending percentage up to the 23rd of October was 9.57% let's say broadly odd 10%.

Till 23rd of October '22 , out of the supply of 371 crore lite rs, 70 crore l iters has been supplied from sugarcane juice and 234 crore lite rs has been supplied from B-heavy molasses, the vast majority of this total supply . The OMCs have recently invited bid to supply 651 crore lite rs of ethanol for the supply year of 2022-23.

Turning to the engineering businesses very quickly, the power transmission business again has had an excellent quarter under review with gross revenues improving by 12% to ■ 61 crore, PBT of ■ 21.1 crore and an order booking increasing by 20 % to just about ■ 60 crore. The closing, order book was just over ■ 245 crore which is 52% higher.

In Q2, there's actually been a fantastic growth. And we've seen orders coming in not just domestically but internationally as well. There have been some supply chain disrupt ions, because we saw metal prices vacillate quite substantially, but those have been pretty much set aside and the recent performance with metal prices augurs very well for the business going forward . We've seen an excellent performance as well in export m arkets, and this is a focus area for the Company in terms of discovering new customers, OEMs and gaining more market share. The outstanding order book as I mentioned stood at ■ 245 crore which includes long-term orders of ■ 105 crore.

The water business had a fantastic quarter and review where revenues grew by 43% to ■ 78 crore, the order booking increased by about 3% to ■ 1,550 crore, the results are very good on a consolidated basis, which includes SP Vs and the water business, as I mentioned has achieve d commercial operation date, the COD date for the entire Mathura Hybrid Annuity Project with effective 31st of October is a very important milestone in terms of our revenue recognition et cetera. And it is the most successful HAM project in my opinion that has been executed across the nation. The outstanding order book, as I mentioned continues to grow quarter -on-quarter, half year on half year and we are anticipating that there are a large number of orders that will be finalized over the next few quarters.

Looking briefly at the outlook, the sugar business as a result as I mentioned of the debottlenecking and modernization, there is going to be a good increase in the performance and a reduction in cost of the sugar that is produced this year. Of course, th e sale price will benefit with higher quantities, 60% of refined sugar and a doubling of pharmaceutical grade sugar that is produced by the Company . The se ason has started, the crop condition looks excellent. For Uttar Pradesh as a whole, there is a projec tion that there will be 4% increase in production. This is recovery and crush combined, I would be happy to mention that Triveni estimates that our production would certainly be much higher than the average of the state of Uttar Pradesh. Six factories hav e already started operations. The relative recovery rate this year, we started earlier than last year are higher, which

bodes very well for the season. We are crushing at a significantly higher crushing rate as well this year versus the previous year. All of these help in cost of production and better efficiencies across the entire system.

And provided of course we don't have any unseasonal rains or inclement weather etc., this has the potential of

being a record year for the Company . And a lot of the wor k that has been done has been done at the farm level. So, we are seeing the yield increases which means that our farmers are certainly seeing an increase in their take home income and profitability from the land and we are delighted to mention that.

Look ing at the alcohol business, we're well on our way in terms of expanding our capacities to 1110 KLPD and we are looking at expanding and leading to better growth in terms of revenues as well as profitability as this year continues and we move into the next year.

And the g ears business, the Make in India program has led to fantastic opportunities for our diverse engineered products and we are actively participating in several many indigenous development projects. We have seen fantastic growth and inquiries from the cement, energy, distillery and steel sectors domestically and this augurs well, this is continuing and in fact heating up quite a lot. So, it's very positive for the domestic order booking going forward. The defence segment again has done well and we have received strong orders in the areas of propulsion shafting, we believe that this is a long -term strength for this particular business.

The Water business, we are expecting robust order bookings I mentioned briefly in the c oming quarters. And there is a lot of visibility and value that will get finalized over the next six months or so, the domestic opportunities are increasing in the recycle and reuse of wastewater. And the water business is equipped to handle this target ma rket which is a new and large revenue segment for the water business. Municipal business opportunities are looking very attractive in the states of Karnataka, Uttar Pradesh, Punjab, Telangana and Maharashtra. And we're looking for other public, private par tnership model projects under the HAM model. And we're keen on participating on those as over the coming few quarters. Thank you very much. I'd like to now open up the floor for questions.

Moderator: The first question is from the line of Sanjay Manyal from ICICI Direct. Please go ahead.

Sanjay Manyal: My first question is about the export contracts which were done , if you can quantify the what exactly is the volumes were contracted and at what price?

Tarun Sawhney: Sanjay, firstly thank you for asking the question. What I will say is that we have contracted for more than 50% at fantastic white sugar prices. So, unfortunately at this particular point in time, I cannot disclose the total quantity nor the values, but I can say that they are in substantial premium to domestic prices.

Sanjay Manyal: Okay, so just want to understand one thing, I believe if the Government is going to come up with a second tranche of 3 million ton nes, then you probably will get another 1 lakh tonnes of quota, so what exactly is the price you are looking where you will execute the export contract? Because what I understand you have not done export last year. So, what exactly would be the price above which you will be looking to sort of do the full contracts?

Tarun Sawhney: You've asked a brilliant question, so we have some portion from this 6 million tonnes that remains unpriced right now. And then of course, there is the distinct possibility of a large second tranche coming about. For us very simply, this is

tradable. The most important thing to consider that in the wisdom of the Government , they've created a fantastic platform, which is tradable. We already know that the coastal millers would love to export and there is a very buoyant market for trading this quota as well, it's already extremely active as of this weekend.

As far as we are concerned, we will consider three things, we will consider domestic price, we will consider what the tradable value is at that point in time and we will conside r what the export price is, now the e

xport price comes in
three forms, it is refined sugar, that is EC Grade 2 sugar, then there is refined sugar that we typically make in North India which is slightly bolder gra in sugar which can't command the same premiu ms as LIFFE (London International Financial Futures and Options Exchange) and then of course you have 150s and raw sugars, I'm bucketing both those together, that are sold at versus New York.

Now, we will look at which opportunity gets the Company the max imum amount of revenues and profitability and our decisions will be made purely on that basis.

Sanjay Manyal: Okay . So, but you have the capacity of this 45 grade refined sugar which is basically trading at ■ 38 to ■ 40 per kg in INR, you can export the e ntire 2 lakh or 3 lakh?

Tarun Sawhney: We don't have the entire quantity in terms of EC Grade 2, I would say, but we are doing at the maximum that we can. Frankly speaking, this is not a product that we have made in two years' time, last year because we d idn't export, we didn't manufacture it, and now that we're functioning on higher levels of operating efficiency, et cetera, we are trying to maximize it. So, let me leave you rest assured that while I can't comment on how much of it will be pure small crystal white sugar exports, we are certainly trying to maximize it and we will be manufacturing it through the course of the season.

Sanjay Manyal: What exactly is the crushing number we are looking for Triveni and if considering the 2 lakh ton nes of export and the current quota, would we be able to do 11 lakh ton nes of sugar sales volume for FY 23?

Tarun Sawhney: Let me just take the first portion of your question and say that as I had mentioned, we expect that th ere will be a 4% increase in sugar productio n for the state and Triveni will be substantially higher than that . A lot is dependent on weather. Let me be honest with you, for me to give you a projection right now , we were very conservative as you know. So, we will give you something that will conside r some amount of inclement weather that's happening.

But despite that, we are going to be substantially higher than the state average. At this particular point in time, we are unable to share a total crush number, but it will be a record number for us. So the second part of your question, I'll hand over to our CFO.

Suresh Taneja: As Tarun has just now said that we have already contracted more than 50% of our quota. So obviously, this sale of sugar will take place in this fiscal year itself.

Sanjay Manyal: Okay. Understood. And just if you can also quantify what exactly is the premium we get in the pharma sugar in terms of realization and margin?

Tarun Sawhney : Certainly, so depending on the grade of pharma sugar , we get anywhere between ■ 2 and ■ 4 .

Sanjay Manyal: Okay, understood. And do we hold on the distillery numbers or volume, which we mentioned last quarter, which is 18 crore litres for FY 23 and 25 crore litres for FY 24, if I'm not wrong?

Sameer Sinha : Yes, for this year, definitely 18 crore litres and for next year considering the new assets ; from the existing assets, as we mentioned, what about 21 litres crore plus and from the new assets will be the remainder.

Moderator: Thank you. The next question is from the line of Nitin Awasthi from InCred Equities. Please go ahead.

Nitin Awasthi: I wanted to ask whether the recent ethanol pricing, which the Government has announced, because it's lower than what was expected, will it put any hindrance in the investments coming into the ethanol s pace by the industry and by the Company ?

Tarun Sawhney: A very good question , excellent question. I have to say that, yes, these pr ice increases are muted. I think the industry has made representations to the Government in terms of what it requires, and nothing extraordinary, only to get a normalized rate of ret

urn. So, I do think that industry wi de, there will certainly be an impact because the cost of funds for the industry as a whole is much higher than what the cost o f funds of Triveni is.

I appreciate that you've segregated the Company from the remainder of the industry. I do think that there is a negative impact. And I am sure the Government in its wisdom will revise it. As we know from last year, there was a midter m correction of prices. And so, I anticipate that the Government could very easily consider a midterm correction in order to further boost investments as we move towards E20 and beyond.

As far as the Company is concerned, we had anticipated that something like this could very easily happen, it still meets our investment hurdle criteria. And so, we will be moving ahead, but we will be watching the situation closely. As you will remember that, we are investing in dual-feed facilities and therefore for our return, we would look at both grain as well as sugarcane and juice as alternatives and therefore, it gives us a little bit of an advantage in terms of meeting our return expectations.

Nitin Awasthi: Got it sir. The second question was , you have put up a standalone grain distillery which is quite different than the rest of the sugar industry, which is either going for a flex or avoid ing this route. So, what are the prices for ENA that you're realizing currently and now that you have the expertise in the se ctor, would you like to expand more aggressively in the ENA segment?

Sameer Sinha : So, I presume you are talking about the grain based ENA. So, we have produced that, our quality has been approved, we are looking at opportunities at the current levels in both grain -based ENA and grain -based ethanol are giving us the same margins and we have the flexibility of switching to production of either of them to 50% of the capacity of this plant.

Nitin Awasthi: Okay sir, so any expansions in this direction?

Tarun Sawhney: I think we will look at it, the grain prices have yet to be announced as and when the OMCs announce the new revised grain prices, we will have a look at those prices as well and look at investment decisions but those have to first go to the Board. So, at this particular point, I will say there is nothing contemplating, the Board will have to evaluate these proposals first.

Nitin Awasthi: Got it sir. And just a clarification on your previous comment. So grain ENA prices and ethanol prices are the same in the state of UP?

Tarun Sawhney : No, not prices, margin.

Nitin Awasthi: Okay sir, could you quantify the prices please ?

Sameer Sinha : Well, it depends on a landed price of let's say for this on 18% GST although a large number of organizations are charging VAT at 5%. But if we are looking at 18% GST which we believe is the correct way of taxation going forward, the numbers are anywhere between ■ 62 to ■ 64 landed ex-factory for the consumers situated in UP and you can work it backw ards. And GST on this is 18%, ethanol is 5%.

Moderator: Thank you. The next question is from the line of Rajesh Majumdar from B&K Securities. Please go ahead.

Rajesh Majumdar: Hi sir, thanks for taking my question. I had a bookkeeping question. You have quantified the way the real figure is approximately ■ 5 crore. What is the impact of the levy molasses increase in the quarter in terms of one -time impact?

Suresh Taneja : Yes, that impact is in the region over ■ 5 crore to ■ 6 crore which is a 2% reservat ion of molasses. And as far as the wage arrears are concerned, let me clarify that most of the provision was made before in the financial year 2021-22. And as a result of the notification, incremental provision o f about ■ 5 crore was made in the quarter.

Rajesh Majumdar: And what is the impact going forward on annual basis of both the one -time, the wages as well as the levy mo

lasses, the annual impact?

Suresh Taneja : The wage is over. But that was a chapter now, now, it has become a part of the recurring cost basically, because this arrear was right from 2018 onwards. Now, as far as the res ervation of molasses is concerned, it keeps on changing every year. So, there would be a molasses policy for this year, which will define what the reservations are goin g to be.

Rajesh Majumdar: And the current is from 18% to 20% so what is the analyze d impact of this?

Tarun Sawhney: Incremental impact has a n impact of ■ 5 crore, if you want the total impact, we can give you the figure offline , on a comparative basis.

Rajesh Majumdar: Yes please. Because you would have to make provision for the last three quarters right ?

Tarun Sawhney: You don't make provisions for it , because you are selling it at that particular price.

Suresh Taneja : You don't need to make a provision depending upon what you have bifurcation between levy molasses and free molasses are. You value your stocks accordingly.

Rajesh Majumdar: Okay. Got it. It's more like an opportunity loss in terms of l ack of sales of ethanol .

Tarun Sawhney: Correct. That is exactly correct. That's the way that we treat it.

Rajesh Majumdar: Right sir. And my second question was, regarding the buyback, what is the timeframe propos al to buyback?

Tarun Sawhney: Timeframe is immediate. So, we will be going to our shareholders in the very near future . We're hoping to complete this entire arrangement by January.

Rajesh Majumdar: By January, so around three months, is that correct?

Tarun Sawhney: No, well, we're already sort of well into Nov ember . I would say, look at 10 weeks or so.

Rajesh Majumdar: On the balance fund, basically we still some amount of debt on our books to retire some debt or what do we do with the rest of the cash?

Tarun Sawhney: So you know, I mentioned earlier our cost of debt is 5.18%. It is quite low. In fact, our debt numbers are also declining quarter -on-quarter, any way that you would like to cut it, or evaluate it . We will not be using these proceeds to retire debt, per se . That's the answer to the question . And in terms of any other things to do with the funds. The Board will contemplate that in the future. And I'll get back to you once we've had that discussion at the Board level.

Moderator: Thank you. The next question is from the line of Anupam Goswami from B&K Securities . Please go ahead.

Anupam Goswami : I see your results for the half year , the average per liter in the Distillery segment is about 11.4. Now, with the prices going up in the ethanol , where do we see this? And the mix now is coming from grain as well as juice, where do we see this EBIT margin or EBIT per liter in the Distillery segment?

Sameer Sinha : So, let me take the second question first. The second part of it . Most of the increase in our results will be coming in from increase in grain ethanol. And if we find juice viable only , then we'll be doing juice. So, to that extent, it will pull down the EBIT numbers a little bit from what we are getting right now.

Anupam Goswami : So, to quantify it and right now in the first half is 11.4. Now if we mix more than grain , so it might come down to let's say 9.5 or 10 ?

Sameer Sinha : Well, first of all, I'm not too sure if these are the EBIT numbers, these would include the excise fees of IM IL on that.

Tarun Sawhney: But if you see grains j ust in a nutshell , grains was utilized in the offseason as we look forward to H2, the EBIT numbers will rise because we will be using B -heavy molasses . So, the EBIT numbers for the remainder of the year will be a t a higher percentage level, because there will be mo re B-heavy molasses used and no juice that was used in Q1 and limited amounts of grain.

Anupam Goswami : Sir, on a total financial year or s

ugar year , what would be our mix of B-heavy juice and grain ? What are we aiming at?

Tarun Sawhney: I'm afraid that is something that we look at opportunistically , because we have that ability. So it's very difficult for us to give you any forward -looking estimates of how we would split that up. Because we have the ability to be able to change between the different feed stocks. It is a very nimble change, a decision -making process that happens from time -to-time.

Anupam Goswami : Okay sir. And my last question is on the industry, we see that in a next year . This year, we are diverting about 4.5 million tonnes . And with the current acreage also increasing do you feel like 6 million tonne s that ISMA is projecting for the next season year diversion? Do we break that maybe 7 or 7.5 million tonne s diversion?

Tarun Sawhney: No, see for even 6 million ton nes diversion you need to have the distillery capacity in place. So, I think that as present ethanol prices from juice, you are not going to see the same amount of distillery capacity come up . You are going to see it come up from some of the larger players that is envis aged , but in terms of fresh incremental capacity to take us beyond 6 million tonnes . I don't see that happening unless we have a revision in ethanol prices. Even reaching 6 million tonne is going to be a challenge.

Anupam Goswami : Okay . And even if we rea ch 6 million tonne s diversion, what could be our blending percentage right now that given 10% . Whe re do we stand as if we divert 6 million tonne s.

Tarun Sawhney: So, you can do the math with 15 -16% what you would get, because you have some contribution coming from grain. You see previously, the Government had looked at 1,000 crore liter and said 6 million tonnes should come from sugarcane to meet the E20 number at 1,000 crore liter. However, E20 now is being looked at with 1,300 and 1,400 crore liters. My personal view on this is not just look at one year forward, but look at a few years forward , I believe that the sugar industry can easily divert 10 million ton nes of sugar towards the ethanol lending program. So, it is not just towards E20 , but it is beyond E20 as well. And this is a number, given the type of productivity levels that we have in the industry today that can easily be met. Now, there's two things to consider over here. The first thing of course is the willingness for the industry, which I think is very high. Of course, the discussion of prices still exists.

The second and vital element is that I am not talking about farm productivity levels . My fundamental view is that there is a lot of scope in the medium term to enhance sugarcane yields. Speaking just for Uttar Pradesh, there is tremendous possibility for work to be done and the fruits of that will come , it doesn't come in one year. It comes in a couple of years. But there's tremendous possibility to enhance farm yields. And that will lead to higher availability, which means that there is more surplus to be diverted towards ethanol as we go forward.

Anup am Goswami : And surplus is to be diverted, or I feel that your sugarcane juice ethanol process too has to be enhanced substantially again. Further enhancement is required?

Tarun Sawhney: That's what I sa id. I left the sugarcane price point aside , because it is the key point. The industry does believe and I do believe that the prices are low, and they will not attract additional investment at this price. Because it is not just about Triveni setting up distilleries, it's about the rest of the country setting up distilleries, because ethanol has to go far and wide across our nation. And it's important that we have other participants also in this mix.

Moderator: Thank you. The next question is from the line of Shailesh Kanani from Centrum Broking . Please go ahead.

Shailesh Kanani: Sir a couple of questions f

rom my side. One is outlook on domestic prices for the remainder of the year . You said that second quarter rates were disappointing and there has been some uptake , the uptake is by and large, because of f estive season and across the industry level volume inventory levels so low. So how do you see for the remainder of the year and for next year as well?

Tarun Sawhney: Yes, so if I look at the next 11 months, basically after the end of the sugar year, I actually am quite buoyant about these levels. And I will tell you exactly why. I think the Government has made its intention very clear that it is going to be evacuating the sugar. So, the first step was the announcement of the 6 million tonnes of export. The next thing I do believe is that in a timely manner, the Government will come up with other tranches for exports, ensuring that our closing balance is there about similar to what our opening b alance was. Given

that, at this particular point in time, I think that augurs very well for the industry and there was in the last quarter and even potentially, in the first half of this fiscal year, some amount of skepticism that will the Government actua lly ensure the evacuation of the sugar , now that that uncertainty to a large part has been cleared, I do believe that we will come to a slightly higher sugar pricing levels as we move forward. Now, with slightly higher , I mean t wo odd percent, broadly speaking . And this will definitely be better than the previous 12 months.

Shailesh Kanani: Okay. And so primarily, the rates were not higher because of the skepticism in the system per se, because that is a reason for the skepticism. Is that right ?

Tarun Sawhney: That is my explanation for Q2, that there was a certain amount of skepticism . There was a concern that will the policy get announced how will it be announced? What is the format that the Government will use last year, if you remember, it was O pen General License (OGL) . This year it is Maximum Admissible Export Quantity (MAEQ) . So, there were important questions that needs to be answered. I think the Government in a timely manner has taken care of those concerns and issues.

Shailesh Kanani: Okay . Second question is on the expansion front. Can you little bit elaborate the timeline of the 450 KLPD is it expected by first quarter FY 25 and the volume we can achieve in FY 25?

Tarun Sawhney : In terms of production, I think we have seen some stability i n metal price increases. So, these are good times in terms of placing orders, etc. And we are progressing with executing these projects during fiscal '24, towards the end of fiscal '24. And therefore, for 100% production to come to place it will be in the subsequent fiscal year, you are absolutely right in that observation.

In terms of total spirit production from 1,110 KLPD, on an annualized basis, it would be …

Sameer Sinha: We have already mentioned about FY 24, that we should be doing 21 crore litres from the existing assets, plus the assets coming onstream in the last quarter that could get added on to it. And therefore definitely in FY 25, we should be looking at 31 -32 crore liters.

Shailesh Kanani: Okay sir. Sir last question from my side. I believe promoters will be fully participating in the buyback of shares or it's a partial participation in the buyback ?

Suresh Taneja : That's right. Promoters will be participating.

Moderator: Thank you. The next question is from the line of Resham Jain f rom DSP Investment Managers . Please go ahead.

Resham Jain: So first of all, I think, congratulations to the management for doing this unlocking of stake sale from Triveni Turbine , and also doing buyback along with it. I think very few Indian companies hav e been able to unlock value like this. So, congratulations to the whole team. Sir, I have a couple of questions. First one is you mentioned in y

our opening remarks that the export realization has been much better right now and you have contracted also for the same . Is the margins for that relatively better than the ethanol business also? Or how should one think about it?

Tarun Sawhney: So Resham , let me firstly, thank you for your very complimentary words. To answer your question, yes. The profit margins on a percentage basis are certainly , why we are not disclosing what the contracted values are, whatever

we have contracted are at margins that are better than our distributors as well, of course.

Resham Jain: Okay . Got it . So, the second question is on th e gear business -- industrial gear business. So there, you have announced a CapEx in the last quarter , and which will get commissioned maybe in the next one year or so. So how should one think about this division , it did around ■ 200 odd crore of revenue . So let's say three years , four years out what kind of revenue one should look at from this specific investment , which you have done?

Tarun Sawhney: So Resham, there's two parts to that question. Let me take the second part first . Typically, we don't give forward looking guidance. So it's tough to say, but the business is performing very well. Our clients are very happy with us. The new business opportunities that we have approached are bearing immediate fruit in terms of order booking and revenue recogniti on. The ■ 80 crore Cap Ex that we have announced, will be executed in the very near future. It includes the establishment of a new facility in Mysore as well, plus a brand -new aftermarket service bay in our existing facility, which we will ensure that we wi ll be able to actually do aftermarket businesses, about 40% of our total business are very high margin . It will give us the opportunity to expand that business and also to increase the speed , which has a direct impact on the sale value of all aftermarket.

So, from that perspective, this CapEx will allow us to expand . It will allow us to meet our short and medium -term requirements. It will also allow us to create new business opportunities as this gets rolled out. As far as the business is concerned, I thin k we are looking at very healthy and respectable growth and that is evident in our order bookings, as it increases.

Moderator: The next question is from the line of the Nimis Sheth from GT Advisory . Please go ahead.

Nimis Sheth : Good afternoon, sir. Just a follow -up question on the ■ 460 crore CapEx , the two new distilleries. Basically, you have indicated that you have not yet placed the orders for the plant and machinery that you are in the process. So in that case, will the distilleries be up and runnin g in the next 12 months? In time for sugar season or ethanol season , 2023-24? Not looking at the 100% utilization, I am saying will they be up and running?

Tarun Sawhney: Yes. Let me just answer your question by giving you our past experience. The two distilleries that we had established was set up from the goal date in a period of nine to 10 months.

Nimis Sheth : Okay.

Tarun Sawhney: And so, we have those engineering capabilities. And plus, we are not reinventing a model . All of our plants are the sam e sort of cookie cut ter model. And so, from an engineering and design perspective and working with vendors, we are acutely aware of who we have to work with and what capabilities are. So I think, because we are not setting up something that is 3x the size, or 5x the size, or half the size, something that is odd in terms of engineering, both the internal team, our consultants, and potentially new vendors, because we will be looking far and wide in terms of who will be replacing these orders to those who will be able to execute on time. And I think because we've moved away from the vast amount of vacillation that we had in metal prices, people are offering more
r

ealistic delivery dates.

Nimis Sheth : Wonderful . Congratulation s. All the best for the c oming years. Thank you.

Moderator: Thank you. The next question is from the line of Kaustubh Pawaskar from Sharekhan by BNP Paribas . Please go ahead.

Kaustubh Pawaskar: Yeah. Good afternoon, sir. I just have one question. Sir do you see any probability of Government increasing the sugar Minimum Selling Price (MSP) in the coming months?

Tarun Sawhney: I would hope that they would. But the industry association has made continuous representations to increase the MSP. I don't know if it's on the cards to be perfectly honest. Frankly speaking, I think the industry has actually managed quite well with the existing MSP. Although we would want that backstop . We would want that price to increase. Whether it will or not, is still a very open question mark. But to have prices that prevail at higher levels than MSP is something that has been proven for the last 30 months.

Kaustubh Pawaskar: Okay. Got your point sir. Thanks. That was my only question.

Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to management for closing comments.

Tarun Sawhney: Ladies and gentlemen, thank you very much for joining us for Q2 fiscal '23 results for Triveni Engineering & Industries Limited. I look forward to speaking to you in approximately three months' time when we are about halfway through the course of this historic sugar season, where India produces the largest quantum of sugar and potentially Triveni produces the lar gest amount of sugar in our history.

It is an exciting time for our distillery business and it is an extremely exciting time for our engineering businesses as well as we come up towards Q3 and Q4. And the future does look very bright. So, thank you very m uch. I look forward to speaking to in January. Goodbye.

Moderator: Thank you. On behalf of Triveni Engineering that concludes this conference . Thank you for joining us .

Call: Feb 2023

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Triveni Engineering & Industries Limited
Q3 & 9M FY 23 Earnings Conference Call Transcript
January 25, 2023

Rishab Barar: Good day everyone and a warm welcome to all of you participating in the Triveni Engineering & Industries Limited ’s Q3 and 9M FY 23 Earnings Conference Call.
We have with us today, Mr. Tarun Sawhney, Vice Chairman and Managing Director; Mr. Suresh Taneja, Group CFO; Mr. Sameer Sinha, CEO Sugar Business Group; as well as other members of the senior management t eam.
Before we begin, I would like to mention that some statements made in today's discussion may be forward -looking in nature and a statement to this effect has been included in the invite which was sent to everybody earlier. I would also like to emphasiz e that while this call is open to all invitees, it may not be broadcasted or reproduced in any form or manner. We will start this call with opening remarks from the management following an interactive question -and-answer session.
I will now request Mr. Tar un Sawhney to open the call. Over to you, sir.
Tarun Sawhney: Thank you, Rishab. Good afternoon, ladies and gentlemen, and welcome to the Q3 and 9M FY 23 earnings conference call for Triveni Engineering & Industries Limited. The overall performance of the Company for the nine months ended December 31, 2022 has definitely been satisfactory.
The key highlights , I would like to discuss that before we get into the business -wise details are the following : The sugarcane crushed for Q3 FY 23 is 3.12 million tonnes, which is an increase of 25.3% over the corresponding period of the previous year, and this is a result of the CapEx that was spent on modernization and debottlenecking at three of the factories of th e group.
The net recovery stood at 9.38% after the diversion of B -heavy molasses with 92%

crush with B -heavy molasses during the quarter. The lower recoveries which I will discuss later are mainly due to the heavy late rains . We are expecting to narrow this gap in the balance part of the season as our sampling data suggests that the plant cane which will start coming to the factories in the next couple of weeks is showing great promise.
The Company has achieved sugar exports of 135,000 tonnes, which incl udes the sale of quota of 73,000 tonnes during Q3 FY 23. And this is, of course, out of total quota of approximately 205,000 tonnes. All of this has been attributed to remunerative prices.

The increase in net distillery turnover by 61% in the nine months has been driven by additional capacities that were commissioned during the course of the year, and this leads to sales volume increase of just under 40% coupled with 8% approximate improvement in realizations. There has been a robust increase in th e turnover of both the Power transmission and Water business growing by 29% and 41% approximately year -on-year for the nine months. The outstanding order book for our engineering business es stood at ■ 1,766 crore .
Yesterday, the Board of Directors at our Board Meeting approved a CapEx of ■ 90 crore for the Sugar business and ■ 100 crore for the Power Transmission business. The proposed CapEx of ■ 90 crore towards our Sugar business is for a process change at Milak Narayanpur towards refined sugar and modernization, debottlenecking, and most importantly, efficiency improvements at various sugar units which will lead to substantial cost optimization and the reduction in our cost of productio n.
The proposed CapEx of ■ 100 crore in our Power Transmission business is towards a brand new bay that will be set up with complete equipment for a new gear shaft. This will be at our existing facility at Metagalli in Mysore and it will also include machinery towards our Defe nce business project and plant, which is a separate facility that will be set up over the next 12 months as well. For the Power Transmission busi

ness, this will lead to an enhancement in terms of total capacity
from a base of approximately ■ 250 crore to ■ 400 crore . (Note: corrected to 250 as it was mentioned erroneously on the call as 450).
I would like to also spend a few minutes discussing the financial highlights for the nine months of FY 23. Profit before tax before exceptional items increased by 7.4% in the quarter. The profitability in the Sugar business is lower as the cost of sugar sold pertaining to the previous season includes the impact of sugarcane price, which was increased for Sugar Season 2021 -2022 and led to a higher cost of production, when compared to the previous corresponding quarter. Further, for the nine months FY 22, these numbers also include an export subsidy of ■ 57 crore related to the previous period.
The higher profitability of the engineering business is due to strong revenue growth of 45.8% and 35.8% during the current quarter and nine-month period compared to the previous corresponding period.
The total debt of the Company stood at ■ 389 crore on a standalone basis versus ■ 525 crore on the 31st of December 2021. The standalone debt comprises of term loans of ■ 335 odd crore , almost all these loans are with interest subventio n or at subsidized rates of interest. On a consolidated basis, the total debt is ■ 480 crore compared to ■ 592 crore for the previous period. The average cost of funds on the 31st of December stood at 4.75% versus 4.15% in the corresponding peri od of the previous year. The Company at this point in time is holding surplus funds through short -term fixed deposits of ■ 1,278 crore . Our proposed buyback of ■ 800 crore is presently under approvals. The stake sale in Triveni Turbine Limit ed has infused substantial funds in the Company , which, even after the proposed buyback, will meet the expansion requirements of the businesses and reduce finance costs on working capital requirements.
I would like to give a brief update on the b uyback, the Company has obtained approvals from shareholders, the draft letter of offer has been filed with SEBI and final observation letter is awaited.

Turning towards the financial highlights, again, I would like to point out that for the quarte r, the revenues from operations for the Company grew by 34% to ■ 1,659 crore , and the EBITDA margin stood at 16% a t ■ 230 crore and the PAT was a shade above ■ 147 crore .
I would like to now spend a few minutes discussing the vari ous businesses in a little more detail. Starting with the Sugar business, our realisations during the

quarter were ■ 3,611 per quintal for domestic sales and our export realisation was a considerable premium at ■ 4,041 per quintal for the same peri od. The current sugar prices as of the 24th of January at our factories, for refined sugar, it's approximately ■ 3,560 per quintal; and for sulphitation, it's about ■ 3,450 per quintal.

Sugar inventory on the 31st of December was just under 24 la kh quintals valued at ■ 34.4 per ki lo (kg) . Co-generation operations have achieved external sales of ■ 36.5 crore for the nine months against ■ 33 crore , an increase of 10%.

I would like to mention that our domestic realisation price for this quarter is, as I mentioned, ■ 3,611, which is a 1% reduction versus the corresponding period of the previous year. Now, this to me, frankly speaking seems a little bit of an anomaly, because if we look at the stock position, especially on a month -on-month basis, to have prices at the same level , marginally lower than the previous corresponding period is a little bit of an anomaly. The expectation for the remainder of this year is that prices will gradually increase to a more healthie r level.

From an industry perspective, the country as of the 15th of January has produced 15.68 million tonnes, which is an increase of 4% when compared to the previous year. 515 mills are crushing versus 507

mills at the same point last year. And Uttar Pradesh has produced 1% more sugar, at 4.07 million tonnes at this particular point in time, which is in line with our project ions.

According to our estimates (Triveni) , we are anticipating net sugar production into the season 2022 -2023 of 35 million metric tonnes, and this is lower than we previously announced estimate s as well as street estimates, which were approximately 36 odd million tonnes.

We still believe that this is a very healthy amount of productio n, and with 6 million tonnes of exports that have been announced, there is a possibility of a second tranche of a maximum of probably about 1 million tonnes that can be considered by the Government and our hope is that the Government does consider an additional tranche very soon of 1 million tonnes of sugar , as the window to truly export sugar from India will end with the sugar season and that is approximately the point in time when Brazilian sugar, et c. will also be in gl obal markets.

Turning to the international markets based on reports, the forecast is that sugar season 2022 -2023 is a surplus of 3 million tonnes of sugar and this is primarily due to substantially larger crop in Cent re South Brazil as well as an increa se in Thailand.

The global sugar prices have also softened very recently, but it has been fluctuating for quite some time and very substantial and improved pricing in global market. So, today, after touching highs of over 21.18 cents in Decembe r 2022, New York #11 futures are now trading at about 19.82 cents. London White #5 contract was trading at $551 per tonne, down from the recent highs of about $580 per tonne in December 2022.

So we are sort of hovering around recent highs, which is quite encouraging, and which leads me to the point that if India were to export another 1 million tonnes of sugar, the timing is very appropriate right now. The world market will certainly absorb that sugar and Indian mills will receive remunerative pricing.

Turning towards our alcohol business, we have had an 87% increase in production for the quarter under review. The same quarter has had an increase in average realisation of ■ 2.5, which stood at ■ 56.6 per litre. Additional capacities have been commissioned in the nine months, which has resulted in the increased sales volume and the aggregate distillation capacity now stands at 660 kilo litres per day (KLPD) .

The profitability margins have been somewhat impacted by increased transfer pri ce of B-heavy molasses. And, as you will note, we adjust the transfer price to be more relevant with the market prices from time to time. The sale of ethanol produced from grain accounted for 33% and 20% of total sales volume in the current quarter and nin e month period correspondingly.

The ethanol produced from B -heavy molasses constitutes 57% and 72% of sales volume in the current quarter and nine month period against 88% and 80% in the corresponding periods of the previous year.

From a domestic industry perspective, of the 470.5 crore litres that's been finalized by OMCs against the total requirement of 600 crore litres, contracts for just under 460 crore litres have been executed till January 1, 2023. Against the above, 38 crore litres have been lifted b y OMCs by January 1 to the average blending is 10.43%. The target of course as we all know for the nation for this year is 12%

blending.

The total contracted quantity from sugarcane juice and B -heavy molasses is 133 crore litres and 204 crore litres respec tively till January 1, 2023. 5.8 crore litres in the contracted quantity towards C -heavy molasses, 18.7 crore litres from damaged food grains and 97 crore litres from surplus rice. Therefore, the sugarcane -based feedstock continues to be the dominant contributor towards the ethanol blending programme.

And my view on this is fairly clear, that as we go forward and approach levels of EBP20, the sugarcane sector should continue to play a disproportionately high role in terms of the Government EBP programme. And we definitely need that to be accounted for in Government policy. And I am alluding directly towards the pricing of ethanol that is made from juice, because I think it is the most reliable source for ethanol and for the EBP programme, as we move towards the 1,000 -crore mark and beyond.

Turning quickly to the Engineering Businesses, I'd like to start with our Power Transmission business, which has seen revenue increases in the quarter of 71% to ■ 60.5 cro re, and a PBIT improvement of 91.5% to shade abo ve ■ 21 crore . The closing order book is 23% higher at ■ 262.75 crore . For the nine months, the order booking grew at 10% for the same period. And I will, of course, be happy to discuss the changes in the CapEx of the Power transmission business during the remainder of this call.

Turning quickly to the Water business. There’s been a 34.4% improvement in revenues in the quarter to ■ 104 approximate crore and the closing order book is a

shade above ■ 1,500 crore , broadly in line with what it was in the previous corresponding period. The above results are based on the consolidated perspective including our wholly -owned SPVs.

The orders that have been achieved in the Water business for t he nine month period stands at just above ■ 190 crore , excluding O&M orde rs. The Company is expecting robust order booking in the coming quarte rs And we are anticipating several important orders to be concluded within Q4 FY 23 .

I would like to spend just a few minutes talking about the outlook of the various businesses. As far as the Sugar business is concerned, as a result of the debottlenecking and modernization carried out top three factories are crushed is expected to be significantly higher this year. We are still maintaining as we did on our last call before the sugar season or just about when the sugar season had started that we will have a higher crush of between 9% and 10% this year. Of course, with the C apEx that have been planned, we propose that we will have a higher crush in the next season and even higher crush compared to this year as well.

The current ongoing season, there is a declining trend of recoveries across the State of Uttar Pradesh for the ratoon crop , and this is due mainly to the rains during the grand growth periods and thereafter , in late October. However, we have had fantastic conducive weather and it is expected that there will be a catch up for the balance part of the season with t he plant crop coming to the factories. Our test data from our labs indicates very positive results for the plant crop, which we anticipate coming to our plant , with the start expected in the next week or 10 days up to 2 weeks, depending on each plant.

Considering the crush and recovery expectations, we expect higher production for the year. And with 60% of our total sugar being refined sugar and the doubling of the pharmaceutical grade production plant. This would all boost realizations and profitability in the coming quarte rs. The plant at Deoband, which was converted into a refinery is operating brilliantly, and the sales of that refined sugar will be reflected in Q4 and beyond, a very small quantum was reflected in Q3.

On the policy front, we believe this is the most appropriate time for the Government before the budget to consider during the budget, an increase in the MSP of sugar plant to offset the impact of costs and cane prices, et c. As I mentioned, the Board is also approved ■ 90 crore CapEx to further modernize, debottleneck the plants and for efficiency improvements across the various facilities.

I would like to also mention that the recoveries for this year and last year are not directly comparable because last year, our l argest factory at Khatauli, ran on C -heavy molasses. And therefore there was a higher recovery , versus this year in our factor ies, six out of the seven plants have run on B -heavy molasses, the quantums are different as I mentioned earlier.

Turning to the outlook of our alcohol business, we have a capacity of 660 KLPD and a planned increase up to 1,110 KLPD with two more distilleries both of the new ones being dual feed. We believe that that is the modus operandi fo r sugar mills, but that should be adopted giving you ultimate flexibility in terms of looking at the bottom line, and the availability of different feed stocks for the distilleries.

We are encouraged by the recent increase in ethanol prices. However, there is an urgent need for the Government to improve the pricing of ethanol produced from

juice. It is our understanding that the Government is considering this as well as an improvement in ethanol prices from grains. As far as Triveni is concerned, we have 260 KLPD of ours that can operate on grain o f the 660 KLPD. And so therefore, we do have a great deal of flexibility of being able to take advantage of the relative increases in prices as and when they happen.

Looking at the Power Transmission bus iness, the outlook for the domestic product segment within high speed gears is extremely promising as industrial CapEx in sectors like cement, energy, distillery, steel is growing and have been supported by policies and robust economic growth. And we are very encouraged by the increasing demand from these secto rs.

I would like to mention that following the expiration of the high -speed license agreement with Lufkin Gears LLC, which happened just a few weeks ago in January 2023 , the Company will pursue the high -speed high -power segment independently, and it is confident and I am confident of enhancing our market share in identified target markets, which includes global markets.

In the aftermarket business, the Company is focused on exp anding its addressable market and market share looking both at domestic and identified target markets.

The Government 's 'Make in India' initiative has led to new opportunities for diverse engineering products and the Power transmission business is actively participating in many of these indigenous projects.

In the Defence segment, the business expects strong orders, in areas such as propulsion shafting and many othe rs. We believe that there is long -term growth in the segment combined with the machining infrastructure that is likely to show growth over the coming yea rs.

Furthermore, the LM2500 package indigenization, the agreement that we have with GEAE is expected to grow and to result in positive and good revenues for this particular segment. With a CapEx of ■ 100 crore , which is split as 66% for gears and 33% for the defence business that will allow the business to really meet the accelerated order booking that is anticipated over the ne xt few quarte rs.

For the Water business outlook, the Company is expecting a fantastic order booking hopefully in this quarter and the next quarter, with many projects coming under conclusion. We are expanding our activities in ov erseas markets as I mentioned earlier. And there are certain tenders in international markets which will also be concluded during the first half of this calendar year. And there are many attractive states such as Karnataka, Uttar Pradesh, Pu njab, Delhi, Telangana and Maharashtra, where the Company is working aggressively on securing projects.

The overall output for EPC and HAM projects, which is driven by large investments for the Government , both at the state and central lev el is extremely positive, and we hope for some positive news on that front as well.

Thank you very much, ladies and gentlemen. With that I'd like to conclude my opening remarks and open up the floor for questions.

Moderator : Thank you very much. We will no w begin the question -and-answer session. The first questio

n is from the line of Sanjay Manyal from ICICI Securities. Please go ahead .

Sanjay Manyal: I wonder if you can give a range for the gross recovery decline till the December and till date? And what is your expectation for the full season?

Sameer Sinha : So, the gross recovery declined till 31st December was about 0.39 units. As we stand today, we are around 0.34 -0.35 units down, and we believe that will be very close to last yea r's figures. We may not touch it, but generally a t a touching distance.

Sanjay Manyal: So, you are expecting there would not be much decline on a full season .

Sameer Sinha : There will be a decline, but not significant. Let me just add to it and this is predicated on the plant cane performance, which is yet to come which will come in February it may even turn out to be better than what we are seeing at our labs, right now.

Sanjay Manyal: Sure. Just one more thing on the accounting purpose, where have you accounted for this ■ 29 crore profit book ed from the quota s ale?
Suresh Taneja : It is appearing as a part of the revenue.
Sanjay Manyal: Is this not the part of other income ?
Suresh Taneja : No. It’s not the part of other income.
Sanjay Manyal: Okay. And just one last thing on the alcohol side, I think, you are still selling some 10% around ethanol from C -heavy, given the fact that it is not t hat remunerative, why you are still selling the C -heavy?
Sameer Sinha : We are not selling from 10% of ethanol from C -heavy. It is largely Extra Neutral Alcohol (ENA), which is for our in -house consumption for Indian Made Indian Liquor (IMIL) business as well as a little bit of grain ENA.
Sanjay Manyal : Okay. Perfect. And just lastly, if you can just elaborate on the engineering business from a 2 to 3 year perspective, what is the vision for this business, given the fact that you are taking a substantial CapEx? What do you think , how the revenue s for the gears as well as the defen ce business can pan out in next 2 to 3 years?
Tarun Sawhney : So you have seen the growth in order booking across the Power Transmission business. And I've always given this as a combined number, which includes gears and defence. And we are anticipating that on the defence side, certainly there are a lot of projects that are nearing conclusion. So growth has been very good this year, it will fructify into revenue. And, therefore, that business requires an indepe ndent facility for the manufacture all of these varying products , that's part of the CapEx. The other portion of the CapEx that has been announced is for a brand new facility at the same complex in Mysore, because we will be touching full capacities at some point during the course of the next fiscal year. And so we need to set up a brand new facility, because we're seeing this business growing. We're anticipating larger quantums of business, both from OEM (Original Equipment Manufacturer) and aftermar ket sales, and therefore, there is a requirement for newer capacity addition.
Now, in terms of a 2 to 3 year perspective, I think the growth that is anticipated across both these businesses of Power Transmission is extremely robust. We're

looking at not j ust the domestic market contributing towards it, but also select international markets and the signs of that are already flowing in, in terms of enhancement of order booking from key custom ers. So, I typically don't give you numbers in terms of wha t our anticipation is, but we've been growing as good rates, I expect those excellent double -digit rates of growth to continue.
Sanjay Manyal : Sure. Thank you very much for all the answe rs.
Moderator : Thank you. The next question is from the line of Yash Agarwal from JM Financial. Please go ahead.
Yash Agarwal : Congrats on the good set of numbe rs. Mostly, what is our distillery capacity at the moment in terms of litres? Annually , how many litres can

we do? And going forward, what are our plans to enhance this capacity f urther and what amount of litres would that get us towards it?
Tarun Sawhney : Right. Okay. So we have enhanced our capacities very recently, there's been one distillery that was commissioned in April of 2022, a second distillery that was commissioned in June - July of 2022, taking our total capacity up to 660 kilo litres per day across the four distilleries. This year, as we have projected, we will be producing about 18 crore litres of alcohol. On a steady state, the 660 KLPD, which will be next year, FY 24 will produce just a shade about 21 crore litres of alcohol. The Board has also announced a further addition of two distilleries of 225 KLPD each, which will be commissioned in Q4 of the next fiscal year. Those distilleries when they are running at full capacity, we take our total production above 31 crore litres.
Yash Agarwal: Okay, sure. That's helpful. Secondly, this question again on sugar prices. You mentioned that you expect sugar prices domestically to move up as the season progresses. On that coun t, what is the probability of further cut in production numbers from 35 million tonnes, because I think we started at 36 .5-37, now we are down to 35. So is there any further probability that the domestic production could be lower? First questi on is that.
And second question, obviously is, supposing the Government does not allow further exports beyond 6 million tonne s. Would that pressurize prices or subdued the momentum in terms of prices in any way?
Tarun Sawhney : So, my interpretation of this is that the markets at this particular point in time have taken a view that the Government will have no further exports. And, therefore, if there are exports that happen, it will certainly boost domestic sugar prices, number

one. That 's an important point to consider. So, I don 't see any downside from a perspective of if the Governm ent does not announce another million tonnes of exports. It will have a dampening effect. In fact, it's quite the opposite. I think it's already been factored in, if there is exports, it will boost domestic prices. Number one.

Number two, further downsi de revisio n, of course, anything can happen, because we are dealing with agricultural products. And, last year, the most significant impact on the plant crop was unseasonably high temperatures in the month of March. Now today, as we st and at the end of January, we are still 35 -40 days away from March. So meteorological data, which is far more accurate , suggests that we will have normal temperatures as we go through the rest of the season.

Now in case that rem ains so, I believe that they will not be any great vacillation from the numbers that we project from the country out of Triveni estimates of 35 million tonnes of production after a diversion to wards ethanol. However, there is any possibility. I don't think, there is a great possibility of the production, the ne t number being higher than 35 million tonnes .

Yash Agarwal : Okay. Got it. First, I want to know, what is the diversion to ethanol that we have considered in the current sugar season? And what could possibly be the diversion in the next season once more capacities come along in the country?

Tarun Sawhney : So the diversion this year we have taken it as 4.5 mil lion tonnes. There is a little bit of work that is requi red to touch 4.5 million tonnes. And my hope is that with the subsequent tenders and the Government being so proactive in terms of facilitating with 12% lending for this year that we will see more diversion of sugar as the season conclud es by the end of May. That's number one.

As far as next year is concerned, I think, it really depends on the capacity addition that takes place. Now the capacities, frankly speaking, new capacity addition from sugar factories to process juice h as waned. So the sugar indust

ry investing into large distilleries that is not projected to increase by any dramatic amount between now and the next year. And, as a result, I don't see that increasing, although, I do believe that we need higher prices of et hanol based on cane juice, and then we will very quickly see more investments happening. So there are a few isolated distilleries, Triveni has two coming up, a few other groups that have a few coming up. But nothing substantial, but I do believe the Government is looking at this and my hope is that that policy will change and they will allow the sugar industry to divert more juice taking it up to at least 6 million tonnes of diversion and beyond over the coming yea rs. My personal view is that the sugar industry should be able to divert all of 8 million tonnes of sugar towards the ethanol blending programme. And that should be a more sustainable model over the medium to long term basis.

Yash Agarwal: Good. Got it. Also, last question fr om my end. What approvals are required for the buyback to go through?

Suresh Taneja : Major thing was the shareholders' approval, which we have already received. And we have given all the draft advertisements, et c. And the draft letter of offer has been filed with SEBI, and we are awaiting the final observation, which is expected soon.

Yash Agarwal : Okay. It's an open market route? Or is it a tender, the buyback?

Suresh Taneja : It is a tender on proportionate basis .

Yash Agarwal : Okay. Thank you so much for answering all my questions.

Moderator : Thank you. The next question is from the line of Anupam Goswami from BOB Capital Markets. Please go ahead.

Anupam Goswami : Hi, sir. I want to know what is our ethanol mix target this year and going forward?

Sameer Sinha : So, this year, we have already done the numbers, which are already with you in terms of 90% being the total ethanol and 10% being ENA. Of that, 57% is from B - heavy and 33% is from grains. This is for the Q3 numbe rs. Now for the total alcohol, which we will be dispatching in FY 23, I think, the number will be from B - heavy will be about 74% to 75%, and grain will be about 25% to 26%.

Anupam Goswami : Okay. So our endeavour would be more towards producing B -heav y till the max we can, right?

Tarun Sawhney : Absolutely. Correct. A s I mentioned in my concluding remarks, the crush increase that is happening of 9% to 10% this year gives substantially improved feedstock for the distilleries. An d the fact that now – we are looking at more optimization next year means that we will have more feedstock, more B -heavy molasses that will be available for the distilleries for the following year as well.

Anupam Goswami : Okay. And this recovery s cenario, which caused due to the late rain s, I was under the impression, why haven't the price moved in UP then, if the whole UP had a lower recovery, and how chances are good that for additional export quota will come?

Tarun Sawhney : So, I think, I j ust answered part of that question just a few minutes ago. The movement in sugar prices or rather the stagnation in movement of sugar prices is a bit of an anomaly . There is no reason given the balance sheet position as of even today, tha t the sugar prices should be at the level s that they are.

My view is that the market is estimating what the production numbers will be. We are happy to give our Triveni estimates in terms of production today and the association m eetings are happening early next week, where there will be more announcement of the production for the nation as a whole. And I think all of that once it gets absorbed wil l reflect into some positive movement in sugar prices.

Anupam Goswami : But according to you, do we need another 3 million tonnes of export to keep the stock as well as the prices steady for the mill ers to have at least in margins on this?

Tarun Sawhney : No, absolutely not. If I run through the qui

ck balance sheet numbers if you have just under 26 million tonnes of consumption in the country. So, let’s say, 27.5 to 27.7 million tonnes and you have 35 million tonnes of production with 6 million tonnes of exports, with another 1 million tonnes of exports it’s pretty much maintained the opening balance as the closing balance for sugar season 2022 - 2023. So there's not that much export that is required. And I think the Government is judicious in this perspective and is watching what the total production nu mbers are. My hope, of course, is that with these estimates coming up, the Government will quickly announce 1 million tons of exports.

However, my personal view is that the market, the trade has factored in no more exports. And so, therefore, I do not see any downside to sugar prices, frankly speaking, I only see some upside.

Anupam Goswami : Okay. Some upside will obviously cause when the sales and demand supply again, more of a demand and less of a supply it comes. Otherwise it stays more or l ess at this level, the prices.

Tarun Sawhney : No, that's not what I said.

Anupam Goswami : Okay, because if there is no export, there would be, again, no pressure on the supply. So the prices c ould be at a gross level, basically.

Tarun Sawhney : You see prices, of course, move from time to time. There's a quota that is announced by the Central Government on a month -to-month basis. It has an impact on pricing. The variables that actually result in market price are fairly substantial, it is not simply a demand and supply equation, because it's a controlled

commodity, there are various elements. I wouldn't agree with you that the prices will remain stable at this level. I think there is huge opportunit y and other mechanisms to allow for price enhancements to happen. The majority of those rest with the Central Government and D FPD (Department of Food & Public Distribution).

Anupam Goswami : Okay. So even though we have had a good export realiz ation, what is our cost of production, because I'm trying to gauge like what caused the margin to decline like this?

Suresh Taneja : If you're able to get almost the same recovery as last year, I think, the cost of production would also remain at the same level. The cost of production as of 31st December is not very relevant, because as of now, the recoveries are little less. And going forward in the season, the recoveries will further improve. So, therefore, you would get the benefit as the re coveries improve.

Anupam Goswami : Okay. So still 31st December since the inventory has now valued at ■ 34.4, can we take it similar to this level ■ 34.4?

Tarun Sawhney: No, that's not what we said. We said that with the rest of the season, the recoveries will improve. The cost of productions will come down. And if we achieved the same recove ries as last year, and with higher crushes despite some small increases in other costs, input costs, et c., we will still maintain the average cost of pro duction as last year.

Suresh Taneja: Just to give you an example, 31st March 2022, our cos t of production was ■ 32.7. So when the recoveries converging now, I think, one should move towards that figure.

Anupam Goswami : Okay. I got it. Thank you so much.

Moderator : Thank you. The next question is from the line of Shailesh K anani from Centrum Broking. Please go ahead.

Shailesh Kanani: Thanks for the opportunity and congratulations on a good set of execution. My couple of questions were on the PTB division, what would be the capital employed

as on third quarter in this di vision?
Suresh Taneja: ■ 141 crore .
Shailesh Kanani : ■ 141 crore . Okay, sir. And if my understanding is right, we are spending roughly around ■ 180 crore more in this division, considering our earl ier announcement and the announcement in this quarter? So, broadly, given the asset turns what we have, which is, say, in the range of

1.5. We are expecting very good growth in this division. Is that understanding, right?
Tarun Sawhney : That understanding is correct. I would also urge you to consider that the CapEx that has been incurred the total amount that you have mentioned is pretty much split 2 :1, so 66% of it is for growth of the traditional gears business, and the balance is for the new facility that has been set up for defence production. That the latter is re quired as a discrete independent facility for all the defence products, the orders that we have won as a company and we will you continue to win over the next few quarters and we anticipate excellent growth on that front.

As far as the tradition al gears business is concerned with a focus of expansion in certain areas, especially a dual -prong strategy of OEM growth and service and aftermarket revenue growth , we do need further capacity additions, and the growth rates that you have assumed are v ery much in line with what we expect and what we are already seeing in terms of enhanced order booking levels.
Shailesh Kanani : Okay. Sir, to just summarize what you said, so out of this ■ 180 crore , ■ 120 crore is going towards capacity expansion and one -third is a little bit longer gestation or expected, right? So that understanding is right?
Tarun Sawhney : Broadly… Absolutely, that is correct.
Shailesh Kanani: What I'm trying to understand is that, I'm expecting around 30 -35% jump in this business. So just wanted to know where the other inflows are expected to come from apart fro m private CapEx, any other monitorables for us to look out for the next couple of years in this division?
Tarun Sawhney: It’s defence. There’s private CapEx, there’s public CapEx and there’s defence. There are three. And I'm not going to comment on the gr owth rates that you're expecting. But what I will say is that we're expecting very reasonable growth across both the traditional gear segment and the defence segment. The boost in terms of order booking, the very large quantums, of course, will come from t he defence side, but that will have a longer gestation period that will be over a larger number of years.
On the traditional gear side, it is expected with shorter duration as is always, that is the nature of the business. I do want to mention this gr owth will not be at a consequence of profitability. We are very proud of the margins that the business has maintai ned over the last 15 -20 quarters of over approximately 35% EBITDA margins and over 30% PB T margins. Broadly brushstrokes I'm giving you fo r the last number of quarters, and the growth will certainly not be at a consequence of that. So we are looking at pr ofitable growth as it happens.
Shailesh Kanani : Okay. Thanks so much, sir. Very useful. So coming to the water division, there has been some margin pressure in nine months, any views on that, any particular reason for that? We’re facing margin p ressures on water division?
Tarun Sawhney : I mentioned this in my opening remarks, I would encourage you not to look at nine month numbers and to wait for the next quarter and look at the annual numbers, because a lot of this is based on execution and recognition of revenues, et c. and that is lumpy , the business is lumpy , the recognition is lumpy and so , point in time to look at the margin s will not do justice to that business and it's unfair to that business.
I do believe that it is a challenging business, but we have got excellent margins, especially when we compare ourselves to our peers in the g roup certainly in the in the top echelon, and I believe that that this business is growing profitably and growing we ll, and you will see a reflection of that when you review our full year results.
Shailesh Kanani: Okay.
Moderator: Thank You. The next question is from the line of Lokesh Maru from Nippon India Mutual Fund. Please go ahead .

Lokes

h Maru : Yes, thank you. Just wanted a sense on what you're exp ecting on or what you're hearing on State Advised Price (SAP) price hike expectations front, basically given that this year is on the pre -election one. So from the current sugar season and the next one, if you can provide any clue on that?

Tarun Sawhney : So, Lokesh, this is not the pre -election year, in fact, next year is the pre -election year. And we are halfway through the course of this yea r, there have been press articles, your news is as fresh as mine. But my perspective is that there is really no reason for any increase to happen this year, even if it is from a political perspective , from an economic perspective, I don't think there is any reason. The real improvement to farm incomes has happened as a consequence of yield, and farm incomes have done very well. I think it is very clear to me that if there were any increase in SAP this year, it will lead to substantial cane ar rears. And that is something that the Government definitely wants to avoid. It has done extremely well thus far to ensure that cane price payments have been better than ever before . So even at this particular point in time, I don't think that position is something that the Government wants to tinker with. My view would be that there will be no increase in SAP this year. And I would certainly argue, and then put forward our perspective to the Gover nment for next year to see where sugar prices are, and give our views in terms of what the pricing should be for the following year.

Lokesh Maru : Understood. Thank you.

Moderator : Thank you. The next question is from the line of Nikhil Jain from Galaxy International. Please go ahead.

Nikhil Jain: Just two questions. On the Water business side, what do we anticipate as o ur sustainable EBITDA margin on a long -term basis? What is it that we can actually achieve? And the second is that the business, the engineering business and the Water business, so they are, let's say, distinctly different from the Sugar business. So, do management have any thoughts or any plans to demerge that at some point of time, let's say, it's now ■ 500 odd crore business plus, right?

Tarun Sawhney : You’ve asked a very pertinent question. Let me answer the first one. On a long -term sustainable basis, we're certainly looking at EBITDA margins north of 10%, or double -digit PBIT margins is, what i s the expectation of this business. Of course, there is lumpiness order value changes, its execution changes, etc. But over a long-term basis, that is the expectation at a sustainable level and a much larger level of revenues from wher e we are today. Point one.

The second point is in terms of the disparate nature of businesses that you've commented on . The Board at this point in time has not evaluated any form of demerger . As and when it does, we will inform th e stock exchanges, happy to come back to you to discuss it further. But at this particular point in time, the businesses are all under the umbrella of Triveni Engineering.

Nikhil Jain: Sure. Thank you. Thanks a lot.

Moderator : Thank you. The next question is from the line of Rajesh Majumdar from B&K Securities. Please go ahead.

Rajesh Majumdar: I had a couple of questions, one specific to the Company and one at a macro level. So, again, on the sugar number, I SMA started off with a figure of 40.5 million tonnes (gross or pre-diversion) as on December, and now we're hearing figures like 38.5- 39, where it will go. And it seems that this production loss is going to be

coming from Maharashtra, Karnataka mostly, is that a correct assumption? Because most of the UP mills are thinking the recoveries will be higher in the fourth quarter, and production will be slightly higher than last year. Is that a correct assumption?

Tarun Sawhney : So broadly speaking, I think t he most significantly lower production numbers are ce

rtainly coming from Maharashtra. I'm hearing one or two mills have already shut down, and more and more will start. So the reduction is c oming there. Now as far as the ISMA estimates are concerned, I think earlier they were broadly our own Triveni estimates were very much in line, where we had 4.5 million tonnes of diversion, coming to about 36 million tonnes of sugar production. We've now reduced that number to 35 million tonnes, as w e believe that the numbers coming from Maharashtra, a little bit from Karnataka will be lower to the majority of this. Uttar Pradesh should be broadly in line with what is last year some companies higher, some companies lower.

Rajesh Majumda r: So effectively same as last year?

Tarun Sawhney : Correct. Your second question?

Rajesh Majumdar : Okay. My second question was a larger question on the E20. If you could give me some colour on the way the supply side is gearing up, because we are hearing by April 2023, there'll be E20 in the pumps. So how is it going to be like, is it going to be like a separate dispenser like we see abroad or is going to be the pumps changing over to E20, the latter is not possible given that the old cars are not likely

to run on E2 0. So some colour on the supply side, because I know how the auto
companies are gearing up. But on the supply side, how will the pumps gear up to
sell E20?
Tarun Sawhney : So, well, I can answer both, even though you've aske d me only on the supply side.
On the supply side, from the press announcements for MoPNG, it is going to be on
a pilot basis in certain cities across the country. And I think that is going to basicall y
look at certain distribution points, certain petrol pumps that have the facility to
bifurcate E20 from E10, and offer that optionality to custome rs. We don't know as
yet what the pricing of E20 will be, very frankly speaking. So will it be at the same
price or will it be at a potential discount is still something that is to be discovered.
That's point one.
The second point that I would like to make is that most four wheele rs, from a
metallurgical perspective have engines that can meet high levels of ethanol
blending. So they don't really have any performance related issues. It is the two -
wheelers that have the bulk of the problems of historic v ehicles. But going forward
from 1st of April, there is no problem for any new vehicle in the country. And so this
announcement strategically matches with the automobile manufacturers having
E20 vehicles being sold to the public. I do believe that from a pilot perspective, it's
the best way to go, because frankly speaking, otherwise creeping up from E10 to
E11, 12, 13, 14 all the way up to 20 is not a viable scenario. This is an ideal
scenario, and it is a visionary move in terms of adoption of E20 across the country.
Rajesh Majumdar: So, as I understand the old four wheelers can also handle the E20 as per what you
just discussed as per the engineering of the old four wheelers are concerned?
Tarun Sawhney : I can't comment on all the four wheele rs. But only from a metallurgical perspective,
there may be some rubber part issues, etc. But broadly speaking, the answer
would be towards yes. Everything is shades of gray here.

Sameer Sinha : Can I just supplement it, what you will have is, finally, two dispensers coming in;
one will be E10, which will be the base on the protector which may move up to
E11, E 12; and the other one will be an E20 dispenser. So that would be what the
pilot is going to undertake right now, that's how you're going to get blending.
Tarun Sawhney : But four wheelers to answer your second question, by and large should not face
any problems.
Moderator : Thank you. We'll move to the next question from the line of Nitin Awasthi from
InCred Equities. Please go ahead.
Nitin Awasthi : I would like to know what was the grain ENA prices which you realize last quarter?
Sameer Sin

ha : Grain ENA prices, which we realized last quarter were about ■ 54 plus 18% GST.
Nitin Awasthi : Grain ENA, I was referring to , not grain ethanol. There would be a different side. Is
it grain ENA will be selling in the market?
Sameer Sinha : So that's why I said, ■ 54 plus 18% GST. So, this matches wi th the ethanol prices
of ■58.50 plus 5% GST. If you look at those parity numbers, you will come closer to
those numbe rs.
Nitin Awasthi : Okay. Understood . Sir, second question was, like you mentioned, you're looking for
the Gover nment to increase the ethanol prices. If the Government were not to
increase the ethanol prices, would it be under the investment plans going ahead in
the ethanol segment.
Tarun Sawhney: I think the speed at which new CapEx would come up would c ertainly be impacted.
Because you are seeing material price increases, you are seeing our input cost
increases that are happening. For example, for the grain -based plants, you're
seeing that the cost of fuel has increased quite substantially. You're also seeing
metal price increases and some delays. So, there will certainly be an impact and
will delay the amount of CapEx coming into this industry, however, is it a total
negative, not a complete negative, the re is still a difference between grain and
molas ses or juice-based plants.
Nitin Awasthi : Understood, sir. Thank you.
Moderator : Thank you. The next question is from the line of Rajiv Agarwal from Sterling
Capital. Please go ahead.
Rajiv Agarwal : Thanks for the opportunity. I just want to under stand this distillery division, you've
recorded very good growth in IMIL sales, Indian Made Indian Liquor sales. So
which areas do you market this product and can you share the quantum of sales
for the quarter and for the nine months in terms of litres?
Sameer Sinha : What we are doing right now is that w e are selling it in UP and our focus is on two
areas; one is which are the areas which are close to us where we save on the
freight costs going ahead; and B, is also a little distance away some good cities
within UP w herein our brand gets built up and the numbers we have in terms of

cases is about 9.31 lakh cases in this quarter and 21.84 lakh cases in the nine months.
Rajiv Agarwal : So, I wanted this in litres. Can you share it in litres, please?

Tarun Sawhney: Multiply by 9, please, a nd you'll get the litres? Can you hear us?
Moderato r: Thank you. The next question is from the line of Udit Gupta , an Individual Investor. Please go ahead.
Udit Gupta : I wanted to understand, what is the amount of grain required to produce a litre of ethanol, sir? And what is the price of the rice that we are buying right now for the grain?
Sameer Sinha : So, there are two aspects to it. One is th e surplus rice, which comes from FCI that's a fixed by the Government at ■ 20. And the recovery we are getting right now is virtually 470 litres per metric tonne of grain. The other one is what we buy from the market that's called the damaged food grains. And their pricing has been somewhere around ■ 19 to ■ 25, and we get about 455 litres per metric tonne of the grain.
Udit Gupta : Thank you, sir. That was my question.
Moderator : Thank you. The next question is from the line of Sh ikhar Singh, Individual Investor. Please go ahea d.
Shikhar Singh: Hello, thank you for giving me the opportunity. Can you put some light on the cost of production of the ethanol both syrup -derived and B -heavy ethanol, and also the country liquor? Hello, am I audible?
Suresh Taneja: Number one , in the case of ethanol produced from B -heavy molasses. We have a transfer price of ■ 1,000 and the recoveries are approximately about 29.5 to 30. So you can come to the material cost and over and above that, you can take approximately ■ 10 to ■ 11 considerin g variable costs as well as the fixed expenses. So that will be your total cost of production. An

d similarly, in the case of grain, I think we have already given you the figures of recovery, et c. We have already given you the procurement price. So, you can arrive at what is the material cost per litre of ethanol and, there after, approximately the same amount ■ 11 to ■ 12 you can add towards the variable costs and fixed expenses.
Shikhar Singh : Okay. And is regarding the country liquor?
Tarun Sawhney: No, I think we don't declare our prices for co nversion of country liquor .
Sameer Sinha : In terms of grain, it's an important thing that we also get a co -product out of it. And which is Dried Distillers Grain Solids (DDGS) , which is about 36% of it, and of the alcohol produced and which we market at about ■ 25-26. So, at the end of the day, my net conversion cost comes to about ■ 4 or ■ 4.50. That's for grain -based.
Shikhar Singh : Okay, sir. Thank you.
Moderator : Thank you. The next question is from the line of Shailesh Kanani from Centru m Broking. Please go ahead.
Shailesh Kanani : Thanks for the opportunity . Sir, just one question I had to ask. Sir, in Sugar division , what is your strategy to increase availability of feedst ock going ahead? If you can elaborate something on that fro nt, because we are seeing good growth on that front and crushing facilities also is excellent. So, can you just help me understanding on that front?

Tarun Sawhney : Absolutely. We have a multi -pronged cane development strategy that has been in place, there are short -term and medium -term targets that go down to the micro level to the over 1,000 people that actually work within the development function of the business. Now, to give you a small idea of the work that is being done, it is being don e right from soil mapping and understanding the constitute elements of the soil and improving the soil balance, so that you can get higher productivity at the farm level to the actual planting of the crop to propose newer technologies across our area, we have had huge success. And we will continue to hopefully have great success in terms of newer technologies, and better planting practices deeper and wider, just to paraphrase, et c. In addition to that, the provision of quality seed, seed treatmen t, quality fertilizer, pesticides, herbicides, etc. That is extremely vital. Lastly, I think the programme that we have in place with respect to technology in terms of capturing information is absolutely vital in terms of our sourcing the cane once it is grown. So, it's a multi -pronged approach.
And the last point that I left out is a vast number of demonstration plots. The show and tell method is absolutely vital, in terms of encouraging farmers to adopt more modern and current practices. And that is extremely important in terms of our medium -term targets.
And I have actually left out one more element, which is an association that we have

with leading institutes across the country, in terms of getting th e best advice really at the ground level to be disseminated amongst our farme rs. So it's a six -pronged strategy that we have in place to ensure continued availability and greater availability of sugarcane.

Shailesh Kanani : Excellent, sir, Thanks a lot, sir. That was very useful . Thanks a lot.

Moderator: Thank you. As there are no further questions, I now hand the conference over to management for closing comments.

Tarun Sawhney: Ladies and gentlemen, thank you very much for joining us for the Q3 and nine-month results for Triveni Engineering. It's been a very interesting quarter, I believe, a good set of numbe rs. There have been some challenges in the sugar production front, but the other elements of the business have all performed well.

As we move into the fourth quarter of this year, there is huge hope in terms of a turnaround, not really a turnaround, but a v ast improvement in sugar production and cost of goods as far as sugar is concerned.

And, of course, the expectation
from the engineering businesses as well as our distillery business is quite robust.
I look forward to talking to you with our full year res ults in May. Thank you very much. Have a good afternoon.

Moderator : Thank you very much. On behalf of Triveni Engineering, that concludes this conference. Thank you for joining us .

Call: Jun 2023

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Triveni Engineering & Industries Limited
Q4 & FY 23 Earnings Conference Call Transcript
May 26, 2023

Operator: Ladies and gentlemen, good day, and welcome to Q4 and FY 23 Earnings Conference Call of Triveni Engineering & Industries Limited. As a remi nder, all participant lines will be in listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing * then 0 on you r touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Gavin Desa from CDR India. Thank you, and over to you.

Gavin Desa: Thank you. Good day, everyone, and a warm welcome to all of you participating in Triveni Engineering & Industries Q4 and FY 23 Earnings Conference Call. We have with us today Mr. Tarun Sawhney, Vice Chairman and Managing Director; Mr. Suresh Taneja, Group CFO; Mr. Sameer Sinha, CEO Sugar Business Group as well as other members of th e senior management team.

Before we begin, I would like to mention that some statements made in today's discussions may be forward -looking in nature, and a statement to this effect has been included in the invite, which has been shared with everyone earli er. I would also like to emphasize that while this call is open to all invitees, it may not be broadcasted or reproduced in any form or manner. We will commence the call with opening remarks from the management following an interactive Q&A session.

May I now hand it over to Mr. Tarun Sawhney. Tarun, over to you .

Tarun Sawhney: Thank you, Gavin. Good afternoon, ladies and gentlemen, and welcome to the Q4 and FY 23 results earnings call for Triveni Engineering & Industries Limited. We are extremely pleased with the performance of the Company for the year ended 31st March '23, where several milestones have been achieved. For example, the highest ever crush was in Sugar Seaso n 2022-23, an increase of 11% year -on-year. A record, gross and net turnover of ■6,310 crore and ■5,617 crore respectively, with a strong performance across the board. Record alcohol production and sales , follow ing our capacity expansion to 660 KLPD and an aggregate Engineering business revenue of over ■500 crore and segment results o f our Engineering business of over ■100 crore is another significant milestone.

It's a matter of satisfaction to see that the diversification of our profitability ; Alcohol and Engineering business contributed to 51% of the total segment results in FY 23 against 39% in the previous fiscal year. It's a healthy trend, and it's indicative of lowering the dependence on the Sugar business and more innovative management of the business risks.

Turning towards the Sugar and Alcohol business. We had our highest sugarcane crush at 9.3 3 million ton nes for Sugar Season 2022-23, an increase of 11%, as I mentioned over the previous season. This was due to modernization and debottlenecking activities that were taken up in the previous off-season.

Net recovery of 10.23 % with 92% of sugarcane crush with B -heavy diversion in Season 2022-23 versus 84% in the previous season. There were lower recoveries , it is important to note , across the state of Uttar Pradesh this year. Significantly enhanced refined sugar production was an other important point from the year under review, increasing from approximately 40% in Sugar Season 2021-22, to 60% in Sugar Season 2022-23.

Sugar exports contributed significantly to the profitability. We 've achieved exports of 19 0,000 ton nes during FY 23 out the total export quota just out of 205,000 tonnes for the year under review. In Q4 FY 23, just over 55,000 ton nes of physical sugar was exported. We had the highest ever alcohol production of 18.12 crore liters , which is an increase of 68% over th

e p revious year due to additional capacities and expansions and very much in line, in fact, a little bit more than what we had forecast in previous earnings conference calls and declared earlier. The figure at that point was 18 crore liters. We estimate that for the Sugar Season 2022-23, the nation will produce 32.8 million ton nes after a diversion of 4 million tonnes for ethanol, and 18% higher diversion from the previous Sugar Season .

Turning towards the Engineering business highlights. As I mentioned, our combined business revenue of ■500 crore plus, and the FY 23 revenues actually were ■577 crore for both W ater and the Power Transmission group growing by over 30% o ver the previous year. The combined profit before interest and tax cross ed the ■100 crore mark at ■101 crore . And the over all outstanding order book stood at over ■1,650 crore for the combined Engineering businesses.

During the year, the Company also divested its entire stake in an associated Company , Triveni Turbine Limited to enhance shareholder value. Accordingly, it was followed up by a distribution of ■800 crore to the shareholders under the Buyback Scheme of the Company , which was completed in March 2023, just a couple of months ago. The Board of Directors in the Board meeting held yesterday has recommended a final divi dend of ■3.25 per share , 325% for the FY 23 .

In addition, we have a significant development , an additional , incremental approval of ■85 crore of capital expenditure for the Sugar business , which mainly include s the expansion in capacity of our unit in Sab itgarh by 2,000 TCD raising it from 7,000 to 9,000 TCD. And with the proposed expansion, the total crushing capacity of the Company will be augmented to 63,000 TCD.

So, looking at the financial highlights in brief. The notable changes for the quarter, of course, is a 52.5% increase in revenues compared to the previous corresponding quarter and for the fiscal year under review a 34.4% increase to

■6,310 crore of gross revenues. The EBITDA margin also improved quite significantly in the quarter from 16.6% in the previous corresponding quarter to 18%.

The PAT for the quarter under review also increased by 74.3% from a ■109 crore to a ■190 crore approximately. All the businesses have contributed to the growth boosted by higher sales. The sales volumes in the Alcohol business were higher due to the new distillation capacities that were commissioned during the year and a large multi -feed distillery at Milak Narayanpur and a grain distillery at our Muzaffarnagar complex.

Profit before tax before exceptional items did decline marginally in FY 23 to ■562.4 crore , and this is primarily because of an export subsidy that was recognized in FY

22 of about ■5 7 crore . The improved performance during FY 23 has been due to the substantial profitability of Sugar exports, which I have previously discussed. We managed to price our sugar at extremely attractive rates in December, January , and February and concluded at that time. Of course, prices went up quite substantially in February and later in March. But I think we're overall extremely happy with the realizati on and in comparing the realization that people have gotten across the country, I think we have fared extremely well from that particular campaign.

The total debt of the Company on a standalone basis on the 31st of March 2023 stood at ■ 825 crore. This is a sharp reduction compared to the ■1,504 crore on the 31st of March 2022. The overall cost of funds for FY 23 was 5.1% versus 5% in the previous year.

I'd now like to spend time on the individual businesses and discuss them in a litt le more detail.

Turning to the Sugar business, six of our seven sugar units recorded their highest ever sugar cane crush in Sugar Season 2022-23. We successfully produced and exported large quantities, well over 100,000 ton nes of S-grain or rather

EC2 grade
sugar, which fetched excellent realizations as we were able to capture the whites margin for these products. Deoband unit post conversion to a refinery has stabilized very quickly and produced excellent quality refined sugar during the Sugar Season 2022-23.

We've also produced the highest ever quantity of pharmaceutical grade sugar from our factory at Sabitgarh , which was expected. Six of the Company's units operated on B-heavy Molasses throughout Sugar Season 2022-23 and that leaves our unit in East Ut tar Pradesh , which is quite far away, several 100 kilometers away in Ramkola, at Ramkola where we did not produce B-heavy molasses , and where we produce C-heavy molasses . The sugar export prices were at a considerable premium as I mentioned. And the export sale of 73,000 ton nes during the quarter was sold at a revenue of ■29.42 crore.

Domestic sugar prices have remained broadly stagnant over the last few months. They went up a bit , they came down a bit and now have stabilized pretty much at the same level as they were just a couple of months ago. Sugar inventory on the 31st of March stood at 46.34 lakh quintals , which was valued at ■33.7 per kilo. I would like to mention that the cogeneration operations of the business received sales of ■63.8 crore , which w as higher than the ■62.4 crore in the previous fiscal year, an increase of about 2%.

The current Sugar prices that prevail just now, sales that happened yesterday and this morning are approximately ■3,680 to ■3,700 per quintal for refined sugar and ■3,620 to ■3,640 per quintal for sulphitation sugar. So, we've seen some amount of price increase that has happened over the last few days, few weeks or 10 days or so. Going forward, I see some further improvement certainly as we come towards the holiday season, especially when we go post monsoon, July, August, September , I would see prices increase slightly at that point in time.

The performance of this Sugar season was quite dramatic and remarkable. As I mentioned, we had our highest ever crush of 9.3 3 million tonnes of sugarcane at a net recovery of 10.23 %, this recovery was lower. The State's recovery also was lower, the net recovery in the last season was 1 0.55%, but I think the more important numbers to look at is the gross recovery where you net off the B-heavy molasses etc. And p revious season had a tiny little quantity of juice as well where we had experimented. The gross recovery for this season was 11.47% versus 11.70% for the previous season So that's about 0.23% reduction year -on-year. And

I think thi s is broadly in line with what was experienced or what we thought we would experience certainly better than other s in the state of Uttar Pradesh.

I'd like to look at the industry scenario as well. ISMA has revised its production estimates for Sugar Season 2022-23 to 32.8 million ton nes and it has lowered it from 34 million to nnes. I think this is broadly a very realistic estimate of production in the country. As of the 15th of May, the country's production stood at 32.1 million tonnes, there are still a few factories that are running in the state of Uttar Pradesh at this particular point in time and there will be a small special season that will happen in South India, which will raise the total production to about 32.8 million tonnes.

In essence, the natio n has a sufficient quantity of sugar to do three things
• Meet the domestic consumption requirements
• Meet the requirements for the ethanol blending program
• To feed the export market that we as an industry have painstakingly developed over the last few years

I would like to point out that going forward, I see and we will discuss the weather in the next few minutes. But regardless of that, we will be able to accomplish these three very important things. India plays a critical role in the global sugar trade. A nd any absence of course,

would be detrimental to India's interest and also will have a significant impact in terms of increasing global sugar prices. This is the Triveni perspective .

Looking at the balance sheet of the nation. With the opening balance on the 1st of October, of about 5.5 million ton nes, this is our estimate . We estimate the closing stock would also be just a shade above 5 million ton nes of sugar, a sufficient amount where I see the campaign for the next Sugar Season 2023-24, starting a little bit early. We also have major festivals, which would allow for an easy start in North India most certainly.

With an increased acreage and excellent rains in April and May '23 , we are of the view that there are increasing chances of an El Nino impact , and this has been expressed by various metrological agen cies. I think what's also important to recognize is the changes in weather patterns. This April, we had unseasonal cool weather across North India. Last March , we had un season al hot weather for the entire duration that continued. And we've also had inclement rain, at times that we don't have rain. This has an impact on sugarcane growth. This has an impact on recoveries. This has an impact on new forms of pests and disease that can potentially impact th e sugarcane crop. And I think there has never been a more important time for us to be cognizant of all these weather events. It's not just El Nino, it's the changes in weather, changes in overall temperature , increase in the average temperature, which is s omething that there is really no debate about. And the impact that that it has on sugarcane as a perennial crop across the country and of course, in the State of Uttar Pradesh.

As you know, for Triveni , the majority of our sugarcane areas that are associa ted with our factories are located in river and well-connected canal systems, and they're supplement ed by tube wells, bore wells and other irrigation methods. And therefore, there is a significantly lower likelihood for our farmers to get impacted by inclement weather or any rain impact to be precise.

Turning to the international scenario, according to the International Organization for Standardizatio n (ISO), in view of the global supply demand situation, being global sugar balance for 2022-2023 is a subst antially reduced surplus. It anticipates a global surplus of about 1 million tonnes, just under a million tonne, down from about 4 million tonnes that it is estimated in February. The changes are driven by

increases in production in Brazil. However, the sm aller increase in Thailand and lower estimates for India and Europe w ere the negative contributors to this.

For 2022-2023 we must say that the balance situation is quite interesting. And I think the discussion should really move to a quarterly basis, wher e there are certainly points in time , if we divide up quarters into hemispheres where we see pockets of deficit and strong deficit that emerge. And even going forward, I think it bodes very well for export of Indian sugar that can easily be absorbed by exp ort markets.

International sugar prices have rallied quite substantially in calendar 2023. The New York number 11 broke $27 cents a pound, which was a multi -decade high. And actually, this is the highest since April 2012. On May 19th, 2023, the New York 11 closed at $25 .77 cents/lb , although yesterday, there was a little bit of a sell -off because of higher production numbers coming out of Brazil. But by and large, we are holding at much higher prices. And I think the fact that Brazil will have a record crop of sugarcane and a record production of sugar is something to the market has completely absorbed. And I think supply side shocks will lead this market higher.

However, the correlation between international and domestic prices still eludes us, which, of course as a domestic sugar producer we would be happy with, but th

at
doesn't really exist in this point in time.

Turning towards the Alcohol business. We achieved the highest level of production of 18.12 crore liters. The additional capacities that were e stablished, taking the overall capacity of the Company to 660 KLPD, and to high levels of efficiency and production. We have, of course, improved our realization also quite substantially as the prices have been raised by the Government of India, and you ca n see that in our results. Profitability margins have been impacted because of increased transfer price for B -heavy molasses and Bagasse . It's very important as Bagasse is the fuel for the distilleries and that price has been increased as the transfer pric e is linked to market price.

Ethanol constituted 92% and 93% of alcohol sales in Q4 and FY 23, respectively. The sale of alcohol from sugarcane constituted 63% and 75% of total sales. And what that means really is that in Q4, 37% of sales of alcohol was f rom grain. And for the fiscal year, 25% of alcohol was grain. Going forward, I think we will look at about 35% from grain as a stable level, provided all things are equal. But it is important to mention that Triveni was clearly the first to set up a large multi -feed distillery. It absolutely critical, I think, in terms of our strategic positioning where our two new distilleries that will be coming up will also be multi -feed and it gives an enormous amount of flexibility and ability to be able to focus on th e bottom -line, while making decisions on what feedstock to consume.

The industry scenario is also quite positive. Out of the 518 crore liters that was finalized by the OMCs against a requirement of 600 crore liters , the contracts were for 514 crore liters . Against the above , 244 crore liters have been lifted till May 7, 2023 which equates to a blending percentage of 11.65%, which is not bad. Target is 12%, and I think we will be pretty close to that 12% level. The largest contributor for this, of course ha s been ethanol supplies from the sugarcane industry.

Turning to our Engineering businesses, I would like to start with our Power Transmission business, and then move to Water. For the Power Transmission business, we had an increase in turnover and profita bility by 22 % at just under 20%, respectively. The profitability margins were sustained at 34 odd percent for the year. EBITDA margins being higher than that, it is actually higher than that.

For FY '23, the order booking grew 5% and the closing order boo k about was 17.7% higher than the previous year. The business has added 18 new customers

in the OEM segment, which is contributing towards growth and will contribute even more towards growth as these customers buy more and more. As you know, we have a very high degree of market share and so as we add more customers and those customers buy more from us, it bodes very well and certainly on the product side, we are confident that we will see substantial increases.

In addition to our increases from export reve nues that we are witnessing, not just in Q4, but in order booking that we experienced in Q4 and in the last portion of Q1 of this fiscal year. We had record profitability in the Power Trans mission business of ■76.5 crore, which improved by almost 20%.

Turning quickly to the Water business. The revenues have increased by 30%, driven by better execution. The orders that have been received in FY 23 stood at ■192 crore, excluding O &M orders. Th e business is actively targeting foreign projects. This is a change in the strategy of the Company , and it's important to talk about and the business is targeting projects where it possesses pre -qualifications and the funding is ensured through multi -lateral and reputed agencies. The order booking on the 31st of March stood at just under ■1,400 crore, which includes just over ■900 crore of O&M contracts, which are over a l

onger period of time.

I'd like to dwell just a little bit on the outlook of our various business segments. In the Sugar segment, we are very m uch focused on variet al replacement and yield maximization programs . We are encouraging, large increases in the introduction of implements and equipment to enhance focus on intercultural operations and ratoon management.

There are innumerable digital init iatives that have been undertaken in the digital platform of Triveni Engineering will be one of the most significant differences that the organization possesses when compared to peers and will allow us continued differentiation and productivity gains with the direct beneficiaries being our farmers.

There's aggressive surveillance as well on pests and disease that is being carried out not just for this coming off season, but it has already started through the planting of the crops.

Demonstration plots, we have over 1,800 demonstration plots, and these are showing our farmers what they can expect and how they can enhance their revenues. And with such a large scale of demonstration plots, we believe that we would have a significant impact , a show and tell impact, on our farming community. There's a huge improvement in other planting technologies as well.

We also look forward to the Government's help in terms of increasing the minimum sale price of sugar, which has not changed in several years. And I believe we are certainly due to a change in Minimum Selling Price (MSP) of sugar and that support is quite important.

Turning to the Alcohol business. In the Alcohol business, the production and sales volumes have increased substantially following the increase in distillation capacities. During the current year, the revenues from distilleries have contributed 21% of our net turnover, and it will keep rising as we increase our distillation capacity from 660 KLPD to 1,110 KLPD .

In the current ethanol tender for 2022-23, we have emerged as the second highest supplier in the nation. We have managed our ethanol sales planning very well. And presently, we have low levels of inventory. The setup of the Milak Narayanpur distillery operated with B -heavy molasses and syrup has been done very, very successfully. And it has had operating days of 325 in its first year, which is really quite a record. And we hope that with the two new distilleries we'll be able to better that.

Turning quickly to the new distilleries. We expect the Rani Nangal distillery to be commissioned at Q4 of this fiscal year and the Sabitgarh distillery thereafter. We have decided to do this sequentially, and this also meets the strategic objectives of the business where we can see what's happening with th e pricing points from the Central Government .

Looking quickly at the Power Transmission business, the outlook looks extremely positive. We're seeing growth from our OEM segment from steam turbines , from compressors and gas turbines , from pump segments. Th e domestic oil and gas sector is doubling its refining capacity by 2030. And therefore, we will be a direct beneficiary in terms of the gearbox requirements from all the aforementioned products.

Infrastructure growth for steel sector, cement sector and wa ste heat recovery, again bode very well, not just domestically, but also internationally for our products. And we are also looking at market share gains in export markets as we focus on export revenues from our factory in Mysore.

Within the Defence segmen t, the business expects increased order bookings from key segments during this fiscal year with many Request For Proposal s (RFP s) coming up to conclusion in the next couple of months. The setting up of a dedicated multi -modal facility for our Defence prod ucts in Mysore is underway, and we anticipate that factory being commissioned during the course of this fiscal year. The land acquisition is now complete. An

d the preliminary work at site is already underway.

Turning quickly to the Water business. After a chieving success in Maldives and Bangladesh, the Water business is trying to expand its activities overseas. Domestic market opportunities are also increasing in the recycle and reuse spaces, and we are targeting these two segments quite aggressively.

Besides this, the Company is also Public Private Partnership (PPP) exploring opportunities for sewage treatment plant on a PPP format. The outlook is positive for EPC and HAM projects, and this is driven primarily by large investments by the Government both a t the State and the Central level. The market is witnessing increasingly more and more projects under the PPP , HAM models and the Company of course would seek to benefit from these changes in direction.

Thank you very much, ladies and gentlemen. I would n ow like to open up the floor for questions.

Question -and-Answer Session

Operator: Thank you very much. We will now begin the question -and-answer session. We have our first question from the line of Sanjay Manyal from ICICI Securities. Please go ahead.

Sanjay Manyal: Hi Sir. Just have a few questions. I believe your FY 23 sugarcane crushing should be closer to 96 lakh ton nes. If you can just confirm that number and give us what would be the diversion towards B-heavy, C -heavy and the sugarcane juice perspective ?

Sameer Sinha : You are asking about the next year, the forecast?

Sanjay Manyal: No, I'm asking about FY 23.

Suresh Taneja : Yeah, the total crush is 95.5 lakh ton nes as you said. And the total sugar diversion during the season has been 11.57 lak h quintals.

Tarun Sawhney : And we have not processed any juice for ethanol.

Sanjay Manyal: Okay. So, 95.5 lakh ton nes and if you can just repeat , I'm sorry I didn't get that.

Suresh Taneja : Sugar diversion has been 11.57 lakh quintals to ethanol.

Sanja y Manyal: Okay. But can you give what would be B -heavy and what would be C -heavy, if there is no sugarcane juice in the percentage?

Sameer Sinha : We'll just recalculate that. But for the sugar season, we have already given it that 92% of our crush has bee n towards B-heavy versus 84% in the previous year. So , it will be very close to about 90% or it will be largely ye ah, 92% itself, it will be 92% itself.

Operator: We have our next question from the line of Rajesh Majumdar from B&K Securities . Please go ah ead.

Rajesh Majumdar : Yeah, good afternoon Sir and congratulations on a good set of numbers. Sir, I had a question on why you have not produced any alcohol from juice. That was the first question , because the crushing season is now over. So , it's unlikely that there'll be any juice now in the financial year '24? So that was my first question.

Tarun Sawhney : So, in fact, in the previous season, I stand corrected in Sugar Season 2021-22, we did produce a little bit because our distill ery at Milak Narayanpur did consume some juice to make ethanol. And some of that has come into this fiscal year, but that was the previous season. For this season, we have not consumed any juice for ethanol at all. And the reason for that is simple, why we used it in the previou s season was re ally to test the economics. And the economics are completely unfavorable.

To give you an example, on B-heavy molasses, we're seeing margins of about ■14 per liter. We're seeing PBT margins on grain , this is the FCI rice that we purchase a majority of that , of ■9 per liter. However, on juice, after sacrificing sugar, the PBT margin is ■3 at a sugar price of ■35 per kilo. And today's sugar price at ■36 means actually the PBT margin would be even lower. And therefore, we are not under any compunction to process juice because we have multi -feed distilleries. So, we're able to actually use grain and secure higher returns on these assets than being

forced to using juice. That's a clear strategic move by the Company , as I have mentioned on previous calls.

Rajesh Majumdar : Sir, just a related question on this. What is that the margins are basically because of the transfer price. So, whether the profits are comi ng in the Sugar division or the Alcohol division , should we be really bothered about that? Because when you say mark up at 35 or 3 6, the profits are going somewhere, right, instead of alcohol they going into the sugar division. And secondly sir, if you don' t use juice during the season, are you confident of getting adequate grain during the next six months or so to be able to fulfil your requirements?

Tarun Sawhney : So, a very simple answer to your question. The first point is that if you r transfer price go es up, it will impact everything. It will impact B-heavy molasses , it will impact juice, it will impact C molasses , in case you consume that. So that is the standard . And pretty much everybody , their transfer prices are round about the same kind of range , when I compared to peers. But today, I'm here to only discuss Triveni's results, frankly speaking. So I don't see that your argument about transfer prices being one that will really move the needle very, very much. The profitability

on juice versus B-heavy molasses is what it is. It can change a little bit by some small increases in transfer price. But in transfer price , is linked to the market price, it doesn't move the needle very significantly. And the difference is quite acute. It is still substantially acute.

To answer your second question in terms of grain, we function through Q2 and Q3 of the fiscal year under review with large quantities of grain being purchased. The distilleries are in strategic locations where they are close to FCI depo ts. So , we are actually able to secure large quantums and have no fear of securing quantums of grain. And of course, we can always supplement it by damaged food grain as well.

Rajesh Majumdar: And so, what would be your inventory of B -heavy molasses as of 31st March ? And what is the valuation on that? Is it possible to share that figure?

Tarun Sawhney: I'm afraid , I don't have that number on me. You can take it offline.

Rajesh Majumdar: Okay, sir. And my last question sir, is that the OMCs have only lifted 244 cror e liters out on the contracted quantit ies, whereas more than 60% of the ethanol year is already over. So , is that any cause for concern? I mean, how should we read this?

Sameer Sinha: Yeah, so that number has gone up as of the 22nd to about 254 crore lite rs. But that apart, we believe that they would be in a position to be very close to the number of 525 crore liters , which they are targeting to achieve. Having said that, what is a little matter of concern is the fact that the grain ethanol lifting has bee n much lower. And if you look at that percentage versus the contracted quantum, that is much lower. So , from the sugar contracted numbers, we are very hopeful that we'll be able to achieve the numbers.

Rajesh Majumdar: So, will that conflict with our stra tegy of using more grain or will that be a problem for us ?

Tarun Sawhney: No, I have commented for our nation as a whole it is not a comment for Triveni at all. Our contracts are secure. Our relationship with the OMCs are secure. These lower dispatches co uld be due to operational , banking, all sort s of different issues, capacities, etc. for stand -alone grain -based distilleries. This is not a comment on Triveni. We're confident of meeting our projected dispatch numbers.

Rajesh Majumdar: And sir, if I could sneak in a last question. You mentioned in your report that you expect the SAP prices to go up ahead of elections. Is that correct?

Tarun Sawhney: Well, I would -- I think conventional wisdom shows that when we come towards elections, sugar cane prices do go u

p. T here is talk that the FRP will increase. And I think if the FRP increases for a couple of years, there may be an increase in SAP. The reason for us mentioning it is that we are cognizant that this may be an eventuality. And therefore, we have to p lan for it. So, we have to look at how do we protect our margins in an environment, but there may be a possibility of an increase in our largest cost, which is the cost of cane.

Operator: Thank you. We have our next question from the line of Anupam Goswam i from SUD Life. Please go ahead.

Anupam Goswami : Hi, Sir. Just wanted to get an update on the harvest and the recovery from the upcoming season, given the climate and the percentage of grade of sugarcane that we are using ?

Sameer Sinha : So, in terms of the planting, our planting area is up by 5.5% in the planting which has just been concluded over here and which will be used for the upcoming season. In terms of cane development, Mr. Tarun Sawhney has already mentioned

about the various initiatives being taken up , and we'll be very proactively looking at the disease portion of pests and the diseases. And therefore, we are very confident that all things being equal, we should have a higher recovery and definitely the increase in the crushing that we are ant icipating.

Anupam Goswami : As you mentioned, your strategy on having less on juice ethanol and if the industry goes that way, do we see again more of sugar surplus and subdued prices? I just wanted to get an update on the industry , how the industry is pan ning out on juice ethanol as we have not so much of a n increasing our juice ethanol, how the industry , because that could affect our sugar surplus in the industry as well as the prices going forward ?

Tarun Sawhney : Yes, you're right that everything is sor t of interrelated. But it's not as acutely interrelated as you may be suggesting , prices are determined between demand and supply. We have a quota -based system. We have managed price increases over many, many years, having huge excess in production in the nation. So, I don't agree with your comment that prices decline for any reason , because there's more sugar that gets produced at all. In fact, it's quite to the contrary. And the experience shows that it is very, very much to the contrary. And therefore, I do not agree with your statement at all.

With respect to your comment about juice, I think it's an individual corporate ’s preference, a strategic decision that is taken . We at Triveni ha ve taken a decision of expanding capacit ies and having multi -feed op portunities available to us, which we will then consider based on the relative pricing of each o f its raw material, which is used. And so, we will have the ultimate amount of flexibility in making those decisions. That is the decision that we have taken. I can't really comment on any other corporate.

Anupam Goswami : Sir, last one . Do we see any risk in rainfall and hence the recovery on this?

Tarun Sawhney : Yes, we've already addressed the risks of weather. In fact, the last two questions have talked abou t weather as well. And that is a very palpable risk in today's environment. And it's not just about the potential El Nino in the summer. It's about weather for the next 12 months , because we do have rainfall that happens at inconsistent times. We have dry , hot, and co ol spells that are happening, et cetera. So, there's a lot more to consider rather than just the monsoon , although the monsoon is the most important one, but there's a lot more to consider.

Operator: Thank you. We have a next question from the line of Shailesh Kanani from Centrum Broking. Please go ahead.

Shailesh Kanani: Yeah, sir. J ust a bookkeeping question. Sir, if you can share fourth quarter details of sugarcane crush ed and recovery levels for the quarter ?

Tarun Sawhney : We're going to have to just take it ou

t. You have to just bear with us. We've got our annual numbers and sugar season numbers with us.

Shailesh Kanani: Can I proceed to the next question then?

Tarun Sawhney: Yeah, proceed to the next question , while we take o ut the num bers.

Shailesh Kanani: And also, I wanted to know from our export quota, my calculation is showing some 15,000 ton nes is yet to be booked, which is going to be booked in the first quarter. Is that right or?

Tarun Sawhney: That is correct. It's already fi nished in the month of April itself.

Shailesh Kanani: Yeah, so it becomes the first quarter FY 24, right?

Tarun Sawhney: Correct. And t hat will come into the quarterly results of this quarter.

Shailesh Kanani: Okay, thanks. Sir, one question on capital expenditure. Just to get a complete summary of it, the status, what we have done in FY 23 division -wise, like roughly in Sugar division, we have done a CapEx of around ■300 crore , distillery ■460 crore and PTB ■180 crore . That is the roadmap of our CapEx, right? And so, can you please just give a breakup of what has been done in FY 23 segment -wise and what we are planning to incur in FY 24?

Tarun Sawhney : Okay. Broadly speaking, I will share the numbers with you. For the Sugar Business Group, you 've got th e numbers absolutely right. So , the Sugar Business Group, the total CapEx that has been approved by the Board over the last six results meeting s has been ■305 crore in three tranches of ■130 crore that was incurred last year, ■90 crore that was approved at the last Board meeting or the one before the Board meeting yesterday and ■85 crore of new CapEx that has been approved at this Board meeting. Now of this , the ■130 crore was incurred last year. And of the ■175 crore from the last two Board meetings of CapEx, the majority of this will happen this year and about 30% to 35% would happen in the next year.

For the Power Transmission business, we're looking at ■80 crore last year which was incurred , and ■100 crore , which will be incurred this year. For the Alcohol business, we are setting up two distilleries at an expense of ■460 crore , the majority of which will be incurred in this year.

Shailesh Kanani: Thank s a lot sir. That’s very helpful. Sir, can I squeeze in one more question?

Tarun Sawhney: Yeah. Let me just answer your first question. You had asked about the quarter four numbers for crush and for recovery. The crush is 4.63 million tonnes versus 4.11 million tonnes in the previous corresponding quarter and the gross recovery is 11.59 % for Q4 FY 23.

Shailesh Kanani: Okay sir. Just one more question, sir. Sir, going ahead, what would seem to be your strategy with respect to crushing on the ethanol produc tion side as we are increasing our capacity on the ethanol side, and we have taken a stand not to produce on juice with given rates. So, are we going to see more and more ethanol getting produced from the grains as a feedstock?

Tarun Sawhney: Absolutely, yeah, you are very right in that comment. The two new distilleries that are coming up are multi -feed distilleries, and we see them operating on grain. In fact, actually, there will be more B -heavy molasses because the crush we anticipate. We just spoke abo ut the cane area going up, et c. There was a question previously talked about that. That directly means that there will be more sugar produced, there'll be more molasses produced which would be consumed by the distilleries. However, there will be a consider able portion of capacity that will be diverted towards grain.

And as I had mentioned, 33% in Q4 of Alcohol produced w as from grain. I see on next year, maybe on a medium -term basis, it will be about 33% to 35%.

Operator: Thank you. We have our next quest ion from the line of Nitin Awasthi from InCred Equities. Please go ahead.

Nitin Awasthi: Hello Sir, I would like to understand

on our grain ethanol production, how much of it was done from the open market damaged food grain? How much was it done from the FCI route?

Tarun Sawhney: 6% of the grain that we procured was split grain, and the balance 94% was from FCI.

Nitin Awasthi: Okay. Got it, sir. So , our thought process would obviously be to get the maximum profitability. So , we'll only look to grow our d amage d food grains where the prices are favorable. So , I want to understand the trend. So , by this mix, I'm understanding that the last quarter, it was not favorable to buy damaged food grains. Has it become more favorable right now?

Sameer Sinha: Yeah, t he prices have come down. And again, with the summer rise happening, the prices will again come down from September, October. But in between, let's say, the June, July, etc, will again be higher pricing. So these are the seasonal variation in the prices th at we see.

Tarun Sawhney: Nitin, I think there will be greater buying opportunities this year versus last year for split grain, damaged food grain.

Nitin Awasthi: Understood. Understood and once we buy damaged food grains, we have some of our plants whic h are capable of producing ENA and they have got licenses for producing ENA , will we go ahead with producing ENA from grain?

Sameer Sinha: Yes, we have got the license to produce ENA from grain at our Muzaffarnagar facility and we'll do that depending on the attractiveness of the opportunity.

Nitin Awasthi: Yes. Last question, UP Government's excise policy was out and they are foreseeing or at least want to move from molasses -based country liquor to grain - based country liquor, will the molasses -based coun try liquor reduce in which in turn will lead to more molasses being left over with the companies and not to be surrendered to the Government ? Or do you think the consumption of liquor is growing so much that this molasses will continue to grow, and then th ere will be grain -based country liquor also coming in?

Tarun Sawhney: So, the grain -based IMIL country liquor is only for one segment, 42.8% segment. The other two segments of 36% and 25% remain as molasses -based ENA. The overall liquor market in Uttar Pr adesh with the massive cleanup that has happened is growing at a frenetic pace. So , I actually see the molasses that is right now being taken towards IMIL, called reserved molasses, all of that continuing at that level, unless the state government decides that we will move to a better -quality product, because grain -based ENA is a better -quality product. And offer that better -quality product to country liquor consumers even in the 36% and 25%. Our hope, of course, is that they do, do that, which means it wil l free up molasses for us to make ethanol.

Nitin Awasthi: Understood, sir. And a very small question that would follow would be if that is the case or even if the case is as of today, with one segment being moved to a grain - based ENA, aren't grain based E NA prices rising rapidly in Uttar Pradesh?

Sameer Sinha: Well, they haven't been rising rapidly. They have been largely stagnant at about ■63 to ■64 ex -factory inclusive of all taxes, and we supply on GST.

Operator: Thank you. We have our next question f rom the line of Resham Jain from DSP Asset Managers. Please go ahead.

Resham Jain: Yeah, hi. Good afternoon team. So just on this topic of ethanol through syrup, which you have not adopted or not started this time and rather you produce through B -heavy. S o obviously, at the industry level there must be a discussion on this side, because next year a lot of other distilleries would also like to do it, if the equation remains similar to this year, which means that the overall availability of ethanol may not i ncrease. So , what kind of industry discussions are happening on this front with Government ? Any color?

Tarun Sawhney: So,

you've asked a very interesting question, actually. The Government in its determination and deliberations is aggressively pushing gra in-based distilleries. In fact, there was recently an enormous seminar where they were looking at other food crops and the propagation of maize on a very large scale as a fuel crop, frankly speaking as an energy crop.

The sugar industry will always be the bedrock, whether the Government voices it or not, it will always be the bedrock. 60% at minimum was what was envisaged in the master plan on E20 several years ago. I don't see that number changing very much. Today, there's a very small quantity as my coll eague said that it's going from grain, much smaller quantity than what was envisaged . But with the push by the Central Government and more distilleries coming up, we will certainly see that. We will see more ethanol being produced from grain sources.

I see the discussion today in terms of quantity. So, I think until we reach E20. This is my personal view and not the Government's view. My personal view is that we have to get sufficient capacity set up across the country. The ethanol manufacturing capacity i n the country is right now significantly lower than 20% level. We need to be able to build that, whether that happens through the sugarcane ethanol route or to the grain ethanol route. Those are very discrete discussions, and they vary based on what the pr ice is offered by the Government and the direction of price.

But I think the Government from its perspective, needs these capacities to come up, and that's what we're going to see up to 20 25-26. We're going to see a large number of distilleries come up. A t present, the greatest majority of distilleries are grain -based plants. You can see that with the loan applications that are lying in front of DFPD. But it's a complex scenario that will change based on pricing. And in fact, the only determinant that will move the barometer between grain and molasses/juice is going to be pricing.

Resham Jain: Okay, understood. Sir my second question is beyond '24, I think will have a very large ethanol capacity, we are debottlenecking our sugar capacity as well. Is there more to do with the existing capacity in terms of ethanol or sugar debottlenecking? Or we need to look beyond what we have currently for the next leg of growth and CapEx?

Tarun Sawhney: So, you've asked a fantastic question. I mean, yes, of course, to gro w more will require more CapEx. There's no doubt about that. But with these aggressive sugarcane development programs that we have underway, which take a period of time because the growth in the first and second year is limited. The growth in the third yea r is more palpable, harder and more recognizable, but the growth in year four and five is astounding. That's where the real benefit kicks in .

And we have just started these aggressive programs, which means that the quantum of cane that we are envisaging for the future will increase, which means if we want to hold on to that cane, we will have to enhance our capacities and it will not just be about debottlenecking, because we are already operating at 180 days, around about 180 days plus. We can extend it t o maybe 200 days, but you really don't want to extend it to 200 days. You want to curtail your season at 190 -195 days to be able to take advantage of the weather conditions. The moment you cross 190 -195 days, you get into excessively hot weather, which is inopportune as you see recovery decline. So therefore, you will have to enhance capacities and that will happen with some CapEx going forward. And of course, the more you crush, the more molasses you have, potentially the more juice you have, and therefore , that f eeds directly into your distilleries as well.

Resham Jain: Okay. Just a related question. You mentioned about 1800 demonstration plots. So , any color if you can give what is the aver

age, let's say, yield which a farmer is

getting on an average and versus what you are showcasing to them, how much difference is happening because of that? So , let's say five years out, if more and more farmers adopt these new practices , what kind of improvement one can see?

Tarun Sawhney: It's an excellent question. A t this particular point in time, we're seeing up to 40% higher yields. We are hoping to increase our yields in our own demonstration plot so that the difference goes up to 50%. In terms of all the other plots versus the 1800 that we have and that we hope t o prove out in this planting season. The reference plots that we have for this season should have an increase of 50% on average when compared to the area that we buy sugar cane from. So that's a pretty significant increase. And we think the cascading effect , the show and tell impact that we will have will be quite significant. Will everybody be able to achieve this 50% increase? I doubt that very much. But even if it has a partial improvement, I think that has an enormous impact on sugar cane availability.

Operator: Thank you. We have our next question from the line of Ambar Taneja from Geom atrix. Please go ahead.

Ambar Taneja: I had a slightly different question. It seems to me that basically this entire business on the sugar side is regulated from what you can buy, how much you have to pay. Even on the ethanol side, your buyers are mostly OMCs, which are Government controlled, etc. So , it seems on the sugar side, one of the ways to kind of get out of this whole control thing is to sell sugar, which is not r egulated in price or not subject to a commodity kind of scenario. So , I think you've been making some efforts on pharma sugar, refined sugar, et c. Could you talk a little bit about that to get alpha on the sugar side? And also , your non -sugar businesses, w hich are, of course, completely deregulated have reached a fairly sizable revenue number. Any plans to not demerge today, but in a year or two to unlock value? Because I feel the Company is doing really well, great corporate decisions are being taken, but the value in the market is quite low. Any comments?

Tarun Sawhney: Sure. Let me start off with your first question about getting alpha. You're right. From a strategic perspective, a lot of the work has happened at both ends, maintaining costs and reducing the cost of production and also enhancing our sales price. When we look at sales price, we have moved from 40% refined sugar with 2.5% pharmaceutical grade sugar to 60% refined sugar with 5% pharmaceutical grade sugar. The CapEx that we have in place righ t now will further enhance it to 70 -75% refined sugar with more pharmaceutical grade sugar also in play.

The only difference I would like to say is two things. The first thing is that all of this is still subject to the controls and regulations that are i n place, the monthly release mechanisms by the DFPD. But that's not a bad thing. I would like to sort of state this. In fact, that 's absolutely fine. And what has been shown, is even in an industry that has controls the ability to be able to generate reven ue to improve alpha, et cetera, is not something that is hindered by the Government, but it's encouraged those discussions are happening very actively. The Government encourages people to find new and innovative ways of improving that alpha, as you very ri ghtly put it.

I would also take examples of other industries where there are enormous controls, for example, petrochemicals and oil and gas, huge amounts of control, where they actually generate fantastic margins and are able to operate within that system of control. So, I think the controls will make that much of a difference any longer. In fact, if anything, they're very productive and the y safeguard the interest of the industry. They ensure that you have continued periods of profitab

ility.

And the omin ous sugar cycle that used to exist, which has been very clearly and definitively broken in the last seven to eight years, at least. That is one of the

reasons for that, of course, is the foresight of the Central Government . So that's a very, very big posit ive. And in answer to your first question.

In answer to your second question about the Engineering business . Very quickly, there are no plans on demerging the companies. However, I would like to state that we've actually achieved many significant mileston es in both the business in terms of revenues and profitability. And we have invested in the future. So , we have created that capacity to be able to grow quite substantially.

Now it's about us developing those new partners, developing those new opportuniti es. All that process has already happened in FY 23. So, in FY 24, the expectation really has to be how much can you grow? And how quickly can you grow? And how quickly can you get these new expansions that you've invested in complete, etc., it's going to t ake this year to get all of that done. But we will be stronger for it. We're seeing increases in order booking that are coming from newer geographies, etc., which is very, very promising in both the Power Transmission and in the Water business whe re we're looking at international customers.

Operator: Thank you. We have our next question from the line of Aman Sonthalia from AK Securities. Please go ahead.

Aman Sonthalia: Hi Sir. Sir, what is the average gross recovery for the season?

Tarun Sawhney: The gr oss recovery for the season is 11.47%.

Aman Sonthalia: 11.47 %. And, we have taken the valuation at ■33.75. So, for that valuation, what was the price of molasses and th e bagasse has been taken?

Tarun Sawhney: I'm afraid we don't really declare the transfer for price , that we keep Bagasse at.

Aman Sonthalia: Okay. And sir, now it is every Company is wo rking on steam saving . So, what is the steam consumption of our company? And what work is going on to further save this steam?

Tarun Sawhney : I think that's an excellent question that you've asked in the CapEx is that we have that hasn't been approved by the Board in yesterday's Board meeting and the one before that, are a lot to do with steam economies, et cetera. So, as you know, we have three factories that were set up in 1934. And then four factories that was set up in 200 5, 2006, 2007. So, the steam e conomies of the four versus the three are quite dramatically different. Plus, you must also remember that when you move towards refined sugar, it does take 1%, 1.5% extra steam, maybe 2% steam as well. But there are all efforts in terms of massive steam re duction by automation and also by process improvements that are in place across all seven of the factories. And so, we do expect the amount of bagasse savings to improve quite considerably.

I'm not in a position to assign a number to it at this call today . However, I would like to share with you in abstract terms that that is something that is definitely something that we are working on. And we've already seen from last year's CapEx, some improvements. This year, we expect a very substantial improvement in terms of our steam economies and commensurate bagasse.

Aman Sonthalia: And sir, one question. A number of companies are making profit by selling potash, by selling CO2 and also getting revenue from selling this REC. So how much profit we are generating o n this steam side?

Tarun Sawhney: I don't think we've given a number for this, but we are selling, we are doing all of the above as well. They merged into our financials. I don't have the numbers as

separate to share with you. But you should know that we are engaged in all three activities.

Operator: Thank you. We have our next question from the line of Sanjay Manyal from ICICI Securities. Please

go ahead.

Sanjay Manyal: Yeah, sorry my line was dropped. So, I couldn't really complete my question. So, my basic question was, what kind of quantities we are looking in terms of ethanol production in FY 24 and 25. And the composition of that in terms of B -heavy and C - heavy. I know that you have mentioned 35% is grain . But other than that, how much would be the B-heavy and C -heavy?

Tarun Sawhney: The other portion, C -heavy we don't use. It will be all B -heavy. And in terms of total production, we're looking at well higher than 21 crore liters for FY 24. And then, of course, based on the actual commissioning of the two new distilleries, the region will be somewhere between 28 to 32 crore liters for the following year.

Sanjay Manyal: Okay. Understood that. And Sir, given the fact that you will see a si gnificant increase in the ethanol volumes in the next two years, so generally, our overhead expense , is it because of the conversion cost overhead spends will also significantly increase next two years?

Tarun Sawhney: No, I don't think so. I think we will have -- we will benefit from efficiencies. So, one of the two plants, for example, is an expansion at our Sabitgarh facility, which is going from 225 KLPD to 450 KLPD. So that will benefit the operating costs over there will be shared over a larger produc tion facility, et c. And plus, we, ourselves as we're operating more and more distilleries, are able to improve our conversion costs, especially at the operating level. And those benefits will certainly creep into the business.

Sanjay Manyal: Okay. And one just bookkeeping, what would be our income tax rate for '24 and '25?

Suresh Taneja: It is 25.17% under the new tax regime.

Sanjay Manyal: Okay. Understood. And if I could just ask one last one. You have mentioned that India level sugar inventories would be closer to 5 million tonnes, whereas I think earlier Government has, I think, restated the opening stock at 7 and probably could go down to 1 million. So, there is a huge difference between what the G overnment has been mentioning. And we don't really kn ow what exactly the inventory level would be . What is your outlook on the sugar prices in the next three, four months, given that the actual inventory could be much lower than what the G overnment is stating. And do you see any possibility of, suppose, if there is a drastic reduction in inventory level import probably in October, November?

Tarun Sawhney: No, no , that is absolutely out of the question. We have more than enough sugar for the country this year. We have more than enough sugar for consumption ne xt year. In fact, we have enough sugarcane to meet the ethanol blending program requirements, which will be raised next year and we have enough sugar for exports. So, there's no fear of that at all. However, I do see a little bit of tightening, but we'll s ee some increases in sugar prices from where they are today.

The fact that the matter is at the closing balance is a book number. There is also a pipeline stock. And that pipeline stock, we anticipate least a 1 million tonne at the end of September 2023. So that also has to be factored in as available sugar for consumption. So , in answer to your question simply, we have enough sugar, but we do see some positive buoyancy in terms of pricing.

Operator: Thank you. We have our next question from the line of S hailesh Kanani from Centrum Broking. Please go ahead.

Shailesh Kanani: Thanks a lot again for the opportunity. Just one question. How are you placed in terms of expanding our ethanol facility, means have you selected the vendor for the new facility what w e are going to setup. And is the timeline same, we are expected to complete the expansion plans by fourth quarter FY 24?

Tarun Sawhney: Excellent question. For our Rani Nangal distillery, we certainly expect to have that plant commission

s in Q4. The vendo rs have been selected. The land has been acquired, I mean, the process is underway. The execution is underway. For Sabitgarh, as I mentioned earlier, we're doing it in a sequential manner. So , it will happen straight after Rani Nangal, and this is for stra tegic reasons and looking very much at what is going to happen if anything, in terms of pricing, et c.

We expect that facility, as I mentioned, sequentially to come up straight after Rani Nangal and that may very well creep in to the first quarter of the n ext fiscal year. It may not be by the end of Q4. But all of that is up for grabs. We could accelerate that project as well and try and have it concluded in Q4. But we have that nimbleness and flexibility of when we're going to be operating. And at that pla nt, we'll be operating on grain. So, there isn't that extreme urgency that it has to be as early as possible during the sugar season , at least to start off with . And it will have the flexibility to be able to consume molasses or any other sugarcane by prod uct.

Operator: Thank you. As there are no further questions, I now hand the conference over to management for closing comments. Over to you, sir.

Tarun Sawhney: Thank you very much. Ladies and gentlemen, thank you for joining us for the FY 23 results for Triveni Engineering & Industries Limited. It's a pleasure talking to you. We've had a historic year for us, all businesses firing on all cylinders. The expectation is that this will continue for FY 24 as well. I think what is critical over the next few mo nths is the monsoon and the impact of that. By the time we have our next call, perhaps we will not have the full impact of monsoons, but we will certainly know with a greater degree of certainty what we're seeing in terms of production, what we're seeing i n terms of yields for the sugarcane crop across the nation. And in that particular point in time, we will see the changes in terms of order booking as well for the engineering business.

I hope to come back to you with like this time with positive news acr oss all the businesses. And I look forward to speaking to you in a few months. Thank you very much and have a good afternoon.

Operator: Thank you. On behalf of Triveni Engineering & Industries Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2023

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Triveni Engineering & Industries Limited
Q1 FY 24 Earnings Conference Call Transcript
July 26 , 2023

Operator: Ladies and gentlemen, good day, and welcome to Q1 FY 24 Earnings Conference Call of Triveni Engineering & Industries Limited. Please note that this conference is being recorded. I now hand the conference over to Mr. Rishab Barar from CDR India. Thank you, and over to you.

Rishab Barar: Thank you. Good day, everyone, and a warm welcome to all of you partici pating in the Triveni Engineering & Industries Q1 FY 24 Earnings Conference Call. We have with us today Mr. Tarun Sawhney, Vice Chairman and Managing Director; Mr. Suresh Taneja, Group CFO; Mr. Sameer Sinha, CEO Sugar Business Group; as well as other mem bers of the senior management team.

Before we begin, I would like to mention that some statements made in today's discussion may be forward -looking in nature and a statement to this effect has been included in the invite, which has been shared with everyo ne earlier. I would like also to emphasize that while this call is open to all invitees, it may not be broadcasted or reproduced in any form or manner. We will commence the call with opening remarks from the management following an interactive question -and-answer session. May I now hand it over to Mr. Tarun Sawhney. Over to you, sir.

Tarun Sawhney: Good afternoon, ladies and gentlemen, and welcome to the Q1 FY 24 Earnings

Conference Call for Triveni Engineering & Industries Limite d. We are pleased with the performance of the Company during the quarter ended June 30, 2023. While there ha ve been general low trends recovery in the just concluded Sugar Season 2022-23, the Company has however outperformed the State of Utt ar Pradesh during that same period with a decline of only 23 basis points from a C -heavy basis recovery, which bodes rather well when we compare ourselves to our peers.

Our Engineering businesses during the same period continued to per form well with healthy order books and enquiry pipelines. We continue to diversify our revenue base with Alcohol and Engineering contributing to 60% of our total segment results.

Looking at some of the highlights. In Sugar and the Alcohol (Distiller y) business, we achieved a blended sugar reali sation of ■37,254 per metric tonne which is an increase of 5.6% over the corresponding period of the previous year, and this was supported by high export reali sations and relatively firmer domestic reali sations. We achieved the highest ever quarterly alcohol production of 5.04 crore liters, an increase of 19% over the corresponding previous period due to additional capacities and expansions that were commissioned.

The

increase in net turnover of the Alcohol business was by 21% during Q1 FY 24, driven by higher capacities. Within the Engineering business, both businesses achieved a combined increase in turnover of just under 25%, bolstered by the power transmission business which reported robust revenue and profitability growth. The order booking for the Power Transmission business grew 21.3% year -

on-year with an order book of ■27 1.6 crore up 11.6% year -on-year. The outstanding order book, for the combined en gineering business stood at ■1,613 crore .

Looking at the consolidated financials, our net turnover declined by 2.3%, primarily driven by lower turnover of the Sugar business which was directly attributed to lower quota during the quarter, and the Alcohol and aggregate Engineering turnovers improved, as I had mentioned over the previous corresponding period.

The sugar turnover declined by 1 5.2% as compared to the previous period after considering exports. And this was because of a decline of 21.7% in domestic sales volume due to lower domestic quota allocations. We had, as you will recollect, we have completed the majority of our export quotas in the previous quarter, and therefore, the benefits for export over there were achieved in that quarter. In addition, we did not co nvert any juice and therefore, there was some preferential quota allocations. Looking forward, over the course of this quarter and the next quarter, we will find that there will be a balancing of all of this, and we will return to previousl y forecast levels of quotas this quarter and looking forward. The profit before tax increased during this period by 2.6% to ■91 crore . Total debt on a standalone basis for the Company on June 30 stood at ■918.5 crore compared to ■825 crore on the March 31, 2023 .

On a consolidated basis, our total debt was ■1,011 crore on June 30, compared to ■913 crore on March 31, 2023 and ■1,617.5 crore on June 30, 2022. The overall cost of funds stood at 6.7% in Q1. I would also like to mention that the Earnings Per Share (EPS) increased by 12% to ■3.09 per share.

I would like to spend the next few minutes talking in a little more detail about the various business segments. And turning to the Sugar business, as I mentioned earlier, the reported low er turnover was due to lower domestic dispatches. The contribution of sugar sold in Q1 was higher by ■880 per tonne over the previous quarter in view of the higher reali sation. During the quarter, we achieved exports of 14,531 tonnes out of our tota l quota of ~205,000 tonnes, of which the majority was achieved in FY 23.

Export reali sations were at considerable premium to domestic prices and we actually performed rather well in terms of our pricing ability and our later pricing actually turned out quite well for the Company in terms of our average realizations for exports.

The sugar inventory at June 30 stood at 43.44 lakh quintals valued at ■33.6 per kilo. The Cogeneration operations during the same period achieved revenues of ■12.65 crore . And our realization for our prices just as of yesterday , for refined sugar we are achieving prices of ■3,700 to ■3,720 per quintal and sul phitation sugar is approximately ■3,650 to ■3,670 per quintal .

Looking at the performance of the Sugar business. On a year -on-year period, we achieved a crush in Q1 FY 24 of 1.5 8 million tonnes of sugarcane versus 1.8 million tonnes . If you look at the sugar season, we actually achieved a crush of 9.3 million tonnes of sugarcane during sugar season 2022-23, which was 10.8% higher than the previous corresponding year.

In terms of total sugar, as you know, the recoveries were sl ightly lower. However, the sugar production in tonnes was in excess of 950,000 tonnes of sugar, which was substantially higher, 7.5% higher than the previous sugar season.

Looking at the industry scenario for the season 2022-23, th

e all India sugar
production is estimated to be 32.3 million tonnes for this sugar year. As of the end of June 2023, Uttar Pradesh has produced 10.5 million tonnes of sugar compared

to 10.2 million tonnes at the same time last year, while Maharashtra's production has declined from 13.7 million tonnes to 10.5 million tonnes by the end of June 2023 due to lower sugarcane yields and of course, inc lement weather.

In Karnataka, three mills have restarted their operation for the special season, and the state has collectively produ ced about 5.5 million tonnes of sugar compared to 5.83 million tonnes of sugar produced during the same period last year. ISMA has estimated that all India sugar production will be 32.8 million tonnes after considering a diversion of approximately 4 millio n tonnes of sugar equivalent into ethanol.

With an opening balance on the first of October 2022 of 7 million tonnes, production of 32.8 million tonnes , domestic sales of 27.5 million tonnes and approximately 6 .15 million tonnes of sugar exports on c losing stock is estimated to be about 6 million tonnes of su gar which is rather good, it is just in excess two months of consumption. And those are the levels that should be directly maintained in the country.

On an international basis, there's been actually quite a lot of activity. The global sugar balance sheet is pointing to a surplus for 2022-23 which is contrary to what we have discussed on our last earnings call, there's been a bumper sugarcane crop and production in Brazil.

For 2023-24 sea son commencing April , Central South Brazil is expected to have the strongest agricultural yield in many years and an availability of 61 2 million tonnes of sugarcane and sugar production of 38 .8 million tonnes, a 15% increase over the previous season.

In T hailand, another important market to consider , we expect a subdued production . International estimates look at a 10% year -on-year drop in the 2023-24 sugarcane crush for Thailand to about 85 million tonnes of sugarcane and looking at sugar productio n of just under 10 million tonnes, a fairly sharp decrease. This is primarily due to the El Nino effect, which has led to drought in many regions. And slightly later start to the r ainy season in Thailand.

All considered, international sugar prices have remained remarkably firm, the New York #11 raw sugar futures contract broke the 27 cents threshold earlier in the year. However, it reported a mixed trend later and particularly in the quarter . Prices have hovered around 25 cents per lb (pound) in this quarter with the lowest price noticed towards the end of the July contracts. The #11, forward month is trading around 24.8 cents per lb, which is still remarkably firm and whi te sugar contracts (the London #5) is also at record highs, prices have recovered and are approximately $700 per tonne. Again, given the excess sugar availability in the forward few quarters, these robust prices indicate the kind of s entiment in the sugar sector, which is very buoyant.

Turning to the Alcohol business. Our additional capacities commissioned in FY 23 have resulted in the highest production in a quarter. Despite having record alcohol production and order s in hand, the alcohol sales in the quarter were lower than we anticipated, and this was primarily due to offtake issues at the end of the OMCs at certain depots.

However, I am happy to report that these are temporary challenges and the situation has imp roved vastly since then, and we're back on track, hopefully, to even make up for lost ground in this year . During the quarter, the sale of alcohol produced from sugarcane in feedstocks are 64%, while grain was the balance of 36%.

It's import ant to highlight that during the previous corresponding quarter, there were no grain operations. Accordingly, the overall profit margin was slightly lower in t

he
current quarter as compared to the same period of last year and this is with the margin associ ated with g rain operations, which is lower than B-Heavy molasses operation margins. Ethanol constituted 91% of alcohol sales for the quarter under review.

And looking at the industry scenario of the 559 crore lit ers were finalized by the OMCs as of a requirement of 600 crore lit ers, contracts were actually formed of 553.68 crore lit ers. Against this ~351 crore lit ers have lifted by OMCs up to July 9, and w e are looking at an average blending of 11.75% until July 9. And that's extremely good considering the target is 12%. We're right on track.

Of the total contracted quantity, as I had mentioned, sugarcane -based feedstocks collectively contribute 71% with B -Heavy, of course being the highest. And the balance is contributed by surplus rice of 26% and damaged food grain of 4%. Presently, the Food Corporation of India (FCI) has suspended suppliers of surplus rice for the production of ethanol.

Looking at the Engineering business es, I will speak about Power Transmission business, first of all, we had quite a remarkable quarter where profitability and turnover increased quite dramatically. Profitability increased by almost 110% and turnover increased by 77.8% , very strong export performance in the supply of API gearboxes to the Americas and Europe and compressor gears and gearboxes to Europe and China.

Profitability margins also improved quite dramatically to 34% in Q1 versus 28.8% in the previous corresponding quarter. And this was due to lower raw material costs and an optimi sation of SG&A expenses . Both areas that we have worked very hard on, coming out of the COVID experience. The growth in order book during the quarter is driven by growth in critical sectors such as steel, oil and gas and steam turbine compressor and pumps as the OEM segment . The outstanding order book as I mentioned stands at ■ 271.63 crore .

The Water business, the revenues declined marginally due to a delay in execution in certain projects. So the business is actively targeting foreign projects, wherever it progresses the prequalification and somethi ng where funding is ensured through multilateral and re puted agencies. This is very important , it is a strategic shift, where we were looking just at domestic markets and regional markets. Now we've broad based ourselves and looking at a much larger canvas, and we hope that we will be able to come back to you with greater successes in international markets. As you are well aware, we have two projects in the international markets already that are under execution in the Maldives and in B angladesh.

The closing order book stood at ■1,341 crore and which includes some O&M (Operations & Maintenance) contracts, which are over a longer period of time.

Turning very briefly to the outlook of the businesses . In Sugar, we continue to focus very seriously on yield improvement initiatives by our farmers, adopting the best agriculture practices through continuous engagement and demonstration, et cetera, and also v arietal replacement.

We will be looking at i ncreasing crushing capacities in sync with our sugarcane availability. The Company is also in the process of increasing its refined sugar production which stood at 60% for the last year to 70% with the change in manufacturing process at our sugar unit at Milak Narayanpur.

The activities that I've previously spoken about three months ago pertaining to modernization, debottlenecking and efficiency improvement are all underway,

which will enhance both the bottom line, most significantly as well as the top li ne. The condition of the sugarcane crop and grain crop has been satisfactory in our catchment area of all seven of our sugar mills. And we are hopeful that there will be good climatic conditions for the subsequent period. And this is crit

ical. The next three months are critical. We do want a little bit of rain, but not too much. We certainly want a dry September. That is very crucial for operations to start at the end of October, which is what we're forecasting for the next year.

In the Alcoho l business, we've been a strong supporter of the Government 's Ethanol Blended Petrol program. We've bolstered our capabilities quite substantially, of course, raise d capacities from 320 KLPD to 660 KLPD last year. And you are wel l aware that we are on our way to achieving 1110 KLPD in the future.

The Power Transmission business , there's very high demand that we're witnessing over the last few months, I would say. I think there's been a resurgence in demand globally across the s ector s that I was talking about. The product segment domestically is really looking at grow th steel, cement , waste heat recovery and oil and gas. Internationally, of course, you have growth in these sectors among and a few others.

Interestingly, we're seeing substantial growth in all of our OEM customer b usiness. steam turbines, gas turbines, pumps and compressors, domestically and internationally. Again, this bodes very well for the future. And our focus is very much on market share gains where we are looking at the international market as our canvas .

In the Defen ce segment, the business expects increased order booking from key segments of turbine packaging, gearboxes, special application pumps. And we have several RFPs that are coming up to the stage of conclusion over the next few months. And so hopefully, I will have very good news potentially by the next time that we speak or maybe in the next quarter, but hopefully by the next time that we speak.

In the Water business, as the dema nd for reliable water and waste water treatment solutions is on the rise in India and in international markets. And apart from participating in domestic projects, we are expanding our global footprint, establishing strategic global partnerships and fosteri ng mutually beneficial relationships with key stakeholders. So at Triveni, we find ourselves strategically positioned in order to capitalize on all the growth opportunities across all of our verticals.

And I would be very happy to answer any of the ques tions that you have. Thank you.

Question -and-Answer Session

Operator: Thank you very much. We will now begin the question -and-answer session. We have our first question from the line of Rajesh Majum dar from B&K Securities. Please go ahead.

Rajesh Majumdar: Good afternoon Sir. I had a few questions. Firstly, on the ethanol supply part, we have heard about some slowdown in offtake by the OMCs and your mix also in 1Q is suggesting that you'v e been able to sell mostly grain -based ethanol and a little bit B-heavy . So, is there any change in that in this quarter? And will the B-heavy mix change in the coming quarter or the next one or two quarters? That's the first question.

Sameer Sinha: Going forward, all the decantation issues have largely been resolved. You must understand that it was not a generic problem. It was unfortunately that as a coincidence, quite a few of our de pots were impacted. We were supplying a large quantum to Gujarat where Biparjoy cyclone washed away a large portion of the logistics. And therefore, the offtake for petrol came down, and therefore, the offtake for ethanol. Similarly, Mathura refinery had some issues, both in terms of approvals and pipeline renovations and maintenance issues. And similar was the case with one or two other depots and that was the reason for this temporary blip. The situation has significantly improved over the period of time. And going forward, we'll also be supplying B -heavy, however, it will largely be in terms of a similar product mix. Going forward, we are also evaluating the feedstock challenge coming in from FCI stoppage of s

urplus price .

We are dynamically evaluating the situation. We have got enough stocks of not only grain, but also molasses. So therefore, over a period of time, depending on which way we go, we'll enhance or change our product mix to give us the most optimal resu lts. A lso, we must note that we are at the end of July and our mills are supposed to start in October, and therefore, to that extent, it's not a very a long period of time, which may impact us going forward.

Tarun Sawhney: Let me just sort of encapsulate this by saying that we do not see any interruption to operations.

Rajesh Majumdar: So we've been hearing about some notification or some announcement from the Government to stop using broken rice for ethanol, this particular year because of the impact of El Nino or something ?

Tarun Sawhney: That's incorrect. And there is no notification to that effect. However, FCI has stopped allocating surplus ri ce for the production of ethanol. Yes, a s a matter of fact, they've stopped allocating surplus rice for anything, which includes for the product ion of ethanol. Broken rice, which is available through the open market is still available. It is at a higher price r ight now. But as you know, the Government has banned the export of non -basmati rice. And we've already started seeing a softness in broke n rice and the rice markets across the nation. And we anticipate that given the next few days, we will be able to at le ast start getting much better prices for broken rice.

Rajesh Majumdar: So, you're clearly guiding that the grain -based margins can actually improve in this quarter ?

Tarun Sawhney: No, that's not what I'm saying. The broken rice is available at a higher price than FCI rice. FCI rice has stopped. We will have to then look at what is available and at what price points . What my colleague had just mentioned is we have the sufficient quantity even now B -heavy molasses can be allocated for production of ethano l in the next few months until the next season starts.

So, we are relooking at what is the mix of our input. And then that is what will have an impact on margins. I do anticipate that given the move that GOI has taken, there will be short -term and medium -term repercussions in terms of pricing. So, I do anticipate that the Government will relook at pricing , given where the price points of all these inputs of all the raw materials for the ethanol manufacturing. And I expect that s ome of the announcements will start very soon. And then maybe of course, we look at many more as we approach the next Ethanol Supply Year. This is the given scenario, but I think the Government is truly aware of all the chal lenges that is being faced by the industry and is will hopefully act in a very rapid manner.

Rajesh Majumdar: Right, sir. And my other question was, can we get an idea of the capital employed in the businesses like transmission and the municipa l business separately? And

the capital allocation in these businesses for the company? And how much of the debt of the company is coming from the municipal business?

Suresh Taneja : If you look at the capital employed, our results duly provide all this information in terms of segment assets and segment liabilities.

Rajesh Majumdar: Breakup between the power transmission and the...

Suresh Taneja : It's very much there. If you look at the breakup o ver there, the breakup is given for a Sugar , Distillery, Power Transmission, Water and others .

Rajesh Majumdar: And the debt in the municipal business, sir ?

Suresh Taneja : Debt in the municipal business is not much. It is in the region of abo ut ■50 crore , ■60 crore as of now. I'm basically talking about the Water business. Now coming back to your specific question on Power transmission, we have total segment assets of ■206 crore , and we have segment liabilities of ■62 crore . So, in other words, the

capital employed is about ■150 crore for that business.

Operator: Thank you. We have our next question from the line of Shailesh Kanani from Centrum Broking. Please go ahead.

Shailesh Kanani: Good afternoon everyone. And thanks for the opportunity. Congratulations on the decent performance , given it was a challenging quarter. So, my first question is with respect to FCI rice suspension . How does it influence our future CapEx plan? And how do we read this? And do we have a revised guidance of ethanol with respect to this? And also the mix, if it will change if upward revision in the ethanol price what you just alluded to, doesn't happen. So how does that shape up?

Tarun Sawhney: You've asked a question that is pretty much on everybody's minds. I mean given this very quick reaction in terms of FCI rice, what is the future of the program. And frankly speaking, the Distillery business for Triveni. I have to say three things on this matter. The first thing is that I 've always been advocating for multi -feed distilleries. The a vailability of molasses or sugarcane -based raw material, the availability of grain and other grains, is going to vary over a period of time. And therefore, the establishment of multi -feed distilleries is the only true answer. As you know, we hav e pioneered this approach for the industry. There are many others that are doing the same now, and we will continue to. And as you know, the 450 KLPD that we're setting up are both multi -feed plants. Now that is point one.

Point two is, what is the specif ic impact of the recent policy changes and non - availability of FCI rice. I think it's too early to tell, very frankly speaking. It's too early to tell for two reasons. Number one, we're expecting an interim increase in pricing for ethanol. It is seriously being looked at from what I understand. I don't quite know what the quantum s are . We're in the business, which is heavily determined by market prices. So, if the relative prices of other feedstocks changes, the dynamics will change.

So, what I would like to leave you with is that this is a little pebble in the way. But we will surpass it, and we are still on track. And we've done 11. 75% ethanol blending thus far. We're on track on having a significantly higher level of percentage of blending this year versus last year. I do think that everybody will have to be nimble and change their strategies. We too will do that. It's very difficult for me to share with you what that will be today , because I don't know what the change in price will be, which is what I'm anticipating. Once I know that, I'll be in a better position. But you should feel comforted with the fact that we at Triveni have multi -feed distilleries . So, we have that operational flexibility to be able to shift from one to the other.

Shailesh Kanani: Sir, just a follow -up on that. I understand for existing facilities, we are kind of backward integrated with molasses and the feedstock. But I was just thinking about the expansion, which we are going from 660 to 1100 . On that feasibility, are we going to delay because of this? I just wanted to understand that.

Tarun Sawhney: No, the Rani Nangal facility is very much on track. As I had mentioned even on the last call that we're attempting for the Rani Nanga l facility to be operational in Q4 of this fiscal year, that remains unchanged. As far as the new facility at Sabitgarh is concerned, it was going to come up a short time after that. That still very much remains on track. Having said that, if there is any change to that project, it will be dependent on the next level of pricing announcements, which I expect imminently. So, I think we will be in a better position to judge what we do with the second project. But right now, it remains on track.

Shailesh Kanani: So, is it fair to assume that our earlier guidance of ethanol sales remain as of

now
the same, right?

Tarun Sawhney: As of now, the guidance has been absolutely the same.

Shailesh Kanani: Okay, thanks a lot sir. That’s good. My second question was with respect to PTB division, which is performing excellently well. So are there any one -off during the quarter , because the first quarter is normally to subdue, but this time around the numbers were excellent . And if you can share some light about the CapEx plan s and what kind of asset we can see going ahead in say medium or long -term for the division?

Tarun Sawhney: Okay. So I can't offer you asset turn data, because we're investing very heavily in the busine ss, and that's going to change from our historical numbers. And I don't have that calculation to share with you today. But I can share with you that your observation is absolutely on point. Typically, Q1 for us has always been a light quarter. And this yea r, we've had 78% increase in turnover, a 110% increase in profitability . It has happened because of two reasons.

The first fundamental reason is of our overall revenues for the quarter, 30% is from export. So, this a huge bump in export revenues in Q1, which is typically always lower. With that expanded canvas , and we're seeing a massive amount of activity in API segment, which is oil and gas segments in North America and Western Europe. And we're also seeing compressor work happening in Europe, as I mentioned, and in Asia as well .

We've seen a huge number of domestic and international customers that supply into that market , increasing their demand. It bodes very well. Our order booking I expected to rise quite a lo t. Q1 is always a light quarter for both of them. So, to see both revenues and order booking jump is what we had expected, very frankly speaking, and we've finally been able to convert it into performance. I think , while I don't talk about expectations, we are very well positioned in those markets. You have to understand that globally, the customers that we're selling to all our operations in India, and we all sell to them, and we have very high market shares with the same customers.

Now it's about translating that relationship into a global one. And while it might take something that is a short to medium -term target. We're seeing the dividends of that already.

Turning to the CapEx. We have approximately ■100 crore that the Board has sanctioned in terms of expansion of our existing facility and the acquisition and development of the Defence manufacturing facility also in Metagalli , very close to the original manufacturing facility in Mysuru, that is very well on the way. Orders have all been placed for the machinery and our work is on at the site as well.

We're anticipating that some part s of that ■100 crore will be commissioned and made operational in this fiscal year, and the balance will be done by Q2 of the next fiscal year. So, we're very much on track. And I think we were ahead of the gun, we recognized that there were longer -term de liveries for some of these very complex , very highly sought after CNC machines has come from Germany and other European countries, large multi -million euro machines. We predicted it. Therefore, we place d the orders, and so now we're well positioned. In te rms of execution, we are very much on track.

Shailesh Kanani: Sir, in the result there's a new joint venture, namely Triveni Sports Private Limited . Just wanted to understand the purpose and capital allocation there. And also, if you can just highlight that, I just noticed that a Board meeting lasted for more than five hours. So, if anything specific you wou ld like to highlight, which was discussed sir?

Suresh Taneja : In our case, in the Board meeting, apart from the results, we have multiple businesses over there. A ll the business, performance of the business , outlook, et cetera, everything is discussed in the Board meeting. So obviously, it takes much longer time . You would appreciate that it's not just a sugar company. It has got other engineering businesses as well. So that's one of the reasons why it should take more time.

Tarun Sawhney: And with respect to the new company, it is 50:50 venture between Triveni Engineering and Industries Limited and the other 50% is owned by Triveni Turbine s. We have created this Company , because it reflects an opportunity th at was placed in us to be part of the Tech Mahindra Global Chess League. I'm happy to report that we actually won the tournament and we will be receiving the price money, et cetera, that will come with that. I don't have the exact numbers just no w.

The purpose really is to be able to foster this involvement in this very interesting area, which leads and lends its properties towards our businesses of excellence of great individuality , of great team pla y. So the properties of the sport rather lend itself towards the Triveni brand very much. We feel that it is an important association and one that we would like to foster . In terms of the total capital deployment s of Triveni Engineering right now its ■2.5 crore .

Operator: Thank you. We'll move on to the next question from the line of Nitin Awasthi from InCred Equities. Please go ahead.

Nitin Awasthi: Hello Sir, Triveni being one of the rare companies , which is also in the grain ENA manufacturing . I would just want to understand two things in that business. One, what was the broken rice we're purchasing before the FCI ban? What is the price at which you are purchasing ? And what has it changed to now?

Sameer Sinha : So coming back to the issue of the purchase price of Damaged Food Grains (DFG), we had purchased it at a price of around ■20 and kept it in stock for us. And we have the flexibility also to produce ethanol from the same facilities, and we were largely into ethanol at that point of time . And we will be going out as we did mention that the D FG prices had gone up , but we expect with the ban on exports that the prices will soften and we'll also look at that alternative for producing both ethanol and ENA.

Tarun Sawhney: So, the price for broken rice right now in Uttar Pradesh in North India is about ■24 per kilo. And there's certainly a softness. This was the price before the ban . We've seen a softness and we've seen a reluctance of a lot of quantity to come to the market, which will have to come to the market , that o fftake has to happen. It will certainly happen at lower rates. Does that answer your question?

Nitin Awasthi: Yes, Sir. That does answer my question. The second part of the question , ENA being a market -linked commodity, wh ere prices are not determined or there is no interference from the Government . Will there been an uptick or are you seeing an uptick in the grain ENA prices? At least that part our margins are same?

Sameer Sinha : Our sales of ENA are largely for our own consumption in our country liquor business. However, the prices which we did mention the last time were at around ■63 to ■65. In some cases, the transactions have gone up to ■67, so that there could be a pass -through in terms of the increase in pricing in terms of the DFG prices getting passed on to the consumer .

Nitin Awasthi: Understood, Sir. Last question, if I may. There's been a talk of a maize policy because of which the FCI move might have come in play. Have you heard anything of that sort, so that the new policy in play, which might come in ?

Tarun Sawhney : The Government has been very vocal in saying that maize is a very viable raw material for the production of ethanol. One has to remember that right now it is not the maize season, first ly. Number two, the variety of maize that has grown in the country will need to change if we're looking at an energy maize change and you're looking at maize . So those two th

ings, it's a medium -term issue to tackle.

It is not a short term. It will definitely be dependent on price. You will have to offer an attractive price for the industry to go out and develop that supply chain and for farmers to be encouraged to grow this. The one thing that you should note is that India produces a large quan tum of maize , only 10% of it is for human consumption, the balance portion of 9-10 odd million tonnes goes towards feedstock, a nimal feed. At the end of the day, even if we're using the policy behind the Government ‘s thought , I would imagine, is that even if you're using maize to produce ethanol, the effluent (co-product) is DDGS, which is animal feed. So, you're actually solving two problems, but there is a pricing issue. And I think it's not a big policy as su ch. It will just be determined by a declaration of price, which I'm anticipating soon .

Nitin Awasthi: Understood, sir. Thank you so much.

Operator: Thank you. We have a next question from the line of Rajiv Agrawal from Sterling Capital. Please go ahead.

Rajiv Agrawal: I just have a question on your Defence business. You're planning to set up a dedicated multi -modal facility for Defence products. What would be the quantum of investment in this bu siness? And my second related question is that out of the order book of ■271 crore , how much of it is from the Defence business?

Tarun Sawhney: Of the ■100 crore that we invested in P TB, the investment in the new Defence facility is ■40 crore . And this will be executed by this time next year. It will be operational by this time next year. With respect to our order booking, part of it is executable this year , part of it , is part of our longer -term order booking, and it's approximately ■80 cr ore. I don't have the exact number with me right now.

Rajiv Agrawal: Out of ■271 crore , ■80 crore is from Defence business ?

Tarun Sawhney: Yes, that is correct.

Rajiv Agrawal: Okay, thank you sir. That is all from my side.

Operator: Thank you. We have a next question from the line of Nikhil Jain from Galaxy International. Please go ahead.

Nikhil Jain: Yes, thank you for the opportunity. Two questions. First, so in this quarter, our distillery volumes have actually gone up very signif icantly, but the margins have

correspondingly not gone up. Any specific reason for that? So, if you can just highlight?

Tarun Sawhney: Yes, I'll give you . I spoke about it in my opening comments. It's not an apples -to-apples comparison. I n the quarter under review, we had 64% of our sales from molasses and 36% from grain. Grain has lower margins. In the previous corresponding quarter, it was 100% from B -Heavy and therefore to that the B-Heavy margin rate. That is the difference in the margin primarily.

Nikhil Jain: Okay. So, grain is more remunerative in that sense, if you get it at same...

Tarun Sawhney: Grain is less remunerative.

Nikhil Jain: Less remunerative, okay. So, is there any specific reason for us to actually go for grain then and is there a shortage of molasses? Or let's say you just want to ensure do anything ?

Tarun Sawhney: This is again what I was talking of. We are setting up multi -feed distiller ies. So if the price of ethanol derived from juice goes up , we have the capacities to be able to divert to that. In the interim, while the prices aren't at a level that we're happy with, we can certainly use grain because the returns from grain are still al so very good. The five-year project payback approximately with grain, which is really still not bad at all. So, it may be different from B -Heavy molasses , but that doesn't mean that it doesn't meet the investment hurdles of the Company.

Nikhi l Jain: Okay. Okay. And my second question is that , is there any thoughts on demerging the Engineering business?

Tarun Sawhney: No, the Board has not taken up the i

ssue of the demerger.

Operator: Thank you. We h ave our next question from the line of Varun Gajaria from Omkara Capital. Please go ahead.

Varun Gajaria : Just ha d two questions sir. First t hat, how do you see the revenue in Defence, especially from the Defence segment trending for the next 2-3 years? What is the outlook there? And what is the relative asset turnover that you're expecting on the ■40 crore investment that you're making in Defence?

Tarun Sawhney : We typically don't give any forward -looking statements on any of our businesses. I can only tell you that the opportunity is quite large. Our inquiry book is many times the siz e of our order book today. However, with Defence , the one thing that I must mention is that the closure of orders, so the award order is not in our hands. So, it is very much like our Water business. Things can get delayed and typically, thing s do get delayed. It's a game of patience, but the market is absolutely enormous.

As a consequence, because I'm not giving any forward -looking statements, I can't really tell you what our asset t urns are going to be in that b usiness going forward. But we do have investment hurdles within the Company. We look at post-tax returns of at least 15% to 16% for any decision and we're certainly ahead of that range for this particular business as well.

Varun Gajaria : Typical ly, for 50 to 60 to 70 returns on an order , right?

Tarun Sawhney : No. I said our investment hurdles are 15% to 16% post-tax, this could be ahead of that.

Varun Gajaria : Okay. And on the grain and molasses mix with the new distillery coming in the picture, how will the mix be going forward, like what is the mix you are looking at?

Tarun Sawhney : That's a very good question. But the answer to that question is not something that I can offer today because for future supp lies, the mix will be dependent on what the future prices are . So, I'm anticipating that there will be two increases in prices, one in the near term and one before the start of the new ethanol year which wi ll probably be in September or so. Based on that, we will be able to give you a better idea of exactly what that mix will be. And today there's no point in posturing an answer , simply because we know it's going to change , and that will affect our strategy of mix. But as I mentioned to the previous caller, the advantage that we have is we have multi -feed distilleries that allow us that flexibility. We also have multiproduct where we can produce both E NA as well as ethanol to some extent, which allows us flexibility on the output side as well.

Varun Gajaria : Okay. Are there any short -term orders that you also undertake in the Power Transmission segmen t?

Tarun Sawhney: We do, typically, our orders are six to seven months approximately, and our repair and service orders could be as short as two months.

Varun Gajaria: Right. Because in the past, we've been seeing that the order book and the order book in the preceding year, the revenues and the revenues in the succeeding year, there's a little bit of mis match so which is why I had a query on this.

Tarun Sawhney : Understood.

Varun Gajaria : Okay. So, it's a mix of short -term and long -term orders right , on that side, there is a bump ?

Tarun Sawhney : It is absolutely .

Operator : Thank you. We have a question from the line of Parag Somani from I CRA India . Please go ahead.

Parag Somani: Good morning Sir. I just had one question. This is regarding the ethanol supply to OMCs, so as you mentioned in your investor highlights that 553 crore of ethanol has been contracted by OMCs. Can you share the quantum of contracts seen by Triveni? And out of that, how much we have supplied til l Q1 FY 24 and the quantum that we'll be supplying for the next two quarters till December ?

Sameer Sinha : We have about 17 crore or 17.5 crore from OMCs,

and we have supplied about 11 crore so far . We'll meet all our obligations to OMCs under this ethanol suppl y year .

Parag Somani: Okay. And just a follow -up on that. I believe our ethanol capacity is much more larger than the capacity numbers you have mentioned. So, do we see , is there any scope where we can supply beyond the contracted capacity out of contract supplies that we can do or we can bring more contracts?

Tarun Sa whney : No, no. We're operating at very high levels of production efficiencies. So, at this particular point in time, we have 6 60 KLPD and we're operating that at near 100% levels of operations. So, there isn't any much more scope to expand it.

Sameer Si nha: And this ESY was for 11 months period, you must realize that. And we have already given our guidance earlier, I mean, in terms of what we supplied in the last financial year, and we were supposed to be supplying in t he upcoming financial year FY 24.

Parag Somani: Okay. So that means we have contracted capacity for the complete production capacity of...

Sameer Sinha : Absolutely.

Parag Somani: Thank you sir. That was my question.

Operator : Thank you. We have our next question from the line of Amarnath Bhakat from Ministry of Finance of Oman. Please go ahead.

Amarnath Bh akat: I have two set of questions. Number one, new sports business coming under this umbrella of Triveni. Just trying to understand the rationale of involving this company and allocating capital to a completely unrelated business of sports . Can you please give a little more light on what was the rationale behind going there?

Tarun Sawhney: Absolutely. And I just answered the question just a few minutes ago. The capital that's been allocated is ■2.5 crore thus far through Triveni Sports Private Limited . And it is for a team in the Tech Mahindra Global Chess League , it's a commitment for several years. The first tournament finished in Dubai. It was attended by all the top leading women and men grandmasters around the world. And the Triveni team actually won the trophy.

Now the reason and rationale for associating to this is really lend in properties that is involved in the sport of ches s is very much associated with the properties that we associate with at Triveni Engineering of excellence , of individual leadership , of team leadership, our diligence and our strategy. Those properties are very much part and parcel of all the mantra that we have at Triveni Engineering . And it is part of our brand recognition and future marketing message. So, there was a great deal of thought that was given into entering and into making this decision, and that is the reason.

Amarnath Bhakat: Sir is there any plan to allocate more capital or going big in this particular strategy of the company?

Tarun Sawhney: No, nothing terribly significant.

Amarnath Bhakat: Okay. And second thing, this was the discussion many times even before . Triveni Engineering is a mixing of this commodity business, which is very cyclical in nature and other side of the busines s, which is very prominent and outlook is extremely good in respect of that power transmissio n and engineering side of the business.

Now, is there a perspective to value the loss for the shareholders . Is there any plan on the table either now or somewhere , to think for this demand , because this really doesn't work well for a complete commodity company and one side is cyclical business, one side is a structurally good business , which are long -term visibility as of today, to mix together. We as a shareholder get confused if you want , which type of the business to invest, it will want the power business, I have to take care of the cyclical obstacle business as well, where most of the thing s is not in the control of the management in fact, something Government, something international price , something in ternal

building is changed time -to-time based on what the Government decides . So just trying to understand, is there any plan , any thought process in the management to demerge these two entities or two sides of the business ?

Tarun Sawhney: I think first, let me start by saying that your point is noted and we have made a note of it and of course, your views is something that we will have to reflect on. But in terms of demerger of any of our businesses in any form is something that has to be discussed at the Board level before I can discuss it with shareholders or with the investing public.

At this point in time, the Board has no t discussed any plans of demerger. The last time this subject was discussed was several years ago , seven years ago. And at that particular point in time, the Board had in its determin ation said that it is not a matter or if they will b e demerged , but a matter of when they'll be demerged,

depending on their relative sizes, depending on the market conditions and a whole host of other factors. So that disclosure was made many years ago, and it still remains in force today. But I can tel l you we had a Board meeting yesterday - the subject of demerger was not discussed at that meeting.

Operator: We have our next question from the line of Tejas Sonawane from Dolat Capital. Please go ahead.

Tejas Sonawane: Thank you for taking my question. Firstly, we are witnessing very high rainfall in northern parts of India. So do we foresee any kind of impact on getting production in the state of UP going ahead?

Sameer Sinha : The rainfall so far has been very good. And this is the grand growth period of the plant crop and of the entire crop rather. And therefore, we expect that this will be very beneficial . However, it has to be within certain limits. And so far, it has been within those limits. In case the intensity increases significantly going forward, only then there will be issues of water being discharged and some submergence of areas, but which it has not happened, our crop is very good. And so are the reports from the state of UP.

Tejas Sonawane: The Government has recently announced an increase in the FRP o f sugarcane . So, any sense o n the announcement of the S AP side as well for the upcoming season ?

Tarun Sawhney: It's a good question, beca use we have a general election coming up next year . But I think you can only rely on past data. In the last seven years, the Uttar Pradesh Government has been extremely consider ate in its announcements of SAP. And I will lead you to all the data over the last seven years. It has keenly looked at all market participants, the farmers, the industry and consumers in making that determination. Frankly speaking, if there is an increase, I can confidently say that if it will be one that will be taken in the most consider ed of matters, and it will not be any arbitrary increase that people have said that it has happened in that industry. So at this particular point in time, it's very difficult to say if there will be an increase or ho w much that increase will be , if there is an increase. I think the better time will be around about November of this year when that determination will be made. However, I would reemphasize that I have great confidence in the Uttar Pradesh Government in ma king the right decision.

Tejas Sonawane: Okay. That was very helpful. One last thing, you mentioned that we are seeing some offtake issues from the OMC. So, could you please elaborate on the kind of issues we are witnessing from the OMC side in term s of the offtake of ethanol?

Sameer Sinha : No. In our case, they were not generic issues. These were specific issues, which I mentioned just a little while back. And they're related to three sets of regions. One was in Gujarat, which was hit by Biparj oy. And all the orders which had to be fulfilled , and we had quite a few depots at Gujar

at right from Hazira northwards.
And we found that there was virtually no decantation .

Similarly, in Mathura refinery, they had issues of pipelines and of certain approvals, which were required. And that got resolved early July or a very late June . You would say , and third were a couple of, again, depos in Punjab which we're getting supplies from one of the BPCL refineries, which had an issue with the pipeline , et cetera. So these coincidentally all happened together. They were bunched together in our case, but now they 've all been resolved. And we are not talking of any generic issues impacting the offtake by the O MC. Of course, there are certain teething issues, which remain, but they keep on getting resolved in our mutual interaction with the OMCs .

Tejas Sonawane: Okay. Understood. That was all from my side, sir. Thank you.

Operator: Thank you. Ladies and gentlemen, th at was the last question for today. I now hand the conference over to the management for closing comments. Over to you, sir.

Tarun Sawhney: Thank you. Ladies and gentlemen, thank you very much for joining us for Q1 FY 24 earnings review of Triveni Engineering and Industries Limited. As I mentioned , I think we have a very exciting three months . The Sugar business, we have to look forward to the weather and the growth period. And of course, by the time we speak next, the factories may very well have started. So quite exciting on that front.

On the ethanol front, I think the greatest excitement is going to be around pricing and the strategies that arrives around the pricing . Within Power transmission , it's going to be really about global focus , and the development of deeper relationships with global customers . And lastly, in water, again, with a renewed and larger landscape, I think we're in a better position and hopefully we will have more positive news to share with you a few months from now . Thank you very much, and have a good afternoon. Goodbye.

Operator: Thank you. On behalf of Triveni Engineering & Industries Limited, that concludes this conference. Thank you for joining us .

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Call: Nov 2023

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Triveni Engineering & Industries Limited
Q2 & H1 FY 24 Earnings Conference Call Transcript
November 01 , 2023

Moderator : Ladies and gentlemen, good day, and welcome to Triveni Engineering & Industries Limited ’s Q2 and H1 FY 24 Earnings Conference Call. I now hand the conference over to Mr. Rishab Barar from CDR India. Thank you, and over to you, sir.

Rishab Barar : Thank you. Good day, everyone, and a warm welcome to all of you participating in the Triveni Engineering & Industries ’ Q2 and H1 FY 24 Earnings Conference Call. We have with us today , Mr. Tarun Sawhney, Vice Chairman and Managing Director; Mr. Suresh Taneja, Group CFO; as well as other members of t he senior management team.

Before we begin, I would like to mention that some statements made in today's discussion may be forward -looking in nature and a statement to this effect has been included in the invite, which was shared with everyone earlier. I would like to also emphasi se that while this call is open to all invitees, it may not be broadcasted or reproduced in any form or manner. We will commence the call with opening remarks from the management, following an interactive question -and-answer ses sion. May I now hand it over to Mr. Tarun Sawhney. Over to you, sir.

Tarun Sawhney: Good afternoon, ladies and gentlemen and welcome to the Q2 / H1 FY 24 earnings results call for Triveni Engineering & Industries Limited. It's a pleasure to speak to you all today. The overall performance of the Company during the half year ended September 30, 2023, has been satisfactory. As you all know, H1 is generally muted as off -season expenses in the Sugar business are expensed off during this period. Our Alcohol business has grown very well , due to capacity expansions during FY 23 and the stabili sation of all operations since then.

The Power Transmission business is charting new heights, contributing both in size and growth to the Company as a whole. We're all set for the new sugar season and an overall crop that seems healthier due to favourable climatic factors as well as due to the rigorous sugarcane development activities that has been undertaken by the Company 's teams.

For the half year, revenue from operations stood at ■ 2,606 crore , an increase of 1.4% and Profit Before Tax stood at ■ 130.2 crore , an increase of 15%. While comparing profitability, we should note that Q2 / H1 FY 23 includes ■ 11 crore of dividend income received from the erstwhile associate company, Triveni Turbine Limited. As you may be aware, Triveni Engineering & Industries Limited has completely divested its stake in Triveni Turbine Limited last year. As such, there is

no dividend income in the results under review.

Furthermore, the profitability of the quarter at half year considers additional liability against levy molasses, which has impacted profitability of Q2 & H1 FY 24, by ■ 12.1 crore . The total impact being approximately ■ 18.2 crore for the full year. The net provisions previously being made for the estimated increase. The Profit After Tax for

the half year stood at ■ 96.7 crore . I'm going to now discuss the highlights of the business before turning to the businesses in a little more detail.

Looking at the Sugar and Alcohol business, while sugar sales volumes were lower during the half year due to lower quotas given by the Government of India, the blended sug ar reali sations have increased handsomely by 5.8% at the half year compared to the same period in the previous fiscal year. This is due to high domestic prices an d also due to some export reali sations in the previous quarter.

The Alcohol business reported sales of 9.4 crore litr es, an increase of 11.1% over the corresponding previous period, resulting in an increase in net turnover of the Alcohol business by 20.5% during the half year.

The overall sugarcane crop position seems extremely healthy. The crus hing for the Sugar Season 2023-24, has already commenced at four of the seven sugar units. I would like to mention that two of the other remaining three units would start on the 3rd of November, and the last unit in East U ttar Pradesh (UP) will be starting on the 9th of November. So pretty early start, not just compared to last year, but also compared to the last few years . And I think that is primarily to do with fantastic climatic factors, especially in West ern Uttar Pra desh.

Turning to the Engineering business es. Q2 FY 24 saw the highest ever quarterly revenue and highest ever profitability in the Power Transmission business , which drove robust half year results. The order booking of the Power Transmission business was ■ 155 crore approximately during the quarter, an increase of 36.1% closing the order book at ■ 282 crore approximately , compared year -on-year it's an increase of 15%.

During the quarter, the Water business has also won an important bid at RUDSICO , which is Greater Jaipur and the Letter of Intent (LOI) has been received after the end of the quarter. The outstanding order book for the Engineering businesses combined stood at ■ 1,573 crore .

Looking at the financial performance on a consolidated basis . The net turnover increased by 4.7% and 1.4% in Q2 FY 24 and H1 FY 24, primarily driven by higher turnovers in the Alcohol and Power Transmission business. The sales volume in sugar, including exports were lower by 5.9% in Q2 compared to the previous fiscal year. However, the blended reali sations were higher by approximately 6%. Consequently, the turnover was flat during the quarter. Sales volumes for the current half year also include approximately 14,500 tonnes of sugar that was exported in Q1 of this fiscal year.

The Alcohol business turnover, net of excise duty increased by 19.8% and 20.5% in Q2 and H1 FY 24. And this was due to higher sales volumes driven primarily by operational efficiencies achieved in the post stabili sation period of the new distilleries and an increase in activities in the Indian Made Indian Liquor (IMIL) business.

The combined Engineering turnover increased by 8.7% in the quarter and this performance was boosted by a 28.4% increase in revenues in the Power Transmission business for the quarter under review.

The Profit Before Tax and exceptional items increased by 60% in Q2 FY 24 to reach ■ 130 crore for the half year milestone. The gross debt on a stand -alone basis as of the 30th of September is approximately ■ 295.66 crore as compared to ■ 825 crore as on March 31, 2023. Considering operational surplus funds that have been held in fixed deposits tota lling ■ 285.5 crore , the net debt on September 30 th, 2023, stood at ■ 10 crore only and this is a major milestone for the Company . The stand alone debt for the quarter comprises of term loans of ■ 282 crore and all these loans with interest subvention or at subsidi sed rates of interest.

On a consolidated basis, the net debt after considering operational surplus funds is ■ 101 cr

ore on 30th of September 2023, compared to ■ 914 crore on the 31st of March 2023. The overall average cost of funds stands at 5.81%, against 5.16% in the previous corresponding period, and I think that is primarily a function of the broader markets and the way that they have behaved. And it is still a very aggressively low figure in th ese kind of market conditions. The Gross R evenues, as I mentioned, increased by 9.9% in the quarter under review to stand at ■ 1,617 crore . The EBITDA improved by 32% to standard ■ 75.28 crore when compared to the previous corresponding quarter.

Turning to the Sugar business in more detail. The inventory as on the 30th of September stood at an impressive 19 lakh quintals, which was va lued at ■ 33.6 per kilo (kg). The Cogeneration operations, including incidental cogeneration, achieved external sales of ■ 12.65 crore . This is during the half year, and this was a slight decline of about 25% and as a consequence of our attempts to save as much of the bagasse as possible and achieve higher reali sations by selling that to multiple sources in the market .

The current domesti c prices as of the 30th of October 2023, sulphitation sugar is being sold by us at approximately ■ 40 per kilo (kg), and refined sugar is being sold at ■ 40.75 per kilo (kg) at this particular point in time. So, prices have risen quite a lot in the month of October and November, and I'm happy to discuss that in a little more detail later on during this call.

As I had mentioned, four of our seven factories have started operations and the initial results seem very encouraging where the Pol in cane is higher by a minimum of 0.2 units actually to be precise. And that's very encouraging at this particular point and the early start of the season.

The sugar dispatches during the quarter declined, as I had mentioned, by approximately 6%, whereas the blended reali sation increased by 6%, leading to a net balanced revenue when you are comparing the quarter under review with the previous corresponding quarter.

The industry scenario at this particular point in time in sugar is extremely interesting. At the Indian Sugar Mills Association (ISMA) meeting held yesterday, the pre-diversion sugar production for the country was discussed at great detail and was concluded at 33.7 million tonnes. It is my view that only 3.5 million tonnes of this quantum will be diverted towards Ethanol production and the remaining Ethanol production for the country's requirements will be met through D amaged Food Grain (DFG) and maize.

Consumption last year stood at 28 million tonnes approximately as declared by ISMA. I believe that this year, we will see a small increase in consumpti on going forward as we revert back to the long -term trends. During the COVID -19 period, as many of you know, there was a lull in the consumption levels in the country. And we have played catch up. This year has been a huge year of catch up combating the lu ll that existed for the last few years. And I believe we are now back to the long -term trend in increase in sugar consumption of approximately 2 to 3%.

In the new Sugar S eason 2022-23, the area of sugarcane in Uttar Pradesh as a whole is up by 3%. And I think this is the result of satisfactory rainfall . And I believe that yields too are expected to increase during the season under review. However, poor rainfall patterns have led to a large sugarcane acreage abandonment in other states, including Ma harashtra and Karnataka, which is the result of the lower cane output in these states and for the nation as a whole.

Looking at the international scenario, the global sugar balance is working towards the deficit. The International Sugar Organi sation forecasts a global deficit in excess of 2 million tonnes for the Sugar Season 2023-24. There is, of course, a robust sugarcane crop and sugar production expected in Brazil.

For the 2023 -24 season,
international reports estimate sugarcane production in the April -March period well over 40 million tonnes, which is an absolute record.

In Thailand, we are expecting subdued production in the year 2023-24, which is very much a long -term trend that is being seen from this ma jor sugar exporting country. But despite this huge news coming from Brazil, we're seeing international sugar prices at all -time highs. The New York #11 contract touched new highs in October 2023 , well crossing US 27 cents /lb, driven primarily by global concerns and the expectations of El Nino in Thailand and lower sugar production in India. As on October 30, 2023, the New York #11 forward month trading contract was at levels of approximately US 27 cents/ lb. The London #5 prices have also touched decade highs, and currently trading at approximately $730 per metric tonne.

Turning to our Alcohol business. Our production in Q2 was impacted due to feedstock challenges that led to disruption of the planned production as the Central Government rather suddenly suspended the supply of surplus rights from FCI godowns , the Food Corporat ion of India. And we ha d to switch over to maize as the feedstock for the first time in our history, and we were able to do that after some initial trials quite successfully, and our production of utili sing maize is fairly stable a t a number of our factories. So, we’re one of the first few in the industry to be able to do this switchover quite easily.

The alcohol sales volume increased by 12.8% in Q2 FY 24 over the previous corresponding period, and this was due to the stabili sation of the new grain distilleries that were commissioned in the previous period. The net turnover was boosted by higher alcohol sales, higher Distiller s’ Dried Grain with Solubles , DDGS, which is sold as animal feed and higher volumes in the IMIL business.

The Uttar Pradesh Government has retrospectively amended the molasses policy for 2022-23 on the levy molasses obligations to equate ‘B’ and ‘C’ heavy molasses without considering the respective increased generation or equivalent Ethanol output. This impacted the revenue in sugar and further reduced the availability of molasses as a feedstock in Q2 FY 24.

However, I would like to point out that as of about an hour ago, there has been the new molasses policy for the state of Uttar Pradesh has been released. We are evaluating it presently. But I can share the highlights with you on this call. For the molasses year 2023-24, the policy has been amended so that 26% of ‘C’ molasses will now be levy molasses and 19% of ‘B’ molasses will be the equivalent. So, they have factored in the differential sugar content of both streams of molasses, which did not exist in the previous year. In the previous year, both ‘B’ and ‘C’ molasses were subject to a reservation of 20%.

During the quarter and half year under review, alcohol produced from sugarcane -based feedstock formed 65% and 64% of total sales volume, r espectively with sales of Ethanol made from ‘B’ heavy molasses at 59% and 58% retrospectively. In the previous corresponding quarter and half year, alcohol produced from sugarcane feedstocks was 76% and 87% of the sales volume, respectively.

So quite a substantial difference as we move towards embracing grain has an important feedstock for Triveni Engineering. The alcohol sales from grain constituted as just the converse, 35% and 36% in the current quarter and half year, while the same contributed 24% and 13% in the previous quarter and half year, respectively. Following the suspension of supplies of surplus rights from FCI, the Company did face challenges from price volatility and the availability of feedstocks such as

Damaged Food Grain (DFG) during the quarter. Thus, the Company transitioned promptly to produce Ethanol from maize for the first time in Q2 FY 24.

It is importa

nt to mention that when you transfer from the ‘B’ heavy molasses and start producing Ethanol from maize , the capacity , even running at full capacity is the output of Ethanol reduces by approximately 25%. So that is an important factor to consider in , if we are restricting the quantum of ‘B’ heavy molasses or sugarcane diversion for the Ethanol blending programme and looking more towards grains and especially maize , because it means that the total distillery capacities will have to then be re -evaluated from that perspective.

The sales increased in the quarter by 12.8%, and the average reali sation increased by almost ■1 per litr e in the quarter under review versus the previous corresponding quarter. The PBIT for the distillery business also increased by 7% and stood at ■ 50.5 crore . The domestic industry scenario is extremely interesting. If we look at the previous year of 2022-23, which ended at the very end of October, out of the 600 crore litres, which were finali sed by the OMCs, 565 crore litres had been contracted till October 15, 2023. Against the above, 467 crore litres were lifted up to 15 th of October, which pointed to an average blending percentage of 11.8% up to October 15.

And that ’s I think, ladies and gentlemen is actually a huge achievement for the Ethanol blending programme that despite the tough times, despite changes that have happened, as I have talked about, FCI rice etc. , that we are still managing to meet the expectations of the Honourable Prime Minister and of the Ethanol blending programme .

Of the total contracted quantity of 565 crore litres that I spoke about, sugarcane - based feedstocks collectively contribute 70% with B -Heavy molasses, Sugarcane Juice and C -Heavy molasses accounting for approx. 45%, 24% and 1% respectively . Grain -based feedstocks such as surplus rice, damaged food grain and maize contribute 26%, 3% and 1%, respectively.

For the Ethanol supply year 2023-24, the tender has been floated with an increase of 15% at 825 crore litres. Although the close of this tender, which was supposed to happen a few days ago, has been postponed up to the 3rd of November, which is the end of this week. We ’re still a little uncertain because one does not know what the Ethanol price is going to be for the various constituent feedstocks for the next Ethanol Supply Year. And of course, one can independently have the tender floated as well. And we ’re hoping that all of this will be resolved very soon by the Central Government.

I’d like to turn now to the Engineering businesses. For the Power Transmission business, the increase in H1 FY 24 turnover and profitability was 44.8% and 58.2%, respectively, driven by high domestic sales across all the OEMs. The Defence business received an order recently of ■18 crore for the supply of propulsion gearboxes for fast patrol vessels of the Indian Coast Guard. This marks an entry of this business into the Marine Gearbox segment. The first entry into the Marine Gearbox segment. These gearboxes need to be highly engineered , compact and lightweight to meet the specific requirements of vessels and the Company would be undertaking this project with its own design, in -house manufacturing and testing and with over 90% indigenous content, which is a major step in line with Make in India policy of the Government of India. With this, the defence business will also be well placed to support the nation ’s future shipbuilding projects of similar nature with completely indigenous solutions.

The total outstanding order book on the 30th of September stood at ■ 282 crore for the Power Transmission business. Important to point out some of the financial numbers. Revenues grew by 28.5% in the quarter. PBIT grew by 36.8% in the

quarter. And order booking in the quarter grew by almost 50% when compared to the previous corresponding period.

Turning quickly to the Water

business. The revenues stood at ■ 62.13 crore for the
quarter under review. The PBIT grew by 48% to ■ 6.63 crore , and the closing order book stood at just under ■ 1,300 crore . The results of this segment are based on the consolidated results, which include the wholly owned SPVs executing the Mathura project awarded by the NMCG under the Namami Gange Programme and the Pali ZLD project.

The revenues declined primarily due to the delay in execution of certain projects. But I'm happy to report that the Maldives project was inaugurated by the President of Maldives, His Excellency, Mr. Ibrahim Mohamed Solih in August 2023. During the quarter, th e business has also won the bid of RUDSICO Greater Jaipur under a joint venture agreement with Triveni as the lead partner. The Letter of Intent for the same was received in October 2023, and Triveni 's share of the contract is ■ 355 crore , includin g O&M and GST.

The business is actively targeting foreign projects whenever it processes the pre - qualifications , and the funding is ensured through multilateral and reputed agencies. The outstanding order book on the 30th of September stood at ■ 1,291 crore , as I mentioned, which includes ■ 892 crore of O&M contracts that will be executed over a longer period of time.

Turning quickly towards the outlook of the various businesses. The Sugar business, as I mentioned earlier in my opening remarks, this is a very exciting and interesting year with lower production estimates for India and the support that the sugar industry has to make towards the Ethanol blending programme of the nat ion. And so we are in a planning stage and in deep conversations with Department of Food & Public Distribution (DFPD) and the various other ministries to look at what is the total quantum of sugar output, how can we secure the larger quantum of sugarcane for crushing at sugar factories and supporting the Ethanol blending programme at the same time. I believe this will be certainly achieved through a process of continuous dialogue.

Furthermore, we 're also closely reviewing the sugarcane price increase, if any, for the new sugar season. And we 're very confident, and I 'm personally very confident that the State Government of Uttar Pradesh will look at a sound and well -reasoned increase, if any, for the sugarcane price SAP for season 2023-24. The Company has implemented a robust sugarcane development programme with the farmer community based on a multipronged strategy. And we 're seeing very clear and huge strategic advantag e for us in our area, not just in terms of combating red rot, other diseases and pests but also looking at varietal replacement and massive yield enhancements for our farmers.

This is also coupled with the e normous digital intervention that is happening to include our entire farmer base of 3.5 lakh individuals. The Company continues its investments towards debottlenecking, enhancing our crush rate, higher production of refined sugar across our various units. And this with robust pricing that is forecast in the next few quarters will of course bode favourably for the results of the Company .

Turning to the Alcohol business. We're in the state of limbo because for the supply year 2023-24, the prices are yet to be announced. I believe that they will be announced with a reasonable increase in the very near future. And also , the tender floated by the OMCs will come to its conclusion so that one can start supplies as quickly as possible.

We have successfully raised our capacities from 320 KLPD in FY 22 to 660 KLPD and we're on track to raise our capacity to 1,110 KLPD. I talked about the

Engineering businesses, where the Power Transmission business has scaled massive new heights. The infrastructure growth and expansion of the steel and cement sectors for waste heat recovery have been huge sources of new demand for this business. W

e also see massive demand not just today but continu ally in this decade in the oil and gas sector, especially for requirements of steam turbines, gas turbines, pumps and compressors, both domestically and internationally.

The setting up of the dedicated multi -modal facility for defence products would also help gain business confidence with key customers and expand our service offerings. And that investment is well underway, which will be commissioned in the next fiscal year.

In the Water business, after achieving success in Maldives and Bangladesh, we are aggressively targeting expanded activities overseas. The domestic market opportunities are also increasing in recycle and reuse wastewater and the Water business is equippe d to handle this market. We're also exploring Public Private Partnership (PPP) opportunities for Sewage Treatment Plants (STP) recycling. The municipal business is also looking extremely attractive in many states, which is a big difference when I track back my comments that I have made maybe a couple of quarters ago. I think we're very well positioned at this particular po int in time and there's a renewed interest at the Central and State Government and Municipal Government level in a variety of different water projects.

Just in terms of a concluding comment, I think our business strategy has revolved in identifying h arnessing growth opportunities to achieve long -term value creation for our stakeholders and I think we've done a reasonable job. These are very interesting times, and all the businesses are firing on all cylinders .

I'm happy to take questions at this point in time . Thank you.

Question -and-Answer Session

Moderator : The first question is from the line of Sanjay from DAM Capital Advisors. Please go ahead.

Sanjay: I have two questions. What is the expected sugarcane crushing you're looking for the season? How much sugarcane you think will be diverted towards B heavy, C heavy and juice molasses?

Tarun Sawhney: Are you asking for the Company or for the industry?

Sanjay: Yes, I'm looking for Triveni as a group.

Tarun Sawhney: We do not give forward -looking estimates as far as our crush is concerned. However, as I had pointed out, this season has started off, we believe that our area under sugar cane has ex panded as well as the yields of the cane in our factories , in our reserved area has also increased. Last year, we had a crush of approximately 933 lakh quintals . And this year, we're looking at levels higher, certainly higher. We anticipate our total sugar production to be higher, probably in the range of approximately 8% to 10%.

Sanjay: What quantum of sugarcane would be diverted towards?

Tarun Sawhney: It's very difficult to give you an estimate of what will be diverted towards 'B' heavy without knowing the price. So , with the higher sugar prices at this particular point in time, actually, the right way for me to answer this question for you is to say th at we actually will go wherever we have higher profitability. Because we have multi -feed and multiproduct distilleries and our distillery model is extremely well diversified, we

have the flexibility to be able to look at multiple feedstocks and multiple pr oducts as outputs as well.

And once we know the relative pricing of all the various items, as announced by the Government of India, we will then be able to determine within a day in terms of how much we will be diverting from B heavy or from C or from anything. We may get surprised on the juice number as well. We may certainly get surprised on the grain numbers for Ethanol as well. So , it's very difficult to give you that estimate right now. Rather, it's impossible to give you that estimate right now without knowing the prices.

Sanjay: My second question was on the levy part. You mentioned that Government has just released this new molasses policy. S

o , considering the 26% for the C molasses and 19% for the B, would your obligation for the levy molasses would be higher than last year, 2022-23 season or it will be lower?

Tarun Sawhney: Last year, as I mentioned in my opening remarks, the Government amended its policy to say that 'B' and 'C' were being considered at the same level. So , the 20% of last year's obligation was both for 'B' heavy molasses as well as 'C' heavy molasses. For this year, the difference in the new policy, which we are still evaluating because it's just come across my desk only about 1.5 hours ago is 26% for 'C' heavy and 19% for 'B'. So, in B terms, it's lower. In C terms, it's higher.

Sanjay: Okay. So , the proportion of 'B' heavy and 'C' heavy will decide whether it will be lower or high, understood. Just one last one bit on the Ethanol capacity utili sation plant, given the way sugar prices are prevailing, and it seems likely to prevail at higher levels only for the full season, do you think that you would be able to utili se your Ethanol capacity to the full, given the fact that diversion probably this time would be lower?

Tarun Sawhney: I think that's a great question. As I just answered in the first part of your question, w e are in a unique position at Triveni, where we have multi -feed distilleries. We also have multi -product distilleries. And so , we are able, for large portions, for the majority portion of our distillery capacity, including both our new plants that will be commissioned, the first one commissioned in Q4 of this fiscal year, to be able to use any form of grain or any form of molasses feedstock.

So, we have complete flexibility. And the natural answer to your question is we would still be running at 100% capac ity utili sation. Now depending on what we are using, the various capacities and outputs change based on the feedstock. But our capacity utilisation will be running at 100%.

Moderator : Next question is from the line of Shailesh Kanani from Centrum Broking.

Shailesh Kanani: Good afternoon , everyone. Thanks for the opportunity. I have a couple of questions. How has been our experience working on maize as a feedstock? And given that in your opening remarks, you highlighted that our expansion plans continue to be on time, are we confident about availability of maize as a feedstock for us and for our EBP programme in general?

Tarun Sawhney: Excellent question. So let me star t off with our experience. The experience with maize actually has been very good. It will continue to change, of course, as the variety of maize is not ideal for Ethanol production. The Government is acutely aware of that. And they are bringing about new seeds. So future years, the type of maize that we will be able to procure will be more suitable for Ethanol blending. But from a procurement perspective, for the last few months sin ce July/August, we have not had any problems in procuring maize, part of it during the season, part of it during the off - season, of maize as well. So that has not been a problem in Uttar Pradesh at all. And we have stocks for another mont h as well already secured and with us at this particular point in time.

Before I forget, from an operational perspective, operating on maize gives you 25% lower output of Ethanol . That is a b ig difference in terms of the total output from the same capacity of distillery. The other important point is when you compare maize to rice, the quantum of DDGS that you get is more than double. So , you get a substantial reali sation from that perspective as well. As a matter of fact, the realisation from maize is probably better than market grain at this particular point in time, looking at the various values. So , the experience in a nutshell has been very good.

Now let me turn to the second part of your question about annual quantities, etc. This is very important to note that these are a ll seasonal crops. So , at this particular point in time, when we look ahead in terms of our planning, we see that we h ave enough maize and mo lasses , etc. to go through until the very end, until about the end of December.

But when we come into January, we have the rice crop. So , we have a huge opportunity of getting low priced DFG, damaged food grains, that will substitute for maize, until the new maize crop comes to us in the month of April, which will be with us till the summer. And then we have summer paddy. And after summer paddy, we have the second crop of maize and then the cycle goes aroun d.

And if you go back several earnings conference calls, I have always stressed that having multi -feed distilleries is absolutely crucial for the industry, for the sugar industry especially to be able to then navigate these changes that we've seen, these huge changes. And we at Triveni are totally set. And we've forecasted for this. And it is what is happening. And we're very confident of meeting our capacities.

Shailesh Kanani: That is useful. So , in a nutshell, is it safe to assume that ■ 8 to ■ 10 per litre, what is the EBIT, what we make under grains is similar in the case of maize as the output of Ethanol will be lower, but the quantum of DDGS, as you said, is higher? So , is that a fair assumption to make?

Tarun Sawhney: I don 't have the numbers with me right now, but the numbers that you were talking about was based on FCI rice, which was at a lower price point. Market rice, D FG is at a different price point with a different sale point. And those numbers are definitely lower than the ■ 9 - ■ 10 that existed for FCI rice. Similarly, it is also lower for maize as well. However, I think all of that will change , because I think that given what the sugar production is, given what the diversion towards Ethanol is going to be and given the huge EBP programme and the targets that have already been declared by the oil marketing companies, and therefore, the contribution that is required from the grain sector both D FG and maize, the prices of maize and D FG are going to be appropriat ely revised , so that you get additional capacities coming up to process those feedstocks. So , I'm very bullish on that front.

Shailesh Kanani : My second question is the PT B division. If you just highlight the status of the expansion? And any guidance on asset turns we can give going ahead, say two years, three years down the line?

Tarun Sawhney: In terms of the expansion, we're very much on track. We're looking at the building construction to be complete by April 2024 and the machines to come in thereafter and the plant to be fully commissioned probably around Q1 of FY 2025. So , three quarters from today, which is very much on plan and what one has discussed. Typically, in terms of asset turns, we don't really disclose any numbers.

Shailesh Kanani: But Sir, our margin profile would remain very robust, right? The way we are enjoying the margins right now, upwards of 30%, that would kind of remain even on expanded term. I s it a fair assumption, Sir?

Tarun Sawhney: I think that's a very fair assumption . I think the growth that one is looking at is really it's not at the cost of any margin dilution. In fact, we look at our margin structures very carefully, and we've managed to maintain our margin structures when times were tough. And now with the expansi on both domestically and serious expansion internationally, we expect margins not to dilute as we grow.

Shailesh Kanani: Last question from my side. At current sugar elevated level, how do we see sugar prices during crushing? Because normally crushing sea son the sugar pricing tends to be downwards. But given the scenario where everybody is expecting a lower sugar production. So how do we see sugar pricing bottoming out for this year? And at this elevated sugar rate how can we pencil in

any guidance on the consolidated margins for 2H, for the year. That's the last one for me .

Tarun Sawhney: I'm not sure if I can give you a response on the consolidated margin. But you're absolutely right. I think that trend is something that we're going to see again at this particular point in time. I think sugar prices have been elevated because we're in the festival period. We've had a la te Diwali this year. We're not even at Diwali at this particular point in time. And because there is a festival demand, prices do get elevated, and just at the start of the sugar season. So , we're seeing very robust pricing , that pricing may remain for this month, maybe even next month. But as the sugar factories are in full operations, and they sell their stocks across the country, I'm not talking about Triveni, but the country as a whole . I do see overall sugar prices moderating. I won't say even declining. I would say moderating to perhaps a slightly lower level during Q4 of this fiscal year. However, beyond that, I think it's a function of supply and demand. We are in a perfect situation where supplie s are meeting demand, and we have a perfect closing balance. Overall, I don't see any great reduction in sugar price averages a s we look forward for the next 12 months or so, some small decline followed by some small increase.

Moderator : The next question is from the line of Rajesh Majumdar from B&K Securities. Please go ahead.

Rajesh Majumdar: Good afternoon , Sir. My main question was regarding the impact of red rot, which we have heard from certain other companies in Bijnor and spreading in Western UP. Now we've seen the impact of red rot in Eastern UP for the last 2-2.5 years, and the impact has been over a two-year time frame. So , are you fairly certain that we will not see that kind of an impact persisting in our main catchment area for a longer time period? And my related question is what is the proportion of Co-0238 we have in our sugar mills right now to mitigate this crisis somewhat?

Tarun Sawhney: It's a great question . So, let me start off by saying that, yes, in our Ramkola unit, and I pointed this out in previous calls, last year, we did have the incidence of red rot. It was a reasonable instance. It wasn't massive like it was in some other areas. And I think that was primarily due to our cane development activities. This year, we have seen red rot that has come up in our factories that are in cent ral Uttar Pradesh, the ones near Bijnor . We're not seeing it in particular in core West UP Sabitgarh, Deoband, Khatauli and et c. And that's pretty positive. However, it is something it is bound to come. We're also seeing less disease, rather pests, the bor ers, et c which is that plagued us last year. But red rot is something that is there.

Once it spreads, it's going to spread with water and flood irrigation is the most commonly form of irrigation with the sugarcane crop sad ly. And that is something that is going to propagate the spread of this disease. So , I do believe that for low lying areas, Co-0238 variety is definitely something that has to be replaced instantly. We have already started this programme .

Now let me answer the second part of the question. The total impact of red rot for Triveni is still marginal and nothing more than that per se. We have two factories that could have an instance, but the other five are relatively secure as far as red rot is

concerned. The important fact to note is the changes that we ’ve made. So , we had this experience in Ramkola. We started off with Ramkola as well as all the other units in one prong of our cane development programme , which was varieta l replacement.

So, for the start for the sugarcane season 2023-24, which is this season, the total quantum of area under Co-0238 for us is a remarkably low level of 70% of total cane, which is a huge difference when I co

mpare it to other people in the industry. We are moving from this number of 70%, and our target is to reduce this quite substantially by next year. A huge reduction in Co-0238 next year, whether we experience red rot or don't experience red rot. We're going to completely eradicate it in all low -lying areas across all seven units.

Rajesh Majumdar: If I get you correctly, you are not foreseeing the spread of red rot into the core Western UP area in this sugar season. However, you feel it will come next season, so that you're taking precaution to that effect. Is that correct?

Tarun Sawhney: It's very tough to tell if it's going to come next year in a substantial manner or not. How it's going to be eradicated. Because when you spot red rot, you have physical initiatives that you can take of de-clumping , of adding the requisite powders et c., the pesticides that are required when you first see red rot. It’s about the nimbleness that you have in you r cane development department. It ’s not something that happens, and you can ’t do anything about it. You can certainly do things about it to try and prevent its spread in a locali sed area. But in a much larger area, area where you have no control, Triveni won ’t have control over all of West UP together. So , I don't know what the impact will be. It may not be next year. It may be the year after. But red rot will come at some point or the other.

The point is that you have to have an active management strategy that in the high land areas, you keep continue with Co-0238 , which is a wondrous variety. You don't have any water logging, so you don't have spread of disease and you balance out your varietal balance with a whole load of other varieties. So , where you have the areas that are susceptible, you change the varieties in those areas. That, I believe, is the sort of cane development 10 1 at this point in time.

Rajesh Majumdar: My second question is you had mentioned earlier that your estimate of the cane price increase in UP is about ■15 a quintal. Is that still all right? Because we are hearing to talk in the market of ■25 per quintal ?

Tarun Sawhney: It's very difficult to tell. I may be wrong , I hope I'm not, but I may be wrong. The one thing that I 'm very confident about is that the UP government fully understand s the plight of the industry. And it appreciates the plight of the industry, and it knows the kind of work that the industry is doing to deliver farmer returns. Because cane price is only a measure of bringing about substantial returns. And when you see the kind of yield enhancements that have happened this year compared to last year, for the state of Uttar Pradesh as a whole, the returns of the farmers are going up because the yields are higher and ther e is more area under cane. So, there is a double benefit to farmers. So , frankly speaking, I do not think there is a real requirement for any huge increase in State Advis ed Price (SAP), and I still remain hopeful, although I'm not the decision maker here.

Moderator : Next question is from Nitin Awasthi from InCred Equities.

Nitin Awasthi: Hello Sir. The first question would be the diversion towards Ethanol on the industry level. ISMA had quoted 4 million, if I'm correct, earlier. You, in your various presentations had also quoted 4 million earlier. And now in this call, if I heard you correctly, you said it could be around 3 million. Is that correct?

Tarun Sawhney: No, I said 3.5 million.

Nitin Awasthi: 3.5. Okay.

Tarun Sawhney: Up to 3.5 million.

Nitin Awasthi: Okay. Then if you're saying that you would be able to judge , the question which I'm going to ask is that it is going to be very hard to meet the 15% blending requirement if you ’re going to cut down on our absolute number of divers ion of cane, isn ’t it?

Tarun Sawhney: Well, let me just say that to be able to get about 475 crore

litres, the whole amount never comes in any case. For 15%, the levels are much lower. So , it's not 825 crore litres that the oil marketing companies have tendered for 15% level will be substantially lower than that. It will be approximately 500 and something crore litres. The mathematics, of course, is very easy to work out when you look at 11.8% up to the 15th of October, the numbers that I just gave in my opening remarks.

But I think that grain distilleries will step up to the challenge, plus those sugar factories that have multi -feed capacities, just like Triveni's distillery business does, will also step up to the challenge. So , you will get greater quantum of supplies from existing assets at that point in time. Also, I think that towards the end of the year, there were many projects which were stuck in limbo because people didn't know what's going on with respect to future pricing, and they were wai ting for this year's announcement.

If the price of Ethanol manufactured from grain improves by a marked level, which I'm fully anticipating , I think we will see Q3 - Q4 supplies to be up. And that is the particular period in the Ethanol Supply Year , which becomes a little ticklish as far as the Oil Marketing Companies are concerned. So , I think the balance, 15%, yes, it's a tough ask. It's not an easy number to fulfil. I don't think it's an easy number to fulfil. But I think the mathematics still exist. In a perfect scenario, the mathematics still exists to be able to achieve that. However, the moving parts, the most important levers to be able to ensure that 15% is Ethanol pricing from the various feedstocks. And that, we don't know what those numbers are as of now.

Nitin Awasthi: The second question is on the sugar side of things, you seem to be one of the largest, if not the largest Grain ENA manufacturer as of now. And with your coming capacities, like you said, if you move the fun gibility to the grain side, one could count you in the grain manufacturers distiller ’s association also. But let's keep that aside. Just because of that, I want to ask you a few things. You highlighted already the previous participant the difficulties or the challenges when you move to maize . So, with that, if you could just quantify that a little? Like when you move to maize, what was the pricing of maize that you acquired maize at? What is it now as the market has settled? Is maize DDGS being affected in the market? Is maize oil being a challeng e or a benefit for the industry?

Tarun Sawhney: When we started procuring maize, the price of maize was sub ■ 19 per kilo (kg). It went up because the moment everybody wanted maize, it, of course, became dearer. And about a month ago, it was about ■ 20, just shy of ■ 20, ■ 19.75 per kilo (kg). Some trades were done at ■ 20 kilo (kg). And now it's on a downward cycle as well as maize crop comes to an end and it move towards ■ 19. I think the pricing of maize, despite the fact that everybody wanted it, was fairly stable. We didn't see any irrational moves. The moves that we saw, for example, in rice that happened in the previous few quarters, certainly did not happen in mai ze as maize was diverted for the EBP programme and we became a large procurer of this food grain.

With your second question of the DDGS that comes from maize, no, we've not had problems. Of course, the quantum is much larger. So , you need to find more people to be able to sell it. It ’s 27%, which is on maize, which is a large quantum of DDGS. But it ’s important to mention that the buyers of DDGS are fairly large.

So, it's a moving market and the prices increase and decrease. At this particular point in time, they've decreased by about 1 - 1.5% the prices as of three to four weeks ago. But I don't see that as a problem. They will rise again. It's a function of what are the other substitutes for maize DDGS that is avai

lable as animal feed in the market. But DDGS, for us as a nation, I think long -term pricing is definitely going to improve. There is no question about that and should improve quite substantially.

Nitin Awasthi: The third part was on maize oil. Is that a challenge while making maize Ethanol from maize rather than rice?

Tarun Sawhney : No, we don't manufacture maize oil. There are very few people that actually do, these are technological choices that you have. So , we don't really have any experience on that front.

Moderator : Next question is from the line of Krutika Vispute from Tata Asset Management. Please go ahead.

Krutika Vispute : I had a question on the levy molasses part. In your presentation, you had given an impact of ■ 18 crore for the full year . I believe this is for the financial year and ■ 12 crore is what you have taken for the September first half. So that is one whether it's for the ■ 6 crore impact is yet to be seen, which we would see in the coming quarters? That is one. And on the new policy that you mentioned. Now earlier, I believe the rates were around 20% levy firstly it was for C heavy and then ‘B’ heavy was also brought around the same level. Now the percentage that you mentioned was 26% for C and 20% for ‘B’. So, given that on the whole , this percentage is going up, is there an estimate of how much this could impact in terms of actual number on the EBITDA?

Tarun Sawhney: Let me answer your first question. The answer to your first question is yes. The balance ■ 6 crore is yet to come. The answer to your second question is you've got the numbers just slightly off. Last year's policy was 20% be it ‘B’ or ‘C’ made no difference. They didn't distinguish the two. This year's policy is 26% on ‘C’ and 19%

on ‘B’. So, it really depends on what you're making. For example, if you were only to make B, we're actually 1% better off as compared to last year. So , there ’s actually an EBITDA benefit from that perspective. But at this particular point in time, we don ’t know wh at the rates of Ethanol made from the various constituents are. So , we don't really know what we're going to be making.

Four factories have started. At this particular point in time, they have started making ‘B’ heavy molasses. So , we're hopeful that, that strategy will pay off. But if not, that we will simply reprocess it and make ‘C’ final. But all those flexibilities or rather all those numbers will only get crystalli sed once we know what the pricing is. And I'm anticipating that in the next week or 10 days, we will certainly have that by Government of India (GOI).

Krutika Vispute : Just one more question, if I can squeeze in on the red rot. Just to clarify, you mentioned that this year, we are not seeing as much of a risk and it's only in the Central region that we are seeing risk of red rot, is that the case?

Tarun Sawhney: This year, I will only talk with respect to Triveni Engineering. I can't comment on the state because it could very well exist in o ther portions of Uttar Pradesh. Five out of our seven factories remain unaffected. Two of our seven factories that are close to the Bijnor region have some small impact, but we acted upon this very, very early. One of those factories ha s started. And actually, we've been very good in terms of getting cane that is totally unaffected by red rot. That factory started 48 hours ago. So, it’s been pretty good thus far. And the second factory will start on the 3rd of November, just in a few days’ time. And again, I ’m very hopeful that we will be able to minimi se that impact of red rot in that factory, whatever that exists.

But you should know that when we did discover it, we did a lot of rouging , we did a lot of dosage of pesticides etc., that happened at the ground level even at that time of discovery. So, I think we were well ahead of the curve. So relative impact for Triveni

Group has been curtailed.

Moderator : Next question is from the line of Ambar Taneja from Geomatrix .

Ambar Taneja: I actually have several small questions. I read the press release from ISMA . I have two or three small questions. The press release from ISMA spoke about a gross sugar production of 33.7 which if we assume 3.5 million tonnes of diversion would mean sugar production of about 30. So , this is, I think lower by another 1.5 million tonnes from the numbers that were just released maybe 15 days ago. Is my understanding correct or am I missing something here?

Tarun Sawhney: You're talking about release s by ISMA. ISMA is an industry body, a nd they revised their estimates. So , I think the previous estimate was the one that they had for several months. In their latest press statement that they made a couple of weeks ago, they may have reiterated the previous estimate that they had. But to my knowledge, the only revision was the one that was made yesterday. So , it's not a change over 15 days. I think it's a change that's been made after three months , after we've actually seen the start of the sugar season that's happened across the country and m ore realistic satellite data has been evaluated and therefore, there's been a need to revise the change. What you heard maybe, I don't know when you heard it before that was a function of the previous estimate, which is 3 - 3.5 months old.

Ambar Taneja: The next question is, what would be, because this new policy, according to me, I mean, they've accounted for the fact that ‘B’ and ‘C’ heavy have different sugar content. But net -net, I guess it's not too much of a differe nce, except the fact that they've calibrated it. And as you rightly said, you are going to wait for the pricing decisions to make a decision about how much you allocate to ‘B’ and how much you allocate to ‘C’. For the current sugar price, which is, as you said round about ■ 40, what would be a ‘B’ heavy Ethanol price, which would be equivalent to a ■ 40 sugar price?

Tarun Sawhney: If we were to assume that that the ‘B’ heavy prices would be increased by the increase in FRP of what, 3% by ■1.20 - ■1.30, something like that. At that point in time, the economics certainly go in terms. At ■ 40 sugar pricing, the economics are in favour of manufacturing ‘B’ heavy in your restricted scenario.

Ambar Taneja: So you're saying even at ■40, Ethanol from ‘B’ heavy would be more remunerative, correct?

Tarun Sawhney: Would be more remunerative if the FRP increase was equated in the new ‘B’ heavy price.

Moderator : Next question is from the line of Maulik Chaudhari from Monarch Networth Capital. Please go ahead.

Maulik Chaudhari : My question is regarding PTB business. So , this quarter, our revenue is ■ 78.5 crore . So how much is export revenue? And also, its YoY as well as Q oQ growth?

Tarun Sawhney: I don't have the export revenues directly in front of me. But for the half year, export revenues are higher. If you contact us offline, we'll be able to give you these granular details.

Maulik Chaudhari : Can you talk about the traction coming from overseas market? Like how is the demand over there ?

Tarun Sawhney: The traction is extremely good. I think the demand is from across OEMs. So , we're seeing a big build -up with respect to turbine both steam and gas , pumps and of course, most importantly compressor OEMs from Western Europe, North Ame rica, Japan, other parts of the world, e tc. In terms of our extension of business relationships with them, we are in the process or have completed all the necessary qualification orders, et c., because these are new markets for us. And your qu estion, of course, is very, very well taken.

And so , we see that over the next 12 months, we will see a reasonably good, a very encouraging order book increase from these customers internationally. In terms of attr

ibuting numbers to this growth, I'm afrai d I can't do that at this particular point in time. But we're very well positioned as we embark on a brand -new chapter. Classically, we were restricted to the Indian Subcontinent and a few other countries. As far as our sales are concerned, now that the ca nvas is much broader, we have a huge market opportunity in canvas.

Maulik Chaudhari : My second question is also the ■ 78.5 crore , how much is aftermarket?

Tarun Sawhney: Again, I don't have that number with me. If you contact M s. Surabhi Chandna offline, who is our Investor Relations Head, she'll be able to offer those numbers to you.

Moderator : I now hand the conference over to the management for closing comments.

Tarun Sawhney: Ladies and gentlemen, thank you very much for joining us this afternoon to discuss the Q2 / H1 FY 24 results with Triveni Engineering & Industries Limited. As one of the gentlemen on the call just commented, we are at a very exciting point across all four of our businesses. In the Engineering perspective, the Water business is at an excellent point in terms of new order generation, etc. It's a very exciting time for that business domestically and internationally.

Our Power Transmission business is poised for very substantial growth that has already been demonstrated. We're h opeful with that trajectory continues. And all signs point that things are going rather well in that business. Turning towards the commodity part of our business. Again, this is a slight shortage year. We have some demand and supply balances to cont end with, etc. but it is a very exciting time , higher prices across the board . And it bodes well, especially for the UP sugar industry and for Triveni within Uttar Pradesh as a result of all the work that has been done by the teams over the last several years as far as cane development, and we are reaping those rewards.

I look forward to discussing our results with you in the n ext quarter where we will be 40% of the way through the season. And it will give us a better opportunity to review the actual recoveries, pricing, et c. at that point in time. Thank you very much. Have a good day, and Happy Diwali.

Moderator : Thank you very much. On behalf of Triveni Engineering & Industries Limited, that concludes this conference. Thank you for joining us.

Call: Mar 2024

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Triveni Engineering & Industries Limited
Q3 & 9M FY 24 Earnings Conference Call Transcript
January 31, 2024

Moderator: Ladies and gentlemen, good day, and welcome to the Triveni Engineering & Industries Limited Q3 and 9M FY 24 Earning s Conference Call. I now hand the conference over to Mr. Rishab Barar from CDR. Thank you, and over to you, sir.

Rishab Barar: Thank you. Good day everyone, and a warm welcome to all of you participating in the Triveni Engineering & Industries ' Q3 and 9M FY 24 earnings conference call . We have with us today , Mr. Tarun Sawhney, Vice Chairman and Managing Director; Mr. Suresh Taneja, Group CFO; Mr. Sameer Sinha, CEO Sugar Business Group; as well as other members of the senior management team.

Before we begin, I would like to mention that some statements made in today's discussio n may be forward -looking in nature, and a statement to this effect has been included in the invite, which was shared with everyone earlier. I would also like to emphasize that while this call is open to all invitees, it may not be broadcasted or reproduced in any form or manner. We will commence the call with opening remarks from the management, following an interactive question -and- answer session. May I now hand it over to Mr. Tarun Sawhney. Over to you, sir.

Tarun Sawhney: Thank you, Rishab. Good afternoon, ladies and gentlemen, and welcome to the Q3 & 9M FY 24 earnings conference call for Triveni Engineering & Industries Limited. The overall performance for the Company during the nine months ended December 31, 2023 , has b een satisfactory with a healthy performance in the Sugar and the Power Transmission business in particular. There were some challenges in the Alcohol business due to feedstock constraints and the profitability of the Water business was impacted due to a slower execution on some of the projects, and these are problems relating to some customers.

For the nine months, the revenues from operation s (net of excise) stood at ■ 3,918 crore with a Profit Before Tax (PBT) of ■ 312.3 crore and a Profit After Tax (PAT) of ■ 234.1 crore . At the recently concluded Board meeting, the Board of Directors of the Company has declared an interim dividend of ■ 2.25 per fully paid equity share for the FY 2023-24 and a special dividend of ■ 2.25 per share.

The Board has also approved a new venture of the business of manufacturing and marketing I ndian Made Foreign Liquor (IMFL) as part of the forwa rd integration of our distillery operations. This would involve the establishment of a state -of-the-art bottling facility at our Alco-Chemical facility in Muzaffarnagar in Utt ar Pradesh to produce high -quality I MFL products. The total capital cost w ould be approximately ■ 25 crore , and it is subject to the necessary statutory clearances. The facility is expected to be ready for commencement of production by the end of Q1 FY 25. So, in a few months' time .

It was also noted by the Board that the project for enhancement (in existing capacity) for the Power Transmission business for ■ 250 crore to ■ 400 crore is under progress and is expected to be completed by December 2024 instead of March 2024 as informed earlier . The Board has also further approved the CAPEX of ■ 180 crore for further enhancement in capacity from ■ 400 crore to just ab ove ■500 crore . It is important to note this is the reason and the rationale for this approval at this stage is because of the longer time period in acquiring some of the very highly specialized equipment s from some of the European vendors. Some of the highly specialized machines have order timelines of 12 -18 months , and therefore, the majority impact of the ■ 180 crore investment approved by the Board will be felt in FY 2025 -26.

It is also noted by the Board that the commissioning of the new multi -feed distil

lery
at Rani Nangal is expected by March 31, 2024, just a few months late. Furthermore, conside ring present Government policy and challenges in the availability of the permitted grains at viable procurement prices for distillery operations, it is been decided to keep the implementation of the new proposed distillery expansion at Sabi tgarh in abeyance . Any further development will be intimated in due course.

The Board has also approved the entering into a share purchase agreement to acquire 25.43% stake of Sir Shadi Lal Enterprises at a total value of ■ 35 crore . The proposed acquisition affords an opportunity for us to expand our Sugar and Distillery business. It is a strategic fit for us as the company has a sugar factory and a 100 KLPD distillery . The sugar factory is in the vic inity of some of our sugar units and w e have evaluated the opportunity of the company, and we believe that it is capable of being turned around by us in a very short period of time. The equity value of the target has been determined at ■138 crore based on our estimated value of assets and liabilities, which is primarily from information in the public domain and our knowledge of the target being in the same geographical area of operation .

Returning to the highlights of the businesses. For o ur Sugar and Alcohol business, there's better performance in terms of crush and recovery during Q3 in the ongoing Sugar Season (SS). The crush (sugarcane) is higher by 6.7%, and the recovery is higher by 38 basis points on a net basis (after considering the diversion of sugar in B-heavy molasses). And the sugar production is higher by 11%, that is it was extremely encouraging and higher than what had fo recast and spoken to you all about at our previous conversation. We are quite happy about the improvement in total sugar production.

The highe r sugar realizations have helped the Sugar segment profitability and largely offset the impact of lower sales and the increased cost because of the revision in S tate Advised Price (SAP) . Alcohol sales of 13.8 crore litr es for the 9M FY 24 , an increase of 8.3% over the previous corresponding period. The segment profitability has been impacted due to low -margin maize operations in substitution of using the surplus food grains from the Food Corporation of India (FCI) . FCI rice is what was b eing used for in the previous corresponding period.

Looking at the Engineering business es, t here's been a robust increase in both turnover and profitability in th e Power Transmission business growing at 34% and just under 45% Y-o-Y for turnover and profitability, respectively, for the nine-month period. The order booking also increased by just a shade under 25% increased by ■ 240.5 crore and closed at ■ 297.2 crore . The outstanding order book for the entire Engineering business, including our Water business stands at ■ 1,546 crore .

The Profit Before Tax (PBT) for the Company declined by 8.4% in Q3 FY 24 and was flat for the nine-month period. This is because, as I mentioned, the Sugar business reported higher profitability due to higher realization prices. The Power

Transmission business also reported significantl y higher profitability commensurate with the higher turnover. And there was a decline in profitability of the Distillery operations, as I mentioned with the substitution of maize for FCI rice, and the segment profitability of the Water business was in li ne with the lower turnover of the business.

The gross debt of the Company (on standalone basis) as of December 31, 2023 is ■ 515 crore compared to ■ 389 crore . However, after considering surplus funds, which are held in Fixed Deposit (FD) of ■ 369 crore , the net debt is ■ 145.5 crore . The overall cost of funds is 5.25% for Q3 FY 24 vs 4.75% in the previous corresponding period.

Looking at our Sugar operations. As I had mentioned, the real isations h

ave led to
much improved contribution margins and have offset the impact of lower sales volume and increase d State Advised Price (SAP) . It is important to mention that the sugar inventories on December 31, 2023, were 29.63 lakh quintals valued at ■ 36.6 per kilo and this will be a staggering 24% higher than the same situation on the December 31 2022, when the inventory was 23.93 lakh quintals. And the decisions to produce more sugar, I 'll be covering that in our i ndustry update of the Alcohol business, etc., have allowed us to be able to produce significantly larger quantums of sugar . Of course, the higher recovery and higher yields and higher processing capability of the Company has also help ed quite substantially. The co-gen operations achieved sales of ■30.6 crore for the 9M FY 24 period.

The current reali sation is perhaps slightly lower than late November - early December, but still stands at a fairly healthy ■ 38.80 to ■ 39 for refined sugar per kilo and sulphitation sugar is lower , approximately ■ 38.40 to ■ 38.50 per kilo. For the quarter, the sugarcane crush was 3.33 million tonnes, a 6.7% increase. The net recovery was higher at 9.76 % vs 9.38% in the previous corresponding period wit h sugar production being 11% higher.

The gross recovery is also important to give you a flavour of difference, because it gives an impact of what this quarter and Q1 of the next fiscal year which is the last bit of the sugar season . The gross recovery for the Company sta nds at 11% for the quarter under review, which is 0 .39 basis points (bps) higher than the 10.61 % for the previous corresponding quarter .

The average blended reali sation for the quarter was 6.4% higher at ■ 3,952 per quintal. And this led to a P BT increase of 5.5% to ■ 120 crore . On the 18th of January 2024, the Government of Utt ar Pradesh revised the State Advised Price (SAP) of sugarcane and increased all three , the general, the early , and the rejected variety by ■ 20 per quinta l and therefore, early variety has been revised to ■ 370 per quintal, general variety of sugarcane has been increased from ■ 340 to ■ 360 per quintal and the rejected variet ies have been increase d from ■ 335 to ■ 355 per quintal. The press note also notified that t he transportation charges for sugar cane from out centr es has been increased by ■ 0.45 to ■ 9 per quintal. So that is a little bit of a benefit actually to the industry.

Just before that, on the December 15, 2023, the Department of Food and Public Distribution (DFPD) issued directions in view of the expected lower sugar production of the country to limit the sugar sacrifice through B-heavy and

Sugarcane Juice route to 1.7 million metric ton nes of sugar, and this was compared to 3.8 milli on metric ton nes in the previous season. And I think it came as a bit of a surprise to the industry. And of course, it has impacted distillery operations. And will continue to impact distillery operations, not just with Triveni , but for the nation as a whole.

The sugar balance sheet for the season looks reasonably healthy , according to ISMA, with an opening balance on the October 1, 2023 of about 5.6 million tonnes.

The net sugar production now stands revised at 31.7 million tonnes potentiall y with an upward bias. Domestic sales or consumption of about 28.5 million tonnes. We are looking at a closing stock on the September 30, 2024 at a very healthy 8.8 million metric ton nes. This, of course, is after considering 1. 7 million tonnes of sugar diversion towards ethanol .

What I'm trying to say is that actually we have sufficient sugar in the country. And regardless of what the outcome of rains are over the summer months, I think the higher balance is so mething that we cannot be very comforted with in terms of providing enough sugar for consumers within the country and not just this year , but also for the next yea

r.

Amongst the major sugar cane producing states, we expect Utt ar Pradesh to produce between 12-14% increase in sugar output for the season , while Maharashtra is expected to decline by about 15%, and Karnataka by about 22-24%, leading to an overall 3 -4% lower net sugar production for the country. The Government has also imposed 50% duties in the export of molasses, which is effective from the January 18, 2024.

Very quickly, looking at the international scenario, we're looking at a surplus production globally. We're looking at a record output fro m Brazil with estimates coming in above 43 million ton nes of sugar for the 2024-25 season. We are looking at the Thai sugar crop to remain subdued. And this is important because when one looks at the regional balances and regional supplie s of sugar , not just this year, but going forward et c., Thailand is expected to be subdued for this sugar season. International sugar prices still remain robust. After a considerable period of weakness in recent weeks, we've seen prices rebound. And on the 24th of January, the New York #11 contract was trading at about $ 24.5 cents per pound and the London #5 contract had rebounded to just about $ 685 per metric ton ne. Of course, it is up from the recent highs of approximately $ 760, w hich was in November 202 3. But it is still a very robust level.

Turning towards the Alcohol business, during the quarter the profitability of the distillery operations has been impacted due to low -margin maize operations and in substitution for FCI rice. Maize operations would also lead, as I had mentioned in our last call to lower capacity utili sation, and therefore resulting in slightly lower production. The issue of lower capacity utili sation is being technically resolved for us to be able to enh ance our capacities through some very simple changes in the production systems.

The increase of transfer price of B -heavy molasses by ■ 100 per quintal is subsequent to the increase in the SAP and increase in statutory fees of ethanol has also led to some lower profitability. The net turnover was boosted by high alcohol sales for our IMIL business, and that was very encouraging, and a bi g bright spot within our alcohol operations.

During the quarter and nine-month period under review, the alcohol produced from sugarcane feedstocks formed 73% and 67% of total sales volumes respectively. In the previous corresponding quarter a nd nine-month the alcohol produced from sugarcane -based feedstocks formed 64% and 79% of total volumes respectively. So, I think it is important to mention very clearly that this is a concerted decision to produce more sugar. And as the s eason transpires, of course, there will be greater quantum of sugar that will be produced, and so we will be making C -heavy molasses at 6 of our 7 sugar factories for the course of this season.

The inventories will be higher and sugar prices are quite robust. And we believe that the flexibility that we have, as a Company in terms of operations has again been tested and proven that we have made correct investment decisions in the past. The production fell during the quarter under review under Distillery business

by 4.2% to 44,000 kilolitres. However, the sales realisation increased by 4.3% to ■ 59.1 per litre. IMIL sales improved by 25.5% to 11.68 lakh cases for the quarter under review.

Looking at the domestic scenario, the OMCs have announced an incentive of ■ 5.79 per litre for maize -based ethanol with the effect from January 5, 2024. However, I must point out that the majority of this increase, this incentive has been captured by higher maize prices, and maize prices are higher than ■ 24 per kilo touching almost ■ 25 per kilo on certain days as well. So , the majority of this increase unfortunately has been captured or rather taken away, the benefit has been taken away by increased raw mat

erial prices.

Turning quickly to the Power Transmission business, the increase in nine-month turnover and profitability were 33.9% and 44.8% respectively , driven primarily by improved product sales and excellent and favourable produc t mix, improved realisations and our continuing cost control measures. The order booking continues to be robust with higher domestic contribution. Our order book on December 31 , 2023, stood at just under ■ 300 crore , with long -duration orders of ■ 136 crore .

Looking at the Water business, the revenues declined unfortunately due to the delay in execution of certain projects. The business is actively targeting foreign projects, wherever it poss esses the pre -qualifications and funding is ensured through multilateral and reputed agencies. The order booking on December 31, 2023 stood at ■ 1,248.8 crore , which includes approximately ■ 880 crore of O&M contracts, which are ove r a slightly longer period of time. It is important to also mention that we did maintain our profitability. Although, it is lower in line with the lower revenues for the profits of the business. The PBIT was ■ 6.2 crore for the quarter under review.

The outlook for the various businesses, let me start -off with the Sugar business, where we are witnessing improved operational results for the ongoing season, in terms of crush, in terms of recovery, and in terms of sugar real isation, when we compare this over the previous year and season. The current estimates of lower production in the Sugar Season (SS) 2023-24 and 2024-25 are likely to maintain firm, stable and with potentially a small positive bias in sugar pric es.

The recent increase of ■ 20 in SAP has been well absorbed by prevailing sugar prices. A higher proportion of refined sugar production post the conversion of our Milak Narayanpur sugar unit and a higher pharmaceutical grad e production at our Sabitgarh sugar facility augur very well for the sugar reali sations of the Company, in comparison to our peer group . We continue to make judicious investments in our facilities to enhance crush, add quality and efficiencies.

While there may be a shortfall in production, Maharashtra and Karnataka, Uttar Pradesh is certainly showing significantly higher production. The recent weather conditions in Uttar Pradesh of dense fog with limited or no sunshine for long durations, have had a limited impact in certain pockets on yields. But we believe that this has not impacted the plant cane crop. And our estimates of increased production and especially at Triveni Group is concerned stand unabated.

Looking quickly at the Alcohol business, the recent Government actions relating to feedstocks have led to some disruptions in operations, and we experienced that head -on in the last quarter. After utilizing the permitted B -heavy molasses, the distillery operations will be carried out with C -heavy molasses and maize, as the feedstocks. This is in stark difference to B -heavy and FCI rice, which was used in the previous corresponding period. It will lead to slightly lower operating capacities and hence lower prod uction, and the margin structures will also be different.

I would again like to say that in this scenario of feedstock prices, it would be more sensible actually to make greater quantum s of sugar, which is exactly what we will be doing. The situation is under watch. And we hope these pricing situations are anomalies, and that the Government of India will relook at the Ethanol Blended Petrol (EBP) program over the next few months more favourably and give us a little more flexibility in th e industry. In my opening remarks, I had mentioned that our Rani Nangal new distillery facility will be operational by the end of this quarter by March 31, 2024.

The Power Transmission business has a strong and robust outlook. We have seen brownfield and greenfield expansions domestic

ally in a variety of sectors especially
in metals, mining, cement, etc. There is high potential that is being witnessed in the aftermarket, and this is what is resulting in higher levels of profitabilit y. And this primarily comes from the oil and gas and API sector, the power sector and the fertili ser sector. The product business is mainly driven by growth in demand for steam turbine gearboxes, not just domestically, but globally as well. The potential of waste -to-energy through agricultural and municipal waste is going to be very encouraging as well for the Power Transmission business.

On the export s front, there is enormous positive outlook in order bookings and gaining market share across product segments. We're seeing our OEM shares increase especially in Western Europe and in North America. Within the Defence segment, the business expects increased order booking from key segments of propulsion gas turbines, propulsion gearbo xes, propulsion shafting and special application pumps and this will happen hopefully over the next couple of quarters . The setting up of the multimodal defence facility, it will also help in terms of expanding our service offerings within th is business segment.

Lastly, looking at the Water business, after the achievement of success in the Maldives and Bangladesh, the business is trying to expand activities in overseas markets. Having said that, the municipal business opportuni ties are looking very attractive in states. However, there are delays in execution in certain project s. It happens because there has been a lot of activity, economic and non -economic activity that has delayed some executions etc. But we believe that we w ill be back on track in this quarter and in the following quarter as well.

In conclusion, the business strategy in terms of identifying and harnessing growth opportunities for the Company remains the same. We have been able to successfu lly add value for our stakeholders and shareholders. We continue to see significant leadership opportunities in a rapidly evolving and competitive environment. I think the Company is well placed for the future to embrace the next phase of growth.

Thank you very much. I would now like to open the floor for questions.

Operator: The first question is fr om the line of Sanjay Manyal from DAM Capital. Please go ahead.

Sanjay Manyal: I have a few questions. I think your crushing number is approximately 7% up as of now and even recoveries are better. Can we expect the similar trend for the ful l season?

Tarun Sawhney: Yes, I believe we can.

Sanjay Manyal: So, we can expect similar 6 -7% kind of crushing and probably the recovery improvement would be in a similar range, right?

Tarun Sawhney: For sugar production, yes. I think we would be h appy to look at, I think an increase in sugar production by a double -digit figure of 10 -11%. And I think that will continue through the course of the season. The sampling of plant cane that is coming is very encouraging, and we are hopeful tha t the weather that we've experienced in the month of January will abate as we move into February.

Sanjay Manyal: My second question is on the profitability of B -heavy and C -heavy per litre. What exactly has changed after the policy change a nd as well as after the sugarcane price increase in the current season. So, what would be the profitability per litre for B-heavy and C -heavy, even maize -based ethanol?

Suresh Taneja : As regards to B -heavy molasses, we have been getting a pr ofitability of about ■12 - 13 per litre. But as Tarun would have explained to you right at the beginning, there is an increase in transfer price, subsequent to increase in cane price. As a result of that, it will come down a little bit, but it will st ill be strong. And as regards to maize, yes, the margins are under pressure as of now in the region of about ■5 as of now and l

et's see to what extent the correction takes place .

Sanjay Manyal: Okay. So ■12 -13 for B -heavy , ■5 for maize and for C-heavy, if you can explain probably?

Suresh Taneja: C-heavy is also on the same level as the B -heavy molasses. Also, there is a recent price increase.

Sanjay Manyal: Okay. And because the policy change has happened in the mid of the season. So I think our estimate of ethanol volumes would also change. What can we expect in terms of ethanol volume for FY 24 and FY 25?

Sameer Sinha: What would happen is that we would be looking at adding another about close to 5 crore litr es in our dispatches going forward. And for the new distillery coming up, we will be adding another about 4.5 crore litr es for the next year.

Sanjay Manyal: My last question is on the acquired company. I'm assuming that you will be having controlling stake after this open offer and everything. What could be the optimum crushing capacity for this company? I understood I read somewhere it is close to 10,000 TCD, but the number which the crush number was much lower. So, what could be the optimum crushing capacity once you acquired this company?

Tarun Sawhney: We can not comment on the outcome of the open offer. It is still too early to tell. But to answer your second question, the capacity of Sir Shadi Lal's factory at Shamli is 7,500 TCD. And we believe that it can operate at that level. It has sufficient cane, of course. Frankly speaking, it has the greatest quantum of cane amongst factories in Uttar Pradesh.

Sanjay Manyal: Does this company also has the payment, means farmer dues and high debt level also?

Tarun Sawhney: From publicly available information, the debt levels are not very high, about under ■40 crore . But the farmer dues are certainly exists, and it is about ■ 225 crore , which is the dues of the previous season's farmer dues.

Operator: The next question is from the line of Shailesh Kanani from Centrum Broking. Please go ahead.

Shailesh Kanani: Congratulations, on doing well in a very challenging quarter. I just wanted to understand a couple of things. On sugar volume front, we seem to have done well against the quota. Is it due to a pharma grade sugar or the volume seems to be higher against the domestic quota what we have been allotted?

Tarun Sawhney: There are two parts to your questions. But f irstly, the domest ic sales have been higher in the quarter under review , because the second tranche of the September quota, which was allowed to be sold in October was actually sold in October. So that is one reason for the quantum of sales. The second reason, of course, is that we had very attractive reali sations in the month of November, in the month of October and also for the majority of December as well.

Shailesh Kanani: I understand. I just was looking at the volume of quota given to us and the volume what we have don e in the domestic dispatches. So, there was some overlap from the second quarter you're saying quota?

Tarun Sawhney: Correct, because the September quota was given in two tranches. One, the first tranche was supposed to be sold by the end of September and the second tranche could have been sold up to the 10th of October, and we exercised that and sold it in October.

Shailesh Kanani: Second question was related to ethanol volumes. If I heard it right, last year we had done 18 crore and FY 25, you are guiding 22 crore or 27 crore ? I'm confused of the number.

Sameer Sinha : So two parts to that question. One, of course, we did 18 crore . And this year, again, we will be about 18.5 crore plus, 18.75 crore along those lines. And the reason for that is 33% of what we are doing would be grain -based . Therefore, wherein the capacities are limited by 20%. Now going forward , and the second part is that our Rani Nangal distillery, wh ich was supposed to have come a little earlier is n

ow
coming at the end of March, and therefore, we would be adding another, as I mentioned, close to 5 crore litr es going forward for next year.

Shailesh Kanani: So it is around 23 -24 crore will be in the next year?

Tarun Sawhney: Absolutely, yes.

Shailesh Kanani: My other question was, I would like to discuss, means I would like to know our views on macro challenges the Company faces, right? Given the present circumstances and projections, we are anticipating that the sugar inventory by the year end of the season is going up from 5.6 -8.8 (million tonnes) , right? So , which should be negative for sugar prices in general, right?

Secondly, ethanol volu mes are contingent among the availability of starchy feedstock. We have no clarity on FCI rice still. In spite of rice production, what I understand is FCI has stock, but they have not released the rice for ethanol production. So how does the manag ement envision these challenges? And what strategies they are trying to implement in this situation?

Tarun Sawhney: I think the first part of your question which is with reference to sugar prices based on the balance sheet position of sugar in the coun try is , I think you need to look at all factors in terms of making that assessment. The fact of the matter is that sugar production in the country has declined Y-o-Y. I think because of net diversion towards the E BP program, there will be an increase in the closing stock. However, this is quite important for the country as there ha ve been reports of a poorer monsoon for the upcoming summer. Now that is point one.

The second point is that the plantation of the adsali crop, the 18 -mont h crop in Central and South India, Maharashtra, Karnataka has been down quite significantly. And those reports are still coming in, but there is a significant decline, which means the total millable cane in the country for the next year in that portion of the country is going to be a little bit lower. And as a result, despite the slightly higher closing balance, I think we're in a scenario where we have very robust sugar prices, and sugar prices are a function of the situation today and also the expected

situation in the following year. And as a result, as I had mentioned in my opening remarks, I believe that sugar prices will remain stable with a slightly upward bias.

Your second question about FCI rice. Well, frankly speaking, this is a decision that's be en taken by the Central Government. We're not in a position to be able to comment on the release of rice or the quantum's that are required for the nation.

Shailesh Kanani: I was just wondering, if the situation remains what it is right now, and starch y feedstock availability may be less or the price, as you rightly said are not that remunerative. We would continue to kind of have an enhanced volume of ethanol going ahead as well, right? I was just thinking on those lines.

Tarun Sawhney: I think the way that you should look at it is different . The first thing is, yes, with the change in feedstocks, B -heavy and rice moving to C -heavy and B -heavy combination and maize, there is a impact on production, but an impact on the margin s tructure. But that is more than compensated by the extra sugar that is being produced, much more than compensated by the extra sugar that is being produced. And I'm not talking about the additional output due to enhanced capacities, etc., but I'm just talk ing about the conversion of B into C. So that decision again is something that is quite important.

Now the fact that the Company, most of its distillery assets are dual feed in nature means that we are still making a positive contribution , regard less of what the input feedstock is into the business. And I think that is something that makes us very different from our peers in the industry.

Shailesh Kanani: How is the availability of maize for our distil le

ry facility? Is it readily available even if
it is at increased rate of ■ 24-25 (per kilo) ? How is the availability of maize in the market?

Tarun Sawhney: It is available, and the next crop of maize is yet to come into the market, and w e believe that we will be able to book sufficient quantities for the course of the year.

Operator: We take the next question from the line of Sudarshan Padmanabhan from JM Financial. Please go ahead.

Suda rshan
Padmanabhan: This is on the PT B business. So, my question here is, given the increased CAPEX , and also, we talking about defen ce and exports , we have been running at around ■270 crore or between ■ 250 crore to ■ 300 crore a year in this business. With the CAPEX in place now and the growth outlook only looking better with exports and defen ce, where do we see this run rate increasing, say, over the next 18 months?

Tarun Sawhney: I refr ain from giving any forward -looking statements. If you talk about the capacities, we are moving to a scenario where the capacities in the next few quarters will be just a shade in excess of ■ 500 odd crore . We are certainly cogni sant of the fact tha t our growth in export markets is something that we are now seeing in our order booking. And it is going to only translate in our revenues in the next fiscal year and certainly in the following fiscal year as well. So I'm fairly certain that the stat e of growth is going to be as per our plans and our investment in capacities are being done, so that we are well prepared and we do not face any delays.

One of the great things that we do in this business is we have delivery or manufacturing timelines that a re the best in the world. There is nobody in terms of a turbo gear high speed manufacturer that can match our delivery timelines. And that’s one of the reasons that allows us to have a very healthy margin. And so, we're conscious of that. And therefore, the investments in machines, etc., which have long delivery periods need to be made in a time -bound manner.

The growth is certainly something that we envisage because we were absent from the majority of export markets for a long period of time. And now wi th that opportunity, I think we have huge possibilities of being able to continue the growth rate. I mean the nine-month growth rate, for example, was 34 % odd for this fiscal year in terms of revenues and 44% in terms of profitability a s you know.

Sudarshan
Padmanabhan: A little colo ur on the defen ce side , because that is again looking exciting. And as of when that starts kicking in, that opens a huge avenue of related things which we can do a lot more than what we're curren tly doing.

Tarun Sawhney: Absolutely. So there's tremendous potential there. I would like to add a word of caution here. And that is that to have budgeted expectations in terms of quarters is something that sometimes doe sn't happen , because the finali sation of tenders is not in our domain. It is finali sed in our case, primarily by the Indian Navy and sometimes, there are delays in the finali sation of such tenders an award of such tenders. And so it is a process -orient ed scenario. I would encourage you to look at this business over a longer period of time, where the decision on orders will then get blended in, in terms of averages over a longer period of time.

But yes, there is tremendous potential. The Atmanirbhar ini tiative is something that we are certainly beneficiaries of and we are counting on. The Make in India is something that is quite important for our defen ce capabilities, and that is why we have invested in this particular business.

Sudarshan Padmanabhan: One final question before I join back the queue is, currently the sugar availability is casting a little bit of ambiguity on the ethanol side. But from a longer -term perspective, the Ethanol Blended Petrol (EBP) program is on course.

And second is, if I'm looking at the IMIL and the IMFL opportunity that we would eventually have. I mean, should the IMIL and the IMFL opportunity, I mean, it gives us the manoeuvrability between using ethanol towards OMCs or moving towards IMIL, how should t he profitability in this division be from a longer -term perspective, given that you'll have these options?

Tarun Sawhney: I think you've asked a fantastic question. The point is , and I have been emphasi sing this that our corp orate strategy is to ensure that all options are considered and that our businesses are functioned with the sole intent of maximi sation of profitability. And that is one of the reasons for our expansions, etc. Now when we look at IMIL and IMFL, it is not only to create optionality, but it is also to add additional value. The margins come when the businesses are stable. And that's something that you have to recogni se. We're a new entrant in a fiercely competitive new business. However, our in tention obviously is to run highly profitable businesses. We see that our road to profitability will be as short as possible. But overall, the investment philosophy remains one of having optionality to maximi se profitability.

Operator: The next question is from Rajesh Majumdar from B&K Securities. Please go ahead.

Rajesh Majumdar: Good afternoon to everyone. I had a couple of questions. First, o n the acquisition of Sir Shadi Lal, is it fair to assume that you'll be able to do the moderni sation of this enterprise before the next sugar season? That is my first question.

Tarun Sawhney: At this point in time, we are in the process of acquiring 25.43% shareholding of the company. We have also launched as per SEBI guidelines, an open offer for 26%. If we do have majority control and control over the company, we are very certain that

we will be able to put in some investments, of course to ensure production capabilities.

But I want you to know that this unit has crushed at its rated capacities in the past. The investments that could be made, and I don't know if they need to be made. So , I am hypothesi sing at this particular point in time would be in terms of efficiency improvements to lead to lower cost of production. So , it is not necessarily for a higher crush, it is to improve profitability. Now can it happ en before the start of the next season? It is a little too early to tell.

Rajesh Majumdar: Right, sir. No, I understand that it is to reduce the cost of production because the crush already exists. Yeah. And there are possibly low -hanging fruits t here. But yeah, thanks for the answer. But my other question was when you give the capacity of the Power Transmission business, this excludes the after sales. Is it correct to assume? Because after sales and service is also a big chunk of your revenue, I understand. So, when you give the capacities of ■ 250 crore , etc., it excludes after sales?

Tarun Sawhney: No, it includes after sales. However, this capacity is a rated capacity. And depending on what products coming from the defence side, t he same facility could potentially produce more but we are keeping the rated capacity at ■ 500 crore post these investments.

Rajesh Majumdar: Because the new CAPEX that you've announced of ■ 180 crore is giving you an incremental turnover of only ■ 100 crore , which assumes a slightly more than 0.5 asset turn, which seems to be ridiculously low for this kind of a business.

Tarun Sawhney: I would discourage you from looking at it from an asset turnover ratio, and I'll tell you the reason why. A lot of the machines that are coming have long deliveries.

And therefore, the effective utili sation in addition to capacity will happen at a certain point in the future. The original capacity enhancement that we did last year, that the Board approved last year was a lot in terms of infrastructure. Infrast

ructure is one
part, which is, for example, the shed, etc. The machines, the testing equipment, the furnaces, etc., everything that needs to be put in is actually a little bit m ore expensive.

In addition, this CAPEX also adds complete capacity including manufacturing equipment to our defence manufacturing facility, for which, we are very hesitant to give a total capacity at this particul ar point in time, which is why I said it is a minimum capacity utili sation of ■ 500 crore , and it is certainly higher than that.

Rajesh Majumdar: Yeah. Because as I understand, capacity is a bit of a misnomer in this industry. It depends on the product mix, etc., which you can finally deliver from that facility, right?

Tarun Sawhney: It does. So, what we're saying is that we will be able to deliver a significant portion of that ■ 500 crore will be geared products and geared services, including aftermarket services, and a smaller portion of that will be from our Defence business, but that business will not require significant investments in the future for enhancement in terms of overall revenues. The quantum of that enhancement in capacity is something that we are not declaring at this particular point in time.

Rajesh Majumdar: My last question is on the capital allocation. How would we go ahead in the future? Because we had a certain plan on ethanol, et c., which seems to be slightly in the back burner for the time being. So, if we look at the cash flows being generated in the future, how will we be able to allocate our capital, also dividend policy, etc., or buyback in this regard, if you could highlight?

Tarun Sawhney: I think in terms of return to the shareholder s, the Board's policy remains unchang ed. And I think we've declared that, given on our website as well. In terms of allocation of capital towards growth, I think we're in a dynamic business environment, and things will change, things will come about at different points in time. So, I wouldn 't say that looking at our postponement of one distillery at Sabitgarh is any great shock to the system. It is just been postponed. And I think I'm quite confident that the Ethanol Blended Petrol (EBP) programme will surpass EBP20 in the very near future.

And we're very bullish about that and all aspects of bioenergy for our nation. But allocation of capital will go towards the growth areas of the business. You've already seen the Board has allocated quite substantial amounts of capital towards the Power Transmission business. And from time to time, it will evaluate capital expansion within Sugar, Distillery and our Water business.

Rajesh Majumdar: At Sabitgarh, I mean if the policies of the Government were to change, Sabitgarh can be commissioned in a fairly short period of time? That's like just an added question.

Sameer Sinha : Yeah, I think so. Once we take a decision, we will be in a position to implement it within one year, because what we've already done is that we have frozen the engineering, we have got environmental clearances, all those things are in place. And we have discussed with the vendors, not placed the orders, but taken it to a fairly advanced negotiation stage.

Operator: The next question is from the line of Jayesh Mestry from Asit C Mehta Investment. Please go ahead.

Jayesh Mestry: Hi, good afternoon. My first question, the way you are into maki ng yourselves into a many business vertical from a traditional sugar and ethanol blending. So now from this acquisition and the way you are spending a CAPEX for this bottling facility also. So by making that the way you are also doing a multi -feed fac ility, you are also creating. So it is one kind of new vertical apart from ethanol blending, you are also making yourself into ENA kind of thing as a full -fledged, that is the main business strategy to open up that new verticals by this acquisition and als o setting up this facility as far as business growth is concerned. That's what I understood. Correct me, if I'm wrong? It is my first question.

Tarun Sawhney: Yes. I think you're a little wrong. The acquisition of shares is in a business that runs a sugar factory and 100 KLPD ethanol plant. With respect to the second part of your question, with the IMFL and bottling business, that is very directly a move towards premiumi sation and forward integration of our existing products. We are already a large man ufacturer of ENA in our existing facilities. So, this is a forward integration of that business.

Jayesh Mestry: So, this is one kind of synergy that can be read?

Tarun Sawhney: I'm afraid I don't understand what synergy you're talking about.

Jayesh Mestry: I mean to say that this acquisition will give you synergy .

Tarun Sawhney: Absolutely, because it is in lines of businesses that are closely tied to the existing business operations of Tri veni Engineering. It is also very close to two of our largest sugar factories and our large ethanol facilities as well. So, the geographic proximity as well as industry comfort is the rationale.

Jayesh Mestry: Second question, sir, the way the ope rating margin that has been improved in this particular quarter, we should be able to maintain around that trajectory in the coming quarters as far as your operating margin is concerned?

Tarun Sawhney: I am afraid we don't give forward guidance f or our business performance.

Jayesh Mestry: And lastly, the way the Government have imposed some kind of temporary restriction and on export of sugar and also some kind of stipulated quota for ethanol manufacturing. But you are going to start with some multi -feed facility. So, what we understood that impact of that particular thing as far as ethanol blending will not be that much significant to you vs your peers, because you have a multi - feed facility, so you have another option as well a part from the sugar. So, correct me if I'm wrong, that's what, so it would not be that much be impacted to you by this particular thing?

Tarun Sawhney: Yeah, you are absolutely correct that we can move between various feedstocks in the generation of eth anol or ENA as the case may be. So, we have that flexibility for the majority of our facilities, including the new facility at Rani Nangal.

Jayesh Mestry: So that will not be a significantly impacted to you vs. your peers, right?

Tarun Sawhney: Yes. I think I have addressed that in the previous commentary during this call.

Operator: The next question is from Chetan Thacker from ASK Investment Managers. Please go ahead.

Chetan Thacker: Good afternoon. So just two questions from my end. One is, I missed the number on the past dues for Sir Shadi Lal of cane arrears?

Tarun Sawhney: The cane arrears for Sir Shadi Lal as we understand are ■ 225 crore for the previous season. This season's dues have been paid in their entirety as we understand.

Chetan Thacker: Understood. And the second bit was more on the IMFL. So, ■ 25 crore is the investment for bottling. But over and above that for branding, marketing, what is the kind of investments that you are envisaging at this point of time?

Sameer Sinha : So, going ahead, we are competing with various established brands. B ut in terms of the product development, we know we have got a very good product. In terms of packaging, we have engaged the best agency, but we will not be making a huge marketing splash over here. Therefore, in terms of the total outlay for entry into thi s business and the media plan and the marketing expenses will not be very substantial, let's put it this way, without divulging the competitive numbers. And this is also restricted only to the initial launch would only be in the state o f UP.

Chetan Thacker: So it will be more of a district -state strategy that you will be adoptin

g as you then
scale up this business and keep recalibrating?

Sameer Sinha : Yes, it could be a regional strategy of UP, and UP is a very important market as a percentage of the national sales, etc. And therefore, based on the success of the products, its acceptance, we'll roll it out over a period of time to the other states.

Operator: Thank you. I'd like to hand the conf erence back to the management team for closing comments.

Tarun Sawhney: Thank you very much, ladies and gentlemen, for joining us for the Q3 & 9M FY 24 results earnings call for Triveni Engineering & Industries Limited. As I mentioned, during the course of this call, I think that all the businesses have performed well, some much better than others. I think the performance of the Sugar business and the Power Transmission business is certainly notable. And I look forward to getting back to you about the growth that we have in these businesses at the next call, which will be for our full -year results. Plus, I do believe that there is a lot of upside

within the Distillery business, and that Q3 is a mere anomaly in the longer -term picture.

And we are very much on track for ethanol blending of 20% and the Government, is in full support of this particular business, and similarly, with the Water business as well, I think Q3 was an anomaly. And I think the full -year results will showcase that when we speak in a few months' time. Thank you again and have a good day.

Operator: Thank you very much. On behalf of Triveni Engineering & Industries Limited, that concludes the conference. Thank you for joining us.

Call: May 2024

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Triveni Engineering & Industries Limited
Q4 & FY 24 Earnings Conference Call Transcript
May 21, 2024

Moderator : Ladies and gentlemen, good day, and welcome to Triveni Engineering & Industries Limited Earnings Conference Call. I now hand the conference over to Mr. Rishab Barar from CDR India. Thank you and over to you , Mr. Barar.

Rishab Barar : Thank you. Good day everyone and a warm welcome to all of you participating in the Triveni Engineering & Industries Q4 & FY 24 earnings conference call. We have with us today Mr. Tarun Sawhney, Vice Chairman and Managing Director; Mr. Suresh Taneja, Group CFO; Mr. Sameer Sinha, CEO Sugar Business Group as well as other members of the senior management team.

Before we begin, I would like to mention that some statements made in today's discussions may be forward -looking in nature, and a statement to this effect has been included in the invite, which was shared with everyone earlier. I would also like to emphasi se that while this call is open to all invitees, it may not be broadcasted or reproduced in any form or manner. We will commence the call with opening remarks from the management following an interactive question -and-answer session.

May I now hand it over to Mr. Tarun Sawhney. Over to you.

Tarun Sawhney: Thank you, Rishab. Good afternoon, ladies and gentlemen, and welcome to the Q4 and FY 24 earnings conference call for Triveni Engineering & Industries Limited. The year that has gone by has presented several operating challenges to the Company , especially in the Sugar and Alcohol businesses, while our Power Transmission business has actually delivered another year of exceptional performance.

It's heartening to note tha t the Company has reported satisfactory results , despite these challenges. The key financial numbers for the year are the following: Net

Revenue from Operations stands at ■ 5,220 crore with a Profit Before Tax (PBT) and exceptional items at ■ 529 crore and a P rofit After Tax (PAT) of ■ 395 crore . The Board has recommended a final dividend of ■ 1.25 per equity share in addition to the interim dividend of ■ 2.25 per equity share and a special dividend of a similar amount of ■2.25 per equity share which was paid earlier during the year.

Looking at the performance, the net turnover is lower by 7%, which is mainly due to lower sugar sales volume of approximately 16%. However, the PBT before considering the share of profit of associates and exceptional income is lower by only 3%. The lower sugar sales volume is primarily due to lower qu ota that has been received by the Company in the absence of any exports.

The sugarcane crushing during the Sugar Season (SS) 2023-24 ended at 11% lower for the Company at 8.26 million ton nes, compared to SS 2022-23. The gross recovery was marginally higher at 11.49%. The decline in crush is due to heavy rains, water logging and inclement weather in certain regions and the associated proliferation of red ro t disease in the plant can e of Co238 varieties.

In the Alcohol business, in view of feedstock restrictions on the supply of Surplus Food Grains from FCI, this is FCI Rice that I'm talking about, and the limitation of the

use of B-heavy molasses, the production and sales volumes were less than earlier estimated. The overall margins declined in view of lower margins on maize operations as well.

The Power Transmission business recorded a record turnover and profitability. Turnover increased by 30% and segment profits by 40%. An intense capex program me is being executed currently. Segment pro fits in the Water business increased by 29%, due to cost optimi sation and savings in various projects that were executed during the year.

Looking at the business highlights. The sugarcane crush as I mentioned was lower by 11%. And this was primarily due to lower crush in four of our sugar units, Deoband in West ern UP, Chandanpur, Rani Nangal and Milak Narayanpur in the Cent ral UP. So, four out of our seven sugar factories actually contributed the majority towards the decline in sugar cane crush in the season that has just transpired. The chief reasons were climatic factors , I've spoken about heavy rain fall and water logging in certain regions. There was also the absence of sunshine for the long periods during the winter months. And of course, the spread of red ro t disease, which reduced the yields, especially in plant cane across the four mentioned factories.

There's also a notable point that there were no winter rains and a little bit of rain, not too much, but a little bit of rain is absolutely essential for the final growth stage of the plant crop and to add to the maturity. Also, a little bit of rain is essential because it avoid s winter frost etc. And the absence of that limited quantity did have a decremental impact on the crop.

The last reason, of course, was a higher diversion towards kolhus/ crushe rs. In fact, it was claimed that there are several articles about the export of Khandsari sugar out of India that has been accounted for by the FDA (Food and Drugs Administration) as well. This trend of lower sugar cane availability was witnessed across Centra l and Western UP. Our factory in East UP of course did not face any of these problems .

I should also mention, since I've talked about the red rot disease, our two units towards the Southern part of Western Uttar Pradesh at Khatauli and Sabitgarh had virtually no red rot . We are talking about 70,000 -odd hectares of land, where we purchased sugarcane from , and the incidence of red rot disease around the factories was lower than 100 hectares , an absolutely insignificant amount. But that does not mean that we're not fully cogni sant of it, tracking it and have a plan to eradicate and eliminate this disease.

The sugarcane development teams have chalked out , as I mentioned , multi -pronged strategies to contain the damage by uprooting the disease d crop, limiting the spread and carrying out a comprehensive variet al substitut ion program me to reduce the proportion of the vulnerable Co238 variety, especially in the low -lying/ water -logging prone areas, substituted by high sucrose and high yield varieties, of which we have substantial and adequate quantum of seed that we have found during the planting season, which is almost over. I would say 99.5%-99.9% of all planting across the areas where Triveni purchases sugarcane is over.

In our Alcohol business, the Company faced several feedstock challenges that I spoke about at the introduction of the call, such as the abrupt stoppage of Surplus Rice by FCI and the restrictions with usage of B-heavy molasses. And a very interesting introduction of maize as a feedstock. And I've spoken about this in previous calls as well. Triveni as an organi sation was one of the first few organi sations in the country to experiment with maize and we are now very comfortable with using maize as a feedstock and have had great experience and in supplying ethanol produced from maize to the Oil Marketing Companies (OMCs) .

After the restrictions th

at were placed on B -heavy molasses, the sugar operations were carried out largely with C -heavy molasses as compared to our budgeting of B -heavy molasses. This has led to lower operating capacities and hence, lower production in t he distilleries. Further, the margins on maize operations were slightly lower despite the price corrections made by the Central Government.

In our Engineering businesses, the Power Transmission business reported a remarkable performance with new milestone s with respect to revenues, profitability and order booking. This year also marked a period of extensive international customer outreach and continued investments in research and development and infrastructure aimed at enhancing our business share, our mar ket share and to capitali se on global trends and opportunities around the world within the power transmission landscape. Coupled with strides that we've made in Defence; Power Transmission business is on a sustained growth path.

In the Water business, the year that has gone by was muted in terms of market activity and the finali sation of o rders. I think a great consequence was the general election, which we are still going through in the country, and the fact that no orders were finali sed for substantial periods of time. And even the start of this quarter has had the same kind of trend. But we're very hopeful that post the 4th of June, we will come back in an aggressive manner to a period of normalcy and all the backlog will be cleared.

Looking at the detailed financial performance of the Company . The turnover during FY 24 has declined mainly due to Sugar (12% decline) and Water business (30% decline). And the turnover of the Alcohol business, net of excise and Power Transmission business has increased by 9% and 30%, respectively. Profit before share of profits for the associates and exceptional items is 3% lower at ■ 529 crore .

Despite lower sales volume of 16%, the segment profit s of the Sugar business are at the same level as the previous year due to higher contributions arising from a 6% increase in average sugar prices. The profitability of the Alcohol business was adversely affected due to restrictions imposed by the Government. I've spoken about that over the last few minutes.

The total gross debt of the Company on a standalone basis on the March 31, 2024, increased to ■ 1,325 crore compared to ■ 825 crore at the same point in the previous corresponding year, due to higher sugar inventories that are held by the Company . Standalone debt for the period under review comprises of term loans of ■ 277.8 crore . And all these loans are with intere st subvention or at subsidi sed rates of interest.

On a consolidated basis, the gross debt is ■ 1,411 crore compared to ■ 914 crore on March 31, 2023. The average cost of funds is 6.5% during FY 24 on a standalone basis compared to 5.1% , and it's important to mention that during the quarter, the Company 's long -term credit rating was upgraded to AA+ (Stable) by ICRA.

Looking at the financial highlights of the various businesses. During FY 24 , the Company 's Sugar segment reported revenues of ■ 3,857 crore , which were lower by 11.6%. The blended sugar reali sations improved by 5.8% to ■ 38,175 per ton ne, almost mitigating the impact of lower dispatches and cost increases. The segment PBIT was largely flat at ■ 306 crore . As of the March 31, 2024, sugar inventories stood at 58.94 lakh quintals valued at ■ 35.3 per kilo, which includes the impact of sugarcane price increase in the state through an increase in State Advised Price (SAP) .

Current sugar reali sations today stand at approximately ■ 3,950 per quintal, for refined sugar at ■ 3,900 for sulphitation sugar . And I have to say, despite the large quotas that have been released over the last couple of months by the Department of Food and Public Distribution (DFPD), the sugar reali sations ha ve re

mained

reasonably buoyant, and we are very confident that this is an excellent sign for the times to come. However, I will talk about our perspectives on the future in just a few minutes.

Looking at the industry domestic scenario, we had our hike in t he Fair and Remunerative Price (FRP) and a hike in the SAP that was anticipated, and we have talked about it in previous calls. The sugar production estimates for SS 2023-24 have also been given, and they're pretty much in line with what we had spoken about on the last conference call. And we're looking at an increase in sugar inventories at the end of this sugar year coming in just higher than 9 million tonnes. As a result, as I'm sure you all know, ISMA has written to the Government requesting a n export of 2 million metric ton nes, which we hope is under consideration.

Looking at international markets, we've seen record highs for raw sugar and white sugar over the year and during the year as compared to the last 10 -15 years , and it's been very encouraging. There's been a positive outlook in sugar production in Brazil with the estimates of between 42.5 million to 44.5 million metric ton nes. We believe it will be towards the higher end of this number. There's an improved production outlook for Thailand as well coming in between 10 million and 11 million ton nes of production. And despite all of that, we've seen very buoyant prices, although prices internationall y have come down a little bit over the last few months.

Moving towards our Alcohol business. During the year, the Company did face several feedstock challenges that I've spoken about. We also experienced reduced availability of sugarcane -based feedstocks for our distillery as operations changed during the season from B -heavy to C -heavy molasses as per the directives of the Government. This, of course, led to lower generation of molasses impacting the overall operational and financial metrics.

Accordingly, the sales volume of ethanol produced from higher -margin molasses and FCI Rice were substituted by lower -margin maize operations , which impact ed the profitability of this business for the year under review. We achieved a production very much in line with what we had reported in the last earnings conference call of approximately 18.5 crore litr es. And s ales also just under that amount during FY 24 , both higher, of course, than the previous year.

The net turnover of the Alcohol business increased by 8.6% compared to the previous year, due to higher dispatches of 1.3% and higher average reali sation of 2.5%. During the year, the revenues of the distilleries contributed to 24% of T EIL's net turnover. Ethanol constituted 93% of alcoh ol sales during the year.

Looking at the domestic scenario for ethanol supplies during 2023-24, the OMCs floated a tender of 825 crore litr es, with a 15% blending target. And I have to say that despite a lot of concern, all of these targets given the fact that it is an election year, I think the Government has done a remarkable job of almost achieving this exact percentage, and we're very hopeful that this will be continued during the course of this supply year.

Till the 2 8th of April 2024 contracts for 321 crore litr es have been executed by the OMCs. And t he OMCs have procured 270 crore litr es out of the required 82 5 litres for the Ethanol Supply Year (ESY) 2023-24. And within this procurement, the sugar sector has contributed approximately a little more than half, 145 crore lit res, while the balance is coming from the grain sector . And we've achieved blend percentage to higher than 12%, which is very much on track as of the end of April.

Turning towards the Engineering businesses of the Company , the Power

Transmission business has increased its turnover in FY 24 by 30%, driven by growth of products as well as the aftermarket segment. The PBIT of the business grew faster

than revenues at just over 40% - 40.1% to ■ 107.1 crore with PBIT margins of 36.7%, up by almost 275 bps , compared on a Y-o-Y basis.

A strong share of the aftermarket has been sustained, and this helps maintain the overall profitability of the business. The FY 24 order booking grew by 42.3% to ■ 375 crore , while the closing order book increased by over 10% compared to the previous fiscal year. The Company saw excellent demand for its products, including high technology compressor gearboxes, high power small hydro turbine applications and high power API, which is the American Petroleum Institute gearboxes, et c.

The outstanding order book, as I mentioned, on the 31st of March stood at ■ 287 crore , including some loan duration orders of just under ■ 90 crore . The business is currently executing a capex program, which enhances the capacity of our gears business from ■ 250 crore to over ■ 500 crore . This does not include our defen ce production. The investments are aimed towards a new bay and equipment in that new bay to manufacture gear boxes , both for power transmission and for some defen ce products. The expansions include establishing a large dedicated multimodal manufacturing assembly and testing facility in Mysuru for defen ce products.

Turning to our Water business. The revenues declined due to the delay and slow execution of certain projects and the delay in receipt of new projects, where our bids are the lowest and we are awaiting an award. As I mentioned in the opening remarks, it has been impacted with the onset of national elections. And we are hopeful that post the 4th of June, there will be a swift return through the award of projects where we are L1 and also proj ects which where we have tendered where the bids are awaiting opening.

Despite weaker revenues, the PBIT for the year improved to 29.4% Y-o-Y, due to cost optimi sation and savings in the various projects that were executed during the year. I think this was a huge achievement by the business. The PBIT margins stood at a healthy double -digit at 12.8% for the year, up by almost 600 bps Y-o-Y. The outstanding ord er book on the 31st of March stood at ■ 1,233 crore , which included ■ 880 crore towards O&M contracts for a longer period of time.

I should mention that there is no fresh capex that has been considered at this particular point. It is all the previous capex that I've spoken about in previous conference calls, which is under execution by the Company .

Looking at the outlook. As far as the Sugar business is concerned, I would like to start off by saying that we have come off a relatively difficult season in North India in Western Uttar Pradesh and Central Uttar Pradesh compared to the last 7-8 years. And it's been a great learning experience. And we 've learned actually quite a lot. And the Company has had its resources stretched in terms of combating it and ensuring that we will be able to rectify any of the issues that we have faced, including climate change, including pests, including disease, et c. for the following season and for future seasons as well. We continue to make judicious investments in our facilities to enhance crush rate, sugar quality and improve efficiencies, including steam efficiencies across our 7 sugar manufacturing facilities.

In the Alcohol business, we hope that the Government will address the feedstock and profitability challenges in FY 25. And we believe that the Government is completely and unequiv ocally committed to the ethanol blending program me and its targets of 20% by 2025-26. And as a result, I think that post the elections, we do anticipate some good news , definitely for the next tender, both for grain as well as from molasses -based feedstocks both of which impact the distilleries of the Company . I should also mention that the Rani Nangal distillery is now functioning at full capacity. It is commi

ssioned at the very onset of this quarter and is running extremely well. We have started these operations on grain and intend to continue with this for the next few months.

Looking at the Power Transmission business outlook, we are exercising our strong relationships with multinational companies that are present in India and have operation s internationally , and leveraging them to grow in the above markets. The potential to grow is immen se in Western Europe and the United States, where the maximum majority of OEM customers are based.

In addition, the overall economic growth, the market share gains are likely to be major drivers of growth for new products within the power transmission por tfolio. Power Transmission business is looking at enhancing and adding value to all of our customers by reduction in life cycle costs. And there are several research and development initiatives underway to ensure that this offers sustained b enefits to our customers, both domestically and internationally, and it benchmarks ourselves to the very, very best standards globally.

In the Defen ce segment, the business expect s increased order booking from the key segments of gas turbine s packaging, propulsion gearboxes, propulsion shafting and special application pumps . And we expect that post the elections, there will be several tenders that will come up and be opened, et c. and we hope to be placed favo urably across a large number of tho se tenders .

Looking at the Water business, the long -term prospects of water and wastewater treatment in India and in international markets remain intact. And there is a tremendous positive outlook on this business. We anticipate that post -election results, there will be a surge in business opportunities and new funding is expected to flow both Central and State Governments has very little actually has transpired in this segment over the last 4-6 months. The new opportunities that are emerging include reuse and zero liquid discharge businesses and also EPC and HAM model opportunities in the water segment . The business is also actively targeting foreign projects wherever it possesses the pre -qualification a nd funding is ensured through multilateral and reputed agencies .

I would like to offer a quick update on Sir Shadi Lal Enterprises, where the Company has made an open offer in compliance with the applicable regulations and the approval is awaited from SEBI for the same. We will make the relevant disclosures to the stock exchanges to update on the progress of this transaction as and when we receive info rmation from SEBI .

In conclusion, the Company is for an improved performance in the coming year through a combination of policy decisions, favo urable macro environment, while addressing all the challenges that we've had to face in the FY 2023-24. Thank you very much. I'd like to open up the floor for some questions.

Moderator: First question is from the line of Sanjay Manyal from DAM Capital Adviso rs. Please go ahead.

Sanjay Manyal: Hi, just wanted to understand on the ethanol front. I mean what could be our volume number for FY 25, given the fact that there is an expectation that the government might relax or lift the restriction on the ethanol from B-heavy and sugarcane. And as you mentioned that th ere would be an aggressive sort of approach post elections. So what do you think about the ethanol volumes for us in 2025? And I think earlier deferred the capex plan, what is the status on that?

Tarun Sawhney: Sure. I think our estimates remain unchanged. For the present fiscal year, we expect our total alcohol volumes to rise quite substantially to approximately 21 - 21.5 crore litres. And that is a combination, of course, of our new distillery as well as changes in Government policy for the next Ethanol Supply Year. Referring to the distillery decision that has been put on hold, I think that position re

mains the same today. What
can change is if we see a potential ■ 2 or if we can achieve double -digit reali sations

on grain in terms of margin, we will certainly be able to reverse that decision . That will allow us to have a payback on the distillery of under 5 years, which again makes this a very viable business decision. And one is hopeful that that again will follow suit post the elections.

Sanjay Manyal: Right. But one thing on the sugarcane front, our crushing has been down this year substantially. And what exactly work we have done in terms of seed replacement . How is our dependency on an overall basis on Co238 and what would be the status say from the next season onwards, how much it could come down? And what will the proportion of the new seed s and new varieties ?

Tarun Sawhney: Very good question. Sanjay, the point here is that we have seven sugar factories that cover our Uttar Pradesh . So, it is not a general answer that will suit each and every plant. Our plant in Eastern Uttar Pradesh , the percentage of Co238 is minimal . And frankly speaking, whatever replacement ha d to be done, the broad majority has been done and the quality of seed of Co238 that is actually very good and it's demonstrated in the results today. Within the six factories that are in Central and Western Uttar Pradesh, four of these factories, as I mentioned during the call were impacted by red rot. Two had barely any impact at all. So we will be judicious in terms of our seed replacement over there as well.

It is important to mention that the massive impact of red rot was really on the plant cane. And the fact that not only was the plant cane impacted by it, but also the yields went down quite precipitously. But to take you t hrough the journey, two years ago, we h ad approximately for the entire group about 98% of our cane area was Co238. Last year, it was 77%. In the coming year, it will be just below 50%. And we expect that in two years' time, we'll be at absolutely optimal levels. We don't need to go down more ag gressively for the simple reason that not everywhere is impacted by red rot and is still giving us reasonably good performance. However, we are very conscious that this spreads extremely fast and vigorously and viciously , efficiently as a disease and it’s a waterborne , potentially even airborne in some certain circumstances.

And therefore, what we have done at the factories, where there has been infestation, is a massive seed change and replacement program. We've had the seed. A nd what seed we haven't , we have actually bought that in. But the majority of seed was with us replacing Co238 for other high sugar, high yielding varieties, et c., and the entire gamut of low -lying areas , while there was infestation in plant has been uprooted and replanted. And the ratoon crop, where there's fresh planting that has to happen has been planted to other varieties. And therefore, there's been a significant reduction in the overall quantum of Co238 at Triveni, as I mentioned from about 77% last year to below 50% this year.

Moderator: Next question is from the line of Sudarshan Padmanabhan from JM Financial. Please go ahead.

Sudarshan P.: My question is to understand, you had mentioned that there were issues in getting rice as input from the FCI. And I believe the fourth quarter was a confluence of a lot of miscommunication and uncertainty with t he Ethanol Blended Petrol (EBP) program me and the offtake. As we move to the new financial year, one, how do we see this part of the issue s getting resolved . And with respect to the earlier comment that you made on the feedstock, I mean, one is we reali se that at least with the cane , I mean we have a cost that is basically in place. Is the Government looking at creating a minimum spread or some kind of cost structure by which the sugar player s can actually move to gain feedstock seamles

sly ?

Tarun Sawhney: FCI Rice was available at the very end of last summer , summer 2023. Actually, the Government ban ned the availability of FCI Rice for conversion into ethanol. Damage rice and rice from the open market was available, but at exorbitant prices, which did not make sense for distilleries to procure. And therefore, grain distilleries, including

Triveni's grain distilleries migrated to maize. That was a learning process , because when we started adopting maize, it was at the point in time where the second harvest was almost over and prices started going up. This year, harvest of maize actually is anticipated to be 20% higher. And therefore, we've already seen a significant reductio n in maize procurement prices already, and we believe this year, the margins from maize will be substantially higher than what the margins were in the previous year. That's point one.

The second point that you talked about was the Government looking towar ds some kind of mechanism of prices. The actual formula for calculation of prices is not been disclosed by the Government. However, one has to understand that the Government does look at a wide variety of issues and considerations in determining price. So last year, the prices from sugarcane -based feedstocks stood the same. And this was actually because the Government consider ed that there may be a shortfall in sugar in the country. And therefore, that was a consideration in that decision.

However, the prices of grain ethanol were increased quite substantially, which gave a little bit of flexibility. However, a lot of that was captured by the trade because grain, especially maize is procured through open markets. So as of now, there isn't any kind of fixed mechanism that the Government is contemplat ed. The representations that the industry makes to the Government, especially Indian Sugar Mills Association (ISMA) makes to the Government are in light of sugarcane -based feedstocks , and we have been unequivocal in terms of showing that we do need a substantial increase in ethano l derived from sugarcane feedstocks during the next campaign.

Sudarshan P.: My next question is to understand on the export side. So now I understand that the re was fear in terms of availability of sugar, which I think largely is getting addressed as we speak. Are we now in this scenario when we look at it, there is a fair amount of inventory available globally and the prices are coming down? Even if the exports are now open, do you think that if the Government allows exports, it will be a little too late, maybe too little now?

Tarun Sawhney: No, I don't think it's too late. Export prices, while they have come down from all -time highs are still very, very robust, despite in fact, that is what I was talking about, when I gave the global industry scenario, that despite the record production in Br azil of sugar and a return to record productions in Thailand, which is very close to India, we are still seeing very robust raw and white sugar prices. If India does decide to enter export markets with a small quantity be it 1 million or 2 million metric to nnes, my view is that it does not faze the international market at all. And it can be done more profitably than sugar sold in country, quite a big difference even today.

Sudarshan P.: One final question before I join the queue is interestingly, on the high -speed gear s business. Can you talk a little bit more about the traction that we are seeing on the export side? Because, I mean, that is something which is driving growth and looks exciting to say from a two to three -year perspective?

Tarun Sawhney: Yes. So we don't really give any export numbers, but we're seeing substantial growth in export markets, especially over the last year or so. And a lot of that has to do with new capacities that are coming our way, new hires , an aggressive HR program me domesticall

y and internationally to be able to service our customers and partnering with our global OEMs in terms of supplies to their manufacturing locations around the world, be it in the Americas or Europe or in other parts of Asia.

So the first thing, of course was to get the capacit ies. That of course is underway. The cape x has been approved and being implemented as we speak. The next thing of course is leveraging on the relationships that we have with custome rs. And that move is clear. So, without actually attributing any numbers, I think we have enough confident to say that over the next year, definitely two years, we will see substantial

revenues especially order booking that will come from export markets. The majority of it from our existing customers.

Moderator: Next question is from the line of Shailesh Kanani from Centrum Broking. Please go ahead.

Shailesh Kanani : A couple of questions around distillery division. There has been a Y-o-Y decline in margins and I believe that as you cited in your opening remark s, with respect to higher feedstock prices and in general increasing cane prices. So how do we see this going ahead? And also, on ethanol volumes. When we are guiding for around 21 crore volume for FY 25, we are at probably less than 75% capital utili sation. So how would that also impact the margins, if you can give some guidance on that?

Tarun Sawhney : Good questions. I think in terms of production, it could be 21 - 21.5 crore litres production . The capacity utili sation numbers decline with the percentage if maize is used as the feedstock. And if I talk to you on previous calls because the same distillery capacity. If it is running on maize, even at a 100% is operating a t levels lower than 20 -22-23% lower in terms of overall output. So that has an impact.

For this fiscal year, we're looking at approximately an even split between sugarcane feedstocks as well as grain feedstocks across all of our manufacturing facilities. But there are 2-3 points which are important to consider. Yes, while processing grain will give you a lower quantum of output . We believe that there are already discussions underway for ri ce to be available to distille ries. And the ri ce availability in North India as we know historically, is actually very, very good. And therefore, if that is available, the quantum numbers change quite dramatically, number one. Number two, I anticipate that the pricing, of course will change both for grain as well as for molasses -based or sugarcane -based feedstock s for the next supply year as we embark again on a more aggressive program me, because we may not touch 15%, but next year's target will be higher and two years away from the 20% target that the Hono urable Prime Minister has announced a few years ago , and for that to happen, we need some more distillery capacit ies to come underway, and we do need a slightly better pricing to be available. You should also be aware that we do have the capability and flexibility to move between sugarcane feedstocks as wel l. And therefore, the balancing i f required , and if the economics suggest will allow for higher production levels as well . We do have the flexibility to do syrup ethanol at 3 of our distilleries. And therefore, if the pricing actually changes, we will consider migrating from B-heavy molasses to syrup which will of course enhance the total output s of the distilleries.

All of these things , it's very challenging to actually come up with definitive numbers right now , because there's a lot of dependence on the Government. But I think a lot of this will be clear as we go through the summer, post elections and through the summer. What you should consider is that Triveni is extremely well positioned to be able to take those decisions and to migrate. And I think our strategy to have that flexibility for inputs and for outputs leaves us in a unique positi

on in the industry.

Shailesh Kanani : So, just to sum it up. So this current margin level that is around 14% for the division, at the EBIT level, it seems to be tough. Is that a fair enough assumption ? Means all the worst scenarios are kind of factored in this business ? Is this a fair assumption?

Tarun Sawhney: You see the scope of improvement is in maize . As I had mentioned just a few minutes ago, the cost of maize , when we started procuring it in August - September 2023, started trending very, very high very quickly because we were at the end of the harvesting season of the second crop of maize , and therefore, we were paying absolutely top rupees to be able to procure maize over the winter months .

The maize crop this year is 20% higher. The prices have fallen quite dramatically , and the prices that we are seeing now for the first crop, what we're procuring for Bihar

is substantially 10 -12-15% lower than the prices that we were procuring earlier. And we anticipate that that will also hold true for the summer crop of maize , which will come from Uttar Pradesh.

Shailesh Kanani: Second question was with respect to realisations . This year, we have seen a good jump in sugar reali sations. How do we see next year in terms of reali sations considering that if export quota is not going to come in the next few months, so how do we see that? Currently, it is 39 (per kilo or kg) , which is remunerative. Do we see it to hold out for the year?

Tarun Sawhney: I don't think there's any f ear of sugar prices declining. Given the quantum of sugar that exists in the country right now, the fact that there is no export, so we're actually building up stocks, I think this is a very favourable for 2-3 reasons. Number one, it gives me great confid ence that the Government will come with a very aggressive EBP program me. Very, very aggressive because their fear last year was sugar shortage. Now the sugar shortage doesn't exist. Therefore, there is no hesitation in being very aggressive in terms of meeting blending targets. That's number one. Number two, given the fact that you've got this kind of sugar inventories domestically and in country, you still have very robust sugar pricing at a point in time or during the calendar year where sugar prices are usually at the ir lower levels. As we go through the summer, sugar prices tend to improve. And when we go to the holiday season, festival season, we see prices actually hit their highest before the next season starts.

So I think at these levels, which are substantially higher than what they were at the previous corresponding point last year, I feel encouraged that we do have some tailwinds in these prices.

Shailesh Kanani: Anything on power division, where our order backlog is little lagging, I know the order booking is matching our revenue growth. Any i nput on that, if you can provide?

Tarun Sawhney: Typically, the orders that we have, the execution is 6 months. I don't think it is necessarily lagging. And we've got fairly aggressive internal estimates for growth. And I mentioned it before, I don't think we see our growth levels disappointing at all, nor our profitability level is disappointing. But I think the orde r booking is in line with what we're investing.

Shailesh Kanani: Yes, the PTB deal has been doing really well, especially on the margin front. And I assume our guidance of around reaching ■ 500 crore in next 2 years stack in terms of revenue, right? Is that a right thing?

Tarun Sawhney: No, we've never given that guidance. We said that it's a minimum capacity, the investments that are underway will increase the capacity to above ■ 500 crore (for gears not including defence) .

Moderator: Next question is from the line of Rohan Mehta from Ficom Family Office. Please go ahead.

Rohan Mehta: My first question is, what is the reason for having a 70% domestic market sh

are in the high-speed gear segment? And the second question is what exactly separates you from your listed peers on the EBIT margin front? So if you see your EBIT margins, they range about 35% - 37% compared to about 20% - 25%. So what exactly is the differentiating aspect? Thank you.

Tarun Sawhney: Our market share is much higher than what you have mentioned , because we don't have any domestic competitors as far as turbo gears, also known as high-speed gears. I assume your question is related to our Power Transmission business. And therefore, the answer to that is our market share is higher than that, the high market share is in the high 90%. We only compete against exports. The companies that you're comparing us with, which do manufacture gears, typically manufacture industrial, low -speed gears, some catalog ue products, et c. The fundamental

differentiation is on technology and uniqueness. So, the gears that Triveni manufactur es are all made -to-order. They are highly engineered. They are high speed engineered products v/s what some of the other companies do, which are low speed products, multi stage products, catalog ue products, et c which offer a different margin profile , it’s a different business.

Moderator: The n ext question is from the line of V.P. Rajesh from Banyan Capital Adviso rs. Please go ahead.

V.P. Rajesh: My question is regarding the volatility that you see in your EBITDA per litr e kind of realisation in the ethanol business, given what you were talking about sugar prices fluctuating and maize prices fluctuating depending on the time of the year.

Tarun Sawhney: In terms of the future projections, I think let me divide this up into two sections. As far as sugarcane -based feedstock is concerned, you'll have to appreciate that we've had an increase in cane price during the year under review. While we have not had any increase in the output , ethanol derived from sugarcane -based feedstocks. And therefore, I fully anticipate that for half of this financial year or the start of the next ethanol supply year, that dynamic will certainly change. It's too early to discuss cane price. But it's not an election year, so I don't think that there's any real reason for cane prices to increase next year. But what I do anticipate is a return to an aggressive ethanol policy, and therefore, a supportive Government allowing an increase in ethanol derived from sugarcane -based feedstocks, number one.

Number two is , as far as the grain is concern ed. There are two pieces of good news here. The first is with respect to maize . With respect to maize , as I previ ously mentioned, the total output of maize of the natio n is anticipated to be 20% higher this year, which of course as supply and demand would dictate . Since maize is not really consumed , it is not a part of the Indian diet really . It is used as direct animal feed , so primarily , we will see and have already started to see softening of maize prices, number one. Number two, maize procurement by industry is a very new phenomenon at such a large scale. And therefore, the systems, the supply chain systems have taken some time. I anticipate that during the course of this year, those supply chain systems will be far more effective in terms of storage, in terms of p rocurement, et c. And therefore, all those efficiencies will then percolate down to companies like Triveni that procure maize in a larger quantum.

What I would also like to say on gr ain is that rice. Again, there has been multiple proposals that have been made to DFPD on rice, et c. The constraints, in my opinion, came just after elections, et c, and due to various sorts of concerns. I read in the papers yesterday that export of non -basmati rice may be considered straight after elections. Now if export of non-basmati rice is allowed. I certainly don't see the Government not allowing distilleries to b

e able to procure quantum of rice as well.
And then it becomes an equation of price. And therefore, to have rice, which gives us an ability to pro duce more alcohol for the same facility capacity and the margin structure of rice that existed earlier, which is better than maize , all of these are great positives. I can't offer you any definitive numbe rs. It's too early. I think post elections, we will be able to have better numbe rs. The next time we have this conversation at the next earnings conference call, there will be more data to share. But everything is positive as far as the margin structure is concerned.

Moderator: Next question is from the line of Manish Dhariwal from Fiducia Capital Advisors Limited . Please go ahead.

Manish Dhariwal : I would like colo ur on this acquisition of some 25 -odd percent followed by an open offer of a fellow sugar company, Sir Shadi Lal Enterprises. If you could share some colour on that, your strategy, w hat is the status right now, so and so forth?

Suresh Taneja: Look, as far as the target company is concerned, they are exactly in the same business as we are in. And, also their units are in the vicinity of our units. So , there is a lot of strategy in terms of taking over the unit. We have made the first move by acquiring 25% stake. And now as per the SEBI regulations, we are in the open offer stage.

Tarun Sawhney: As we hear more from SEBI, we will inform to stock exchanges, and you'll be able to get that information from our disclosures.

Manish Dhariwal : So, the open offer is still in the play. Is that what it is right now?

Tarun Sawhney: Very much so . We're awaiting SEBI approval to formally launch the open offer .

Moderator: Thank you very much. Ladies and gentlemen, I now hand the conference over to the management for closing comments.

Tarun Sawhney: Thank you. Ladies and gentlemen, thank you very much for joining us this afternoon for the Q4 and FY 24 results of Triveni Engineering & Industries Limited. The last year was a challenging year for some of our businesses, but I think we've come out much stronger. We learned a lot. There's a lot of hard work that has been done over the last few months ago to com bat some of the issues.

I think when we look forward, we hope for a good monsoon and for a limited impact of pest and disease as far as our agr i-businesses are concerned, and a more favourable Government policy as far as the ethanol business is concerned. The Engineering businesses hold great promise and potential, as I talked about. And I look forward to discuss that with you over the next few calls as well. Thank you for taking the time this a fternoon. Look forward to speaking to you in about three months.

Call: Aug 2024

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Sub: Transcript of Analyst/ Investor Conference Call held on 2nd August, 2024
Dear Sirs,
Pursuant to Regulation 46 of SEBI (LODR) Regulations, 20 IS, please find enclosed transcript of the Analyst! Investor Conference Call held on 2nd August, 2024 post announcement of unaudited financial results of the Company for the Q I FY25 ended on June 30, 2024. The transcript is also available on the website of the Company at: www.trivenigroup.com
You are requested to kindly take the same in your record.
Thanking you.
Yours faithfully,
For Triveni Engineering & Industries Ltd.
~~
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Company Secretary
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Triveni Engineering & Industries Limited
Q1 FY 25 Earnings Conference Call Transcript
August 02 , 2024

Moderator: Ladies and gentlemen, good day and welcome to the Triveni Engineering & Industries Limited Q1 FY 25 Earnings Conference Call. I now hand t he conference over to Mr. Rishab Barar from CDR India. Thank you, and over to you, sir.

Rishab Barar: Thank you. Good day, everyone, and a warm welcome to all of you participating in the Triveni Engineering & Industries Q1 FY 25 Earnings Conference Call. We have with us today Mr. Tarun Sawhney, Vice Chairman and Managing Director; Mr. Suresh Taneja, Group CFO; Mr. Sameer Sinha, CEO - Sugar Business Group; as well as other members of the senior management team.

Before we begin, I would like to mention that some statements made in today's discussion may be forward -looking in nature, and a statement of this effect has been included in the invite , which was shared with everyone earlier. I would also like to emphasi se that while this call is open to all invitee s, it may not be broadcasted or reproduced in any form or manner. We will commence the call with opening remarks from the management, following an interactive question - and-answer session.

May I now hand it over to Mr. Tarun Sawhney. Over to you, Sir.

Tarun Sawhney: Thank you. Good afternoon, ladies and gentlemen, and welcome to the Q1 FY 25 earnings conference call for Triveni Engineering & Industries Limited.

For the quarter under review, the revenue from operations stood at ■1,301 crore . The PBT just a shade under ■42 crore and the PAT was ■31 crore . The net turnover increased by 8.6%, mainly due to a higher Sugar turnover of 12% due to similar increases in sales volumes and approximately a 5% increase in realisation pr ice.

The turnover of the Power Transmission business improved marginally by 1%, whereas there was a marginal decline of 2% in the turnover of the Alcohol business due to lower sales volumes despite higher production. However, the turnover of the Water bus iness has declined by 21% due to certain delays in the award of contracts or projects. The PBT is 54% lower at ■41.8 crore , segment profitability was lower across the businesses with the exception of the water business, where cost savings led to a higher profitability.

The profitability of the Sugar business, despite higher contribution on sugar sold was low er due to lower production and higher charge of off -season expenses owing to the earlier closure of the Sugar Season (SS). The profitability of the Alcohol business was adversely impacted due to restrictions that have been imposed by the Government on grain feedstocks and as a result of which the rice operations were substituted by maize , and of course, there was an increasing transfer price of molasses. And due to the lower sales volume of 4.3% including lower dispatch from ethanol from highe r margin sugarcane -based feedstocks.

Looking at business -wise highlights :

In the Sugar business, we achieved a blended realization of over ■39 per kilo (kg), an increase of almost 5% over the previous corresponding period. This was because of improved domestic realizations. In the Alcohol business, it reported the highest ever quarterly production of 5.5 crore litr es, an increase of 8.3% over the previous corresponding period due to the additional capacities being commissioned.

The Company's IMFL busin ess commenced its operations in the month of July 2024, with the launch of two brands in the state of Uttar Pradesh, THE CRAFTERS STAMP which is in the super premium category and MATSYA which is in the premium category.

The Power Transmission business rep orted a 12% increase in order booking this quarter and a record closing order book of ■306 crore , which is an improvement of 12.5% over the corresponding period. And of course, it's import

ant to mention that we've crossed an important milestone of ■300 crore order book for the first time in our history.

In the Water business, we are happy to report that the business has been favourably placed for a project in Europe , it's about ■250 odd crore , and we are eagerly anticipating the Letter of Award in the immediate future. We will update more details on this in due course. There are several other projects, which we are expecting the award also in the next few weeks or so.

The debt position of the Company on a standalone basis on June 30th 2024 increased to ■1,150 crore as compared to ■920 crore on June 30th, 2023. The standalone debt at the end of period under review comprises of ■245 crore of term loans and all such loans are with interest subvention.

On a consolidated basis, the gross debt is ■1,281 crore on the June 30th 2024 compared to ■1,011 crore as on June 30th, 2023. The overall cost of funds on a standalone basis stood at 7.2% versus 6.7% in the previous corresponding period.

Turning to our Sugar business, in the last call, the Sugar Season (SS) 2023-24 had just concluded. Since then, we have been focused on preparing for the upcoming season. And the focus has been to restore normalcy in our sugar operations , and we are rigorously working towards this direction looking at uprooting any infected crop, substituting vulnerable varieties with more robust

varieties , enhancing yield with on -ground intervention at a scale even larger than what we had done in the previous few years and stepping up of surveillan ce activities to get early warnings for any challenges to our crop and the challenges could be with respect to increased water levels. It could be due to disease, it could be due to pe sts or any other conditions, agronomic conditions that can impact the cr op. I think the sensitivity is at an all -time high for the group and we're eagerly anticipating the upcoming season.

We continue from an operating perspective to focus on premium products such as refined sugar and pharmaceutical -grade sugar , which now on a collective basis comprised of 70% of the overall sugar production of the Company . And this will, of course, further improve the profitability profile of the Company as we look forward.

The Company reported a 12% increase in the Sugar segment revenues to just under ■1,000 crore , which improved 12% year -on-year driven by higher dispatches and 5% improved reali sations. It must be noted, of course, there were no exports in this quarter.

From a segment profitability perspective, profits in the Sugar business declined to ■36.5 crore , a decline of 26.5%. And this was despite the higher contribution on the sugar sold, and it is of course, due to lower production and a higher charge of the off-season expenses in this quarter due to the earlier closure of the season.

The sug ar inventory on the 30th of June 2024 was 44.73 lakh quintals valued at an average of ■35.2 per kilo. Presently, sugar prices are at their recent highs, and we are selling refined sugar at ■3990 per quintal at ex -factory for a refined grade sugar and sulph itation sugar at ■3940 per quintal ex -factory as well, pretty good prices. And I believe that these prices will remain at these levels, at least for the immediate future and, of course, some gentle increases as we get into the holiday season in late S eptember and through the month of October. This actually bodes well for the immediate future as far as sugar pricing is concerned.

Looking at the balance sheet from a nationwide perspective, we anticipate an opening balance for next year , on the 1st of October 2024 of approximately 9 million metric tonnes against domestic sales of higher than 29 million tonnes of sugar. And for next year, we expect that the closing stock without exports remain around about the same, and this is c onsidering a 4.5 million to

nnes

diversion of sugar into ethanol for SS 2024-25. I must caveat this by saying that these are our internal estimates from our research group.

Looking at the international industry scenario. As per S&P Glo bal, the sugar balance sheet is pointing towards a reasonably large surplus of about 5.5 billion tonnes. And the outlook looks largely balanced despite the surfaces in Thailand, in Europe, and in India. International Sugar prices after a remarkable performance in the last fiscal year have trended downward as the news of this larger future balance as percolated to the markets. And we've seen that decline not only in white , but also in raws (raw sugar) . However, in th e last few

days, we've seen a recent surge in pricing, but we are still substantially lower than the highest that we had just a few quarters ago.

Turning to our Alcohol business. During the quarter, we commissioned the Rani Nangal distillery which led with the highest ever quarterly production of 5.5 crore litr es, placing us among the leading ethanol manufacturers in the country. Sales volume were lower by 4.3% over the corresponding period due to dispatch schedules moving into the next quarter , while the ethanol is held in inventory.

The feedstock mix of alcohol sold is 58:42 sugarcane to grain in this quarter, very much in line with what I had mentioned to you in our last earnings call and even the previous earnings call. And last year, it is important t o note that it was 64:36 sugarcane to grain. So very much changed as a result of market dynamics. The fact that there was a curtailment of diversion of sugar towards the ethanol program me. However, we were capably set up to be able to process grain. There are challenges around that, but at least we have the capacity and the infrastructure to be able to process large quantum of grain , so to keep up the total volumes for the Company .

The domestic scenario as far as ethanol : the O il Marketing Companie s (OMC s) have floated a tender of 835 crore litr es with a 15% blending target. Till the 30th of June, contracts for 714 crore litr es have been executed by the OMCs, with 61% coming from sugarcane -based feedstocks and the balance 39% or 281 crore litr es coming fr om grain -based feedstocks. The OMCs have thus far procured 40 0 crore litr es out of the total contracted quantity up to the 30th of June 2024. And with this procurement, ethanol produced from grain - based feedstocks contributes to 53%, i.e., 211 crore litr es, while sugarcane - based feedstocks contribute to a smaller number, 47% of approximately 190 crore litr es. This marks the first time that the ethanol from grain has actually surpassed ethanol from sugarcane -based feedstocks and the achiev ed blending percentage nationwide was 13% as of 30th of June 2024.

I must say that while the target was given at 15%, the achievement of 13%, given the challenges that have existed across the country, given the fact that we were in the middle of an elec tion year , and given the fact that there were several infrastructure issues that needed to be hurdled, 13% achievement is most commendable. And I think that we are certainly on the anvil of achieving even higher blending percentages. The thought process at this particular point is development will try to achieve 18% blending in the next supply year moving quickly to the 20%, which was targeted by the Honourable Prime Minister for many, many years.

Looking at the Power Transmission business (PTB) : PTB has been on a sustained growth path over the year s, and this quarter has also performed extremely well, and there were several breakthrough orders, especially with international eminent customers and OEMs. The Company continues to witness excellent de mand for its product s, including in the high technology compressor gearbox market and a recent addition once again, has been a demand for the high

power, small hydro turbine applications both domestically
and internationally. Other very promising segment i nclude high power API,

which is adhering to the requirements of the oil and gas and petrochemical sector, integrally geared gearboxes as well also adhering to the same sector as well.

The outstanding order book, as I mentioned in my opening rem arks, stands above the ■300 crore milestone, at ■306 crore with longer duration orders of approximately a third of that portion. This is a record for us, and I hope that we will be achieving a continuous record in subsequent quarters coming forward.

Turning to the Water busines s: Revenues have declined because of delay in execution in certain projects and the delayed award of certain projects. And I had mentioned to you on the last call that I was not waiting with bated breath for the last three months , because we were in election season across nation. And it would take time for things to revert to normal and for projects to come. And I'm very happy to report that over the next few weeks, we expect many projects to be finally concluded. We believe we are very, very w ell placed for a few of those projects. In the opening remarks, of course I mentioned that we had extremely favo urably placed for a ■250 crore project in Europe. And w e're expecting the award of that in the next few days itself.

The PBT margin s of the Wat er business stood at 12% for the quarter, and the outstanding order book on the 30th of June 2024 stood at just shade under ■1,200 crore , which included ■867 crore towards O&M contracts over a slightly longer period of time.

I will quickly move w ith this outlook for the businesses : In view a very comfortable inventory situation in the country , we are very hopeful that the government will do away with the feedstock restrictions and address the ethanol pricing framework as well and look at the vi ability of both grain -based and sugarcane feedstock -based distilleries.

In essence, it is a two -pronged process. Firstly, there was a limitation in terms of what could be diverted. We expect that to be lifted in the very near future. And we expect that th e Government may very well look at absorbing all the quantities of ethanol that will come from the sugar sector.

I do believe that this will require another revisit in prices, which did not happen last year both for sugarcane -based feedstock ethano l as well as grain -based ethanol as well. From both sides, Triveni would benefit with any increase in the price.

The industry is also keenly awaiting the revision to the M inimum Selling Price (MSP) of sugar which is vital to the sustainability of the industry. The MSP, as many of you know, has remained unchanged since 2019 , while input costs and sugarcane price, both FRP and SA P have risen significantly. ISMA has made a very rational request to DFPD and to other ministries of requesting a rate of ■39.14 per kilo for sugar as the MSP for the country. And it's a very logical explanation based on the previous increases in MSP that has happened. And we're hopeful that the Government will look at this favo urably and will give a high increase to MSP. Aga in, one anticipate s that this is very much on the

card, certainly before the next crushing season and hopefully before the end of this quarter.

Sugar prices, as I had mentioned even on our last call, I'm happy to report that we were correct that they have remained at very healthy levels throughout the quarter. And going forward, I expect some small increases in pricing. It could be because of increases in MSP, it could be because of very rational releases that have been given by the DFPD and it could also be due to other factors. But I do see that sugar price stability is something that is not of a concern certainly to us at Triveni.

Looking at the Power Transmission business grou

p outlook : Indian economic activity has continued its momentum and we b elieve that both India and export markets are very nicely primed with a lot of replacement orders, a lot of new fresh projects that are coming up especially in the sectors of oil and gas and petrochemicals and some basic industry sectors as well contributi ng to significant growth .

Our international customer outreach efforts have been extensive, and we have made continuous investments in Research and Development (R&D) . A lot of which , which has resulted in a material cost decreases as we've seen in this quarter that has gone by, and it has to do with the R&D programme s and the successful outlook of those R&D programme s. And of course, the R&D initiatives do continue, and we're hopeful to have even more improvements, both on the cost side and the addressable market si de as far as our gearboxes from the Power Transmission Business are concerned.

The Government of India 's contin uing thrust o n Atmanirbhar Bharat and Make - in-India has directly opened up a plethora of opportunities for indigeni sation of imported gearboxes, and we expect this to be a growth driver for both the industry as well as the aftermarket business and including defence as well.

In the Defen ce segment, the business expects increased order booking from some critical segments, and we have progressed quite a long way . Of course, during the course of the election s, there were a few orders that were finali sed again , and we're anticipating that over the next few weeks and quarters, we will be able to get back to the solut ion, and there's a lot of business that is awarded where we are contending.

As far as the Water business outlook is concerned, we are placed very favourably in a variety of different bits , and we are expecting to get those awards in the next few week s. So that's quite close and we are actually very positive about a few of those bids as well.

From a longer -term perspective, given the significant gap between the demand and the current availability of water and wastewater treatment plants, the water sector, by and large has a very, very positive outlook in the nation. And not just in the nation, also internationally, we're seeing a lot more focus coming on water. And the Company continues to evaluate various international opportunities and intend to part icipate in several tenders for international projects.

Turning quickly to the Company 's new subsidiary, SSEL - Sir Shadi Lal Enterprises Limited. During the quarter, the Company has further acquired 36.34% equity stake of SSEL on June 20th from the bala nce members of the Promoter group under the share purchase agreement. The Company now cumulatively holds 61.77% of the total shareholding of SSEL.

Consequently, the Company has become a subsidiary of Triveni and the Company in compliance with applicable l aws has launched an open offer with the acquisition of 26% voting shares of SSEL , this was done on January 30, 2024, but that process is well underway. We have received SEBI approval, and we expect that open offer to conclude during the month of August 2024.

In terms of concluding remarks, I think we are very hopeful for a robust performance from the sugar sector this coming year and a robust performance of the distillery sector this coming year. Led by improvements in pricing, led by more availability of raw material on the sugar side, we're expecting great quantum for sugarcane. And then we have a very positive outlook on the Engineering businesses as well as I had mentioned, both gearboxes, defen ce as well as in the water and wastewater management.

I'd be delighted now to take some questions.

Moderator: Thank you very much. We'll now begin the question -and-answer session. The first question is from the line of Sanjay Manyal from DAM Capital. Please go ahead.

Sanjay Many

al : Hi, I have a few questions on the sugarcane crushing side, means what is our expectation for the next season, given the last season was a bit subdued with 11% decline in crus hing number . What is our expectation? What is the work we are doing in terms of the variety change in our catchment area?

Tarun Sawhney: Right. So excellent question, multiprong question. And I think I'm going to take you back to comments that I've made in previous conference calls. We were actually just reviewing it before this conference call. As you know, last year, we had 77% of Co0238 variety across the seven sugar units. This year, and I had mentioned at that point in time that our target was to bring this around 50%. And I'm happy to report that that reduction has been achieved.

So, in all sensitive area s, water logged areas, low light areas , we have eradicated Co0238. The intention of course, is to take this to halve it again in the following year as well and then only to keep it in opportunistic area s, because it does give a good return if it is not disease affected, and it will last for a few more years. So, my answer is very much the same as what I mentioned one quarter a go and two quarters ago, and we're bang on track in terms of what we had set as target for us.

Now given that fact that we have managed to eradicate large tracts area under Co0238. We have substituted for other excellent varieties , and we found that our area under cane has increased. The surveys are now on, I can't give you an exact number right now, but we're looking at an increase in area under

sugar cane for the group as a whole. And also, we're looking at a possible double -digit increase in the cane availability for our Sugar business for next year.

Now I have to mention this, that we're only halfway t hrough the monsoons . So, to have early estimates, I offered you an early estimate. This is given what rainfall, what weather patterns and minimal impact on pest and disease that we have seen thus far. However, reading this morning paper s, which I'm sure you've done as well, we're looking at a lot of rainfall coming our way in the month of August and September. I think the hope has to be that in the month of September, whatever rainfall happens, it happens in the first half , so that it does not affect the early start of the sugar factories in October of 2024.

So, given that we have balanced weathe r and balanced weather events, I think we're certainly as a group looking at a good rebound as far as our sugar operations are concerned. And we have been very successful in our cane development. We have achieved all the targets that we set ourselves out t o. Of course, our programme is a multi -year programme , it's a multi -pronged programme . But very happy with the successes that we've had thus far.

Sanjay Manyal: You mentioned that you're expecting a double -digit kind of increase in the sugarcane availability. So, are you including the acquired entity in this, or you're talking only about the standalone entity?

Tarun Sawhney: I was talking about the standalone entity. The subsidiary company is an independent company and I'm not addressing their targets. Although I do believe that they had a particularly poor crushing season last year because they had a very short season. There were some administrative issues which led to a very delayed start for the sugar factory. And also, had an early end because of some engineering challenges for the season. Triveni having taken over the management control of Sir Shadi Lal, we anticipate that we will get back to business as usual. And a substantial increase in sugarcane crush at that factory in the up coming sugar season.

Sanjay Manyal: Great. One question on the ethanol side means, now we have sort of completed our ethanol CapEx. Ideally with this kind of a capacity per day means annual number ideally should be cl

ose to 24 crore litres if I'm not wrong. So, can we have some guidance on that front? What kind of number are we looking in FY 25 and FY 26?

Sameer Sinha: You see in FY 25 we are looking what we mentioned in the previous one of a number in excess of 21 crore litres, right an d it was also explained that with maize the capacity is a little lower. And therefore, while you are right, otherwise it should have been 24 crore litres. And going forward we would be at a significantly higher number, close to about 25 crore litr es in FY 26 from the same set of assets.

Tarun Sawhney: Exactly. And I will just add that we have one project still on hold. It remains on hold until we see the next molasses (ethanol) pricing by the Central Government, and at which point we will review t hat project. But as I've mentioned on previous calls, the engineering work has all been completed. It's

just a matter of ordering the equipment. And given our track record, we can have a distillery up and running in three quarters flat. And at this stage t hat w e are at, so a pretty good time.

So, with that, of course we'll return to the 30 crore plus target rates. But at this particular point in time that distillery remains on hold with the capacities that we've had, you just heard from Sameer, we should be at a very good annual production rate.

Sanjay Manyal: Just last one on the Engineering business. I mean the current quarter performance on the gear business has been , you can say , a bit muted from the revenue side. So, is it just have to do with Water business certainly has been impacted by the election part? So, what could explain the gear business performance as of now?

Tarun Sawhney: So, it was very much budgeted. And we have performed in fact, a little bit better than our budgets as well. One has to recognize that the last quarter was an election quarter for the country. And so, for several weeks, there was a lot of delays and a lot of companies and clients not accepting orders. And we had many clients that ha ve just delayed. Our accounting policy is that we will only account for revenues once you dispatch for us. Our finished goods has increased and we will expect a huge catch -up to happen in Q2. This was all planned. I think we're very happy with both the num bers, both for the top line as well as on the bottom line. You can also see from the order booking increase .

I will discourage you to look at q uarter -on-quarter in this business. I think with engineering goods, you always find that at the end of the half, which is Q2 and especially Q4, a lot of companies to take advantage of depreciation, accept deliveries in those quarters. So, it's typically heavily skewed towards Q2 and Q4.

Moderator: Thank you. The next question comes from the line of Somnath Saha from B&K Securities India Private Limited. Please go ahead.

Somnath Saha: Thank you for the opportunity. My question is regarding the distillery segment. Now it is evident that the margin is significantly lower when we used maize. And even after that, we are continuing with maize. So, I really wanted to understand the thought process here. I mean, talking ab out the other big players, may have admitted maize is not profitable at all. So, wanted to understand this, is this because you want to run the facilities or anything else you have in mind?

Tarun Sawhney: Yes. So again, I think I stand behind what we've said in the last few quarters. The maize profitability is severely dampened because of the market dynamics. Despite prices for the output , for the ethanol made from maize increasing , because you have unfettered increases in the input cost of maize, the en tire advantage has been taken up by either the trade and some portion to the farmers. Farmers is the good portion, but the huge increases that have gone to the trade have unfortunately meant that the margin scope

for ethanol
manufacturers has been problema tic.

Now, as far as we're concerned, we have co -joint facilities. The bulk of our distilleries are next to our sugar factories and therefore we have lower conversion cost, it could be fuel cost, it could be a whole host of other input costs being lower. B ut for the industry as a whol e, since you a sked the question for industry, I think maize at this point poses a huge problem. Now, what is the solution around it? And yes, it does. For Q2 as well we will be processing a large q uantum . We're one of the large st maize processors in the nation right now at Triveni. So we can see this first -hand view of what is going on in the market. And honestly speaking and under this present scenario, the margin simply has evaporated because of the increases in input c ost prices. Now, there have been many representations that have made to the Government that we need to find innovative ways of ensuring that there is renewed health as far as the grain opportunity is concerned.

We will always be slightly better off becaus e of our co -joint facilities with our sugar factor ies. But honestly speaking and I've seen the representations that have come from the Grain Manufacturers ' Association to the Government, they are burdened very much so , at present input prices. So, I thin k that in the next policy, I'm very hopeful that we will have some multipronged pricing strategies that will allow people to get back to the types of margins that we were experiencing earlier.

And especially when we were processing FCI Rice. And you would remember that the margins of FCI Rice were actually very, very healthy and attractive. And with the State Governments having been allowed to procure rice by the Central Government as you are well aware, I think the availability of rice to the distillery s ector, to the ethanol programme , I think is just a few steps away, and it may very well happen in the next few quarters, given the burgeoning stocks and given the high output of seasonal rice in the country.

Somnath Saha: Thank you. That was my question. Also, if you can just quantify the sugarcane crushing numbers for the quarter and the recovery for both gross and net recovery for the quarter?

Tarun Sawhney: You said crushing numbers for the quarter. We missed the next question.

Somnath Saha: Yes, that was the question, the crushing numbers for the quarter and also the gross and net recovery?

Suresh Taneja : During the quarter we crushed 66.7 lakh quintals, as compared to 157.7 lakh quintals in the previous quarter. And our gross recovery w as 12.35 % as compared to 12.43 % in the previous quarter.

Somnath Saha: And the net recovery?

Suresh Taneja : Net recovery was 11.41% as compared to 10.58% in the previous quarter. Sugar p roduction was 7.6 lakh quintals as compared to 16.7 la kh quintals in the previous quarter.

Moderator: Thank you. The next question is from the line of Rayan Dalal from FICOM. Please go ahead.

Rayan Dalal: My question is on the Power Transmission and Defence business. So, are we on track to commission the facility expansion in December?

Tarun Sawhney: So, the expansion in the existing facility is very much on trac k. In fact, I anticipate that this facility will be commissioned six weeks in advance. So, we're hoping that in the month of November itself, just after Diwali we will be able to commission the new gearbox facility. As far as the Defence facility is concerned, we've had a slippage, and we will be about a quarter late. So, we're looking at the commissioning of that facility in the first half of the next calendar year.

Rayal Dalal: Got it. And the incremental capacity that will com e on in the power business, could you give a sense of the end industry use and the demand growth that you're seeing maybe in the domestic market and maybe on an int

ernational level as well?

Tarun Sawhney: Absolutely. I'll talk ab out OEM (Original Equipment Manufacturer) segments and then I'll talk about industry and customer segments as well. As far as OEMs are concerned, we've seen huge growth domestically and internationally. In fact, all of our OEMs are global OEMs. And we've s een an enormous growth in order booking and deliveries and the future forecasts are for even better rates of growth from these levels.

Now this covers segments such as steam turbines, it covers compressors, it covers the pump segment as well. The one sect or, which is a little bit of a dampener, which has always been tiny little sector for us , given that the infrastructure does not really exist in India is on the gas side. So that has been kind of muted, but it accounts for such a small amount, it doesn't r eally matter. The three sectors that I've mentioned have been absolutely outstanding in terms of growth from the OEM side.

Looking at the final user segments, we're seeing huge opportunities domestically and internationally in the API segment, so oil and gas, petrochemicals, across the board, both onshore and offshore are looking extremely exciting as far as the gearbox requirements are concerned. We're seeing huge developments in the mining sector as well as in cement and steel , both domestically and inte rnationally. Funnily enough, the demand has been mirrored in export orders as what we're experiencing in India. I think the one sector that is where we've seen orders decline is the distillery sector in India, which accounted for a lot of gearboxes in th e past. But distillery orders have stood muted. But again, it's such a tiny segment now compared to our overall business that it doesn't really feature .

Rayal Dalal: Got it. And if I may ask another question. On the Defence segment, our tie -up with General Electric, just wanted to know like maybe the work that we have done on the LM2500 engine, maybe just an idea of like how things are going on that end, do we expect any sort of delivery soon on that product or anything of that sort?

Tarun Sawhney : So that programme is a two -decade programme . The first few orders are yet to even be allocated. I think as far as nomination of the order, it's already gone , for the core to come from GE, the assembly will happen at HAL and the packaging will happen at T riveni. So, we're hopeful that for the next generation of warships, these orders will be placed relatively soon. But our Defence portfolio goes well beyond just the packaging of gas turbines.

We're looking at several orders in the smaller GTG space, gas turbine space, very excited that should be included during the course of this calendar year. We have several live projects. We're the only company in the country which builds shaft lines. And as you know, we're building shaft lines for subsea platforms. W e're also building shaft lines for micro submarine. So, it is a whole spectrum. And we're anticipating several new orders there.

We are doing a lot of work on gearboxes for the coast guard and the Navy. Orders has been won. A lot of orders on pumps for the Navy as well, and the products go on. So, what we have tried to do is expand our exposure for the mechanical equipment and tie -up where we need tie -ups, or develop technology where we need to develop our own in -house technology. It's a dual-pronged p rocess that is centred around a Aatmanirbhar India programme .

Moderator: Thank you. The next question is from the line of Manish Dhariwal from Fiducia Capital Advisors. Please go ahead.

Manish Dhariwal: Very good afternoon and thank you for sharing a very detailed perspective about the suga r sector, as it is expected to play out for the Company. Now you also spoke about the acquisition of Sir Shadi Lal. We already are one of the leading players in the game. So, some insights into the r

ationale for this
acquisition, which we find i s really , it's a very old plant and machinery, must be dilapidated. You mentioned that the sugar season was also very low. And the kind of price that we paid for it. So, we request for some insight into what went for this decision.

Tarun Sawhney: Right. Very happy to provide an answer to this question. And I'll start from your last question and move backwards. As far as the price that was paid for the shares that have been acquired, we did a valuation exercise internally and looked at what that asset could be worth. And I think we're very happy with the price that we've paid. We believe that this is going to be significantly accretive acquisition for the Company in the short term and definitely in the long -term. From a financial perspective, I can't g o into the numbers in terms of payback, etc because that's not public information.

But what I can say is the strategic part of it, which is very important. Shamli has possibly the best farm area and acreage in the State of Uttar Pradesh. They're the best. The farmers are the most loyal and have been for decades. Yes, there has been a blip in the last few years due to a variety of issues, especially the management issues and operational issues at the unit, and that had led to some amount of disharmony in te rms of relationships with the farming community, but that still does not change the essence of what the farmers deliver.

Shamli is the factory that has had the longest season in terms of operating days. In my 30-year experience in the sugar industr y, for the vast majority of years, it has the longest operating season. And the reason for that is the tie that they have with the farming community. We believe that we will be able to revive this tie immediately with the farmers. And I think we've had a very great success, great support from local communities as we've taken over the management operations from the 21st of June 2024. That's number one.

Number two, the yield in Shamli is one of the highest. And that too bodes well for the future in te rms of operating at higher capacities for the future, etc. Yes, it means that we will have to invest in some more capex. But we will make those decisions in a very prudent manner like we do, looking at returns. This is a demonstrated strength that we have at Triveni. We'll continue to apply the same science into all investments made in Sir Shadi Lal.

The third important factor for this acquisition has been its close proximity to two of our largest factories. We buy cane from Shamli society , the cane society, both for our factory at Deoband and for our factory at Khatauli. So, we have immense knowledge and now we've been able to actually capture a more adjoining area and we believe that in the medium term, we will have significant advantages by having a reas that are connected and sugar factories that are connected. So, there has been a huge strategic rationale besides the financial rationale in terms of acquisition of this company.

Manish Dhariwal: Thank you. So, are there any plans to merge this co mpany into the main corporate or how would you like to kind of take it forward?

Tarun Sawhney: At this point in time, we're in the open offer process, we can't do anything. We're bound by the laws of the land in terms of looking at any other optionality. And as and when the Board decides any corporate action, we will, of course, intimate the stock exchanges. At this particular point in time, we're just interested in focusing on a quick R&M (Repair & Maintenance) programme that is cost -effective that we can actually have a record season at Sir Shadi Lal in 2024-25.

Moderator: Thank you. The next question is from the line of Dheeraj Ram from Ashika Stock Broking. Please go ahead.

Dheeraj Ram : Congratulations for the great set of numbers. My question is more focused towards th

e Water sector. Historically, we have seen payments delaying in this water treatment segment. So, do you see any further delays in payments going forward from state or central government? Or how do you think the order inflow is for us, is it more confined towards State Government or Central Government? Or are you planning to go into any HAM kind of projects?

Tarun Sawhney: So, we are already in HAM proj ects. Our orders are evenly split between state and centre. Actually, the orders that we're expecting finalization of majority for the next few quarters are all state. But historically it's been set between state and centre. But we don't really experience any payment delays on the work

because they have very finely targeted timelines, and its performance -based metric, it's all gate-based payments that happen.

On the O&M side, sometimes it takes an extra few days, etc, but nothing that is inordinate and nothing that is not expected. I wouldn't even classify that as a significant risk to the business.

Dheeraj Ram: Got it. And post -budget, do you see any increase in actions going on from this water segment? There will be a lot of funds getting allocated f or this particular segment going forward. So how do you see in next two to three years?

Tarun Sawhney: Yeah, I think you asked a great question. I think it's outstanding, the amount of inquiries that have been generated post the elections. State governmen ts, municipalities and the Central Government, water is playing an absolutely pivotal role in the infrastructure agenda of the nation. And you're absolutely right. So, when we look at our inquiry book and the new inquiries that have just come about even in the last few weeks since the elections, of course, the ideation has started earlier, but we're getting close to the bidding stages. We're seeing a huge push on all fronts and across the country, across the country is the most important part of this.

Dheeraj Ram: Got it. And my last question if I can ask is, we could see a lot of players entering into this wastewater treatment segment. So, do you see any competition while bidding for the projects? Do you see any competition here?

Tarun Sawhney: I think it's a sector that has competition across all facets of it. As far as wastewater is concerned, you will have a different set of players. But I think it is a competitive environment because it holds so much attractiveness as an industrial sector. Yo u see different players from different segments. We find ourselves in a very unique spot of playing across segments and having our PQs (Pre Qualifications) across segments, which is a rarity, frankly, speaking for players in the Water business in India.

Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to the management for closing comment s. Over to you.

Tarun Sawhney: Ladies and gentlemen, thank you very much for joining us for the Q1 FY 25 earnings call of Triveni Engineering & Industries Limited. I think we're at a very exciting point in time for across our businesses. Sugar and ethanol are expecting huge changes, especially from the Central Government, MSPs on the anvil, exports could potentially be considered in the immediate future as well to evacuate the stock s, the global world market price has risen recently. I'm quite certa in we'll be able to export that good returns.

As far as ethanol is concerned, I am anticipating a huge improvement in terms of pricing and structural improvements to ensure that both grain and sugarcane -based feedstocks are measured out with equal positiv e treatment over the next couple of months. Defen ce and gears continue to do well and I'm expecting orders within our Water business group in the next few weeks. So, it's all exciting times. I look forward to talking to you in approximately thre e months. Thank you so much.

Moderator: Thank you. On behalf of Triveni Engineering & Industries Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

is compiled as an aid to understanding the proceedings of the event but should not be treated as an authoritative record.

Call: Nov 2024

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By E-filing
Date: 12th November, 2024 REF'TEIL'SE'
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Dalal Street, Fort, Bandra-Kurla Complex, Bandra (E),
MUMBAI - 400 001 MUMBAI - 400 051
Thru: BSE Listing Centre Thru; NEAPS
STOCK CODE: 532356 STOCK CODE: TRIVENI
Sub: Transcript of Analyst/ Investor Conference Call held on 6th November, 2024
Dear Sirs,
Pursuant to Regulation 46 of SEBI (LODR) Regulations, 2015, please find enclosed transcript of the Analyst! Investor Conference Call held on 6th November, 2024 post announcement of unaudited financial results of the Company for the Q2 & HI FY25 ended on September 30, 2024. The transcript is also available on the website of the Company at: www.trivenigroup.com
You are requested to kindly take the same in your record.
Thanking you,
Yours faithfully,
For Triveni Engineering & Industries Ltd.
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Triveni Engineering & Industries Limited
Q2 & H1 FY 25 Earnings Conference Call Transcript
November 06 , 2024

Moderator: Ladies and gentlemen, good day and welcome to Triveni Engineering & Industries Limited Q2 and H1 FY 25 Earnings Conference Call. I now hand the conference over to Mr. Rishab Barar from CDR India. Thank you, and over to you, Mr. Barar.

Rishab Barar : Thank you. Good day, everyone, and a warm welcome to all of you participating in the Triveni Engineering & Industries Q2 and H1 FY 25 earnings conference call. We have with us today , Mr. Tarun Sawhney, Vice Chairman and Managing Director ; Mr. Suresh Taneja, Group CFO; Mr. Sameer Sinha, CEO of Sugar Business Group; as well as other members of the senior management team.

Before we begin, I w ould like to mention that some statements made in today's discussion may be forward -looking in nature and a statement of this effect has been included in the invite, which was shared with everyone earlier. I would also like to emphasize that while this cal l is open to all invitees, it may not be broadcasted or reproduced in any form or manner. We will commence the call with opening remarks from the management following an interactive question - and-answer session.

May I now hand it over to Mr. Tarun Sawhney. Over to you, sir.

Tarun Sawhney : Thank you, Rishab. Good morning, ladies and gentlemen, and welcome to the

Q2 / H1 FY 25 earnings conference call for Triveni Engineering & Industries Limited. Our revenues from operations for the half year stood at ■2,792 crore , an increase of 7.1%, with a PBT of ■11.5 crore and a PAT of ■8.6 crore .

Some of the key highlights in the Sugar business were that the profitability in Q2 / H1 remains subdued as there were no manufacturing operations during the quarter, and all off-season expenses have been expensed off during this period. The Alcohol business includes the impact of the shortage of molasses -based captive feedstock arising from the policy decisions of the Government of India, which regulated the diversion of sugar to B-heavy molasses and sugarcane juice in the previous season and the high procurement cost of maize.

The crushing season for Sugar Season 2024-25 has commenced at four o f our units with one unit of ours at Khatauli having started operations before Diwali. We have completed the highest ever quarterly Alcohol sales of 5.62 crore litr es, which is an increase of 9% over corresponding period du

ring the period under
review. And the results of the Company also include ■12.4 crore loss pertaining to the re cently acquired subsidiary, Sir Shadi Lal Enterprises.

Looking at the highlights of the Engineering business. I am delighted to report that the Power Transmission business has witnessed a 30% plus increase in revenues during Q2 FY 25 and crossing of a qua rterly turnover of ■100 crore for

the first time in the history of this business. The business reported 57.8% increase in order booking and a record closing order book of ■345 crore in Q2 FY 25 , which has improved by 22.5% over the corresponding period.

The Defen ce business received a prestigious order during the quarter under review for propulsion shafting valued at ■33.8 crore for Mazagon Dock Shipbuilders Limited at the year. The Water business also saw improved performance during Q2 with order booking aggregating ■450-odd crore , including new EPC projects for Uttar Pradesh Jal Nigam at Prayagraj and the Rajasthan Urban Drinking Water Sewerage & Infrastructure Corporation Limited, which is also known as RUDSICO in Jaipur.

During the Board meeting that was concluded yester day, the Board of Directors approved a capex of approximately ■20 crore for the enhancement of the production capacity of the Indian Made Indian Liquor (IMIL) business of the Company .

Looking at the balance sheet , on a consolidated basis, our net debt after considering surplus funds is ■418.8 crore as on the 30th of September compared to ■101 crore as on the similar date in the previous year. The overall cost of funds stood at 6.7% vs. 5.8% in the previous corresponding period, reflecting what the interest rate regime really is at this particular time across the coun try.

Turning to the business -wise review. Let's start with the Sugar business. And as I mentioned, we're all set for the new sugar season and on an overall basis, the crop seems healthier due to favo urable climatic factors and very importantly, due to rig orous cane development activities that have been undertaken by us. This includes on -ground management. This includes disease and pest eradication , and this includes a vast array of extension services, which has taken place at a level that was frankly unpre cedented. We've really done quite a lot of work across all of these areas during the off season and in the onset of this sugar season.

This year, our focus in the Sugar business has continued towards a variety of substitutions, improving crop health and e nhancing yield and recovery through active farmer engagement. And it is that varietal substitution away from the 0238 variety and looking at similar at comparable varieties that offer yield and recovery that is going to drive the growth for this business o ver the next few years. We believe a healthy plant crop , focused crop management along with continued investments towards debottlenecking, enhancing the crush rate and efficiency improvements will help improve the overall crush and financial position of the Sugar business in the season 2024-25.

Further close monitoring of the sugar quality and refined sugar production, which is approximately 70 -odd percent to ensure superior realizations is also likely to aid the revenues and the profitability of the Sugar business. The inventory as of the 30th of September 2024 was 20.63 lakh quintals valued at ■35 per kilo, and this was vs. 19 lakh quintals a year ago. The current realizations are broadly similar to last year for refined sugar , we are selling at a pproxima tely ■40 per kilo, and sulphitation sugar is being sold at lower rates, approximately ■38.5-38.75 per kilo.

The domestic industry scenario looks very much the same as what we had discussed about three odd months ago. The balance sheet for the nation estim ates an opening stock on the 1st of October 2024 at about 8.3 million metric tonnes. And domestic sales a little higher than what we had forecast at about 29.4 million metric tonnes. And the closing stock at the end of this year is anticipated at about 8.9 million metric tonnes. And this is after considering a 4

million tonne diversion of sugar towards ethanol. These numbers do not look at any possible export.

And I will, of course, discuss that possibility in the fourth quarter of

the fiscal
year, at leas t the deliberation to start with Government in the next quarter. But there is ample scope. The message that I would like to begin very clearly is that there is ample scope for massive amounts of diverting towards ethanol and continued exports and the retur n of India to the international sugar trade.

Looking at the industry scenario, internationally, the global balance sheet as per international reports points to a surplus owing to a better crop across the key sugar -producing nations. However, the Brazilian outlook is deteriorating due to wildfires and troubling weather conditions. The production is predicted to be in the range of 3 8 million to 3 9 million tonnes, which is down significantly from 42.5 million tonnes last year.

And this, of course, if it cont inues, may then put pressure on the global balance sheet and turn the surplus into a potential deficit. So this is a big swing factor we will know in the next few months.

International sugar prices, we've seen the New York #11, closed at US 21.9 cents yesterday, and the London #5 closed at US $566.5 per metric tonne. Broadly speaking, we're seeing a period of stability as far as international prices are concerned, very much range bound and very attractive for Indian exports. At these prices, I think Indian exports are certainly viable and will be a welcome break for the sugar industry, where we've seen sort of flattish sugar pricing, if we look at the last 12 months vs. the previous corresponding 12 months.

Turning to the Alcohol business. We have welcomed the Government 's move to lift restrictions pertaining to the use of B -heavy molasses and sugarcane juice/syrup for the production of ethanol for this year. But if we look at our business, it was adversely affected due to a variety of reasons, four reasons in specific.

Number one, the shortage of molasses -based feedstock, which arose squarely from the policy decision of the Government of India to restrict the diversion of sugar to B-heavy and sugarcane juice. This led very frankly , to a closure of some of our distilleries during the last quarter, and therefore, there were some unrecovered costs, which added through the losses of this business in the last quarter.

There was an increase in the transfer price of B -heavy molasses as well internally. The third reason is the higher procurement cost of maize and thereby reducing the margins of the maize operations. Now to do a Q-o-Q comparison, is not exactly accurate because in the previous period s, a substantial part of grain operations comprised of much higher margin Food Corporation of India

(FCI) rice operations, which were broadly similar to the profitability levels of B-heavy , just a little bit lower, but broadly similar.

With maize, this was very new, and I have been continuously saying that over the last couple of calls, we saw an increase in the maize price for ethanol derived from maize. However, that entire increase was captured by the trade, and therefore, they left with little room for profitability enhancement for distilleries that were operatin g on maize.

Of course, this was compounded by the fact that the maize crop last year was poorer than previous years and poorer than what w as anticipated. The crop this year, the Kharif and R abi estimates for the upcoming two seasons are actually

very, ver y good. We are anticipating higher yields and higher availability and the hope is that , that will translate into lower procurement prices.

When we started the campaign, when we looked at UP maize, we looked at Bihar maize, we were hopeful to be able to ge t it approximately ■22 - ■23 per kilo. However, the eventual procurement price , because the difference was absorbed completely by the trade was almost ■25 - ■26 per kilo, which was prevailing until very recently , until we see the new crop come in and sligh tly lower prices

coming in. I think there has been a huge learning experience over here as well in terms of stocking, in terms of trading, in terms of actually procuring across the various states whenever their crops are harvested, and we certainly hope to benefit from the upcoming season.

The fourth point regarding the profitability of the Alcohol business, the adverse profitability of the Alcohol business during the quarter under the review was the establishment of our IMFL business. In building a brand, as you can appreciate, there are certain costs that go in, in terms of establishing the brand. We're very happy with the result, let me add, extremely happy with the positive acceptability of our 2 new IMFL brands of Matsya and The Crafters Stamp , but it does take time, and we are investing vigorously in terms of making this a success.

Alcohol f rom molasses -based feedstocks , in the quarter under review formed 50% and in the half year 44% of sales, as against 64% and 65% in the corresponding periods of the previous year. And these primarily consist of relatively high -margin ethanol. On the other hand, the sales volume of low margin ethanol produced from maize operations increased substantially for the period under review.

Looking at the domestic industry s cenario for the Ethanol Supply Year 2023-24, the O il Marketing Companie s (OMCs) , as you will recollect, had floated tenders of 825 crore litr es with a 15% blending target. Till the 6th of October, the OMCs have procured just a shade under 600 crore litr es out of the total contracted quantity of 733 crore litr es. And with this procurement, the ethanol produced from grain -based feedstocks contributed 57%, approximately 340 crore litres, while sugarcane -based feedstocks contributed to the balance 43%, approxim ately 250 crore litres.

The achieved blending percentage on the 6th of October 2024 stood at just a shade under 14%. However, it is important to mention that for the last four months, the blending percentage nationwide has been to the tune of approximatel y 16%, which is very, very encouraging.

For the Ethanol Supply Year 2024-25, which we've just embarked upon and commenced on the 1st of November, the OMCs have invited bids of 916 crore litres and allotted 837 crore litres in the first cycle. It's a huge increase. And this corresponds to at least a nationwide target of 18%. My personal view is that during this year, we will have periods where in certain large states, ethanol -rich states, we will see blending at 20% levels this year, which is very encouragi ng for the ethanol blending program.

For Triveni, in the previous years, our split between sugar -derived ethanol and grain -derived ethanol was approximately 50:50. For the following year, we're looking at a change, and we're looking at the total quantums to be about 60:40, 60% for sugar and 40% for grain , a higher percentage of sugar. And this is a function of our projected performance of our various businesses and the quantums of sugarcane -based feedstock that we will have available for the Distillery business.

Turning towards our Engineering businesses. I'll first cover our Power Transmission business, where I had previously mentioned at the start of this call that we saw very strong growth across its KPIs. The order booking, which grew at 57. 8% during the quarter, included prestigious breakthrough orders in the gears and defence business. The Company saw good demand for its products, including high -technology compressor gearboxes, high -power small hydro turbine gearboxes, high -power API, that' s oil and gas gearbox es, integr ally geared compressor gears, etc.

The aftermarket segment is also generating very strong interest from the compressor , gas turbine and test rig industries, which is very interesting and different to previous quarters and le ads us to believe that, that part of the business, the afterm

arket part of the business is now attracting new customers domestically and internationally.

Overall, the business is witnessing very strong growth in exports, driven by increased engagement wit h customers and receiving qualification orders across product lines, and I'll cover that a little bit later. The outstanding order book reached an all -time high for the Power Transmission business at ■345 crore on the 30th September 2024, which includes so me long duration orders of approximately ■105 crore . In the Water business, the revenues declined due to the delay in execution of certain projects and the delay in water sub orders where we had submitted the lowest bids. The business expects the H2 FY 25 performance to be better than H1 FY 25 .

I would like to mention that the way that we recognise revenues is based on completion. We have a very large project that is ongoing in Bangladesh. And as you are well aware of the troubles in that country, however, we have now moved past that , there was a period of time where the project was getting delayed. Of course, that has an impact on our revenue recognition. But we're very comforted with, we're certainly very secure in our payments. That is no concern whatsoe ver. But we're comforted that the execution of the project is now back on track and underway.

The business has reported a robust order booking during Q2, aggregating to approximately ■450 -odd crore , including two new EPC projects for Uttar Pradesh Jal Nig am at Prayagraj and the Rajasthan Urban Drinking Water Sewerage & Infrastructure Corporation in Jaipur. In the previous quarter, it was declared that the Company was placed favourably for a project in Europe. The bid evaluation is still continuing at the c lient’s end and is anticipated to look at the letter of award in the near future, w e are anticipating that in the near future. The outstanding order book as of the 30th of September stood at ■1,726 crore , which included ■980 crore contracts over a longer period of time.

Turning towards the outlook of our businesses. I'll first cover the Sugar and Alcohol business. The industry, and we, at Triveni, keenly await the revision of Minimum Selling Price (M SP) of sugar, which is vital for the sustainability of the industry. Now as you are well aware, even the Minister for Food yesterday in the press has commented that the increase in MSP is something that would happen in the very near future. We don't know what that means, but we are hopeful that it will happen. And I believe that any increase in MSP, even if it doesn't keep pace, with what the cost of production for the country as a whole. But it will have a massive positive indication on the market. And I believe that if we rise from the 31 levels , by any quantum , it will certainly have a good resounding impact in terms of improving the base like numbers for suga r for the year going forward. The MSP has remained unchanged since 2019. While, as you are well aware, the input costs, particularly the FRP and SAP have risen substantially. Revised ethanol prices are also awaited, particularly for sugarcane juice and B -heavy molasses and maize to improve the viability of these feedstocks.

As we march towards 20% ethanol blending, I think it's important for the Government to review these prices. Last year, I understand it was an election year. We all understand that scena rio. And therefore, there was no price revision for ethanol at all with one small revision for maize actually. But besides that, nothing.

And so now we are anticipating and the industry is keenly awaiting an increase in the ethanol prices from the designe d feedstocks. We expect that to happen in the very, very near future.

If we look towards our other alcohol businesses, we're excited about the IMIL, (Indian Made Indian Liquor) and IMFL (Indian Made Foreign Liquor) performances of the Company . With

respec t to the Indian Made Indian Liquor ,
country liquor business, we are now placed within the top five producers within the state. This business has only been operating , we're closing out on our third year as you're well aware. We are now top five, one of th e top five producers in the state of Uttar Pradesh, and in the last month, we were amongst the top four producers. It is a profitable business and very much in line with what one had predicted when we entered into this segment.

As I had mentioned, we are also investing in this business to further enhance our profitability and our market share in this segment of country liquor in Uttar Pradesh. As far as Indian Made Foreign Liquor is concerned, our sale of two brands, Matsya and The Crafters Stamp in Uttar Pradesh has gone very well. We've been operating for approximately four months now, and we've seen excellent demand across the board in the state and excellent placements as well. However, it will require investment in this business, and we are keenly awaiting the results over the next few years. The product quality has been appreciated by consumers across the board. I will mention that this does take time, and we will be supporting the growth of this business as we go forward.

Turning to the outlook of th e Engineering businesses. For the Power Transmission business, India's economic growth is continuing to provide momentum. Their major investments in infrastructure, steel, cement, oil and gas, process industries are fuelling growth, and India is becoming a n attractive hub for global majors. All of this bodes very well for the Power Transmission business as a critical supplier of gearboxes.

In addition to the overall economic growth, we have market share gains and venturing into new product applications, an d these are going to be new drivers for the business, both internationally as well as domestically. And international markets have offered very high potential. And we're seeing that even now in our aftermarket business, which is what we refer to as our ret rofitting business in our existing installations. So that's very, very encouraging to see from international locations. We've received over the quarter, a select number of qualification orders. These are very, very important orders with customers. On the b ack of that, many new orders get business, this is just a part and parcel of the process of attracting new customers and new OEMs. And so we're very happy for those orders as they get commissioned and the test results coming, we will then, of course, move into regular supplies from these OEMs.

The focus has been an OEM qualification and on end -user qualification as well. As a result, we have received some critical orders in the API segment from oil and gas customers in the Middle East, this is very encoura ging. We have a long way to go, but the business has invested in people and in presence, etc, in global marketing as well. And all of that bodes very well for the business going forward. There has also been a more deliberate focus on Research and Developme nt at the Power Transmission business with initiatives on further improvements on

efficiency, setting global standards on those parameters and on the development of new products for our customers.

In the Defence business, the business expects increased or der booking from key segments going forward, well progressed quite substantially, and we're very encouraged by the orders that we have recently achieved. We're anticipating disclosure of certain tenders over the next two quarters as well. I hope to come back to you with more positive news on that front.

Turning to the Water business. The business anticipates a surge in business opportunities and new funding is expected to flow both from Central and State Government s post the elections, including the state elections as well. I think that is now very, very clear. We

're seeing massive activities, massive conversations,
etc. Due to the significant gap between demand and current availability of water and wastewater treatment plant, the water segment has a positi ve outlook, and we believe it offers significant opportunities going forward in the immediate few quarters as well as beyond.

The new opportunities are emerging in recycled, reuse or zero liquid discharge kinds of businesses on EPC as well as HAM models w herever industries are available as off -takers to buy treated sewage. And this is a model that is going to create significant opportunities for us going forward. The Company is also evaluating various international opportunities and intends to participate in several tenders in the water and wastewater treatment market wherever we possess pre -qualifications and the funding is ensured by multilateral and reputed agencies.

In conclusion, we look forward to a much -improved performance in the upcoming sugar sea son. There's a positive outlook for realisations and profitability in the Sugar and Alcohol business with a firm expectation from the Government in terms of policy changes, revision in pricing and a return to quicker decision -making like we've experienced over the last 10 -odd years. We remain very well placed in our Engineering businesses, both domestically and internationally for both businesses. And I think that over the course of this fiscal year, etc, you will see good results coming in for both those b usinesses.

Thank you very much, ladies and gentlemen. We'll now open the floor for questions.

Question -and-Answer Session

Moderator: The first question is from the line of Sudarshan Padmanabhan from JM Financial PMS. Please go ahead.

Sudarshan Padmanab han: Thank you for taking my questions and thanks for the elaborate discussion and the introduction on sub -division. My question is today, when I see your numbers for the first half, it largely reflects something like a rearview mirror of what has happened in the past. And if I look at specifically both and just combining the sugar and distillery together, given that there is a common feed in terms of cane. See t oday, the last couple of years, we've seen a lot of SAP price increase, FRP price increases. We are due for a revision in ethanol prices also MSP revision as far as the sugar is concerned. Sir, how confident are we given that last year, the Government prioritized elections over probably ethanol production that the Government is going to be serious in terms of making ethanol remunerative at least profitable enough for players or stakeholders to participate. I mean that's one.

And second is if I can understand a little bit more from a policy perspective as well as strategy on using maize or FCI rice, b ecause my understanding is

typically when we bid for a maize, the raw material prices are volatile. But you have a cap on the prices in which you can sell ethanol. Is there a thought process from the Government or your own thought process with respect to s trategy where we can actually try to circumvent it given that we had a bad or a learning experience ?

Tarun Sawhney: I couldn't agree more with your comment, and I'm happy to respond to the questions. Yes, it is always a rearview mirror. If I have to be pe rfectly honest, this is the first half year in many, many , many years where we've had less than what we would have wanted to deliver results that we would have wanted to deliver much better results. And this was very squarely actually driven by Government policy in most respects.

Now the industry associations are very actively engaged with the Government , both the sugar and distillery associations in terms of enhancement of prices of ethanol. But there are a few important things to remember. I'll cover bot h parts, both the sugar aspect as well as the distillery aspect as well and then move into th

e feedstocks. But from the sugar aspect, we had an impact of disease pretty much across North India, not just in Uttar Pradesh, but across North India. As you had seriously adverse climatic conditions, 45 days / 6 weeks of no sunshine in the winter, no rains, et c. And now all of this is a very finely balanced sword , because if you have too much rain, that's also a problem in the winter. If you don't have enough, the n that's also a problem. So there's a very fine balancing factor. But sunshine is something that is undeniable. It is essential for the formation of sucrose in sugarcane. And the lack of that was a big problem. The hope, of course is , we can't predict what the forecast weather was going to be in January, in February and March. But the hope is and the Skymet data, which we track very, very rigorously suggests that we will have a normal winter period.

As you have already seen in North India, we have had the hottest October in many, many years. You've already seen that data. November has already seen some of the coolest days and North India reporting some of the coolest days already. What that means is that the RTD value, the difference between the highs and l ows of the day, which is essential for sucrose formation is actually rapidly. It's going on in spades right now. We're very happy with what is happening especially across Western Uttar Pradesh.

Factories have started and the yields look promising , it look s better than last year. The incidence of maize is vastly reduce d. It is eradicated at most of the factories . At one plant, there is still some disease but it ha s come down absolutely enormously. But by and large, the plant sugarcane, r atoon and plant crop looks extremely good across our sugar belt. Now that's point one , that means that you will have more feedstock available for your distilleries . Now coming towards grain because we will absorb all of our sugar cane -based feedstock, and then we have further space to process grain . FCI rice is now not available for conversion into ethanol. That has been banned. You can only get damaged food grains at a lower ethanol price. We have not been buying damaged food grain . And so that comparable does not really exist . As far as maize is concerned, yes, the last six months was a great learning experience. And from that learning experience, I will share some short -term and medium -term goals.

In the short -term, I mentioned that we are expecting both the upcoming Kharif and Rabi crops to be better than what had happened last year. As a result with higher quantums available and some imports of maize happening, which will probably go into animal feed. The availability of maize will increase. And therefore, you will see some softening of prices. How much of that softening is yet uncertain , because this market is evolving. It's a brand -new market. The trade in maize has never been as active as it has been and the number of people

that are involved in all elements, right from f arm to procurement to logistics to transportation, et c, it's just suddenly emerged that's one.

The second and most important thing, and you've seen this the Honourable Prime Minister also in his Independence Day speech, pointed towards two new seed variet ies of maize and you'll see that these varieties are intended in the very medium term to enhance the overall productivity of maize across the country, which is approximately 3 metric tonnes by hectare in India, whereas global standards are between 7 - 9 me tric tonnes depending on where you are. We can very easily jump to 6 metric tonnes , looking even at non -GMO seeds and the ones that have been released.

And so that, of course, massively enhances the availability of the grain for the distillation sector. I think this combination of events is something that will add to the profitability. On one hand, we're looking at price enhancement

. On the other hand, we are looking at lowering your cost of production through better procurement prices of your feedstock as well as more systematic and sustained operations at your plants. If you operate it in a sustained manner for 330 -odd days, and you are optimal performance parameters as well.

The other very important thing for Triveni , if we move in our product mix. Last year, we were at 50 -50 between sugar and grain. And this year, we're now looking at migrating to about 60 -40.

Sudarshan Padmanabhan : Can you give some colo ur on what is the quantum of price increase constantly, especially from the ethanol side or differe nt grades given that there has been an increase in SAP , but not an increase in the ethanol prices for a long time ?

Tarun Sawhney: No, the increase in SAP was last year. With respect to this year, one is hopeful that there will be no change in SAP in the s tate of the Uttar Pradesh. But as far as ethanol pricings are concerned, I would not like to harbour a guess at this particular point. The associations are in active discussions with the Government . There have been innumerable representations that have bee n made, and we're hopeful for a positive outcome. But to hang my hat on a particular number, it's something that I would be unwilling at this point.

Sudarshan Padmanabhan : One final question before I join the queue is , we also have a very interesting and growing Alcohol business in IMIL and IMFL . The thought process is given last year was we are seeing a little bit of a challenge in the maize procurement. Is there a possibility at some point of time where we can switch completely to Alcohol , I mean to IMIL and IMFL and probably not necessarily participate in the non-cane based ethanol. Is that an option which is possible?

Tarun Sawhney: I'm afraid , your question I haven't fully understood , but I'll try and answer it. Now the quantum of total alcohol, wheth er it be ENA or ethanol that we produce is very, very substantial. Last quarter we produced almost 4 crore litr es. So to convert that into alcohol, the demand doesn't exist , our IMIL and IMFL brands can't absorb that quantum at all.

We will definitely be producing ethanol as well. However, both the liquor businesses, the portable liquor businesses are growing. IMFL is very new. It's only 3-4 months old. IMIL is also reasonably new , but established and profitable within three years, which is exactly what we had thought, and it has led to massive encouragement of our other team in IMFL, that we know how to make excellent products.

And now it is about marketing that product gaining market share, getting those placements, investing in the business and getting repeat customers in orders. We've demonstrated that in IMIL and we're very encouraged about our IMFL

business and the products we have at this particular point in time. But I think we will always be using sugarcane -based feed stocks, because you always hav e molasses in some form. We'll always use that for generation of alcohol in all probability ethanol. And of course, we have large distillation capacity, so we will also be using grain.

Moderator : Thank you. We'll take the next question from the line of Ni tin Awasthi from InCred Research. Please go ahead.

Nitin Awasthi: Hello, m y question was related to the liquor business that we have entered. One, because of the investments you're making in the liquor business, will we start reporting it separately , beca use I think that will be the right thing to do. When I say that, I mean the IMIL business and the IMFL business. Will it be categor ically reported separately? And have we put out a plan of how much investment is going to go in this business , because one th ing is producing these products, especially in the IMFL segment , and the other thing is marketing the product. And this over year, the marketing expenses, at l east in the initial years will be substantial compared to production expenses, et c. Have we put o ut a plan on that line?

Tarun Sawhney: One good suggestion and one good question. And I'll be brutally honest. At this point, we are not separately reporting our potable liquor businesses vs. our overall alcohol business. However, once we have the size, o f course, we will certainly take your views and report it independently. At this point, as I had mentioned, to the previous gentleman, these businesses are very new. The IMFL business is fo ur months old, and the IMIL business is completing its third year. They're really in their inception of this particular point. It will be unfair on them for us to report them separately. But I can share with you from time -to-time on these calls, et c, the performance. And the performance is that in IMFL we're investing in placement, brand building, et c. And in IMIL, we are profitable and reasonably profitable. And we are expanding and investing further in that business for profitable growth. Last month, we were in the top four in Uttar Pradesh, competing against giants who' ve been in this business for a very long time. We're a very new industry entrant in country liquor, but we're very hopeful for positive changes in state policy with respect to pricing. And in terms of adding our capacity going forward, large additions to c apacity for the IMIL business. That is with respect to point one.

The second question that you had with respect to the budgets of both businesses, no, we have not disclosed it. Of course, these are all board approved and board sanctioned numbers, but we h ave not disclosed this to the stock exchanges at this particular point in time for a variety of reasons. First and foremost, being that we are a new entrant, this is a stage of infancy for these businesses, and it is competitive data that it is not prudent actually to be able to disclose these numbers at this particular point in time.

Nitin Awasthi: Understood. The s econd question was there has been talk about a levy , similar to the levy on molasses, which is happen s in Uttar Pradesh, happening on the green ethanol front. Could you comment on that? Is that already in works? Is that already happening? Or is it on the planning stage? Or is it an absurd idea which you not fructify ?

Tarun Sawhney: I think it's a rumo ur. To our knowledge, there is no work on th is on the ground at all.

Nitin Awasthi: Okay. Understood. Lastly, on the ethanol orders that you have received, could you give us the absolute number of what has been received by you out of the 837 crore litr es, which was given out and in which route are they?

Sameer Sinha : We have got orders of about ■20 crore with us already. And that's about all . And the product mix, as we have mentioned, would be the 60 -40 product mix going forward, and we also have the option of switching between feedstocks and from distilleries. So that's a good flexibility that we have.

Nitin Awasthi: Understood. Thank you.

Tarun Sawhney: Actually, I'll just add to that comment. The fact that we have a lot of fungible capacity to move between feedstocks at Triveni will give us , because this is the first time that the tender is allowed fungibility of supply, changing your feedstock in your tendered quantity. And that we will hopefully be able to maximize our profitability based on whatever the ethanol pricing numbers are.

Moderator : Thank you. The next question is from the line of Shailesh Kanani from Centrum Broking. Please go ahead.

Shailesh Kanani: A couple of questions from my side. Can you throw some numbers with respect to our dependence upon 0238 variety for this season? How has it panned or how has it been doing lower than vis-a-vis last year?

Sameer Sinha : Last year, we were around 75%, and we have come to around 50% this year, and we expect a substantial reduction going forward next year.

Shailesh Kanani: Okay. But still , it is one of the significant variety for our crop and how confident in light of that data, how confident we are the yields turnaround will be better , given that it is affected by red rot ?

Sameer Sinha : There are three or four answers to that. One is tha t what we have observed is that wherever there was water logging last year led to a huge increase of red rot. And we have substituted the seeds in those factories in West UP, many of our factories are on upland area, there has been no water logging.

Third is we have a very intensive surveillance going on for early detection of disease and it's curative actions to be taken over there. These are the three important things. And in the other areas where this is existing in, let's say, 50 - plus proportions, we h aven't seen any great incidences so far. And these all are in West UP, very close to Delhi, on the western portion of West UP.

Shailesh Kanani: It's suffice to say that we are confident of at least a single -digit growth in terms of crushing numbers for th is season?

Tarun Sawhney: We are very confident of better yields and recoveries. I would like to say that the experience , this is the comment that the first speaker made about the rear-view mirror, the real time to be able to give you ... Yes, we're very c onfident right now that our crush and recoveries will be better this year. However, to put a very fine number, I would like to give you a more accurate number when we speak next in January or early February. At that particular point, we will have finished the ratoon crop, and we will have started on the plant crop. We will add the vast majority of data with us halfway through the season. And that is the appropriate time to be able to give you exactly better things. And we will also have seen four weeks of w eather in January, which is absolutely vital for future recoveries, the recoveries in February and March and April. But as of now, yes, the crop is looking much better. The yields are looking much better, much healthier. The quantum of disease is massively , massively reduced from last year. It is only really present in one factory in small areas. We have a little bit of water logging in another factory, but all the other plants are doing very, very well.

I'll give you some estimates. I mean we're looking a t projected yields starting off from East Uttar Pradesh, factory at Ramkola of about 550 quintals per hectare

much improved from the previous year. Huge difference from the previous year. At Khatauli, while looking at a shade of about, say, 770 quintals pe r hectare, which is very, very encouraging as well. And the ratoon yields for Shamli, which is the factory that we acquired Sir Shadi Lal Enterprises is between 825 and 850. So probably the highest in Uttar Pradesh, in fact, definitely the highest in Uttar Pradesh. It's looking good at the start business.

Shailesh Kanani: Fair enough , that's very helpful. Sir, a couple of questions both on my side. Do we need to revise our ethanol guidance, which we had shared earlier of around excess of 21 crore litres for FY 25 as we are kind of nearly completed our old stock or we stick to our guidance of 21 crore litres?

Tarun Sawhney: Will be broadly in that range. I don't think we're going to be reducing the guidance as of yet. It's within the parameters of plus/minu s 5%.

Shailesh Kanani: Just last question , to your mind, what is delaying the process of ethanol price revision when we have that linked to the cost of production or to the price of that as established in the policy document. To your mind, what is creatin g this delay in revision of ethanol prices? and also similarly, what is kind of obstacle for Government to release the FCI rice as we keep on reading in media reports that the crop is bumper with them and FCI is already flooded wit

h surplus of the stock
vis-a-vis the normal stock what they have. To your mind, what is the obstacle over there? and any timeline, if you can share these two things, the development, positive developments coming in? That will be great, sir.

Tarun Sawhney: I'm afraid I don't have good news or an answer, good answer for you as far as the timing of the prices. We've actually been eagerly anticipating it. We've been following what the associations have been doing with respect to price. Very difficult to ascertain when that price will happen. I know that we had Diwali festival period. The hope is that we will see this sooner rather than later. With respect to FCI rice, yes, of course, I'm reading the same news articles that you are reading. However, this is a policy decision and shift b y the Government of India.

I don't know, if the availability … It's a great shame because with rice, as I mentioned earlier, the profitability levels, especially our fixed price procurement was outstanding. It was very good for the distillery business bec ause it became a tolling business. You bought at a fixed price, you convert it and you sold at a fixed price as well. It's an outstanding business model for a large conversion facility. But vs. maize where one hand is not tied than in the back as you're procuring in an open market, you're then at the mercy of a huge load of other factors. However, will the availability of rice suddenly change for the ethanol industry. Again, a million -dollar question. I would not like to comment on that really.

Moderator: Thank you. The next question is from the line of Vikram Vilas Suryavanshi from PhillipCapital (India) Private Limited. Please go ahead.

Vikram Vilas Suryavanshi: Good afternoon. I think some of the questions already answered. But just giving an uncertaint y on maize side and grade, how is our plan for asset expansion from 860 to 1,100 KLPD?

Tarun Sawhney: Right. As you will recollect, and I said this for the last few quarters, we were waiting for a revision of prices to be able to make that decision. And if the revision was adequate so that we were ensured our rate of return, we would go ahead and take the project of course and go ahead and execute it. As you know, the environmental provisions and other provisions have already been secured by Triveni for t hat expansion of that new plant. And so the decision to set up that new facility is predicated only on returns.

And we've just been discussing over the last 45 minutes or so, we don't know when those price increases really happened. Last year, there was n o price increase. And therefore, we kept our finger on the pause button. As of now, our finger is still on the pause button because I don't know what those price increases are and the commensurate rate of return for that plant. At this particular point in time, we are keeping that plant on pause, the expansion to 1,110 KLPD on p ause. However, we're reviewing it actively. We're crunching our numbers actively. It is purely a financial decision.

Vikram Vilas Suryavanshi: Okay. But in that decision, will the v iability of maize as one single raw material sufficient decision to take that decision or you will wait for actions, including all other FCI rice, damaged food grain to take that decision?

Tarun Sawhney: I think it really depends on what the increase and what the mechanism is. In the last increase of maize, that entire increase was absorbed by the trade, the prices went up from ■22 -■23 a kilo to ■26 a kilo overnight, completely eradicating all the margin that was available. The Government is fully aware th at this is what happened. I don't know what they will come up with the mechanisms, etc, ensuring continued profitability because we're not the only converters of maize into ethanol, there's huge quantums I mentioned that 57% of ethanol. The vast majority o f that 57%, 340 crore litre

s came from maize. It's impacting a very large number of people across the nation.

And so as that profitability matrix changes yes, we will see it. If it is to be a grain - based plant only, then we will only look at that grain pr icing. If it is multi -feed, then we will look at multi -feed, but those decisions depend on the price increase by the Government of India, and then we will be in a better position to take that decision. But we're ready to take that decision instantly , that I will leave with you.

Vikram Vilas Suryavanshi: Understood. And just last question on cane side. Obviously, you said that normal winter and probably a recovery happening. But now B -heavy and juice is allowed, what would be typical mix from ethanol we wil l produce once a juice and B -heavy from sugar side? Or in coming season?

Tarun Sawhney: As far as the overall tender is concerned, I think that data is all publicly available. As far as Triveni is concerned, I've already shared during the course of this c all that we expect the split to change from 50:50, which is sugar and grain to 60:40 sugar and grain.

Vikram Vilas Suryavanshi: No, my question was within sugar, what would be mix of B -heavy and juice?

Tarun Sawhney: I think it's too early for us to tell right now. As we had mentioned during the call, all of this is fungible. We can switch between feedstocks and this tender allows us to switch between feedstocks. For us to share with you the exact portions of which particular feedstock in sugar will be mi sleading, and I don't want to do that at this point.

Moderator: The next question is from the line Souresh Pal from KRSP Capital Limited. Please go ahead.

Souresh Pal : My question is regarding our recent acquisition of Sir Shadi Lal. What are our plans r egarding Sir Shadi Lal? And when do we think that this company can post a PAT positive number or anything regarding the capex or the land bank that is available with Sir Shadi Lal? That's my question.

Tarun Sawhney: Okay. Let me talk, yes, of course, on t he 20th of June is when we have taken over management control of Sir Shadi Lal Enterprises. The factory will start its commercial, will start its operations at some point next week very much in line

with our predictions, etc. We've had a good amount of wor k and repair and maintenance that has happened at the Sugar facility at Sir Shadi Lal.

With respect to any disposal of assets of the Company , there has been no discussion of that at all amongst the Board, the new Board of Sir Shadi Lal and this is the bes t of my knowledge, it is a separate listed company as you're very well aware. And as a 60 -plus percent shareholder of Sir Shadi Lal Enterprises and a group company of Triveni Engineering, we're very hopeful that we will turn this business around very, very quickly.

The last quarter and the loss that is reflected in our results of T EIL for the quarter under review. This is a quarter where there's no production. There's absolutely no production, and there was very little sugar that was left with Sir Shadi La l. All of what was left was sold and the funds were utilised and therefore, that resulted in a loss at that level. But we're very hopeful that this will turn around very, very quickly. This season is expected to be a good turnaround season for that busines s.

Souresh Pal : What you are saying that this quarter, I mean, quarter two, there was no production operation that happened in this company, and you are going to start operation of production from next week. Is that right?

Tarun Sawhney: That's right.

Moderator: Thank you. The next question is from the line of Aditya Shah from Mesh Stock Brokers Private Limited. Please go ahead.

Aditya Shah: My question is regarding Triveni subsidiary, Sir Shadi Lal Enterprises. My question, in particular, is about the distillery business. What are you looking at for margi

n improvement? And do you all have any plans for scaling capacity or venturing into, let's say, IMIL or IMFL in the future?

Tarun Sawhney: I think we're exploring it. The distillery at the Sir Shadi La l Enterprises was in terrible conditions when we took over management control requiring a reasonable amount of capex in order to be able to let it operate at the efficiencies that the Trive ni distilleries operate at. As a result, we're still examining this business in terms of when we start the operations of this business. But it will require a certain amount of capex for it to be able to operate efficiently.

Aditya Shah: Okay, all right. T hank you.

Moderator: Thank you. The next question is from the line of Shailesh Kanani from Centrum Broking. Please go ahead.

Shailesh Kanani: Just one last listing question from my side. Are you contemplating any further capex in any other business lines like CBG or anything on that if you can throw some light and that would be everything from my side .

Tarun Sawhney: Wonderful. So the only capex that has been approved by the Board in its board meeting yesterday was ■20 -odd crore for the IMIL business. Be sides that, we are not contemplating any further capex at this particular point in time. You mentioned C BG, I will then take a lead from that and share with you that Press Mud prices, loose Press Mud prices have gone through the roof. In West Uttar Pradesh , they are well above ■50 per quintal. It's a massive increase from last year on a by -product, almost maybe a 100% increase in certain plants.

The viability then if that is being used only for C BG is a little bit under question in my books because you need to be able to balance the feedstock price with your end product price. At this point, I'm just sharing some data points with you.

But at this particular point, we have not contemplated any additional capex . During my opening remarks, I had said that as a firm, we will continue to improve debottleneck and continue to improve operations, etc.

We will see during the course of this season, the capex that we have done during the off season, we will see the returns because every single capex had an associated return and the performance of that we will know better by January, once the season is at least a few months underway. And then we'll be in a better position to see if we do some more tinkering at the sugar plants in the form of limited but small capex in the off season. As of now, there is no plan.

Shailesh Kanani: Sir, just a small follow -up and clarity, more o n the price side, what was the hike, what was the price of press mud you said?

Tarun Sawhney: Over ■50 per quintal.

Shailesh Kanani: Okay. And where is this demand coming for Press Mud for this 100% increase. Any idea on that?

Tarun Sawhney: We're selling to traders. We're very happy wherever they're taking it.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to the management for closing comments. Over to you, sir.

Tarun Sawhney: Ladies and gentlemen, thank you very much for joining us for the Q2 FY 25 results call f or Triveni Engineering & Industries Limited. The last quarter and half year has been more challenging. But the future looks extremely promising across all the businesses. I'm very hopeful that the Sugar season will be substantially better vs. last year. Th e start has been very good. The signs are extremely good. As a result, we will have more feedstock, better quality feedstock, etc for feeding into the Distillery business, which will do well. Within that, both the branded liquor businesses of country liquo r (IMIL) and IMFL continue to do well, and we are hopeful that they will spur very positive financial performance for the Company . On the Engineering side, both Power Transmission as well

as Water are looking extremely positive at this particular point, and I'm looking forward to our next conversation in three months, but I hope to come back with even more positive news for all the businesses. Thank you very much, and have a good day.

Call: Feb 2025

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Sub: Transcript of Analyst/ Investor Conference Call held on 5th February, 2025
Dear Sirs,
Pursuant to Regulation 46 of SEBI (LODR) Regulations, 2015, please find enclosed transcript of the Analyst/ Investor Conference Call held on 5th February, 2025 post announcement of unaudited financial results of the Company for the Q3 & 9M FY25 ended on December 31, 2024. The transcript is also available on the website of the Company at: www.trivenigroup.com
You are requested to kindly take the same in your record.
Thanking you,
Yours faithfully,
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Group Vice President &
Company Secretary
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Triveni Engineering & Industries Limited
Q3 & 9M FY 25 Earnings Conference Call Transcript
February 05, 2025

Moderator: Ladies and gentlemen, good day and welcome to the Triveni Engineering & Industries Limited Q 3 and 9M FY 25 Earnings Conference Call . I now hand the conference over to Mr. Rishab Barar from CDR India. Thank you, and over to you, sir.

Rishab Barar: Thank you. Good day, everyone, and a warm welcome to all of you participating in the Triveni Engineering & Industries Q 3 and 9M FY 25 Earni ngs Conference Call. We have with us today, Mr. Tarun Sawhney, Vice Chairman and Managing Director; Mr. Suresh Taneja, Group CFO; Mr. Sameer Sinha, CEO of Sugar Business Group; as well as other members of the senior management team.

Before we begin, I wou ld like to mention that some statements made in today's discussion may be forward -looking in nature, and a statement of this effect has been included in the invite , which was shared with everyone earlier. I would also like to emphasi se that while this call is open to all invitees, it may not be broadcasted or reproduced in any form or manner. We will commence the call with opening remarks from the management, following an interactive question -and-answer session.

May I now hand it over to Mr. Tarun Sawhney. Over to you .

Tarun Sawhney: Thank you , Rishab. Good afternoon, ladies and gentlemen, and welcome to the Q3 & 9M FY 25 earnings conference call for Triveni Engineering &

Industries Limited.

The consolidated financial numbers for the nine-month period, t he revenues from operations stood at ■4,060 crore , an increase of 3.6%, and the PAT stood at ■51.1 crore . Looking at the key highlights, the overall profitability of the Company during the nine-months ended December 31, 2024 was subdued. And this was mainl y due to the lower margins in the Sugar and Alcohol businesses.

In our Sugar business, while sugar prices in Q3 FY 25 were subdued, they have firmed up substantially recently based on lower estimates of net production of approximately 27 million tonnes of sugar in Sugar Season (SS) 2024 -25 and timely announcement of exports. A trend of initial lower recoveries in the State of Uttar Pradesh has been observed for the SS 2024 -25, but the crop estimates in Western Uttar Pradesh remain unchanged from our previo us call.

There have been several positive policy measures that have been announced. Firstly, and in no order of sequencing , the Government has announced an export of 1 million tonne of sugar for SS 2024 -25. Triveni, including our

subsidiary, has received an allocation just shy of 32,000 tonnes for sugar exports. The Department of Food and Public Distribution (DFPD) has issued directions for sale of rice in the open market through the open market sales scheme for 2024 -25, where the reserve price of rice sol d to distilleries for ethanol production has been fixed at ■2,250 per quintal, therefore, improving the availability all feedstocks at slightly better prices.

The Cabinet Committee of Economic Affairs (CCEA) has approved the revision of ethanol procuremen t price for Oil Marketing Companies (OMCs) derived from C -heavy molasses for the Ethanol Supply Year (ESY) of 2024 -25 from ■56.28 to ■57.97 per litre.

Turning to our Engineering business es. The order book ing for our Power Transmission and Water business h as registered a strong growth in Q3 FY 25 and 9M FY 25. The combined closing order book stands at ■2,356 crore for the Engineering business es, an increase of a handsome 52. 4% on a year -on-year basis, signifying an all -time high for the Company.

The Board meeting of the Directors concluded yesterday had an important announcement of an incremental capex of ■60 crore for the enhancement of capacity in the Power Transmission business . This will take the gears capacity to

■700 crore by September 2026. The exist ing capacity , just for abundant clarification as of today is approximately ■400-odd crore , and the project for enhancement of the gears capacity is for ■500 crore , and it's underway and should be completed in the next few months.

I also wanted to provide an update on the Scheme, as you're all aware, this is in conjunction with value unlocking that the Board of Directors has felt very important. And this is also the first investor call following our announcement on the 10th of December 2024, where the Boar d approved this Composite Scheme of Arrangement proposing , firstly , an amalgamation of Sir Shadi Lal Enterprises (SSEL) with Triveni Engineering & Industries Limited (TEIL) . SSEL, Sir Shadi Lal is a subsidiary of Triveni E ngineering, where Triveni owns ~61.77% stake. And second ly, the transfer and vesting of the Power Transmission Business , PTB undertaking of Triveni Engineering to Triveni Power Transmission Limited (TPTL). Triveni Power Transmission Limited is a wholly owned subsidiary of the TEIL presentl y.

Looking at the balance sheet. On a consolidated basis, the net debt after considering surplus funds is ■960 crore as on December 3 1, 2024. And it includes ■126 crore pertaining to the subsidiary, Sir Shadi Lal. The overall cost of funds stands at 5.6% during Q3 FY 25, which is marginally higher than 5.3% in the corresponding previous period.

I would now l ike to turn for a segment -wise business review. And starting firstly with the Sugar business. In the ongoing sugar season, 2024-25, the Company has crushed 3.4 million tonnes of sugarcane until December 31, registering a growth of approximately 3%, which i ncludes the crush for Sir Shadi Lal Enterprises as well. As of yesterday, the crush of the Company is, by and large, the same as the crush as it was for the last SS, which is very, very encouraging. And the future actually looks quite promising as far as t he overall crush of the Company . And I'll just spend a minute on that.

In our last conversation, we've spoken about our estimates being slightly higher for this year. I'm happy to say that on a consolidated basis, we expect our total sugar crush to be hig her by approximately 15%. Of course, this includes the acquisition of Sir Shadi Lal. But even on a stand -alone basis, it's a very healthy growth in terms of the overall cane crush for the Company . And we hope to improve our performance as we proceed throug h the course of this

season. It's important to highlight that SS 2024-25 had a delayed start relative to SS 2023 -24 for the Company . And therefore, the crush and date numbers are not quite the same.

The initial recovery trends for the ongoing SS are on th e lower side due to inclement weather , the inherent degeneration of the 0238 variety of sugarcane. However, we are intensifying our efforts to reduce the proportion of sugarcane to variety 0238 from the 50 -55% to approximately 30-35% for the next season.

Moderator: Ladies and gentlemen, we have lost the line of the management. Please be connected while I rejoin the management. Ladies and gentlemen, we have the management connected. Sir, please proceed.

Tarun Sawhney : My apolog ies ladies and gentlemen for that int erruption, the call suddenly dropped. I'm going to back track a couple of minutes and start off with the crush estimate and to give us the repetition if any. We anticipate a 15% increase in cane crush this year on a consolidated basis. However, eve n on a stand -alone basis, as I mentioned, I stand by what we had said in the previous quarter that we do expect an increase in crush.

One must remember that SS 2024-25 had a delayed start when compared to the previous sugar season for the Company . And the refore, the crush and date numbers are not entirely comparable . The initial recovery trends for this sugar season are on th

e lower side due to inclement weather and the degeneration of the 0238 variety. One must also remember that when you start to see a n ew crush, the ratoon crop, which is the plant crop of the previous season, which was very seriously impacted in a few factories by disease. However, we have intensified our efforts and plan to reduce the quantum of 0238 from about 50 - 55% this year to appro ximately 3 0-35% in the next year.

I would also like to point out that we have a negative 0.6% difference in recovery as of today. However, that difference is narrowing with the arrival of healthy plant ca ne across all the sugar factories. And we certainly intend on catching up as much as possible. I don't think you a complete catch -up would be possible. However, there will be positive strides made to catch up the difference that exists today.

The sugar revenues for the quarter declined by 9.5% due to low er sugar sales volumes and lower reali sation price in Q3 FY 25. The segment margins were lower due to lower contribution margins as subdued sugar realisations could not fully offset the higher cost of sugar produced in the preceding season of 2023-24. Lowe r initial recoveries in the ongoing season of 2024-25 resulted in an inventory write -down in view of the higher production cost. It is expected to moderate, of course, in the remaining period of the season. A higher charge of off-season expense in the 9M FY 25 by ■20.5 crore , and this was due to the early closure in the previous season.

The results of the subsidiaries , Sir Shadi Lal were impacted due to lower production in SS 2023 -24 and extensive repairs that were carried out by SS EL during the last sugar of f season. However, I'm delighted to inform everybody that the plant is running, the sugar factory is running at full capacity, including in the quarter under review.

The sugar inventory as of the 31st of December 2024 was 29.46 lakh quintals valued at ■38.8 per kilo. The current reali sation price ex -factory for refined sugar for Triveni is approximately ■41.8 per kilo. And for sulphitation sugar, it's approximately ■41 per kilo.

I would like to just point out the change that has happened and I talked about some of the Government measures that have been very important, including a lowering of the estimate d sugar in the country. So, if you look ed at the month of December, our blended reali sation, was just a shade above ■38 per kilo . For January, our blended realisation price was just a shade under ■40 per kilo. And today, we are looking already at about 0.50 paisa higher than those levels on a blended basis. So, a very nice trend in su gar prices.

And given the fact that the quantum of sugar being produced this year coupled with the sugar exports will lead to a lower closing stock of inventory. And therefore, I think now we've made a step jump in terms of our average sugar price and the expectation is certainly higher and beat some of our estimates as well, whic h is very, very positive.

Looking at the more detailed industry scenario, I talked about the 1 million tonnes of exports, and that equates to ~31,880 ton nes of sugar export for Triveni Engineering as a whole. And with the balance sheet improving because of less net sugar than the country, we anticipate a closing stock just about 6 million metric ton nes by 30th of September of this calendar year. This is after considering a diversion of 4 million metric tonnes into ethanol. And I think that, of course will lend itself quite well to maintaining sugar prices. And it's also sufficient sugar. I should point out that any number above 5.5 -odd million metric tonnes for us, does not cause any cause of concern. So, we have a good million metric tonnes in hand within the country before any alarm bells can sound.

On a global basis, the international markets have been reasonably volatile. And there is a deficit that i

s assumed for the SS 2024-25. However, the deficit has decreased by about 0.5 million metric to nnes since our last conversation. The lower production estimates in key export countries is which includes Brazil and Thailand.

International sugar prices recently did a low of $0.177 per lb (pound) for raw sugar and London #5 prices dropped to $466 per metric ton ne on the 21st of January. However, they have tightened, they have increased since then. The expectation of a tight global supply has led to this rally, which went up to almost $520 per metric ton ne for whites .

Turning to the Alcohol business, the revenue s grew by 4. 4% in Q3 FY 25 and 7.9% in the nine-month period. However, this is mainly due to improved realisations driven by higher proportion of grain operations. However, the profitability of the Alcohol business was lower. A lower sales volume on the high-margin ethanol produced from molasses in Q3. And due to the shortage of molasses -based feedstocks, resulting from a policy decision of GOI (Government of India) , restricting sugar to B-heavy molasses in the previous sugar year are the primary causes for this event.

The alcohol from molasses -based feedstocks formed approximately 48% for Q3 FY 25 and approximately 49% (of sales) for 9M FY 25 . Apart from lower contribution, it has also led to a non -recovery of some fixed expenses during this period as distilleries remained closed due to shortage of feed stocks.

The h igh-margin FCI Rice , as you would remember , was substituted by ma ize in July 2023, consequent to a policy decision. And therefore, it is substituted with a higher proportion of low -margin maize operations in the overall grain and therefore impacting the overall ethanol operations. The consolidated loss of ■2.8 crore for the quarter pertain to the distillery of our subsidiar y, Sir Shadi Lal. For ESY 2024-25, the OMCs have executed contracts for approximately 930 crore lit res compared to the supply quantities of 672 crore lit res in the

previous ethanol suppl y year, representing a massive 38% year -on-year increase.

The proportion of ethanol from grain -based feedstocks in the current tender is 64% of which maize is 52%, which is substantial, and points towards an interesting and changing dynamic in the Ethanol Blended Petrol (EBP) program me as we see it. The achieved blending percentage for 2024-25 as of the 31st of December stood at 16. 4%, while the blending percentage for the month of December was much higher, it was 18.2%. And I think there are parts of the c ountry where we will be touching 20% blending in this supply year. Uttar Pradesh could be a clear example of such a state.

Turning to our Engineering businesses, I will very quickly; cover both the Power Transmission business, the revenue growth in Q3 was a little bit lower than expected , at about 3.3%. And this was due to two reasons. I've spoken and written about the shifting of certain large orders include this Q4, but also because we had one of our important profile grinding machines, which was under r epair. We have three very sophisticated profile grinding machines. And one of them, the oldest one was under repair and this was a plan ned repair. And as a result, not to compromise on quality, we did push out some of the deliveries. So, everything is pret ty much on track.

The revenue growth for 9M FY 25 was higher, of course, at 13%. During Q3 FY 25, the Defence business received a second order for 42 propulsion gearboxes of Triveni indigenous technology for Fast Patrol Vessel from Mazagon Dock Shipbuild ers Ltd . (MDL). The order booking grew at 23% during the quarter, which perhaps a little bit of slowdown in the domestic market, but a huge increase as far as export markets are concerned, and a lot of activity happening in export markets.

The order book for 9M FY 25 grew at 32.9%, almost 33% to ■320 crore , driven b

y both product and aftermarket segments. But overall, the business has witnessed strong growth in exports driven by increased engagement with customers and new qualifications orders that we've received across product lines. The outstand ing order book reached an all -time high of ■377 crore on the 31st of December, which included long duration orders of about ■136 .6 crore .

The Water business revenues declined due to a delay in receipt of new orders and some slow execution in certain proj ects. However, the profitability of the Water business improved in Q3 and 9M FY 25 by 67% and 25%, respectively, due to the reversal of certain provisions which has been made in earlier years on receipt of capable awards.

The order booking grew substantia lly both in Q3 and 9M FY 25 over the previous corresponding period. And as of the 31st of December 2024, the order booking for the Water business stood at a hand some ■1,979 crore , which included ■1,122 .6 crore towards O&M contracts, which are executed over a slightly longer period of time.

If I just spend briefly, just a few minutes on the outlook for our various businesses. As far as sugar is concerned, the indu stry and we are keenly awaiting the revision of the Minimum Selling Price (MSP), although the MSP conversation was for an increase in the ■30 brackets. And frankly speaking, if we're selling sugar at maybe ■42 for refined sugar today. And the future for this year looks reasonably buoyant, but we don't see any declines to these prices going forward as we get into the larger consumption months. So, an increase in MSP while it's welcome. I think the industry would like to see a higher increase in MSP to be con sidered by the Central Government. This is particularly because over the last two years and since 2019, both Fair and Remunerative Price (FRP) and State Advised Price (SAP) has risen during this period.

While we welcome the price increase for ethanol der ived from C -heavy molasses, there is much more that needs to be done in terms of ethanol price from potentially B -heavy as well as from grain operations. And in order to make grain operations viable for today and for the future. And we are hopeful that's t he Ministry of Petroleum and Natural Gas (MOP&NG) and Central Government will look upon this and suitable revisions , especially for ethanol derived from grain.

Our Power Transmission business outlook continues unabated, and this is due to major investment s in infrastructure. Domestically, we are seeing investments in Steel, Cement, Oil and Gas, other key process industries, which are likely to see growth for us as well.

In addition to the overall economic growth, there has been market share gains and vent uring its new product applications. And this will be a key driver for growth for the future for the B2B business. The international markets, as I mentioned earlier, continue to offer high potential. And we are just scratching the surface as far as the afte rmarket business is concerned for global markets. And so that will be an area of high profitability and substantial growth for the future.

The Government of India ’s continu ed thrust on Aatmanirbhar Bharat and Make in India, opens up a plethora of opportun ities for indigenization and we're certainly going to be a beneficiary not just for the gearboxes, but also for different equipment where the Company has expanded sufficiently. The business expects increased order booking from key segments that we're in, which include gas turbines, propulsion gearboxes, shafting application s, special application pumps , etc. where we have received complete qualifications and there are Request for Proposa ls (RFPs) that have been already placed.

The setting up of the dedicat ed multi -modal facility for our defence products will also help the business in gaining key confidence with customers and expand our over

all service offering.

And lastly, as far as our Water business is concerned, there are new opportunities emerging in r ecycle and reuse and zero liquid discharge businesses on an EPC as well as on HAM model basis. And whatever industries are available as off -takers for buying treated sewage. This model is expected to emerge significantly and prominently in the thermal powe r sector.

The Company is also evaluating various international opportunities and intends to participate in several tenders in the water and wastewater treatment sector, mostly whenever we possess our pre -qualifications and preferably on our own. And of co urse, this only when funding is assured through multilateral and reputed agencies.

Thank you very much, ladies and gentlemen. I'd like to now open the floor for questions.

Moderator: Thank you. The first question comes from the line of Sudarshan Padmanab han from JM Financial. Please go ahead.

Sudarshan Padmanabhan: My question is to understand a little bit more on the ethanol spreads. I mean, the distillery business has seen a fair amount of profitability getting impacted.

Now that the FCI procurement of rice has been announced, and they have also announced the C-heavy ethanol price . Two things. One is, do you think that the prices would be good enough for you to see a better spread? And number two if you can give some colour on the ethanol volumes going forward? I mean in terms of whether the 20% blending is going to happen, how it translates into better volume.

And also, in terms of our strategy, we know how we are planning to position ourselves in terms of whether we are going to use more of A, B or C or since we are multimodal manufacturing, whether it makes more sense to move out of just plain manufacturing?

Tarun Sawhney : Okay. I think you've asked one question in about six parts. So, I'm going to try and offer you the best possible answer.

Now fir st and foremost, I think the past is not really a reflection of what one anticipates for the future. So yes, we've seen an increase in ethanol manufacturing on C -heavy molasses, the Company almost all of our facilities are running on C -heavy as of today , save one. And so we're going to see, of course expanded margins for ethanol manufacture from C -heavy, not just because it's C -heavy, but also because there's been an increase in price. So, there's a benefit on both fronts .

Next, as far as maize is concern ed, yes, there is a quantity of maize that will be used by Triveni , but also to supply by others. I anticipate that with the next crop a few months away, and that crop anticipated to be a rather large crop, we will see better and much more attractive price s for maize as well. That's one.

The second thing is, of course, the availability of FCI rice at a slightly higher rate will also put pressure on maize pricing. So, I think there's a dual impact as far as maize is concerned. Now the ethanol tender, as you 're well aware, for ethanol manufactured from FCI rice was close d today. We, of course, also participated. So, you're going to see some substitution happening with ethanol made from FCI rice at a slightly higher price point from where we were previously.

At that price point, you are making more margin than you are with grain with maize at this particular point. So, I think from our perspective, certainly, we will see a broadening of margins as we go forward, okay? It's not like it can't be instantly today, because we have some grain that is still coming in that has been procured. But going forward, I certainly think over the next few quarters, you will see an expansion in margins.

Now turning to the industry perspective, because you asked a very important question that the industry anticipated a much higher increase after two years in ethanol from the sugar stream, both for juice for B -heavy and for C molasses. As

we also anticipated an increase in ethanol from grain. Of which only one of these sub items ha s happened , which is the increase of C -heavy. And that is negative as far as the industry is concerned.

Yes, I am a little concerned with the impact that it will have on this year's ethanol blending program me. The industry is very nimble. A lot of capacit y is already in place. And so, with minor rectifications, the Government can then provide further impetus to the industry. But given where we are today, I fear that some of the standalone manufacturers on grain will be facing a very, very acute pinch given where prices are and the increase in other costs for manufacturing of ethanol. I hope that answers your question.

Sudarshan Padmanabhan: Yes. On the sugar outlook , after I think the Government announced the export s, you've seen a spike in the prices. And in the context of two things. One is with the exports happening and also the demand and supply being more favourable to us, the prices have increased.

And second is in the context of export itself getting better spreads, how do you see the coming season , as far as sugar is concerned ? Also taking into concern that last year we had the rate drop. And when do you expect the MSP to come to because SAP has happened, but MSP is not being touched by the Government yet.

Suresh Taneja: Okay. Another excellent qu estion in six or seven parts. So as far as MSP is concerned, I think that your guess is as good as mine. We at the industry and at Triveni have been writing in letters. I know that UPSMA, ISMA, all agencies in the sugar sector have been rising to D FPD to t he Central Government requesting for an increase in MSP. I was under the impression that during the month of January except, this would be taken up, however, as we all know, we're in the middle of February and then with the start of February, and it hasn't happened thus far.

I was mentioning this in my opening comments. Even if an increase in MSP happens, while it is very, very welcome, unless it's a substantial increase in MSP the impact on the market is going to be only momentary a nd the prices will be i mpacted by other events and not just because of MSP. It does offer a lot of confidence. But I think the numbers that were being considered of ■36, ■37, ■37.5 something like that was a very maximum. So, it is still much lower than what the prevailing prices are at this given point in time.

Now turning to the question of Triveni's sugar production, which you talked about. I had mentioned that despite having a late start of the sugar season, a s far as crush is concerned, as of yesterday, we're on par with our crush with the previous year. In addition, the overall crush of the Company is going to be higher by 15% on a consolidated basis and even on a standalone basis, which is quite substantial year -on-year growth and very much in line with what I had mentioned earlier. So, we're quite on track as far as that is concerned.

However, the blip is recovery. So, recovery started off very poor, I have to say. However, it has caught up quite substantially, we can see the gap year -on-year at this point in time is about 0.6% and lowering. Will we be able to cover up completely, no we will not. But as healthy plant cane comes in at all the eight factories , the catch -up will certainly happen from this gap. So those are very, very positive trends.

Now where does that leave us? It leaves us with more sugar as a company. For the nation as a whole, we expect about 27 million metric tonnes of production mix. We expect the closing stock to be just above 6 million metric tonnes, which is also absolutely fine as far as the nation is concerned. And all of that coupled with the 1 million tonnes of exports will lead to attractive pricing. It already has from the month of December; our average price is up by ■2.5 per kilo. That's a

pretty reasonable and a welcome jump. It is a long due jump also; I have to tell you.

My personal view is that I think we've moved to a different plateau. So, I don't see prices coming down very substantially. And I think we're at a new trajectory after two years. Last time we had this jump was about two years ago, we're at the new trajectory also because of the balance sheet position across the country. And so, as we get into the summer months of high consumption, I think these prices will be, of course, range bound as they

always are, but we've moved to a higher range level because of the market fundamentals. Right, I hope that answers your question.

Moderator: Thank you. The next question comes from the line of Sanjay Manyal f rom DAM Capital. Please go ahead.

Sanjay Manyal: Hi, just a few questions on recovery part. You said it's almost 60 basis points down on gross recoveries. What is the estimate of what it will settle at, after the crushing season and the cost of production , which is at ■38.8, and I'm assuming here that the entire inventor y is of the current season only , by what rupee it can come down, whether it will settle at ■36 or ■37 means, what is a broader estimate?

Tarun Sawhney : Sanjay, we don't give advanced estimates, and we'r e already in the first week of February, we're halfway through the season. There's a substantial part of the season that is still underway. Plant cane has now started coming in full force across all the factories, and it looks very, very encouraging.

Now what I can share with you is a little bit of the past. So, the gap that is 0.6% today o r 60 basis points as you put it, was 82 basis points about 45 days ago. So that gap has narrowed quite substantially. How much it will narrow in the future ? I wouldn't w ant to guess . The trends look like the gap will narrow more. I don't think it will go to zero, as I had mentioned during the course of this call. The impact on cost of production, of course, will be substantial. Cost of production of sugar that is being pr oduced and will be produced will be at much lower rates for a variety of reasons, including the fact that recovery is up.

Suresh Taneja: Historically, if you look at the trend, you find that the recovery in Q4 onwards is much better than Q3. Obviously, i t will help in terms of moderating the cost of production.

Sanjay Manyal: Right. Great. And then why this recovery is down? Is it still an impact of red rot or can we say the newer variety which we have introduced, those are not fetching as high a recover y as CO02 38 used to do or maybe any other reason?

Tarun Sawhney: Sanjay, the first part of the season is crushing the ratoon crop. The ratoon crop is planted in the previous year. And last year, for the first time, we had a huge impact of red rot at selec t factories. So, the plant cane was converted into ratoon cane , not all of it, some of it was uprooted, but a large portion of unhealthy crop came in this ratoon .

So, we started this season with ratoon from the previous year. And therefore, that it was ki nd of expected that it would be better. One didn't have estimates of what the recovery would be. So, it is a consequence of that. As far as new varieties are concerned, are they as miraculous as 0238. I would say not exactly 100%, but they are very good re placements of 0238 offering stability, offering good health to farmers. At no point will I say that any of the new varieties that we have tried are unsuccessful thus far.

Sanjay Manyal: Okay. And my last question is on the Water business. You mentioned th at there is a slow execution. So, if you can just elaborate on that, which particular order is this where the execution is slow? And is there any working capital blocked also over there?

Tarun Sawhney: Typically, I don't give a single order, but since you 've asked the question, I will say that we move

d a little bit slowly in Bangladesh. As you know that the country has had a little bit of tension there. There is no money blocked. I have to say, because we get paid right up front. So, there's no financial i mpact, but

execution is a little bit slow because of the various conditions in that country. The rest of the business is coming along very nicely. There's good order intake, and the future looks very optimistic.

Moderator: Thank you. The next question com es from the line of Shailesh Kanani from Centrum Broking. Please go ahead.

Shailesh Kanani: Good afternoon, everyone. And thanks for the opportunity. Just wanted to understand on our stand -alone Triveni crushing numbers. Correct me if I am wrong, last sea son, we had around decline of around 11 -odd percent from 9.3 to around 8.3 million tonnes . So, this year, we would be recouping that loss ground. I know you have given a guidance on the consol basis. But on a standalone, will we recoup that loss grown of a round 11%, what we had last time?

Tarun Sawhney: No, no, we won't be able to recoup the entire reduction, but we will certainly recoup a portion of that. I sort of given a guidance with a positive bias, I might add, as of now , But a lot can change between now and then. So, we won't gain that entire 11% back, but we'll gain a portion of it back.

Shailesh Kanani: Fair enough. And you also said that there is some delay in start season. Can you elaborate what are the reasons? What are the reasons we had this delayed start? I understand Ma harashtra had state elections and the re are also delays. Any particular reason why this?

Tarun Sawhney: We always start around about Diwali. If you go back a number of years, sugar factory starts on either side of Diwali. Diw ali is a very important parameter, the weather changes, et c. And Diwali was a little bit later this year. Also, besides the festival, we also monitor the sucrose in cane to test in the field, and we were finding lower test results, and therefore, we purpos ely delay ed the start of the season until the starting recoveries would be more acceptable. And that, of course, was an impact of weather and some rainfall, et c.

Lastly, I would also say, and I just mentioned to the previous question, that we start off with ratoon cane. And ratoon cane was the plant cane of the previous year, which was by and large, an unhealthier plant cane. So, the quantum of ratoon, that Triveni had overall was also a little bit lower in absolute numbers than we would have ideally lik ed. Now when you have that, you don't want to start your factories very, very early because then you start processing immature plant cane, which is very healthy. So, there's a balance that you have to take.

So, I suspect that this season of course will end much later than previous season ended. And that's very positive from a variety of perspectives, including the absorption of the off-season expenses and the impact on results, et c going forward .

Shailesh Kanani: Understood. So just wanted to understand o n the S AP prices as well, have they been firmed up with no change for the season.

Tarun Sawhney: I'm sorry, what prices?

Shailesh Kanani: SAP prices for sugar cane. Have they been firmed up? Any announcement on that front has happened?

Tarun Sawhney: No, no. There hasn't been any announcement on the SAP price. Although I do believe that there is a Cabinet meeting this evening at 5 o’clock where lots of policies, including excise policy are going to be taken up. But this is just a rumo ur that one has heard .

Shailesh Kanani: Okay. Any indication or any understanding, we are expecting no increase rate?

Tarun Sawhney: We're not expecting any increase in the SAP for this year .

Shailesh Kanani: Yeah, that would be great. Sir, last question from my side on th e ethanol front, since now we have availability

of FCI Rice, how do we see ethanol volumes for FY 26?

Sameer Sinha : We would be going up to in terms of alcohol production in FY 26, close to about 25 crore lit res of which 22.5-23 crore lit res would be etha nol.

Tarun Sawhney : Yeah. But as far as FCI Rice is concerned, yes, I mean, we have participated in the tender. So, a portion of that will -- and since the tender is concluded today, we know what the results are imminently, we'll be able to give you a much more accurate split, if you like, offline. We don't have that ready right now.

Moderator: Thank you. Ladies and gentlemen, in the interest of time and fairness to others, we request you to restrict to two questions per participant and rejoin the questio n queue. The next question comes from the line of Bharat Shah from ASK Investment Managers Limited. Please go ahead.

Bharat Shah: Hi Tarun. My question is not really about this quarter, but over a little longer span. If you look at the composition of vari ous businesses that we are in, barring the Power Transmission business, which is relatively more robust, predictable economic s and predictable outcomes over a period of time, brick -by-brick being built. On a shorter -term basis, interplay of the other busin esses always produce s a very mercuria l kind of an outcome , sometimes to delight , but other times to depress. And it becomes really hard to make any predictable long-term outcome of the rest of the business is even though verticality have been added like et hanol value chain and sugar and related businesses more, so to say secure.

So, I'm aware that operational excellence of Triveni, very disciplined financial management of the business a ll that remains, but challenges and perversities of these businesses, w hat do you make of that? And what do you think about it? Other than the Power Transmission business, there's a lot of flux all the time.

Tarun Sawhney: So, Bharat, you've asked an important fundamental question which merits an answer. You're right. Even i n our Power Transformation business, it's a technology bus iness. It is because we were developing new technologies. I gave an example of the marine gearbox order that we've got with our own indigenous technology. So, it's based on a lot of hard work, a lot of R&D that is happening and expanding markets, expanding customers, et c. So, you're right. it's a function of the efforts that you put in. Of course, as long as your technology development pace goes hand -in-hand and technology improvement goes hand in ha nd. You remain best -in-class. One can expect positive outcomes repea tedly quarter -on-quarter, year -on-year.

As far as the other businesses are concerned, and I'll sort of bucket them, it include s our Water business , which unfortunately, because we're prim arily looking at municipalities and Government orders, large Government orders, etc, there is volatility. It is not easily determinable. You don't know both domestically and internationally, exactly when tenders will close and when awards will happen. So, there is some flexibility over there, which is why I've always said that investors in that business should look at it over a longer time horizon, not quarter -to-quarter , look at it year -on-year, look at much couple

years. look at it in terms of the capabil ities that the Company has, the PQs (pre-qualifications) that the Company has and how does that position it? Because water is a fundamental problem. Now assessing it as an investor is a difficult issue, as I understand, but it is a fundamental problem for the nation and for the world. And companies that are addressing that problem, will be f ew and far between that have the knowledge and PQs in place.

Turning then to large businesses, as far as Sugar and Ethanol are concerned, you are absolutely right. The y are regulated industries, they are regulated from every corner.

The pricing of your raw material and the pricing of your end product. There are differences because we in Uttar Pradesh also have policies that the State Government to contend with as far as sugarcane price is concerned. And on a national basis, of course, we have the Central Government adjudicating on what the sugar price should be, what the ethanol price should be, what the ethanol feedstock price should be as well. But I want you to look ba ck over the last 6-7 years.

Yes, you are asking a question, Bharat at a point in time where there is a little bit of pain in the industry. Where because the decisions that have been taken by the Government have not been as much or as high as the industry expected , it had a negative connotation and consequence and didn't leave a great taste in everybody's m outh.

But if you go back and look at the last seven years, policy making as far as both these sectors, I'm talking about ethanol as well as sugar , has b een outstanding. It has been timely. It has been vastly different from the 90 -year history of this industry, and it is pretty much done away with the sugar cycle. So, I understand your hesitation in terms of painting this with a clean brush stroke. But I w ould like you to reflect on these two or three things. Number one, we're nowhere near a cyclical business that we were a few years ago. By a few years ago I'm saying a decade ago and decade plus ago. There is far more certainty now that ever existed.

Yes, the last year is a very poor example of what I'm trying to say but look at it over a longer time span. Look at it over 7-8 years, there's been reasonable amounts of policy certainty and very productive, accurate positive decision -making that has been done by the authorities well in time that has allowed industry and investors in the industry to take advantage of Government policy.

I do believe that's the second point; the Government policy is not going to abate. We want it, frankly speaking. The industry wants it. The industry does not want the Government intervention to willy -nilly go away because then you're competing with much larger sector s. The ethanol sector is still the sunrise sector. It's a baby sector compared to the petroleum sector overall and the standing on a standalone basis will be, of course, much more muted. And therefore, with one hand of the Government, with one hand of senior people in the BJP Government supporting and the Honourable Prime Minister himself, of course, supporting the et hanol blending program. I would say that over a medium to long -term horizon, even just until the end of this decade. There are a lot of positive things that are in place. What do I anticipate for the future. If we look back in the 7-8 year period, we have seen the Indian sugar gross production and sort of tapered at about 34 million metric tonnes approximately 34-34.5 million metric tonnes. That's the total quantum of sugar.

Our consumption has increased. We may take 28 million tonnes, last year it was 29 million tonnes. We will, with our natural growth rate, we will be 30 million tonnes very, very soon. And so, you will then see again, we will come to a point in time where the country is making just about sufficient amount of sugar to be able to supply to the ethanol blending program and for human

consumption. And so, our efforts have to be on productivity , on new varieties , on gains on the ground, farm improvement, etc . to further enhance the availability of cane coming into the sector.

And that itself th rows open a whole host of new possible businesses, new opportunities and predictability and health of the returns of your core business. So, I think that is what the future has in store. I'm happy to take this conversation o ffline. I can go on talking abou t this and free to call at any point, we can take this conversation of fline. But I would like to say that you a

sked a
question at the worst possible time in the last 8 years. So, I understand why you asked it, but it is not totally reflective of how much w e have accomplished as an industry.

Bharat Shah: No, there's no doubt about that. I think we have come a long way is a fundamental truth. So, I'm not even debating that. But I mean, when we look at a lot of hard work that goes behind achieving in an indus try, which is essentially is facing a lot of challenges , and then time-to-time to see it with kind of either resignation or desponden cy. It leaves you with a thought whether really all of that is worth it or what is it.

So, it is only from that of view I' m asking. Of course, compared to 90 s in the policy chamber and today, there is a lot of change and a very positive one. But still, if you look at when our Distillery business is expanded, our Sugar business is expanded. At times you are left wondering, is it an expansion of problems? Or is the expansion of value creation in the business , it's only from that standpoint, I'm asking. So, at a v antage point that you stand at, would you view the future with kind of a muted optimism or a greater belief or kind of concerns and of resignation ?

Tarun Sawhney: Okay. Excellent question. I think your observation is right. I would not disagree with your observation as of today that the last 12 months have not been as proactive as far as decision -making is concerned and even compared to the last 7-8 years, as I was talking about.

Yes, you're absolutely right, that Triveni has invested capital in expanding both our Sugar as well as our Ethanol businesses. We've clearly done it with a return profile in mind, we clearly hav e. Have we met that return profile as far as ethanol is concerned, the answer to that is no. We have not. And our results certainly speak of it today. Do I believe that we will move to the same higher margin profile that we had three or four years ago? No, I do not think so either. But I do believe that there will be massive improvements. So, I would not say muted optimism if I have to put my position in just a few words, I would say cautious optimism, because I think that there are a lot of positives yet t o be achieved, a lot of positives.

In agriculture , there are very few sectors like the sugar sector, where investors can participate, and private industry can participate in an organised manner. And I'm a great believer in agriculture and the successes th at lie ahead of us, not just now, but also 5 years from now, 10 -15 years from now. It is a fundamental backbone to India of the future.

I honestly believe that the sugar industry offers you the best exposure to that sector , without a shadow of that. It en compasses the very best of Indian agriculture, the very best possibilities of research and development for the future. But will it be smooth selling ? No, it will not. So, I completely agree with you that there are points in time where you will have an unha ppy feeling because of delayed policy and decision -making.

But from a longer -term perspective, even a medium -term perspective, I'm convinced that this sector will offer a healthy return on capital that I, my Board and our investors certainly expect of us.

Moderator: Thank you. The next question comes from the line of Somnath Saha from B&K Securities. Please go ahead.

Somnath Saha: Hi, thank you for the opportunity. My question is on the, as the Government has allowed the FCI rice ethanol, so when we can expect the impact to come from? And what could be the optimal mix of feedstock, if you can put some light on that?

Tarun Sawhney : Right. As I mentioned a little bit earlier, the FCI tenders just closed today. So, we don't know the result of that. But once we know the result, if you contact us maybe in Monday next week, we will be able to give you offline the exact split, if you would like. A

t this point in time, grain plays an important role in the overall package of ethanol delivered by Triveni. FCI rice will also play a role. The details of which will be clear to us only once the tender result come out.

And also, in terms of timing right now, while the Government has announced the price of FCI rice, none of it is available to the industry. It is only aft er the conclusion of the tender and then the listing of it and then the processing of it that you will be able to produce ethanol from FCI rice. So that's going to take a few months, a few weeks.

Somnath Saha: My questions are, the average realisation fro m Shadi Lal for sugar is quite low as compared to a standalone business. Any specific reason for that?

Tarun Sawhney : Yes. So, the Shadi Lal sugar unit firstly only produces plantation white sugar. And even though we have made a lot of investments, the qu ality of sugar being produced at Shadi Lal does not compare with Triveni . Though Triveni is a wrong benchmark to have on a standalone basis, because 70% of our sugar is refined, the balance 30%, which is not refined is for pure institutions of very, very, very high quality. And of course, the quality of sugar has improved. So, what we produced in December is inferior to the sugar that we have produced in January. And it will be in ferior to the sugar we produced in February. We're going to be building up thi s sugar to much higher levels of quality. But SSEL is plantation white sugar and plantation will always sell at an average discount to what the overall Triveni price would be, where 70% is refined.

Moderator: Thank you. The next question comes from the li ne of Resham Jain from DSP Asset Managers. Please go ahead.

Resham Jain: Yeah, hi. Good afternoon. So, I have two questions. The first one is on the Power Transmission and the investment which you have announced ■60 crore . Is it just related to the pure Gear business? Or does it include investment related to Defence as well?

Tarun Sawhney: Hello, Resham. The investments announced by the Board yesterday, whic h is just a shade under ■ 60 crore (■59 point something crore) is only for the Gears business. As you may know, a lot of this equipment takes a certain time duration between 12 to 18 months to order , some equipment s do. So, we need to sort of plan ahead su bstantially in advance. And so, the increase in capacity have tried to be very specific is for the Gears business only, not for Defence.

Resham Jain: Okay. And also with respect to the earlier capex , which is ongoing, I think this year, whatever you lande d close to ■300 - ■350 crore and with the earlier capex , the objective was to go to ■500 crore and then ■700 crore , given that the arrangement with our earlier partner is no more there and you have been

doing a lot of positioning and marketing of your prod uct in the overseas market. Any colour and thoughts on scaling up this given that you might have get more clarity on exporting some of these products? Will the scale up take like 5-year time? Or do you think it will take 3-year time or whatever number of years?

Tarun Sawhney : Resham I'll caveat by saying we don't offer guidance, but the technology, the acceptability with OEMs has been immediate and overwhelming , very positive. We are now working on the second tier of getting third -party acceptances because there are some very, very large customers, primarily in the Oil and Gas sector, where you do need their specific approvals, etc. And so, we are working on that .

The second very definitive area is aftermarket, where we have just started, so those returns will come in and they won't take time. They'll come in immediately, and they will grow from a small base at a very high rate of growth and also, of course, affo rd the kind of profitability that we have seen in the domestic sector of aftermarket.

Answering your first

question about the expansion in capacity and the expansion in capacity , the Board has confidence that we need ■700 crore worth of capacity as we sta rt off 2026-27. So, in the year by the end of FY 2026, we need to have ■700 crore of Gears capacity in place to be able to look at the expansion of business that the Board is evaluating at that particular point in time. So, we're not looking at 5 years. I can't give you the number because we don't talk about those numbers. Again, it is certainly not in that type of time horizon. We won't be investing so much money into a business that we're going to get 3-5 years from now.

Moderator: Thank you. The next qu estion comes from the line of Maulik Chaudhari from Monarch Networth Capital. Please go ahead.

Maulik Chaudhari : Just I have two questions on Power Transmission business . First is can you please share an estimated timeline for the demerger to happen? And secondly, can you talk about the total addressable market for this segment globally?

Tarun Sawhney: Right. As far as the Scheme of Arrangement is concerned, we anticipate approval from NCLT by the end of this calendar year. So that is the timeline that we anticipate for the Scheme of Arrangement. And in answer to your second question, which was the overall market for just high speed and turbo gears, globally the market is about $650 -$700 -odd million.

Maulik Chaudhari : Okay. And who is the biggest player globally ?

Tarun Sawhney: The largest players are European gearbox manufacturers.

Moderator: Thank you. The next question comes from the line of Udit Gupta , an investor. Please go ahead.

Udit Gupta: Good afternoon. My question is, when is our Defence faci lity coming online?

Tarun Sawhney: Right. We had projected the last time around, last conversation that we had that this facility would be operational by the summer of 2025. And it had been delayed by a couple of months. It is further delayed that some of the machines are taking a little bit longer to come in. So, we're still projecting the facility to be up and running during calendar year 2025.

Udit Gupta: And what are the projected revenues from that facility once it comes online in 2026 or something?

Tarun Sawhney: I'm afraid we don't offer any guidance on that.

Udit Gupta: And the capacity or something or anything which you can tell us?

Tarun Sawhney: You see it's a multimodal facility, so putting a rupee value to capacity is very, very difficult , where you are doing a large number of discrete products that have different markets, and they have different output opportunities from the same facility.

Moderator: Thank you. The next question comes from the line of Resham Jain from DSP Asset Managers. P lease go ahead.

Resham Jain: Thanks for taking my question again. So, my other question was related to the demerger which you have announced. It seems that Triveni Engineering will still be holding 30% stake even after demerger. So why such structure, if the value unlocking has to happen, it should have happened in a clean structure where Triveni would not be holding anything otherwise, the same Holdco discount will be applicable to the Power Transmission business once it gets demerged. Like what used to h appen in Triveni Turbine s earlier, it will get into a similar structure?

Tarun Sawhney: Right. So, Resham, two reasons. And w e can be on opposing side s of this argument over here. I think the experience with Triveni Turbine s was actually quite a positive one for the Company . It was not a negative one. But that's my personal view. And I appreciate your sharing your view on this subject, which can of course, be different to mine .

The second and very, very important is because we are incubating a Defence business, which we have large aspirations for. In establishing pre-qualifications (PQs) and the ability to be able to quote, t

here are balance sheet considerations that even from a Group perspective that are very, very important to allow us to be in contentio n. That was a very fundamental consideration in this determination by the Board of Triveni Engineering that we should not handicap a business just because we're separating the business, the Power Transmission business because it's the right time, we are separating it with the Defence business, which is co -located in the same city and utilising the same facility and offices that exist today. And therefore, there should be nothing that has handicapped the success of that business, which is very, very positive and will continue to deliver value for all shareholders, existing and future.

Resham Jain: Yeah. I understood. I think this is a fair reason. I didn't think on those lines, but yeah, this is fair. And obviously, we have greatly unlocked value in the past . So yeah, thanks for this.

Tarun Sawhney: Thank you.

Moderator: Thank you. As there are no further questions, I now hand the conference over to the management for their closing comments.

Tarun Sawhney: Thank you so much, ladies and gentlemen, for joining us for Q3 and 9M FY 25 results for Triveni Engineering & Industries Limited. As many of you have rightly pointed out, we're all not happy with the speed of decision -making and the impact that it had on a variety of the businesses viz. Sugar , Water , Ethanol , etc. But the hope still is that we will have a very positive business environment going forward. I think one of the big changes and a huge impact

on profitability as well as revenues is the rise in sugar price and the rise of almost 10% over 3 months is outstanding. We are a new level, it is a step change in price because of a change in market fundamentals and economics. And I think that will continue. And that, of course, will lead to greater health and better results for the Company going forwa rd. So, thank you for joining us today, and I look forward to having this conversation in 3.5 -odd months' time. Goodbye.

Moderator: Thank you. On behalf of Triveni Engineering & Industries Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Jun 2025

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Sub: Transcript of Analyst/ Investor Conference Call held on 28th May, 2025
Dear Sirs,
Pursuant to Regulation 46 of SEBI (LODR) Regulations, 2015, please find enclosed transcript of the Analyst/ Investor Conference Call held on 28th May, 2025 post announcement of audited financial results of the Company for the Q4 & FY25 ended on March 31, 2025. The transcript is also available on the website of the Company at: www.trivenigroup.com
You are requested to kindly take the same in your record.
Thanking you,
Yours faithfully,
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Company Secretary
M.No.A9475
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Triveni Engineering & Industries Limited
Q4 FY 25 Earnings Conference Call Transcript
May 28, 2025

Moderator: Ladies and gentlemen, good day, and welcome to the Triveni Engineering & Industries Q4 FY 25 Earnings Conference Call. I now hand the confere nce over to Mr. Rishab Barar from CDR India. Thank you, and over to you .

Rishab Barar: Thank you. Good day, everyone, and a warm welcome to all of you participating in the Triveni Engineering & Industries Q4 and FY 25 earnings conference call. We have wit h us today Mr. Tarun Sawhney, Vice Chairman and Managing Director; Mr. Suresh Taneja, Group CFO; Mr. Sameer Sinha, CEO of Sugar Business Group as well as other members of the senior management team.

Before we begin, I would like to mention that some state ments made in today's discussion may be forward -looking in nature, and a statement to this effect has been included in the invite, which was shared with everyone earlier. I would also like to emphasi se that while this call is open to all invitees, it may n ot be broadcasted or reproduced in any form or manner. We will commence the call with opening remarks from the management following an interactive question - and-answer session.

May I now hand it over to Mr. Tarun Sawhney. Over to you .

Tarun Sawhney: Thank you, Rishab. Good afternoon, ladies and gentlemen and welcome to the Q4 FY 25 earnings conference call for Triveni Engineering & Industries Limited. The revenue from operations for the year, net of excise duty stood at ■5,689 crore, which signified an increase of about 9%. And the PAT for the financial year stood at ■238.3 crore. So, this was a very interesting year, one with certainly some challenges for our larger businesses, but clearly some very bright sparks coming from Engineering and from Q4.

The Q4 results under review were particularly good. I'm happy to report record revenues of ■1,925 crore plus for the quarter, for Q4, which is a record for the Company, coupled with a PAT for the quarter of ■187.1 crore, whic h is also amongst the highest quarters historically for the Company. As I mentioned, there were several challenges, especially in the Sugar and Alcohol business, whereas the Power Transmission business delivered another year of stellar performance in reven ues, profitability and in order booking. And I will cover all of this in much greater detail as we progress through the call.

Starting with our Sugar business. There's a general trend of lower yields and recovery in Uttar Pradesh for the Sugar Season 24-25, where the overall crush was lower by about 3% with a net recovery lower by 90 basis points year -on-year according to our estimates. Relatively, the company on a stand -alone

basis has achieved a sugarcane crush almost the same as the previous season, w ith a gross recovery, sorry , the recovery I mentioned was gross.

And the gross recovery of the company was lower by 69 basis points. The decline in crush took place in four of our sugar units, Rani Nangal, Milak Narayanpur and Chandanpur in Central UP and Ramkola in Eastern UP and the chief reasons were climatic factors, which include heavy rainfall, water logging in certain parts and the preponderance and spread of pests and disease. The primary disease, of course, being red rot, which has reduced yields and recovery fairly considerably. Of course, a lot of work has been done to combat the disease as well as pests, and I will be covering that as well.

A new multi -feed distillery was commissioned during the year at Rani Nangal, and there was no change in t he ethanol price for the ethanol supply year 24-25, except for ethanol produced from C -heavy molasses. And this, of course, was extremely disappointing as far as the industry is concerned. In view of the firm sugar reali sations, all the sugar units opera tions was switched to C -heavy molasses from B -

heavy molasses in the latter part of the season, save one factory at Deoband.

However, for the upcoming season, we will have the flexibility to run all the sugar factories at C -heavy molasses should we choose to do so. And of course, that function will be dependent on pricing amongst other factors, and it will be under consideration later as this year progresses.

Turning towards the Engineering business. The Power Transmission business reported a remarkable pe rformance with new milestones being achieved with respect to revenues, profitability and order booking in FY 25. The water business declined slightly due to slow execution of certain projects, but the order booking during the year was strong at ■ 586 plus crore with a closing order book of ■1,600 crore plus at the end of fiscal year, an increase of over 30%. The Board of Directors of the company has recommended a final dividend of 250% for FY 24-25, which is subject to shareholder approval in the ensuing Annual General Meeting.

The gross position of debt for the company on the 31st of March on a stand -alone basis stood at ■1,689 crore compared to ■1,325 crore in March 2024. The stand -alone debt at the end of the period under review comprised of t erm loans of ■328 crore, out of which ■201 crore were loans with interest subvention. And on a consolidated basis, gross debt was ■1,969 crore. That, of course, includes the subsidiary of Sir Shadi Lal compared to ■1,411 crore on the 31st of March 2024.

I'd now like to focus on the business -wise review. Turning to the Sugar business. The Sugar business reported a 2.8% increase in turnover over the previous year due to mainly higher reali sation prices. Segment profits of the Sugar business declined by 12.8% over the previous year due to higher cost of sugar sold during the year, which was on account of the higher cost of sugar produced in the Sugar Season 23-24 factoring in the increased sugarcane price and the higher cost of production of sugar produced in Sugar Season 24-25 on the account of lower recovery.

The income through third -party exports, which was very, very welcome and something that I had talked about continuously in our quarterly interactions, stood at ■15.4 crore for T EIL and ■1.5 cror e for Sir Shadi Lal. The sugar inventory as of the 31st of March of this year was 60.4 lakh quintals, including a sugar inventory of 3.6 lakh quintals pertaining to Sir Shadi Lal, and it was valued at ■37.62 per kilo.

Currently, of course, sugar prices ha ve risen, and the Q4 results were benefited from the increased sugar prices, which was a function of the national balance sheet. But sugar prices today stand approximately at about ■40.8 for refined sugar per kilo and about ■40.4 for sulphitation. They've come down ever so fractionally since April, but these are the large consumption months with large quotas having come out, et c. I fully anticipate that as we move towards the holiday and festival season in August, September, October, the prices will increas e slightly from this point in time.

The industry scenario is the following. We're looking at a comfortable closing stock for the country for the Sugar Season 24-25 of about 5.8 million ton nes. And this is a large reduction from about 8.4 million tonne s on the 1st of October 2024. The gross production of sugar for the country stands at 29.9 million tonnes, which is a decline of about 12% over the previous year, whereas the actual sugar produced is going to be closer to about 26.4 million tonnes. And the delta of that is sugar that is diverted towards the ethanol blending program.

And of course, this has resulted into a much more comfortable balance sheet where the closing stocks will be about 2.5 months of consumption, which is frankly speaking, ideal. As a matter of fact, our personal view is that they could be even a little bit lower at about 5 million tonnes or just belo

w 5 million tonnes
and even that is very, very comfortable.

With Diwali coming early this calendar year, we are anticipating an earl ier start to sugar factories, certainly in Uttar Pradesh, but also in Maharashtra. Briefly, the international scenario is a little bleak with both raw and white sugar prices touching multi -quarter lows in the recent past. In fact, the #11, New York was trading most recently at about 17.4 cents and whites were trading at about $478 per metric ton ne. So they've come off quite a lot. In fact, when we exported our sugar, prices were far more robust.

And I think this is a function of the global balance sheet, w hich is signal ling a surplus in 2025-2026 of about 1.5 million metric ton nes, which differs from a deficit of just over 4.5 million metric ton nes in 2024-2025.

Turning towards the Alcohol business. During the year, the net turnover of the Alcohol business increased by 15.7%, primarily due to the commissioning of a new multi -feed distillery at Rani Nangal. The profitability of the Alcohol business was adversely affected due to higher sales volume of ethanol produced from maize, where the margins were substa ntially lower. And this was in comparison to the surplus food grains, which were available til l July 2023, and you will remember that F ood Corporation of India (FCI) rice was available at ■20 per kilo. And of course, that came to an abrupt end in July 2023.

The IMIL business contributed to the turnover positively, driving 24.5% higher dispatches we recorded over 55 lakh cases in FY 25 compared to approximately 44 lakh cases in FY 24. As you are aware, we've invested in this business, and we anticipate reasonable and substantial growth in this fiscal year as well. In view of firm sugar prices, sugar operations were largely carried out with C -heavy molasses, especially during the latter part o f the season under review.

Ethanol constituted 92% of alcohol sales during FY 25 compared to 93% to broadly even in the previous year. The sale of ethanol/ENA produced from grain -based stocks contributed to about 51% of the total alcohol sales, which was approximately 33% in FY 24. So a big difference in terms of the blend between grain and molasses in terms of our total output.

However, I am happy to report that we produced over 20 crore litr es in the financial year, which was very much in line with the projections that one had given over the previous quarters. Over this financial year, of course, our estimates are much higher, and we're looking at producing between 23 crore litres and 24 crore litr es for FY 25-26.

The domestic ethanol industry scenario, the Oil Marketing Companies have executed contracts for just under 1,000 crore litr es, which is in stark comparison of supplied quantities of 673 crore litr es for the Ethanol Supply Year 2023-2024, almost a 48% year -on-year increase. The proportion of ethanol from grain -based feedstocks is 66%, and maize is almost 50%, which is significantly higher. And I think it has beaten all estimates of the division of where ethanol was going to come from.

The blending percentage for ESY up to the 31st of March stood at 18.36%, while the blending percentage for the month of April 2025 stood at 19.7%. And so I think in all respects, we've pretty much achieved 20% blending for the nation. The Hono urable Prime Minister had set an aggressive target a few years ago of achi eving it by next year. And this is a huge positive that the industry has come forward and achieved this target well beforehand.

And the question now, of course, is what next? As we all are aware, NITI Aayog has been given a mandate to look at what is next for ethanol blending as we go forward and it could include three different options. One, either an E100, E95 or E85 mix, which is one option. The second, of course, is raising our blending levels. As we know, Brazil for many years

at 26% blending, which
they've announced to 30% blending. And of course, there is the possibility of blending ethanol with diesel as well to a very small percent, about 2% without any problems.

Turning to our Engineering businesses. The Power Transmission business reported recor d turnover and profitability. Turnover increased by 27% and profitability increased by almost 19%. The order booking for the year was very impressive at over ■475 crore. And the closing order book stood at approximately ■390 crore on the 31st of March. For the quarter under review, actually that was an exceptional quarter. The revenues were record, the highest quarterly revenues of almost ■140 crore, which was 58% higher than the previous corresponding quarter and the PBIT stood at ■46.5 crore for this quarter under review, a change of almost 40% v/s the previous corresponding quarter.

During the year, the company secured multiple breakthrough orders across geographies and industries for our gearboxes, also sort of supplementing our strategic focus on provi ding solutions across the world. The business is executing expansions to scale up operations to an annual capacity in our Gears business of approximately ■700 crore, which stands increased from approximately ■400 crore, which is where we are now. This will be concluded by September 2026.

The increase in FY 25 turnover of 27 %-odd is driven both by product supplies as well as aftermarket segments. And the PB IT grew by 18.4% to ■126.8 crore with PBIT margins in excess of 34%, which is a very much in line with our long - term average. So the growth is coming from sustained or rather the growth is not coming at the cost of profitability. It is coming with the same type of profitability margins as in the past. The overall business is witnessing strong growth s in export, and this is primarily driven by increased engagement with customers and receiving some critical qualification orders across some of our product line s.

Within our Water business, the revenues declined due to a delay in slow execution of certain projects and the delay in some new projects. The PBIT stood at ■32.8 crore in FY 25, higher by almost 5% year -on-year. The order booking for the year was strong at ■586 crore, which included a letter of award, which was sadly recently revoked due to administrative reasons , and this is being pursued by us rigorously. The outstanding order book on the 31st of March 2025 stood at just shade above ■1,600 crore, which includes ■1,100 crore towards O&M contracts, which will be executed over a longer period of time.

Turning very quickly towards the outlook. As far as sugar i s concerned, you will have all read in today's papers, the forecast for the monsoon is in excess of 110% over the long -term average. In fact, it is about 114% that was given. Now as long as this rainfall is spread out over a period of time, we see no exces sive rainfalls at any particular point. This could be very positive as far as the sugarcane crop in Uttar Pradesh is concerned. So at least we have moved past any concerns of El Nino, et c., that we were talking about, about a year ago. And the monsoons for this upcoming season seems pretty good. The planting, as far as Triveni Engineering is concerned, is very much in line with our expectations with some small improvement, but the real improvement has come in terms of varietal change and in terms of improve ment in planting practices across all 8 of our sugar units spread across Uttar Pradesh.

Sugar prices, as I had mentioned, have increased as the balance sheet position of the country has become more favo urable with the 1 million tonne export having been an nounced and most of it having been executed during Q4 FY 25. I think this is important , because it signals the fact that the Government and DGFT is acutely aware that if there is extra sugar in the system, we must export i

t and India's return to export mar ket has been welcomed with open arms.

I do foresee that in next year, of course, we will know what the ethanol blending targets are soon. But even with enhanced targets, we will expect more sugar production and any excesses will be exported by the country , maintaining the balance sheet position. And therefore, I think that sugar prices domestically while they will remain range bound, they will creep up very slightly from the point that they are today, but they bode well for the fiscal year under review.

The Alcohol business, we're certainly focusing on improving our sugarcane crush, which will help in terms of overall molasses availability and there is an enormous focus on addressing the supply chain issues relating to grain operations, which will allow us to improve the margin structure of the business. So several important things to consider over here. As the quantum of grain processed by Triveni is at a substantial level, we need to improve the storage facilities to ensure that the protein content as far as grain is concerned is also at the highest level. And we need to ensure that our procurement happens at the best time.

So we're seeing now when UP maize is available to distilleries and to Triveni, the prices have fallen. In fact, prices have fallen. N et landed price is about ■23 landed as of today, which is a stark difference from the ■24.5 per kilo average price for the previous fiscal year. And signs are that they can reduce a little bit further as well. And that, of course, will be a welcome expansi on in margins, but nowhere near to what the margins were when we were processing FCI rice at ■20 per kilo in the past.

Turning towards the Power Transmission business. Our intensified marketing efforts globally, coupled with the capacity enhancements are positioning us

well for sustained growth. India's economic growth is likely to sustain the momentum. Major investments are being seen in infrastructure development.

So we're seeing steel, cement, especially oil and gas as industries, which will fuel growth for this year. And of course, geopolitical factors are also favo urable as far as the India export story is concerned. Our growth for our PTB business is not just due to India 's emergence as a manufacturing hub, but also from an increased overall export gl obal market share that we're seeing at Triveni Engineering. And this includes some forays into new applications for export markets.

In FY 25, Triveni amplified its focus on export by leveraging our own technology and the fact that our products are qualifi ed by all the major OEMs is a very positive factor for the Company .

Very quickly on the Water business, supported by our extensive funding support from State and Central Governments, including from external sources, there are new opportunities emerging in the recycled, reuse , and zero liquid discharge businesses on EPC as well as on the PPP models. And I think that for this year will bode very well for the business. The Company is also evaluating select international opportunities in water and wastewater t reatment, mostly when projects where we possess pre -qualifications. And of course, we have rich history of pre -qualifications that we possess and leveraging those will allow us to garner new projects in this business as well.

Overall, the Company has unde rtaken several well -thought measures to address key challenges in Sugar and Alcohol . And we hope that in this year, we are able to leverage all of those efforts in terms of expanding our margins, improving our operations and our efficiencies across the bus inesses, growing our Engineering business with respect to new clients, with respect to new geographies and new products. And the development reflects an ongoing commitment that we have towards sustainable growth and long -term returns for our shareholders.

With respect t

o the scheme of arrangement that is underway, I'd like to just briefly comment that this lies with SEBI at this particular point in time. We are awaiting the approval for SEBI. The next course of action is for us to approve NCLT, that is the regular course. We are proceeding as per plan thus far.

Thank you very much. I'd now like to open up for some questions.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Sudarshan Padmanabhan from ASK Wealth. Please go ahead.

Sudarshan Padmanabhan: Thank you for taking my question. So when I'm looking at results, the Sugar business has done very well in terms of profitability. As you've mentioned, the prices have been good. But com ing to the distillery side, I mean, now when we look at probably the volumes, as you mentioned, moving towards the goal of 20% and reali sation and spreads improving, can you give some colo ur with respect to the outlook of this business? One , I understand t hat with molasses and with the sugarcane route, things could improve going this year, but also with respect to maize, because if I look at the maize prices, which is raw material, that has corrected. So how do we see the spreads on this part of the busines s?

Tarun Sawhney: Okay. So your question is in two parts. I think the future of the business, as I mentioned is very much something that has been contemplated by the Government. So NITI Aayog has been mandated to ponder on the question what next, what bey ond E20? Because E20 has been achieved. We achieved

19.7% blending in the month of April, which signifies that the major large states have already achieved 20% blending for the nation. So that target has already been achieved. The question really is what n ext? We have been influenced as a nation very much by Brazil. We've seen that Brazil itself has enhanced its blending with petrol from 26% to in excess of 30%. Now I know that, that is being contemplated. So can there be higher blends o f ethanol? 100% ethanol is also being contemplated and small blends with diesel is also being contemplated.

So those three areas will add to greater offtake rather than just the natural growth in terms of gasoline for the nation. That, of course, will req uire fresh capex . For any fresh capex to come, it can only happen if there is sufficient margin that is available for businesses and for entrepreneurs to invest. Margin erosion has taken place. It's taken place for 2 reasons. Number one, the prices, broadl y speaking, with some exceptions, broadly speaking, prices have been held stable for 2 years. So as a result, in an enhanced cost scenario, you've seen that with your output price being capped, that has had pressure on margins, both for molasses as well as for grain on both fronts. Also, the input prices have increased, your raw material prices on both sides. So you've seen prices for even molasses transfer to distilleries having increased, obviously, because the presale market prices for molasses have incr eased. And therefore, that has also led to a contraction of margins for even molasses and routes being processed at distilleries.

In addition, as far as grain is concerned, because of this huge demand, when FCI rice was in July 2023, when the procuremen t of that was stopped, we had to migrate towards maize. It's a brand -new ecosystem. Maize yields in India are one of the lowest in the world at about 3 metric ton nes per hectare. You're seeing yields of between 9 -12 tonnes in the West. And as you've seen v ery quickly that the Government has responded by releasing new varieties of maize that hopefully will enhance, but it doesn't happen overnight. It does take time. You're seeing better farming practices, et c., because previously, maize a small percentage wa s used for human consumption. The majority was used for starch and for animal feed. Th

e largest, of course, quantum was for animal feed.

So now with huge quantums being procured for ethanol blending, we are in dire need for an enhancement in yields, which will, of course, low er prices, but it will also enhance your farm income. The total basket of income for maize farmers will rise, and that is being anticipated. So you've already seen with the UP crop now that maize prices have fallen, we are beneficiarie s of that in Q1 of FY 26 of procuring it at ■1.5 lower that are average for the previous year. Is there scope for further decline? I think there is a little bit of scope for further decline, but not much more until we see huge enhancements of yield. So I am hopeful that the crop in Bihar and that th e crop in Madhya Pradesh will be equally high yielding. If it is, then we will see a better balance sheet for maize for the nation, and we will certainly be beneficiaries of that.

But right now, you've got a scenario where you've got a cap as far as the p rices are concerned, and you've got increasing raw material prices, which has squee zed it out. So for the future, I think greater focus on supply chain, which includes warehousing, storage, delivery, transportation will help improve margins. But greater su pply, greater yields is the only real barometer in terms of lowering prices. You will remember that maize prices when we started this entire campaign in 2023 were lower than ■19 per kilo. So there's a huge, huge difference and massive increase in maize pri ces that has actually transpired over this 24 -odd months. That's one.

And then, of course, capacity additions that will be required for any expansion in the EBP program. That, of course, will only happen if entrepreneurs get a reasonable return on capital . And so that will benefit existing capacities as well. That is really the future. So it's a mixed bag. There's a lot of work that has to be done.

Sudarshan Padmanabhan: Sure. But the rate of change this year should be much better than last year, both on the sugar and ethanol, given that this year, we don't have the issues that we face on the red ro t side, and there is some improvement on the blending if you're using more of maize. Would that be right to look at it?

Tarun Sawhney: Absolutely. I think this year, at the start of the year has been a marked difference, a marked improvement than last year. So broadly speaking, you're correct in your assessment.

Sudarshan Padmanabhan: Sure, and I mean, moving on to the Water business, I mean, very interesting and to see the growth in the order book and the growth in sales. But this business historically has seen some kind of a competition and risk to margins. So if you can give some colo ur with respect to how do you see the profitability of this business with re spect to the kind of orders that we are pursuing?

Suresh Taneja : Based on the orders in hand as of now, in the case of Water business, I think the profitability is going to be fairly stable. We do reali se that in FY 25, there is a favo urable impact becaus e of the cost savings in respect of certain projects, etc. But by and large, the profitability is going to be stable. And also, we have participated in a lot of orders, a lot of bids, and we expect to secure reasonable orders during the year.

Sudarshan Pa dmanabhan: Sure, thanks a lot. I will join back the queue.

Tarun Sawhney: Thank you.

Moderator: The next question is from the line of Sanjay Manyal from DAM Capital. Please go ahead.

Sanjay Manyal: Hello, just want to understand about the recovery becau se we have seen a substantial sort of dip in our gross recovery. Now what is the proportion of Co -0238 variety right now? Means what would it be in next season? And can we say because of the new variety, are we like in a structurally downward trend in the gross recovery? It will be difficult to sort of match the Co -0238 variety rec

overy?

Tarun Sawhney: Sanjay, you asked actually a very interesting question. I'll answer the last question first and then your first few questions. Co -0238 was a wonder variety. And the results of it were the best in 25 years ever since the heyday of CoJ 64 in the late 1990s. So after 20 -25 years, you had such a wonderous variety. However, the nation has done a lot. I mean the kind of work that is being done on new seeds or new v arieties is many, many, many folds than what was done at that period of time.

Do we have an immediate substitute? We have great substitutes. Are they just as good? Yet to be seen, frankly speaking. However, is there work being done by the research station s by Coimbatore, by Vasantdada Sugar Research Institute, by NSI, in terms of new variet al development? Yes, there is. And the number of new varieties that are now being looked at is far greater. I'm very hopeful as far in the near future in terms of lookin g at new varieties.

Now coming to your question of your first and second questions. Yes, of course, we had a reduction in our gross recovery. Our reduction was less than

the state average and by and large. Having said that, that was a consequence of two things. Yes, there was disease, but there was also pest. Both played an equal factor, if I have to say. It was not just disease, it was pest as well that played a significant role. And we also had a tremendous amount of irregular rainfall, compressed in sho rt periods of time, which led to flooding, et c.

Now going forward, I addressed the point about rainfall. IMD suggests that we'll have 114% above the long -term average. That's very good. We're very excited about that. It means that even the factories which are reliant on the rain g ods will have sufficient rainfall by and large. The question really is, will it happen over a period of time, which is what I was mentioned earlier. And the hope is if that happens, then this should be very positive as far as cane growth is concerned, et c.

As far as recovery is concerned, for the following year, the work that we're doing and others, of course, will also be doing in terms of replacing Co-0238. And equally ensuring that from now, the work on eradicating pest and dis ease is significantly higher than it has ever been done before will hopefully add to a better recovery next year. It's impossible to guess what the recovery is going to be next year.

It's very, very tough in the month of May. Later on in the year, after a few months, you'll have a better idea. You'll have test and sampling data that will give you better perspectives. But in May, this is all you can do. But we're doing things today that at a different pace, at a different level to ensure that, that's possib le.

Now the last question that you asked, Sanjay, was about replacement to Co-0238. Now Co-0238, frankly speaking, it's not that all Co-0238 has got red rot. Co-0238 in high lying areas, et c, still leaving outstanding yield, is giving great recovery, et c. It is only where Co-0238 is highly susceptible. So our immediate target, because in Western Uttar Pradesh, you have a lot of high -lying area as well.

Unlike Eastern Uttar Pradesh, where we have a factory where it's all low -lying area, where we have no Co-0238. It is virtually 1% or 2% Co-0238 at our factory in Ramkola, absolutely bare minimum. So that the full replacement has happened. But for Western Uttar Pradesh, we don't need to work with the same type of replacement because you're getting great yield , you're getting great recovery as long as you can ensure that the seed was a good quality, et c.

So therefore, we are, of course, reducing the quantum of Co-0238 very aggressively, where we were above 50% for the last sugar season, and we will be lower th an 40% in this season. The exact quantum, because there is still a little bit of planting that is happening right now, is absol

utely uncertain. But the
target is to completely to bring it down to the lowest levels. And so we will only keep it in areas wher e there's absolutely perfect seed and giving the type of recovery and yield that we've had in the past.

Sanjay Manyal: Right, I have one question on the ethanol part. I think what we understand that probably capex has been concluded in the ethanol part. What could be or what is our capacity on an annual basis in terms of crore litr es? Also, which factors are important so we'll achieve sort of maximum 90% plus kind of utili sation? So if I directly can ask me what kind of a quantum increase in the ethanol pr ices you would require so you can run it on a, say, a 90% plus .

Tarun Sawhney: Sanjay, the capacity utili sation depends on your feedstock because as you're aware, if you operate on maize, there's a 20% reduction in your capacity. So your utili sation, you may still run at 95 %-97%-99%, but the size of the plant,

effective size of the plant is that much lower. 55% of our facility or 50% of our facilities are , 55% are all grain, as you're well aware, or multi -feed. And so it depends on the combination of feeds tocks. Now again, there's a difference between running this on B -heavy and C -heavy v/s juice.

So if you run it on juice, you will have possibly a higher output of ethanol from the same facility. When I said earlier on in this call that we will be producin g between 23 crore and 24 crore litr es, we are running at 95% capacity utili sation based on the input mix. Now and the input mix would be 50% plus of grain. If you actually substitute that grain, because of pricing enhancements that encourage us to use, fo r example, juice, et c, then you can see the capacities rise quite dramatically. It could go to 27 -plus crore litr es, maybe 28 crore litr es as well with our existing capacities.

Sanjay Manyal: Perfect. Thank you very much .

Moderator: Thank you. The next q uestion is from the line of Shailesh Kanani from Centrum Broking. Please go ahead.

Shailesh Kanani: Good afternoon. Thanks for the opportunity. I wanted to get your views on the sugar prices. This year, we are starting nearly ■2 above the average what we have garnered in FY 25. So how do you see prices shaping up for the whole year?

Tarun Sawhney: Yeah. So you're absolutely right. When we look at our average reali sation, we're certainly looking at somewhere almost ■2-odd higher year -on-year. And this is, as I mentioned, is a function of the balance sheet, the improved balance sheet. If we looked at prices in April, current prices, I just gave you an idea, ■40.8 for refined, ■40.4 for plantation white sugar. These prices were about ■1 per kilo higher, almos t ■0.90 to ■1 higher in the month of April. And so we've come down a little bit because of higher quotas, et c, rollover of quotas, et c that have happened.

But as we move towards the holiday season, I believe that prices will change as well. We will be ran ge bound. There's no doubt about that, but we made a step change in terms of pricing. The levels that we were at earlier, we made a step up in terms of that as a function of the balance sheet. But from these points of pricing today, I see some level of inc rease that will happen. Frankly speaking, we've got great news thus far. The monsoon news has been great. The crop news across the country has been great. All the news has been very good for sugarcane production. From here, it can only be negative. And any negative news will spur sugar prices higher. And so that is an important consideration that you must bear in mind that you only have positive news. Any negative news will lead to slightly higher sugar prices. We've touched recent lows as far as global pri cing is concerned, both for raws and for whites. And that does have a sentimental impact on sugar prices as well.

The other point I'd like to mention is that wi

th the new sugarcane control order that you must have read about, et c, the export of sugar that was happening under organic, et c, all of that has come to an end. That's a very good thing. The sugar that was going into Bangladesh, the border is pretty much sealed. All of that sugar has stopped. So you're seeing that happen in the month of May. Frankl y speaking, I think this is a little bit of a little blip and should be considered as such.

I think we're on a different plane and trajectory. My personal view is that sugar as a commodity has underperformed compared to other staples over the last 5-7 years. We need sugar prices to go up quite a lot more even from this particular point in time because it is a very remunerative crop for farmers

across the country. And if we're looking at farm income, sugarcane is probably the best when we consider it to com parable crops. And for that and for the next few years, we need to see sugar prices also rise. Otherwise, you have a small problem in terms of output pricing and input pricing as well.

Shailesh Kanani: So in a nutshell, is it safe to assume around ■40.5 or ■41 as an average realisation expectations for FY 26?

Tarun Sawhney: But no, I said that our average reali sation right now is a little bit higher than ■40.5. And it is lower than April. I expect the average reali sation to be fractionally higher t han this.

Shailesh Kanani: Sure. Got it. Thanks. S econd question was with respect to our capex plans. What figures we are expecting for FY 26 in terms of capex ?

Tarun Sawhney: The Board has not approved any new capex in the meeting that was conducted yesterday. The only capex that is underway is the ■60 crore that the Board had sanctioned for the PTB business in the last meeting, which will happen over the next 16 -odd months up to September 2026, enhancing the capacity of that business. And there is no additional capex that has been announced in any o f the other businesses.

Shailesh Kanani: Okay. And what will be our general O&M expenses in general for the year for all our facilities including?

Tarun Sawhney: I'm sorry, I don't think we give out data on our O&M expenses.

Shailesh Kanani: Okay. Fair enough. My last question on the margin front. We have had issues on the margin front for our core sugar and consolidated even the distillery business. And considering that the sugar prices are on the higher side, can you throw some colo ur on how margins ca n shape up for FY 26 because we have seen a dip in FY 25? And FY 24 was a good year in terms of margins. In fact earlier times, we have seen higher margins as well. So if you can throw some light. I know you have highlighted that directionally, it should b e on the positive side. But give some colo ur.

Tarun Sawhney: Which business are you talking about?

Shailesh Kanani: Sugar and distillery, both.

Tarun Sawhney: Sugar and distillery, both. Okay. So I've already talked about distilleries. So I'll focus my comments only on sugar. I think as far as sugar is concerned, we have 60 lakh quintals of sugar in stock as of the beginning of this quarter, which will be sold, I imagine, by the end of November. That is our current estimates. So for the balance 4 months of this fiscal year, we will have new sugar. Now I anticipate that it will be at a different cost of production , because we're uncertain about what cane price would be. They may be the same, may be higher. We don't know as yet. But it will be a different c ost of production at that particular point in time.

My certain hope is that we work with our exports. We work with our diversion towards the ethanol blending program to achieve a new level, a new plane for sugar prices by the time the new season starts. A nd therefore, there will certainly be no margin erosion. In fact, it will be at this higher rate of margin and forward going forward. But to c

alculate the margin for the last 4 months of this financial year is very tough right now , because we just don't kn ow what the input prices are going to be.

Shailesh Kanani: Okay. That’s helpful. Thanks and best of luck.

Moderator: Thank you. The next question is from the line of Resham Jain from DSP Asset Manager. Please go ahead.

Resham Jain: Hi, Triveni team. So I have a couple of questions. First one is with respect to sugar production in the next season or rather next financial year, whichever way you want to give the data. One is, obviously, Sir Shadi Lal will get merged next year. And in addition to that, ther e'll be hoping things should be better from a recovery standpoint next year. And lastly, we have been doing a lot of work to increase the overall cane development area and debottlenecking our plants as well. So putting all these three things into play comp ared to 83 crore kgs being produced in FY 25, what should one expect in FY 26?

Sameer Sinha : Over here, what we are looking at, you mentioned three factors. Now our capacities are in place, but we are doing a lot of work in the field. So therefore, we are expecting an increase in recoveries also. It's not only the varietal substitution, it's the agronomical practices, plus the management of the integrated pest and disease management and leveraging on our IT initiatives. So that's the second portion of it.

Coming back to the issue at all our factories over here, we maintain a positive outlook, and we believe that we should be in a position though it's very early days, but definitely a significant increase in crush and in recovery going forward would be the way for this financial year and for this season.

Tarun Sawhney: Resham, also coming back to the financial year, when we compare this financial year to the previous financial year, you have to split it up into two parts. Firstly, it is the tail of the suga r season and then it's the start of the new sugar season. In the month of April and May, we had larger number of factories crushing and crushed for a longer period of time in CY 25 v/s the previous year. So for this fiscal year, we've already started off i n a more positive manner.

Next, as I had mentioned earlier on the call, we have an earlier Diwali. Diwali is usually a great barometer of when the sugar season starts, et c. It's also significant because somehow for some strange reason, there's changes in weather that happens around about that time. With an earlier Diwali, we will have an earlier start to the sugar season this year. And therefore, that is a very, very big difference between this financial year and the previous financial year. 2 things, one, a longer tail, which means the earliest part of the season has more sugar that's been produced, produced at better pricing, sold at better pricing. And for the coming sugar season and earlier start. So from a financial year perspective, it will be a big d ifference in terms of total sugar produced.

Resham Jain: Understood. Very clear. So just to clarify, so overall production will be much higher in 2026, given all these factors. So better cost absorption. So possibly your cost per kg would be better than n ormal years. Is that the right way to understand?

Tarun Sawhney: That's a fair assessment. So an increase of maybe 10% or 15% would not be an unfair assumption year -on-year.

Resham Jain: Understood. Very clear. The second question is with respect to the Power Transmission business, given that it will get demerged in the next one year. And since it was a part of a much larger company, the understanding of this business from the very granular perspective was much lower. So I would request maybe if you can s tart giving more colo ur on the Power Transmission business from like what kind of customers you are targeting ? What kind of mix

you have between various industries going forward? That would be very helpful , given that this is going to get separately listed in the next one year.

Tarun Sawhney: Welcome suggestion, Resham. We will certainly do that. And we plan to do that as well.

Resham Jain: Thank you so much.

Tarun Sawhney: Thank you.

Moderator: Thank you. The next question is from the line of Chetan Sh arma from Systematix Shares and Securities. Please go ahead.

Chetan Sharma: Thanks for the opportunity. So my first question is regarding the maize. So what was the maize cost? And how do you compare it with the surplus food grain rice as a source? And se cond thing is when we can expect rice to be substituted back instead of maize?

Tarun Sawhney: Okay. The average price for maize last year landed was ■24.42. This year, we've started at about ■23. So there's a big difference in terms of landed price of maize. As far as damaged food grain is concerned, I think you're talking about the broken rice. So that, of course, we buy on an opportunistic basis to be able to fill up capacities, et c. It is not tremendously profitable. And we have no immediate plans for buying the DFG in any significant quantum.

As far as surplus rice is concerned, the price is ■22.5 ex -FCI godowns, which is a significant increase fro m the ■20 that existed prior to July 2023. And the price hasn't changed of the ethanol produced from said surplus rice. So that's a massive contraction of all the margin for using that as a raw material.

So to answer your question, when do you return to su rplus rice or when do you return to damaged food grain . Let's talk about damaged food grain is never going to be a big quantum, frankly speaking . So it is surplus rice, and that is never going to be attractive if you don't revert to better economics for the industry. And it's a very big concern as far as the industry is concerned , because we do have sufficient quantums of surplus rice that could be made available. But at this price point and the sale price also, it will not add to a great source of r aw material.

Chetan Sharma: Okay. And my second question is regarding, as you mentioned that the IMD's current rain forecast is good for the sugar production. So what will be the crushing of sugarcane in FY 26 on standalone and consol basis?

Tarun Sawhne y: I'm afraid we don't give any kind of guidance like that. We believe that it will be positive on both crush and recovery because we've seen very good planting. The planting is also not over. So everything is in the works at this particular point in time. But it is too early to tell. Right now, the soft signal is clearly for a better year.

Chetan Sharma: Okay. That was from my end. Thank you.

Moderator: Thank you. T he next question is from the line of Udit Gupta, who is an Individual Investor.

Udit Gupt a: Good afternoon. M y question is that, we had some kind of an expansion in our Power Transmission business, which is supposed to get completed around March, April. So what is the status on that end?

Tarun Sawhney: So it is happening. In fact, we further expanded it. In the last conference call, I had talked about the Board's decision then in January to approve a further ■60 crore capex So all of this is consecutive. It's building blocks. It's underway. And we expect the entire capex to be complete by the end of the second quarter of the next fiscal year. So by September 2026 is when we expect the full completion.

What you are talking about, that completion is almost done. But all of it is staggered. There's lots of changes happening. I would like to ment ion that after we touched this sort of run rate of total capacity of about ■700 crore in the existing and the old facility, there's very little scope of further enhancement, very limited. There could be some productivity gains. We'll have to evaluate that. But in terms of building new sheds and buildi

ng new facilities, I think we will have covered the entire FSI. And then we will look at the new facility that we've invested in.

Udit Gupta: And the defen ce facility, the separate one that was getting built, that will be completed in September of next year? That's the one that you'r e talking about?

Tarun Sawhney: No, no. So the defen ce facility will be completed by the end of this calendar year now. It is delayed by almost 6 months. But it has not impacted any of the orders under execution at all.

Udit Gupta: Get your point. And th e demerger and the merger that we're talking about, what is the kind of timeline that we're expecting right now going forward?

Tarun Sawhney: We're very much on the timeline. We've given it in our investor presentations, our corporate presentations as wel l in the past. At this particular point, we are awaiting SEBI approval. Post SEBI approval, we will then approach NCLT. NCLT will conduct court convened meetings, and that's a standard process. Upon approval from NCLT, then it is an automatic listing proce ss which takes another anywhere between four to eight -odd weeks, et c. The timelines over here are not set in stone. They are a little bit flexible at this particular point in time. But we are still in terms of our earlier projection, we're still maintainin g that we're very much in line and in time for execution. So we're expecting that by the middle of Q1 of next calendar year, Q4 of this fiscal year, we will have the separation of the PTB business.

Udit Gupta: Basically, in this financial year, we're expe cting to complete it?

Tarun Sawhney: Yes, that's correct.

Udit Gupta: Thank you so much.

Moderator: Thank you. T he next question is from the line of Aman Sonthalia from AK

Securities. Please go ahead.

Aman Sonthalia: Whether we are making this ethanol in oxygen via C-molasses or via the B-molasses?

Tarun Sawhney: We're making it with both C and B and grain.

Aman Sonthalia: And what is the valuation we have taken for B and C?

Suresh Taneja : The valuation of for what? Valuation of ethanol or valuation of raw material?

Aman Sonthalia: Molasses .

Suresh Taneja : Molasses. So we have a transfer policy basically, which we consistently followed. And based upon that, the molasses are transferred from one segment to another segment.

Aman Sonthalia: Okay. And next year, there is an election in UP. So there must be some sugarcane price increase will be there. How much increase we can think of? And secondly, next year, definitely, the production will be better than this year because there is very good rainfall in Maharashtra and Karnataka. So do you think that in one side, there may be cane price increase and then on the other side, there may be some stress on the sugar prices?

Tarun Sawhney: So firstly, the elections in Uttar Pradesh are in February, March 2027. So it's not next year, it is the year after that. It is two years away, not one year away, as you mentioned at the start of your question. And I've addressed this entire thing. I expect that right now, there is very positive news in terms of weather and p lanting, et c. And therefore, there is anticipated higher sugar production for the next sugar season.

Having said that, NITI Aayog is looking at what beyond E20. So the diversion of sugar towards ethanol will be higher than the 3.5 million metric ton nes that was diverted this year, which will take account a little bit. Plus the Government this year exported 1 million metric ton nes to maintain that delicate demand - supply balance sheet position. And I anticipate the government in its wisdom will do exactly th e same thing next year, the quantum of which, of course, will be determined based on how much sugar is being produced by the nation. So in a nutshell, I don't think there is any stress at all.

Moderator: Thank you. As there are no further

questions from t he participants, I would now like to hand the conference over to the management for closing comments.

Tarun Sawhney: Ladies and gentlemen, thank you very much for joining us for the Q4 and FY 25 earnings conference call for Triveni Engineering & Industrie s Limited. We have had an excellent Q4, as I mentioned, a lot of learnings from the financial year as well that, of course, we are building on across the larger businesses of ethanol, especially ethanol and also from sugar. But I think we're well positione d. I think a lot of efforts, a lot of the capital deployment of the business and direction that the business has taken is to enhance our margins, operating and otherwise. And also look at further expanding our businesses. The Engineering businesses, of cou rse, are doing very, very well, and we hope that they will continue to do so over the next few quarters. I look forward to speaking to you after our Q1 results. Thank you, and have a good day.

responsibility of such inaccuracies or erro rs. It is compiled as an aid to understanding the proceedings of the event but should not be treated as an authoritative record.

Call: Aug 2025

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Sub: Transcript of Analyst/ Investor Conference Call held on 30th July, 2025
Dear Sirs,
Pursuant to Regulation 46 of SEBI (LODR) Regulations, 20 I 5, please find enclosed transcript of the Analyst/ Investor Conference Call held on 30th July, 2025 post announcement of unaudited financial results of the Company for the Q I FY26 ended on June 30, 2025. The transcript is also available on the website of the Company at: www.trivenigroup.com
You are requested to kindly take the same in your record.
Thanking you,
Yours faithfully,
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Triveni Engineering & Industries Limited
Q1 FY 26 Earnings Conference Call Transcript
July 30, 2025

Moderator: Ladies and gentlemen, good day, and welcome to the Triveni Engineering & Industries Limited Earnings Conference Call.

I now hand the conference over to Mr. Rishab Barar from CDR India. Thank you, and over to you .

Rishab Barar: Thank you. Good day, everyone and a warm welcome to all of you participating in the Triveni Engineering & Industries Q 1 FY 26 earnings conference call. We have with us today Mr. Tarun Sawhney, Vice Chairman and Managing Director; Mr. Suresh Taneja, Group CFO; Mr. Sameer Sinha, CEO of Sugar Business Group ; Mr. Rajiv Rajpal, CEO, Power Transmission Business as well as other members of the senior management team.

Before we begin, I would like to mention that some statements made in today's discussion may be forward -looking in nature, and a statement to this effect has been included in the invite, which was shared with everyone earlier. I would also like to emphasi se that while this call is open to all invitees, it may not be broadcasted or reproduced in any form or manner. We will commence the call with opening remarks from the management following an interactive question - and-answer session. May I now hand it over to Mr. Tarun Sawhney. Over to you.

Tarun Sawhney: Thank you. Good afternoon, ladies and gentlemen, and welcome to the Q1 FY 26 earnings conference call for Triveni Engineering & Industries Limited. The key consolidated financial numbers for the quarter were the r evenue from operations stood at ■1,598 crore with a PBT of ■2.9 crore and a PAT of ■2.1 crore . The net turnover increased by 23%, which was supported by a 53% increase in alcohol dispatches and a 14% increase in the consolidated sugar dispatches as well as improved sugar reali sations.

In the Power Transmission business, we reported a 15% increase in order booking and a record closing order book of ■423 crore which has improved by 38% over the corresponding previous period. At an overall level, the closing order book of the engineering business stood a shade under ■2,000 crore at ■1,975 crore , up by 32% compared to the previous corresponding quarter.

The debt position of the company on a stand -alone basis stood at ■1,385 crore v/s ■1,150 crore on the 30th o f June 2024. The stand -alone debt for the period under review comprises of term loans of ■320 crore , of which ■180 crore are with interest subvention. And on a consolidated basis, our gross debt is ■1,688 crore compared to ■1,280 crore on the 30th of June 2024. The overall cost of funds has been very manageable and stands at 7.3% at the end of this previous quarter v/s 7.1% in the previous corresponding period. However, I'm

happy to share that from the future perspective over the next few quarters, we will because of our debt rating, we will be able to see a decline in our cost of funds, especially when we need it the most. And that is the expectation from our balance sheet position going forward over the next few quarters.

I'd like to take some time to do a business -wise review. Turning to our Sugar business. The growth in sugar turnover was on the back of a 14% increase in volumes that included the subsidiary Sir Shadi Lal and a 4% improvement in realisations. The segment profit despite higher volume and reali sation declined by 80% to ■7.6 crore and this was due to higher cost of production of sugar sold in Q1 FY 26, which could not be offset by the increased sugar price realisation.

The cost of sugar sold during the quarter pertains to the sugar season 2024-2025 and was impacted by the gross sugar recovery. In a nutshell, the recoveries for the group were 69 basis points lower than the previous season, and that had a direct impact on the cost of production and is the most significant contributing factor for t

he increased cost of production. With respect
to the comment that I made about sugar price reali sations at the beginning of the last quarter, Q1, we did see higher sugar reali sations that were in excess of ■40. However, as the quarter went on, prices did decline as there's been a kind of a difference in terms of the demand of sugar across the nation this year, especially during the hotter summer months. And as a result, the prices fell even during the month of May and June, slightly below ■40, ■39.50, ■39.60. And so that, of course was unexpected during the quarter.

When I talk about the future, I'll bring you up to date with what we experience right now, but there has been a change in that position, of cour se, with great support of the DFPD. The sugar inventory on the 30th of June 2025 stood at 44.5 lakh quintals valued at ■37.4 per kilo. And the current ex -mill domestic prices for refined sugar are ■41.2 and sulfitation is about ■0.50 to ■0.60 lower per kil o. But that, of course is higher than even the start of prices in April 2026 at the beginning of the last quarter or just a shade higher. And it is because of the lower quota that has been announced by the government, approximately 10% lower when one compares YoY has been the reduction in the quota that's been announced by DFPD, having a direct bearing on price. And again, this is in reference to the comments that I made in the past as well. It is a regulated sector, but I repeat that there is a huge amount of control that can be exercised by the department, which has a positive impact on sugar prices. And the recognition that sugar prices have to be above the certain level, I think, is a very welcome policy initiative by DFPD.

Looking at the industry scenario, the sugar balance sheet, with an opening stock on the 1st of October 2025 of just under 6 million tonnes, we produced 33 million tonnes and domestic sales were around 28.5 million tonnes. We're expecting the closing stock of just about 7 million tonnes of sugar. And this is after considering about 4 million tonnes of sugar being diverted into Ethanol. And these are, of course, our Triveni estimates. Going forward, I think because of this slightly higher closing stock when compared to last year, despite the export that has happened over the course of this sugar season, we have seen that little softness that happened in May and June, primarily looking at the inventory balance, the balance sheet of the nation as well as the crop that lies ahead for the next year, which I will cover in a little more detail when I look at our projections for the year ahead.

From an international basis, the global balance sheet is pointing to a deficit. As per the latest S&P Global and other balance sheets, we're looking at a deficit of about 4.6 million tonnes. However, for the 2025-2026 sugar season, the outlook looks largely balanced. Actually, it looks towards a slight surplus of

about 2.9 million tonnes of sugar. This is primarily due to better crops in three very important countries, Brazil, India and Thailand for the upcoming season. International sugar prices have been on a declining trend since January 2025, whereas they had turned bullish in January and February. And in our last conversation, I had talked about our sale of our export quota, which was done at very handsome prices and booked in Q4 of the last fiscal year. But since the prices have declined and consequently, I believe that the 1 million tonnes of exports that was anticipated and expected by DFPD will not happen in its entirety as some people in the trade may have taken positions that have turned against them. It is unfortunate because it would have helped lower the balance sheet of the country by a couple of hundred thousand tonnes of sugar and every reduction is important. But that is sugar that will remain unexported according to our estimates.

Turning quickly to the

alcohol business. We achieved our highest quarterly production of 6.5 crore litres, driven by the full quarterly impact of the new distillery at Ran i Nangal. And therefore, if you do a simple multiplication, it is very much in line with the overall estimates that one has been giving of our capacities and our production capabilities going forward. The sales volume for the quarter stood at 6.2 crore litres, an increase of 53% over the previous year. The average reali sation for Q1 is lower, and this is due to ethanol produced from FCI rice, which accounted for 27% of our total alcohol sales. I want to pause over here and provide an explanation fo r this. Now when we entered the tenders at that particular point in time, the price for maize was about ■26, ■26 plus actually, closer to ■26.5. And at that point in time, the relative contribution from fixed price FCI rice seemed more attractive from an operating perspective and to keep the distilleries operational. And therefore, we did go ahead with that. Now there has been a change in stance by MoPNG etc where they have not allowed the fungibility of feedstocks from one to the other. Maize, of course, b eing at a higher price and MoPNG trying to control the price of ethanol, the procurement price of ethanol. And unfortunately, that meant that people settled with quantities of rice, which needed to be processed at lower levels or the lowest levels of contribution as maize prices declined over Q1 of this fiscal year.

However, going forward, we, of course, we were procuring a lot more maize and the price of maize has fallen even further. So , from the lofty levels of ■26-■26.5, our buying average for the last quarter was approximately ■23 -odd, slightly lower, and it will fall even further by over ■1 per kilo when we look at the prices going forward. The profitability, as I mentioned was impacted by that. It was also impacted by an increase in the internal transfer price of C - heavy molasses and some increase in fuel expenses.

Ethanol constituted 92% of alcohol sales in Q1 FY 26 compared to 91% in the previous corresponding quarter. I think it's important for us to dwel l on the outlook of the sugar business. The monsoons have been very encouraging across North India and in the state of Uttar Pradesh, and they bode very well for the agricultural sector. At the Board meeting, which concluded yesterday, the Board actually very closely considered the rainfalls that has happened thus far and the incidence of pest and disease, which are all with well below permissible limit thus far.

It is very encouraging at this particular point in time. However, I will caveat it and say that the rains in August and September in the past two years are the ones that have particularly played sp oilsport with the sugar season. We're keenly anticipating that Sky met and the forecasting data that we have points towards very regular and normal rainfall over the next couple of months, which is very positive. However, that is still a prediction, and it will be a very important parameter in terms of the health of the crop.

The health so far is actually quite excellent, both in terms of yield and in terms of the sugar content formation that has happened over the last few months. At this particular point in time, all eight sugar factories are actually looking pretty good with a slight increase in cane area as well for our sugar factories area under cane. We continue to make some judicious investments in our facilities to enhance our crush rate and with a particular emphasis on efficiencies. I think there has been a particular onus in terms of improving our steam economies at our sugar factories, which will result in higher bag asse savings, which will be sold at fairly lucrative prices in the market. The prices have been pretty good over the last couple of years. And so , our focus in this off -season on really single -handed

ly reducing steam economies should result in higher
bagasse savings, which will be sold over the winter months during this fiscal year and on the next sugar year.

We believe that a continuously increasing portfolio of refined sugar and pharmaceutical sugar, which is about 73% of our overall portfolio augurs well for reali sations of the company. Yes, we do have a lot of important clients that buy plantation white sugar. And so there will be a cap in terms of how much refined sugar the company can produce, but it does very well. The quantum of institutional customers has increased over the last couple of quarters, and there is a concerted effort as well from a reali sation perspective. And if you compare our reali sations, I think we've actually done rather well in terms of our sugar sales and the absolute numbers in terms of value of sugar sales. And that is directly related to an increased amount of institutional customers that we have on a repeatable basis.

With respect to the Alcohol business, the outlook, the focus really is on improving the sugarcane crush, which will help improve the molasses availability and address some supply chain , improve the molasses availability for the upcoming season.

With respect to grain, I think there is concerted and substantial efforts in terms of addressing and improving supply chain issues. In terms of procurement and in terms of storage of grain, especially maize to ensure that we do a much better job. It has been a learning process. This would be the third year that we're processing maize. And I think we've got a great amount of confidence in terms of how we procure it, how we transport it, how we store it. And I think that will factor into the yields when we look ahead and as we get this maize crop processed.

We're also hopeful that the government will address the feedstock and profitability challenges in the various feedstocks. And we hope that the government will remain committed to the E BP program me. And as I say that, I attended a conference last week where an important cabinet minister made a public statement in his speech saying that the government was looking at announcing 27% in a graduated manner for Ethanol blending. My own personal view on this is that we will graduate potentially based on new BIS standards , because the BIS standards are very important. And as the BIS standards, I understand will come out for 22%, 25% and 27%. That will be the graduation in terms of the total quantum. This augurs very, very well for the sector.

I also believe that E85, which has been launched across 400 petrol pumps across the nation, will offer another substantial alternative for other ethanol production across the country. You're looking at 1,000 crore litres being absorbed this year and with the maximum of what I've talked about could be well ahead of double that quantity in the coming few years. Of course, not all of that will be produced, so one will see an investment in additional distillation capacity across the country.

Turning to the outlook of our Power Transmission business. The economic growth is really very positive. And we're seeing sectoral -based investments and in manufacturing across India and across certain economies around the world. The company is venturing into new products and has received encouraging results for these products. And for example, it would be in terms of compression gearbox technologies, looking at new developments, new research projects and commissioning new products that will be in the marketplace and will hopefully add to the entire basket and addressable market segment for the company. The international market continues to be a key thrust area. Our quality leadership in the domestic market has paved the way for many overseas customers to qualify Triveni for steam turbine pump and compressor gearboxes.

Our acceptability in the overseas market has risen bec

ause of continuous
marketing efforts and an opening of a European sales office in Switzerland. And also, of course, as a result, the recent enlistment on ABLs, which are known as approved vendor lists of certain OEMs as well as third parties.

In the Defen ce segment, we've recently completed the order for gearboxes for fast patrol vessels of the Indian coast guard, and we've secured more orders for gearboxes. I think that bodes very, very well because we'll be the only company in the country that actually makes , that have complete technology for marine gearboxes within India. In addition, we're also working and continue to work on more products such as stabili sations and expand our service offering in propulsion shafting technologies.

Looking at the water business outlook, the business anticipates good business opportunities and funding is expected to flow from both state and central governments. Due to the gap of demand and supply of water and wastewater treatment plants, the water sector has recently actually started to receive a lot of positive outlook. And there have been a lot of significant opportunities that have cropped up in Q1 in terms of enquiries, et c., that will hopefully fructify into actual commercial bids. The new opportunities are exactly on the same lines that I talked to you in the past, which includes recycle, reuse, ZLD as well as EPC on HAM models.

Sewage recycling is a new area of business. And wherever there are industries and off -takers for buying treated sewage, this model should emerge as a quite successful model in the future. And we're also targeting some foreign projects, and we continue to do that, and I've spoken about that in the past as well. At an overall level, the company has implemented a series of strategic initiatives over the last few months, much, much more so than the past. We've recogni sed the fall in recoveries that we've had in our sugar business. And as a consequence, that has impacted our quarterly performance. And really, our targeted focus on improving that.

Now a lot of the performance as far as sugar is concerned you see sugarcane is a two year crop cycle. So , if you had red ro t in one year and the plant came or whatever was converted into the ratoon and would give you a poor er result, both in terms of yield and recovery. Now a lot of that cycle, that two year cycle is over. And so , the anticipation for the next year is actually wholly different from the season that we've had, both in terms of productivity as well as in terms of anticipated recovery.

Internally, we're looking at 3 years ago as a benchmark, the weather patterns as well 3 years ago, which is a very positive year. And we're hoping that the weather and pest disease doesn't play spoil sport over the next 3 months before the start of the sugar season, which we anticipate, frankly speaking, just after Diwali. Diwali actually is a little bit earlier. It is on the 20th of October, very early this year. And so soon after that, we anticipate that sugar mills will start their operations.

Regarding the proposed scheme, I think it's important to just close out my opening remarks with a few comments on that. The amalgamation with Sir Shadi Lal and the demerger of the Power Transmission business. We are still awaiting regulatory approvals. We're following up continuously with SEBI. We've received some in course and regular questions from the stock exchanges, which have been answered to our knowledge, they will meet the satisfaction, and we are hoping that we will get that permission very, very soon.

In terms of what that means , in terms of progress, I think we could broadly speaking, be on time. If anything, it could add another 30 -odd days. But broadly speaking, as I mentioned, we're still anticipating Q1 of the next fiscal year, and I think we're still very much in line with that.

With that, I'd like to close my op

ening remarks and open up the question -and- answer session.

Moderator: Sure. Thank you very much. We'll now begin the question -and-answer session. The first question is from Rehan Saiyyed from Trinetra Asset Managers. Please go ahead.

Rehan Saiyyed: Good evening and thank you for giving me the opportunity. I have a couple of questions. First on the power transmission side. The PT B order book has grown strongly, especially with the export traction. How much of the ■423 crore order book you expect to convert into revenue in FY 26? And do you see margins improving in the export heavy mix going forward for the going quarter.

Tarun Sawhney: I'm sorry, the second part of your question was inaudible. You'll have to speak a little slower and louder, please.

Rehan Saiyyed: Sorry. I have a question regarding a power transmission business .

Tarun Sawhney: No, I got the first one about what is executable in this year. What was the second part of your question?

Rehan Saiyyed: Second part of my question is, do you see any margins improvement in the export heavy mix going forward for reward ?

Tarun Sawhney: Right. Okay. We crossed the ■400 crore milestone. We stand at ■423 crore . The long duration orders in this are ■182 crore . The balance, the simple subtraction of that would be orders that are executable this year. It would also - - the typical order to delivery is about six odd months . It could be a little bit less depending if it's an aftermarket order, et c. We still expect a substantial amount of book and bill to happen in this fiscal year to allow us to meet the budgeted numbers we have internally for this business. And as I mentioned that our growth rate stands unabated. We had an increase in finished goods at the end of this quarter as some of our customers expected us, including defen ce orders expected us to push out delivery into Q2 and towards the end of Q2 as well. We're anticipating that Q2, Q3 and Q4 will certainly make up for the limited growth that we had in Q1. But the business is looking very, very promising.

In terms of your question regarding the margin profile of the business, I want to add two very important things. We have grown the business. The company has invested quite substantially in the business. It depends on where you're looking at what type of margins you're looking at. Depreciation obviously will be higher

because there has been a lot of capital investment into this business. In addition, we've also hired a lot of people, not just to train up for immediate growth, but for the future growth as well. So , there is a slightly higher HR cost. That does not, by any means, mean that we are looking at margin dilution. But in terms of growth of margins, it will take some time over the course of this year for that growth to come into fruition as we get more orders and deliver more orders into export markets where we're traditionally expecting slightly higher OEM margins.

Rehan Saiyyed: Okay. Thank you for your confirmation regarding this. My second question is on the maize prices. You have mentioned a correction in maize price benefiting distillery margins. Apart from raw material cost, what other levers of cost optimi sation are you working on business in FY 26?

Tarun Sawhney: Yeah, excellent question. Very, very good question. Let's talk about supply chain and then I'll talk about operations separately. From a supply chain perspective, you have to purchase maize and then you have to store maize. Maize like any other crop comes with small amounts of fungus, et c., and other impurities. The first fundamental process is to improve the supply chain by dual testing, point of loading, point of acceptance as well.

The second thing is the keeping quality and I think there's been a lot of work, and we've worked with other firms as well to improve that keeping quality to add ventilation, et c., to en

sure that there is no buildup. And so that the starch content in maize does not change significantly at all over a period of time. So that is a very important step in terms of the keeping quality and the procurement strategies as far as maize is concerned.

The third is with respect to operations. I think our cost of fuel is an important contributor to our cost of production at our distilleries, especially our stand - alone distilleries. And therein, we are doing a lot of effort, and we'll continue to. Some of it will happen now. Some of it will require some small CapEx, not but some tinke ring CapEx will be required to further improve our steam economies, which will allow us to then reduce our secondary fuel, which is the gas, which is very expensive because the gas during the season is ■2,200-■2,500 per tonne approximately during the seaso n. But in the off -season, it increases by a good 20%-25% from that point, maybe 30%. So you don't want that. You want to store the maximum amount. We're doing work in terms of raising the quantum of bag asse that the sugar factories will also have. So , all of that is sort of tied in and will result in better operating results when we enter into the next suppl ier.

Rehan Saiyyed: Okay. Thank you for detailed explanation and giving answer for me. And last question is around like from my understanding, could you provide a time -line update on the composite fuel of arrangement for the SSEL and PTB?

Tarun Sawhney: Yeah, I just addressed that. That was my last comment before I opened up Q&A. We stand unchanged and our perspective is that it will happen in Q1 of the next calendar year, Q4 of this fiscal year.

Moderator: Thank you. Next question is from Suda rshan Padmanabhan from ASK Private Wealth . Please go ahead.

Sudarshan P.: My question is to understand a bit more on the cost structure in the first quarter. Now historically, when we look at the off -season expenses, how it has been apportioned, it is usually the second quarter that takes a brunt of the overall impact as far as profitability is concerned. I mean, just to understand, I mean, going by your commentary, whether the entire drop in the sugar business is primarily on account of lower gross spreads as we call it . Or is

there a departure or is there a little bit change in the way the off -season expenses that has basically been booked in this quarter?

Tarun Sawhney: Yeah. Let me explain it. Number one, let me confirm that there is no change in the practice at all in this quarter. Whatever we have been doing in the past, the same is consistently being followed. Now in Q1, there is some part of the previous season, which extends into Q1. And after it finishes in the month of April or early May, thereafter the off -season starts. So as per the accounting policy of the company, all costs relating to off -season are expensed out in that quarter itself. So , it subsequently forms a part of the cost of production of the next season. So therefore, there is no change. But obviously, the share of the off-season cost in Q2 is more than Q1.

Sudarshan P.: Sure. Basically , will continue into the second quarter and probably the only thing that would change in the profitability, if at all is if the sugar reali sation continues to be over 41, then probably the spreads would be on a higher side. Would that be right?

Tarun Sawhney: Yes. So therefore, if you look at the pattern, because of such accounting, the profitability of Q3 and Q4 is substantially higher. So , our average reali sation for Q1 stood at 40.4 on a consolidated basis. Sugar prices already in the month of July were approximately that. August is pointing substantially better than what this average is and as we go into September, that will increase because you have an early Diwali. A lot of the buying for Diwali is going to actually happen in September. I anticipate that you will see ,

you haven't asked the question,
but my view is that sugar prices are on a small gradual uptrend as they typically are at this time of the year. We may see it little earlier. Festival season is earlier.

Sudarshan P.: Sure. And the cost of the sugar would more or less be similar at 37.5 of inventory, right? That's what you had kind of point ed.

Tarun Sawhney: Absolutely. Of course, that sugar is produced.

Sudarshan P.: Sure. Definitely, the spread should be higher. So that's good news. Coming to the ethanol side, I mean, it was heartening to see the volume increase in ethanol. But coming to the FC I grain is the entire cost of the impact of FC I rice has been taken in this quarter? Because I'm looking at it from the point of view that if the volume continues and this baggage is kind of behind us, then the profitability of ethanol will be substantially higher.

Tarun Sawhney: No. Excellent, very good question. And I think this is a strategic decision that we've taken that has not proved right. I want to recogni se that we took that decision at a point in time looking at maize prices, but it has not panned out well for us. And it accounted for 27% of our volumes for the last quarter. For Q2 production, it will be less than half that. It is not over, but it will be less than half, less than half of what was supplied. 27% was supplied. I would say it will be, we're trying to minimi se it as much as possible. Worst case scenario, it will be 13 %-13.5%. Best case scenario, it will be even lower than that.

Sudarshan P.: Sure. And one final question before I join back the queue is today, I mean, when I look at on a YoY basis, I mean, we had an easier base as far as Ethanol blending is concerned, where I think around the blending was around 14%. But when I'm tracking the monthly blending, I think already the blending is close to 20% now what is it that the government has going forward from here in terms of rate of change, in terms of Ethanol blending program me? How is it going to translate into growth going forward from here on?

Tarun Sawhney: Great question. And I'm going to just refer to important conference convention that I was a part of last week, where we had one of the most senior Cabinet Ministers who gave a very long speech. It was a Sugar Technologist Conference, but a very long speech about the future of Ethanol and his perspectives on that. He announced publicly that 27% blending has been approved. It is my understanding that BIS is expected to come out with standards for 22% blending, 25% blending, approximately 25%, 27% blending. It may be divided into four, not three but that is effectively going to be the graduation in increase in ethanol blending for the EBP program me.

Now with that being announced, I think parliament is on right now. I imagine that, that would have to conclude , will have to conclude and then this decision will be announced by the cabinet or rather by MoPNG officially. But I expect that, that is pretty much set in stone. In addition, we also have the possibility of E85, they have the possibility of E85, the number of petrol pumps being 400 and again, the Road Transport Minister has clearly said that he is looking for a factor increase in that. In fact, the Minister was quoted in this morning's papers about 27% blending being announced by the end of August. Yes, that is very much in line with the end of the monsoon session and or rather just post the monsoon session. I see a graduation and a huge volume buildup.

Now you may ask what happens to the automobiles, et c, because all of these discussions have taken place. And it is my understanding that 25% blending is easily possible without any change in engine technology for two-wheelers and four-wheelers whatsoever. There is nothing that needs to change between now and 25%. I think there is still a lot of consideration between what happens between 25% and

27% and I think we will learn a lot from Brazil. But that is still about a year or two away to get to 27 % because you need to have that kind of production in the country. But it's very, very positive that this is the step that is being taken towards E85 as well as towards E27.

The other thing, of course, is that the Minister has also announced that most of the large automobile manufacturers are coming out with flex fuel cars that will be available for the Indian public. So again, it's creating that sort of harmonious ecosystem, not just for supply but also for demand for the E BP program me.

Moderator: Thank you. Next question is from Shailesh Kanani from Centrum Broking. Please go ahead.

Shailesh Kanani: Good evening, everyone. The first question is on the margin front. We have seen margin pressure for some time now across segments. I understand for sugar, we are having issues of 0238 with compression of yields. But just from your perspective, when do you expect the margins what we enjoyed in 2022-23 coming back to our businesses?

Tarun Sawhney: Let's talk about which business because we have our engineering business, we have our distillery business , and we have our sugar business.

Shailesh Kanani: Predominantly, margin compression has been witnessed in distillery and sugar. If you can highlight that, Engineering is one -off that this quarter, I assume.

Tarun Sawhney: Sure. Engineering has improved since then. So that we don't have to worry about. Yes , with respect to the distillery and with respect to the sugar business, let me start with the one that has been affected the most, which is the distillery business. I think that the worst is behind us. And I think as far as the distillery business is concerned, because of what I've talked about, I won't repeat everything that I've said. It will be on the concall transcript, which will be on our website also. I've just talked about what we're doing to improve our

margins, both in terms of COP as well, we can't do anything about sale price. It's all about COP, be it operating strategies, be it supply chain strategies to help improve our margin structures, et c, that is all in place, and that will come very soon in the next Ethanol supply year and even before that, as the rise that I've spoken about will reduce even in Q2, et c. And so , you will see a natural bump up. Now a return to the type of margins that existed in 2022-2023, that is about billion dollar question. But I think that if the government and this is the way that you have to look at it, if the government is announcing 27% Ethanol blending, the only way you get to ethanol blending of 27% as well as E85 petrol pumps, is if more distilleries are established across the country, regardless of feedstock, be it sugarcane stream or be it grain stream.

For that to happen, you have to have better margins so that entrepreneurs actually spend money in this sector. That will, of course, help not only those who have existing capacities, but also invite people to come in and set up capacity. Now the government announcing the 27% as the Hono urable Road Transport Minister has done in the papers today, I think that bodes very well. I can't give you a timeline. I can't even definitively say that we will touch that. But I certainly see margin improvement happening because of better pricing policies because the nation needs more Ethanol production.

Now with respect to the sugar business, I think that's the second part of your question, that is not a billion -dollar question. That is something that is a very real question that we have tackled right now. The replacement of 238 in low - lying areas is, by and large, the vast majority of it is done . It still exists in higher areas across our factories. And yes, we will continuously reduce that, but that the tearing hurry and urgency is slightly less. You can manage it a little bit with b

etter seed treatment, with better pesticides and fertil iser dosage, et c.. And so , you will see that fast improvement happening from this sugar season onwards.

Now to get back to that margin, it's twofold. One is to look at your cost of production. Your cost of production will improve if your recovery improves. We're expecting the recovery to improve. Will we touch the same recoveries as 2022-23? I think it will take some time. That was a golden period. The variety was in its absolute prime. The variety is no longer in its absolute prime, and we don't have a variety that can replace it and give the same kind of results. There is a lot of work being done. But as of today, there isn't a magic solution there. But yes, we can improve , we can make a lot of improvements in terms of more yields and therefore, better capacity utili sation, and you can try and approach the element of cost of production through other ways and not just recovery because there are other constituents of that as well. And that is what we at Triveni are doing in the coming season and beyond that in terms of lowering our cost of production.

The next quantum is in terms of sugar pricing. Now with while FRP doesn't affect us in Uttar Pradesh, the FRP has gone up a lot. And the sugar price has not kept up. And I think there is a deep reali sation in the government that if we have to have enough cane for the Ethanol blending program me and we have to have enough cane for consumption and the balance can be exported, then we need to have sugar prices that are commensurate or sugar prices increases that are commensurate. You've seen the government, of course, let me give you an example. The quota that was given by DFPD of 2.25 million tonnes for the month of August is a reduction of 200,000 tonnes over the previous corresponding month of the previous year. That's a very significant reduction in a high consumption month. And it is really to ensure that sugar prices follow the right trend so that we don't have a problem in the next year.

Shailesh Kanani : Fair enough. So that is helpful. Just one follow -up on that. What is the 0238 exposure this year v/s last year?

Tarun Sawhney : It is presently under 40% v/s close to 55% the previous year.

Shailesh Kanani : And our plan is to bring it below 25%, I guess, last time when we discussed, right?

Tarun Sawhney : That's right. While we plan to bring it down, we are at the same time, doing a very rigorous wellness program me to extend the life of the remaining 25% also.

Shailesh Kanani : Okay. Thanks. My second question is on capital allocation. We have been investing in our water division, and we have kind of spoken in the past many times about the opportunities over there. I think our capital employed is somewhere more than ■600 crore over there. How do we see this division in terms of return profile? When do we expect 12% - 15% ROE, ROCE numbers? Because currently, it is less than double -digit, right? By when we expect this return profile to come?

Suresh Taneja : Number one, in the case of water business, we have not made any CapEx in that particular business because no CapEx is required. We basically carry out an asset -light business model according to which most of the manufacturing is outsourced. This is number one. And number two, there is a working capital requirement, which is definitely there in this business. And that basically depends from project to project depending upon what the billing milestones, etc are . But by and large, you quoted a figure of ■2,600 crore or something.

Shailesh Kanani: Segment assets is ■600 crore , more than ■600 crore .

Suresh Taneja : Yeah. Basically, I think reasonable return actually depends like the way Tarun just said that we are looking at the projects overseas abroad, etc. The very purpose over there is, number one, so that over there, it enables you to complete the pr

oject in a timely manner so that you are able to collect your money, come back and you get a good return. Idea over there is to pick and choose good projects where the returns are good. So , this is the direction we are proceeding it.

Moderator: Thank you. Next question is from Rajesh Majumdar from B&K Securities. Please go ahead.

Rajesh Majumdar : Yeah, good evening and thanks for the opportunity. My first question is what is the cane crush for the sugar season 2024-2025 and the gross recovery for the year?

Tarun Sawhney : Crush sugar season, it is 819 lakh quintals and the gross recovery, which is the c-equivalent recovery is 10.8%.

Rajesh Majumdar : And how does the gross recovery compared to the gross recovery two years ago? How much has it declined, the gross recovery in the last two years?

Tarun Sawhney: The previous year, it was 11.49% and the year prior to that was also in the same range.

Rajesh Majumdar: 11.5% was the peak, and now we are at 10.8%.

Tarun Sawhney: No. Prior to that, we have gone up to 11.97% on this basis. That was when we went out starting in a couple of our factories.

Rajesh Majumdar: Gross recovery at 10.8%, you think there is no downside now and this can recover by say, 20 -30 basis points this year as a realistic assumption?

Tarun Sawhney: Well, I don't give forward -looking estimates, but you can sort of try and calculate what the impact of rain was that was unprecedented last year as well as the impact of disease. The impact of disease was higher than the impact of rain. I would certainly think that all going well, if there is no untoward change, then we will certainly see a significant improvement in terms of sugarcane recoveries and crush.

Rajesh Majumdar: And crush. Basically, the area under cultivation also you guided that there's been some improvement for this season ?

Tarun Sawhney: The area under cultivation has increased somewhat YoY. We've already done the surveys. So , there has been an increase, low -single digit percentage, but that's still quite a lot. And that if you factor into better yields means that the cane availability, of course, could be better. And that is the hope, of course. And I keep giving this caveat whether and pest and disease permitting.

Rajesh Majumdar: Right. Secondly, on the alcohol policy, I mean, how should we take this FCI rice policy? Because last quarter, when you had done the concall, you had said that you'll be using maize and suddenly, we find this quarter that we used 27% FCI ri ce. This kind of a flip flop is giving us a kind of wrong direction in terms of what the company is really doing on its procurement. And since we were expecting that the maize will be a substantial figure this quarter, there was a disappointment in terms of the kind of feedstock that you used. So , will this be a continuing thing? Or will this stabili se somewhere? I mean, can we see some kind of a constant grain use, which can actually give more steadiness to our earnings .

Tarun Sawhney: Yeah. Okay. So no, you're very right. I think I don't quite recollect what I had said. But I think when I spoke to you in May, at the very end of May, maize prices had declined a lot. So that comment was relevant at that particular point in time that this procurement strategy was going hammer and pounds in terms of maize procurement because the maize procurement price dropped from ■26.5. At that point, it was around ■ 23. Now at that particular point in time, we had already bid for FCI rice. The FCI rice bid was done when FCI was -- when rice was opened up for us or rather for ethanol blending much earlier. And at that particular poi nt in time, prices prevailing for maize was substantially higher, which was the rationale for it.

Now you're absolutely right. It did turn out to be a poor decision and since we don't give you the actual blend of which grain we are us

ing at what particular
point in time, this has come as a little bit of a shock to you. One fully appreciates that. I think in terms of clarity, for the foreseeable future, we're not certainly not going to be taking in any FCI rice given where the price of Ethanol derived from FCI rice and the price of FCI rice given and I find it actually quite surprising that the price is what it is because we have so much of it in the country. And I think the point is well taken. We'll provide you more clarity in terms of what grain stocks we will be consuming in which quarter so that you can work out the margin structure.

Rajesh Majumdar: Yes. Thanks. And my next question is on the CapEx in Mysore. How much of the CapEx is already done and how much is pending and whether the defen ce bay will be commissioned this year?

Tarun Sawhney: Yeah, excellent question. The vast majority of the CapEx has been committed, and it will all be executed on time as one is forecast within this fiscal year. The tune of that is about ■150-odd crore for this year, which is the total amount pending. Now with reference to the defen ce ba y, there are two aspects. There's the office block and there's the manufacturing facility. We are very

hopeful that within this calendar year, the manufacturing facility will be operable. And so , the machines will be in place and production will start within this year. So , it's on track with what I had mentioned in the last conference call. The office block will be complete a few months later because we've devoted all of our energies in terms of getting the productive asset to be operable, but people can commute from the other facility with respect to any office work, et c.

Rajesh Majumdar: Yeah. If I could sneak in a last question. Although you've been sounding optimistic on the ethanol blending going at 27% extra, there's also a negative sentiment coming in from India's ongoing trade negotiations with the U.S. to ease the restrictions on Ethanol imports. While that may be debatable, then you may have a different point of view. I was just wondering as a company, post demerger, do we have any thoughts on the sugar alcohol business beyond Ethanol where we can see some kind of growth areas other than ethanol, if you have thought about any ? Thank you.

Tarun Sawhney: You asked two questions. I'll answer both. With respect to the ongoing trade policies, the industry associations have written to the government. We too have written to the government and said that we would like to see maize imports if possible. Now even if it is GMO maize, the DDGS from that, it is actually -- it was being considered that the GMO is going to be non -GMO. But frankly speaking, talking to the poultry associations, et c., they're very happy to buy that DDGS. So , if we can import DDGS maize at competitive rates, it will allow us then to have more utilization of our plants and perhaps even some more plants to be set up across the country. I don't see that as a negative , unless you have direct Ethanol imports.

If you have direct ethanol imports, it's a competing product. That is a bit of a pickle. I don't see that happening so easily at all. And I think from what I'm hearing and understanding, it is the direct maize imports that could possibly happen. The government is trying to work out the modalities of GMO, which, as you know, in India is a very ticklish subject.

Now with respect to Triveni, after the demerger, looking at other things, we have some time for that demerger to happen, yet the thought process is on and the Board is going to conduct workshops, et c., and evaluate a series of different options. I don't have anything concrete to share with you right now, just that the intent is certainly there to look at all available options that are in front of us today because, yes, we do have good cash flows from the business that are investable. And we have to do

something to regain as well as the previous person mentioned the margin structures that we had in 2022-23.

Moderator: Thank you. Before we take the next question, a request to participants to please limit your quest ions to two per participants. The next question is from Abhisar Jain from Monarch AIF . Please go ahead.

Abhisar Jain: Hi, thanks for the opportunity. Just wanted to know that the CapEx in the gear business that we have been doing to take the capacity to ■700 crore turnover and which is supposed to complete by September 2026. How is the progress on that? And is it on time? Can you just give a little bit more colo ur on that?

Tarun Sawhney: Sure. I just answer that question. I had partially answered it earlier as well. But in response to the previous gentleman who asked a question in terms of diversification, I had forgotten to add our Alcobev business, which has actually grown. The country liquor business is profitable and is growing quite substantially, very good double -digit growth, and we'll continue to see that growth, profitable growth. As far as the IMFL business is concerned, that is in an incubation stage. It will take a couple of years before it starts throwing out some profitability. But it is a business that is really a sunrise business as far as

India is concerned, as far as the new generation of Indians is concerned. So, there have been moves in terms of diversification. They're small right now, but they certainly have large prospects for the future.

Now I'm sorry, I answered somebody else's question when you asked the question. Let me return to PTB. As I had mentioned, our CapEx is very much underway, and it is being completed as per the track that one had mentioned and as you've mentioned. So , the production capability is pretty much in space. It doesn't mean that it gives us our full capacity utili sation will be a higher amount. It doesn't mean that we achieve it straight up, but it will certainly be in place on time. A lot of the machines are a lready in place and our productive assets as we speak.

Abhisar Jain: Yeah. So just clarifying. So , you had earlier mentioned that defen ce bay will be commissioned within this year, but also the gear CapEx expansion to ■700 crore capacit ies on time till Se ptember 2026, right?

Tarun Sawhney: Yes, that's exactly what I'm saying. It doesn't mean that we're going to be producing ■700 crore . It means the capacity is there .

Abhisar Jain: Yes, of course. Yes, sure. And on this defen ce capacity, since it will be commissioned, can you now provide some guidance on how that ramp -up will be there in FY 2027 and 2028? What is the line of sight in revenues from that multi -modal capacity?

Tarun Sawhney: It's really a start -up business. So , to provide line of sight of revenues, and it's a business that is famous for delays in terms of orders. In some respects, it's like our water business, okay, where you just don't know when the orders are going to be finali sed, et c. When you have bid for orders, but the actual opening and award is something that is totally out of your hands. And that is the peculiarity of that business. With all due respect, I'm going to refrain at this point from providing any future guidance on that business.

Moderator: Thank you. Next question is from Nitin Awasthi from InCred Equities. Please go ahead.

Nitin Awasthi: Hello. Actually, my first question, you have just answered a bit in that whole pie of IMFL and IMIL that you just spoke about, one extension to that was left, which I'll ask right now. Any movement you're going to make into the UPML market because of the new excise policy in UP?

Suresh Taneja : We have already started and introduced UPML brands from June of this year.

Nitin Awasthi: Okay. From June of this year, you have introduced them in both the segments?

Suresh Taneja : In one segment, in the othe

r one, we are about to do.

Nitin Awasthi: Okay. So , is it 28 you have introduced and 42 you'll be doing it in the future? Is that understanding correct?

Suresh Taneja : Yes. So , we have already done 28, we'll be doing 42. I mean, it could be happening this month itself.

Nitin Awasthi: Understood. Also, our current machinery that we have post the last expansion that we did within the IMIL segment, that machinery itself is capable of handling almost the whole packaging of a UPML product also, right? Is that understanding also correct?

Suresh Taneja : Yes, that is right. We have adequate machinery to handle both UPML and IMIL.

Nitin Awasthi: The total capacity output at 100% would be 9 million cases?

Suresh Taneja : Yes, 9 million.

Nitin Awasthi: Yes. Understood. Second question that I had was something interesting you spoke about earlier when a question was asked to you about how would you be increasing margins. You spoke about a cost component within which you specifically mentioned steam. Now steam for any grain distillation is a very heavy cost, the biggest cost after raw material cost. And of course, a lot of work is going on in this space. But would it be correct to understand, given the engineering excellence that your company holds, you will be able to make waves faster within this space? And is that some way where you're moving about? Like what is the current consumption per litr e and which way do you see it moving?

Tarun Sawhney: I'm not going to give you the consumption per litr e because then I'm going to have to give it every quarter. But I will say there are two things. Firstly, with respect , there are things that are low -hanging fruit. And then as I had mentioned in an earlier comment, we have just completed a consulting exercise to look at what can we do with small investments, small capital investments to further improve the steam economies in the distillation. Reduce our power cost effectively. So, let's understand the low -hanging fruit you 're going to see immediately . But in terms of the most significant and telling reductions that will then have a lasting impact on our profitability, you should also see that in the near future, but we will have to time it. Firstly, we have to consider everything, which we 'll be doing immediately over the next couple of weeks. Then, of course, the timing of this is dependent on when you take those little shutdowns at the distillery. Because as you can imagine, you cannot do any welding work at a distillery that operates 24 hours a day because of the alcohol , fumes, et c., the hazardous nature prevents you from doing that. So , then we will have to look at what are our schedules, when will this equipment, the tag along equipment, the vessels, et c., that need to be potentially added be in place and post which we will have the reduction in that. But yes, you can certainly see this as a short -term measure over the next few quarters that we will be be executing.

Moderator: Thank you. Next question is from Maulik Choudhar i from Monarch Networth Capital. Please go ahead. Maulik you may go ahead with your question.

Maulik Choudhari: I just have one bookkeeping question regarding power transmission busines s. Out of this long duration order of ■182 crore , how much is related to defen ce?

Tarun Sawhney: The largest pie is related to defen ce. I don't have the exact number. Actually, Rajiv is on the call. Rajiv, of the ■182 crore , what percentage would be defen ce, what percentage would be gears, if you could answer that, please?

Rajiv Rajpal: Roughly about 80% would be defen ce.

Maulik Choudhari: Okay. And what is the order execution timeline for this long duration orders?

Tarun Sawhney: So, the gear s orders will be executed in the next fiscal year, which has long term. The defen ce orders will be executed over the next 24 months.

Moderator:

Thank you very much. We'll take that as the last question. I would now like to hand the conference back to the management team for closing comments.

Tarun Sawhney: Right. Thank you, ladies and gentlemen, for joining us for our Q1 FY 26 results. I look forward to speaking to you in three odd months' time with hopefully much better news to share, both in terms of weather and in terms of performance of the various businesses, et c. This has been a relatively hard quarter. I think we've recogni sed that. We've really worked very hard, firstly, to recogni se it and then to find improvements around all of this so that we can come back to the type of profitability that we had showcased in previous quarters. The company is fully committed to excellence in all of our businesses, et c. And I hope that you will be able to see that kind of result very, very shortly. Thank you again for joining us on this call and speak to you in three months. Goodbye.

Call: Nov 2025

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Sub: Transcript of Analyst/ Investor Conference Call held on 07th November, 2025
Dear Sirs,
Pursuant to Regulation 46 of SEBl (LODR) Regulations, 2015, please find enclosed transcript of the Analyst/ Investor Conference Call held on 07th November, 2025 post announcement of unaudited financial results of the Company for the Q2 & HI FY26 ended on September 30, 2025. The transcript is also available' on the website of the Company at: www.trivenigroup.com
You are requested to kindly take the same in your record.
Thanking you,
Yours faithfully,
For Triveni Engineering & Industries Ltd.
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Triveni Engineering & Industries Limited
Q2 & H1 FY26 Earnings Conference Call Transcript
November 07 , 2025

Moderator: Ladies and gentlemen, good day and welcome to the Triveni Engineering & Industries Limited Q2 and H1 FY26 Earnings Conference Call .

I now hand the conference over to Mr. Rishab Barar from CDR India. Thank you, and over to you, sir .

Rishab Barar: Thank you. Good day , everyone , and a warm welcome to all of you participating in the Triveni Engineering & Industries Q2 and H1 FY26 earnings conference call. We have with us today, Mr. Tarun Sawhney , Vice Chairman and Managing Director , Mr. Suresh Taneja , Group CFO , Mr. Sameer Sinha , CEO of Sugar Business Group , Mr. Rajiv Rajpal, CEO of Power Transmission Business as well as other members of the senior management team.

Before we begin, I would like to mention that some statements made in today's discussion may be forward -looking in nature and a statement to this effect has been included in the invite which was shared with everyone earlier . I would also like to emphasize that while this call is open to all invitees, it may not be broadcasted or reproduced in any form or manner. We will commence this call with opening remarks from the management fo llowing an interactive question - and-answer session .

May I now hand it over to Mr. Tarun Sawhney . Over to you, sir.

Tarun Sawhney: Thank you very much, Rishab . Good afternoon , ladies and gentlemen , and welcome to the Q2 & H1 FY26 earnings conference call for Triveni Engineering & Industries Limited . The key numbers for this half year are the revenues from operations increased by about 18.4% to just over ■3,300 crore . The PBT stood at ■32 crore v/s ■11.5 crore for the same period for the last half year, and the PAT stood at ■23.5 crore against ■8.6 crore for the previous corresponding period . We have quite a lot to discuss on this call, and there have been lots of important announcements and movements in the markets effective in all of our businesses, and I hope to be able to cover all of that over the next 60 minutes or so .

The net turnover for H1 increased, as I mentioned, by 18 %, supported by a 21% increase in Sugar and its allied businesses , and an 8 % increase in the Engineering Businesses of the company . In Q2, the net turnover increased by 14%, which was supported by a healthy double -digit growth across both business segments. There's a healthy increase in profitability in H1 and Q2 FY26 , supported mainly by

improvements in the Distillery operations, which is
something that we discussed on the last earnings conference cal l, which we stepped right and managed to really emerge quite well as far as our Distillery

performance is concerned, and also encouraging performances from our engineering business.

The Power Transmission Business secured another successful healthy quarter. The Sugar Business profitability remained a little subdued, however, in this quarter, in view of the major period of the half year off -season and no manufacturing happening during the quarter under review .

The gross debt of the company has, on the 30th of September 2025, increased to ■505 crore , compared to ■383 crore a year -ago. The standalone debt for the period under review compromises of term loans of ■310 crore , out of which approximately ■160 crore are with interest subvention .

On a consolidated debt basis, our numbers are ■753 crore of gross debt compared to ■536 crore on the 30th of September 2024, and our overall cost of funds stand at 6.4% in Q2 FY26 , which is about 30 basis points lower than the 6.7% in the previous corresponding period . That's quite a positive movement.

Turning to the business -wise review. In the Sugar Business , the revenues for H1 increased by 22%, supported by a 14% increase in Sugar dispatches , and a 4% increase in realis ations . For Q2, the revenue increase was 27%, supported by 15% volume growth, and 5% in realis ations . Both, of course, were very important for the performance of the sugar part of our busi ness.

The substantial period of H1 FY26 and the entire Q2 FY26 represents the off - season period and no manufacturing operations takes place during Q2 FY26. And, therefore , all expenses relating to that have been expensed out . The results also include income of ■16.81 crore of the Sugar business arising from the upward revision of the power tariff announced by UPERC with ef fect for the 1st of April 2024. The increase in the cost of sugar sold could not be ful ly offset by higher sugar realis ation price and higher sales volume is the most notable point for the Sugar business for this quarter under review .

Our inventory from the 3 0th of September stood at 16.9 lakh quintals , which is valued at ■37.4 per kilo. I'll just to give you some data points , the previous quarter , 30th of June quarter , we had 44.55 lakh quintals valued also at ■37.4 per kilo . And, lastly , on the 30th of September 2024, we had 20.6 lakh quintals valued at ■35 approximately per kilo .

The reduction in the inventory is in line with the reduction in the national inventory levels as well , so to give you that comparison on the 30th of September we had approximately 8 million ton nes and this year at the end of

September we have 6 million tonnes of stock . So, for us, i t's been slightly lower than 25 %, which is good , because October and November , of course , has higher sugar prices . And all of our sugar from last year will certainly be liquidated by early January of this year , so everything in this particular quarter .

Looking at the industry scenario , as I mentioned , we start this year with a 6 million tonne opening stock and an anticipated domestic production of about 31 million ton nes. These are all numbers for the Tr iveni estimates . Domestic sales we still believe that we will see some stockpiling and some build up across over the course of the year . And, therefore , we assume sales of approximately 28 million tonnes very similar to last year and a closing stock of about 7 million tonnes. S o this considers diversion of 3.25 million tonnes of sugar into ethanol and about 2 million tonnes of exports . Broadly speaking , those are the numbers that we're looking at . So, we're anticipating that over the next few weeks , DPSD and the Government of India will announce an

expo rt program. As we're well aware,

I will, of course, talk about global prices,
etc., and the issues regarding Indian exports as we go forward .

The UP government has recently raised the SAP by ■30 rupees for Sugar Season 2025 -2026. This very frankly puts pressure on the profitability of sugar producers in Uttar Pradesh and necessitates a review in our eyes of the MSP, and urgently by the Government of India to bring it in line with input costs . We believe that MSP revision is being contemplated by the Government of India, and there are greater chances that that will fructify over the next few weeks. And this was, of course, a very different position than we were in last year .

There have been many representations made by the State Millers Association, as well as private millers to the government of Uttar Pradesh for subsidies with respect to the enhanced SAP, a record SAP that has been announced by the UP-State Government . One, measure that we have already received is a reduction in the molasses reservation . On B, that is a reduction of 19 % to 18 % percent. On C, it works out a reduction from 26.18 % to 24.84 %, about a 1.34 % improvement, and it's effectively just under a rupee in terms of cane price impact . So not substantial, but something.

We are also anticipating an increase in the transportation allowances. Possibly up to ■3 is what has been requested, which we'll equate to between ■1 and ■1.5 on cane . We're also looking at an increase in the country liquor reserved price, and that is something that has been contemplated over the next few months. And , again, that will resul t in a few rupees on cane in terms of benefit .

The industry has also asked for direct subsidy to help ensure that cane prices are paid duly, and the farmers focus on the transportation of sugar cane for the following season. I think this is something that the industry and the government of India are very much aligned, that they want all the marginal lands that will be diverted to other crops, including maize, frankly speakin g, to be diverted back to sugar cane and work to be done very proactively in t erms of enhancement of recovery. And, thereby , impacting the farmer's take -home income, especially , next year when we move into the election period as far as the State of Uttar Pradesh is concerned.

Looking briefl y at the international scenario. The latest estimates point towards an over 4 million tonne surplus . In fact, it's pointing to an even higher surplus than that. And that has had a massive impact on international sugar prices. If we look at the March contract, it's at $407 per tonne for whites, and December's at $412 . So these are multi, multi -year lows, as far as the market is concerned.

And at these prices, Indian sugar being exported would be a great challenge. However, the requests that have been made to DP SD that the industry be given a much longer period to evacuate the 2 million tonne assumption that one has taken for the exported sugar . And if that is granted, and we do have the benefit of, let's say, three quarters to export that quantity, there is a very real likelihood that we will have an o pportunity to be able to do it.

And also with an early announcement of exports, we may have factories in Maharashtra if they so choose to, for cash flow reasons or others, export raw sugar, if the market corrects ever so slightly from here. So , these are very definitive possibilities, et c., and we do see this as an essential component to maintaining sugar prices as we go forward . Despite the large amount of sugar being produced, the smaller diversion to ethanol that had been anticipated, and a challenging position to be able to export, I still believe that we will have moderate sugar prices over the coming year . I don't necessarily see any cause

of any alarm, and neither do I see any real reason for any massive increase in domestic prices, and they will, of course, var

y.

If we do manage to secure the 2 million tonne export, and this which means that we will have a 7 million tonne opening stock on the 30th of September 2026, I think that will bode well. We will perhaps be able to reach forward as we come towards the end of the next sugar year. I think it's an interesting scenario. I think , all the bad news has been factored in . I think , from this point onwards, we will certai nly look at more positive news.

Turning towards the Alcohol busines s. The sales during the quarter were down by 6%. Consequently, the closing stock, and this was because of the supply disruption due to an export fee notification . The closing stock of alcohol stood at 167 lakh litres at the end of September, compared to 62 lakh litres last year. But we've liquidated a lot of that, and a lot of that closing stock has been evacuated over the last 5 weeks, and of course, a lot more to be able to return us to a position of normalcy .

The average realisation price during Q2 is lower due to an increase in the share of ethanol produced from FCI Rice. We have registered a significant improvement in the profitability on the back of correction of input prices, particularly maize, and a much stronger focus on cost optimization . I'd like to give you just so me comparison and some ballpark estimates. We started procuring maize from Bihar in April -May, and that was at a delivered factory gate average of approximately ■22.5 at that particular point in time .

The last few prices of UP maize, which rose, of course , we started procuring at a lower price than it rose, but the last price was at about ■23.30 mill gates delivered and as an average across all of our distilleries . And right now, w e are getting Madhya Pradesh maize, which of course has a better starch cont ent and significantly better quality than UP maize, and we are receiving that at the factory gate at ■20 per kilo. I do believe that with this 60 -40 limits that have been placed by MoPNG in the ethanol tender, we will continue to see softness in maize pric es. I am not sure if the government will look at export of ethanol, but if maize prices go down, I think that could be a very real possibility and something that the government could look at in terms of alleviating the pressure on standalone distillers, especially processing maize .

But I think that over the next few months, the Madhya Pradesh crop looks very good with descending prices, and as we move towards the Bihar crop, which is important for UP -based grain procurers like ourselves, that will also start with sufficient softness . So I think from a grain perspective and from an input cost perspective, I think , we are looking pret ty good.

Ethanol constituted 92% of alcohol sales in Q2 compared to 93% in the previous corresponding quarter . The sale of ethanol ENA produced from sugarcane -based feedstocks constituted 46% of total alcohol sales in Q2, 44% in the previous corresponding quarter, while ethanol ENA produced from grain contributed to the balance 54%, which was obviously 56% in the previous corresponding quarter .

Looking at the industry scenario for ESY 2025-2026 in cycle 1, the OMCs have secured almost the entire amount, so 1,048 crore litres , against 1,050 crore litres, which was the overall amount. We believe that cycle 2, 3 and 4 will have a minimum of another 200 crore litres, perhaps even more . Now, you may be wondering what does that mean in terms of the overall blend estimate and it points to a higher blend than 20 %. Yes, I think so. I think that we will even without noticing it in certain parts of the country , probably have a blend that is a little bit higher than 20 %.

However, the elephant in the room really is what happens afterwards , because as you all know there was a massive amount of 1 ,776 that was tendered for the OMCs against the 1 ,048. And, of course , that does not include

the private
parties, Nayara and Reliance , but that also means that we have a massive quantity .

In fact, our estimates are that the country's production is north of 2,300 crore litres in terms of alcohol production and that does not include distilleries, which are nearing finalization or operational readiness, which there are several across the country . It's a positive number to that 2 ,300 crore litres . It means that we have to, of course, find the solution. The government is acutely aware of finding such solution. I think it is a troublesome point and it's difficult to ascertain where we're going to go, but certainly the decisions have to be taken for this excess quantity that exists across the country .

The procur ement price for FCI ethanol in the last tender has been revised from ■58.5 a litr e to ■60.32 in line with the increase of t he administered price of FCI Rice from ■22.5 per kilo to ■23.2 per kilo . The EOI for 2025-2026 has stipulated a condition that vendor s should offer a minimum 40% of the total grain offer based on FCI Rice from Q1 to Q3 for this present ethanol supplier. And that is exactly why we have seen a great softness in maize prices, which will reflect in our profitability in this quarter and subsequent quarters as well .

Looking very quickly at what it means for us, we have been very successful in our secured quantities, but that does not mean that we are projecting a higher supply of ethanol through the OMCs and private marketing companies . And of course, the ENA that we produce, the total quantum of alcohol produced by Triveni for this year ethanol supplier is projected at higher than what we had last year.

We do need to secure certain , a few crore of supplies in cycle 2 , 3, and 4, which we anticipate broadly speaking , distributed equitably will be in molasses and grain , are just north of about 4 crore litres . So it's not a huge amount, but it is an important amount that we need to secure and supply. And that will allow us to actually produce at the most efficient capacity, which is something that the units across the group are completely focused on, and allow us actually to lower our cost of production and cost of conversion as well, which is something that, as I mentioned, even in the last quarterly call, that we are looking at with a very, very fine tooth comb for Triveni .

Turning quickly to the Power Transmission Business , and firs t of our Engineering Businesses . The order book, during the quarter under review, was definitely a little subdued . However, our visibility, our inquiries, has been quite remarkable. I'm very happy, I believe there is an anomaly in terms of the particular quarter under review . I think there was a lot of g lobal factors that came to play tariffs being one of them, also events that were happening in West Asia, events that were happening in Eastern Euro pe, events that are happening in other parts of the world that led to a little bit of uncertainty where as far as our global customers are concerned . However, our overall numbers for the year still remain unabated. We're certainly looking at achieving a very robust double -digit growth in order booking, turnover and profitability for this financial year . And as I mentioned, despite the movement in this operating environment, and after absorbing the incremental costs related to capacity increase, our PBT marg ins have improved by more than 400 basis points . And this is essentially due to 2 very important factors. Number one, a very good product mix. So the focus of the business in terms of really attuning our product mix in delivering the maximum profitability is something that has happened . And the second is a very str ong focus on cost optimization. And when I talk about the future, I will talk about initiatives that have happened and that will happen in the future, which will allow continual improvement in both of

these 2 levers and the emergence of other lev ers as well to ensure success of this business as we go forward .

During the first half year of FY26, I'm delighted to report that we have registered 9 new OEM customers in our product segment. And some of them are marquee industry names globally. And this is very, very important to share , because I mentioned in previous calls that we're doing a lot of work in terms of qualification orders . This is the result of this qualification orders , where we are now delivering those products and hoping that it will result in a significant increase as far as orders to new critical customers globally.

With respect to the Water Business , the results on the consolidated basis, including our SPVs of Mathura, both our SPVs showed an order booking of ■1,520 crore , which includes ■1,092 crore towards O&M contracts over a longer period of time . The business actually has done reasonably during the quarter under review. Again, we've focused very, very hard on reducing costs and ensuring the maximum amount of profitability of this business and execution as we go forward .

Looking quickly at the outlook for the various businesses, because I think this is where I'd like to focus some of our time. I'll start first with Sugar, and then move to the Alcohol and then to the Engineering businesses . With respect to Sugar, the overall cane crop seems very healthy for the State of Uttar Pradesh for 2025-2026. Last year, the state produced 9.27 million tonnes of sugar. This year, we're anticipating 9.6 million tonnes of sugar, an increase of 3.5% . Despite some flooding and water logging in the 2024 and 2025 southw est monsoon were timely and well -distributed this year, significantly producing the boosting the sugarcane planting and yields, especially in Uttar Pradesh, but we've seen similar improvements in yields, as well as potential recoveries in Maharashtra and Karnataka .

In Uttar Pradesh, as a whole, we've seen continual variety of replacement in a shift away from 238 , at Triveni the shift has been even more acute and I think other varieties are delivering promising results . Perhaps not as magnificent as 238 in its prime, but pretty close. And I think we're going to see a lot of change , because there are so many varieties that are being considered right now, and there's so much promise, frankly speaking . And I can say this for the first time, I have not said this before, but I'm very heartened to see the impact of some of the cane varieties, et cetera, and they will form a very important part of our development programs as we move to spring planting in February, March of 2026.

With Diwali in October, the UP crushing season has started pretty much on time, perhaps a little bit early. As of today, Maharashtra and Karnataka have started a little late , because of the delayed withdrawal of the monsoon . I guess , this is a positive for UP mills. 5 of our sugar units have already started. That includes our subsidiary at Shamli . Last year, 4 units have started, as of today. This year, it's 5 units. The balance 3 units will start in a matter of just a few days from now . Certainly, by next week, everything will have commenced operations.

The recovery for the factories have started early is pointing towards a positive increase, but it's very challenging to give you any real data estimates at this particular point in time , because the real bagging has not started across all of the units . But the sentiment is certainly positive. The test data points towards a positive increase in recoveries, certa inly, this year over last year.

In terms of availability of cane , we are having to report that we're looking at a significant increase in the quantum of cane that will be crushed across all 8 of our sugar factories . Each factory is looking at a substantial increase. Some of it is due to excellent reservations that we have secured from the cane departments in the government of Uttar Pradesh and a lot of it has to do with the amount of development work that has happened at the beginning . In fact , the second is the most important point that coupled with a projected increase in recovery we're looking at a substantial increase in the total sugar this year v/s last year. I'm hesitant to give a n actual number in terms of the increase in sugar , but I would like to just share that it will be a very handsome amount in terms of overall sugar production and that would be very good , because it will mean a relative lower cost of production and spreading out of our costs over a larger number of facts , etc..

As far as the Alcohol business is concerned , I've talked a little bit about the outlook already in terms of securing about 4 crore litres of orders through cycles 2 through 4 as well as through the private marketing companies as well , we're very confident we should be able to receive achieve all of that and have our distilleries run at peak capacities in this supplier .

Turning quickly to the Power Transmission Business . From an Indi a perspective , we're looking at strong manufacturing and investment demand as of today . I think there's a broad feeling that on bal ance, we're seeing India Inc. move forward quite steadily . The inquiry book is looking very encouraging , in fact, it is far more encouraging than it was 3 months ago , I think that works quite well .

On a global basis , I think , we're a very small fish as far as our Power Transmission Business is concerned , but we're seeing massive inquiries that are coming from all parts of the world . Europe is particularly strong . We're seeing other parts of Asia . Both West Asia and Central Asia inquiries that are ballooning and we have started seeing very encouraging si gns from North America as well.

During the quarter , we continued to build our brand and participate in key exhibitions around the world . And I think these new marketing efforts pay massive dividends in terms of our perception, in terms of forging new contacts and managing to enhance our global footprint, et c., we are definitely recognized as a global competitor to other high speed gear manufacturing firms . I had already talked about the very positive profitability performance in the quarter under review and that was primarily due to cost optimization as well as an optimal product mix. And , I think that realisation is a very important one and we're going to look at enhancing that further improving that as quotas go by to ensure that we eke out profitability levels very much in line with what I've been saying at these investor calls over the l ast few quarters and few years.

Triveni Power Transmission Limited , a wholly -owned subsidiary of the company, has acquired a 100% stake in Triveni Power Transmission GmbH , a Swiss company . With the fed acquisition, TPTGmBH becomes a subsidiary of TPTL which is effectively a step-down subsidiary of T EIL.

As far as the outlook is concerned what can I share with you that will, as I mentioned , there were the 2 levers and there are several other levers that play a very critical role . There is a concerted effort to focus on large gearboxes and we're receiving fantastic orders in the Steam Turbine segment, Gas Turbines , of course , are reasonably large but in the Steam Turbine segment and Compressor segment of larger and larger units .

Now, this is where the technical competence , etc., of Triveni gets recognized by our customers. There is a concerted effort to focus beyond steam turbines, there are focus on compressors, gas turbines and other high-speed gearboxes has been critical in terms of diversifying our product scope and supply . Design and development has taken on a new form and , I think , there's been a huge amount of work that is being done right now , which where we e

xpect impacts in the next financial year in terms of cost improvements and also reduction in terms of time at standardized models, the development of more standardized models to be able to further improve the manufacturing time of a lot of our gearboxes .

From an IT perspective and this is absolutely crucial , and this is also for all Triveni , but I'll talk about a few extra things that are happening at Triveni Power Transmission . There's been a significant amount of development in the last quarter. For the group as a whole, there's a massive migration in terms of our enterprise resource planning solution that is happening, which will be over . It will allow us massive, in terms of our digital advocacy and migration initiatives, it will allow us to be able to use data in a very powerful form by Q4. It will start actually at the migration will end. And so , our usefulness will star t in Q4 of this financial year.

However, at P TB, we have 2 other important digital migration initiatives with respect to CRMs, as well as a digital factory and the creation of digital twins that are underway, which will allow us really to be able to create enhanced levels of stickiness as far as our global customer base is concerned, allow us to be far more proactive in terms of responsiveness to our customers, all the way from acquiring, all the way to post installation and commissioning management, et c., and allow us to have complete control of the manufacturing process in a way that we've had pretty good control, but really allow us to continuously enhance that control over manufacturing at Mysuru .

Looking very quickly at our Water Business , we are looking at new opportunities emerge in recycle, reuse, and Zero Liquid Discharge , and on an EPC and HAM basis. So , there are new projects that we are tendering for, and we're seeing more traction as far as water is concerned, more positive traction, intended towards conclusion . And I think that bodes well, because it's been a long time coming. It's quite exciting to see that the water market is turning quite exciting. We are evaluating international opportunities and intend on participating in several more tenders in water and wastewater treatment projects internationally .

At an overall level, the company has implemented a series of strategic and well-considered initiatives to tackle the key challenges across all of our business segments. We remain optimistic about delivering an improved performance in FY26 , given all the various situations that our various businesses are incurring .

Lastly, I'd like to comment on the scheme of arrangement, the proposed amalgamation with SSEL and the demerger of the Power Transmission business. The proposed scheme has been approved by the stock exchanges, and the process is obtaining approval of NCLT . The meetings of stakeholders under the NCL T process has been scheduled for the end of November and early December for the 2 companies. And that means that we're very much on track as far as I've said for this culmination in Q4 of this fiscal year .

With that, I would now like to pause my opening comments and op en up the floor for questions.

Moderator : Thank you very much. We will now begin the question -and-answer session. First question is from Sanjay Manyal from DAM Capital . Please go ahead.

Sanjay Manyal: Hi, sir. I have a few questions. First is about the ethanol part. You have mentioned that maize ethanol margi ns have improved significantly . Firstly, in the 1st cycle, what is the amount of volumes we have been allocated? And out of that, how much is from the maize? And also, if you can sort of specify, are we like making ■8 EBITDA per litre after t he decline in the maize prices?

Tarun Sawhney: Sanjay, I'm afraid we don't give a breakup of what we've got, maize v/s rice v/s ethanol. But answer to your second question, yes, we're making a higher margin

than what you're anticipating . I would say 30 %-40%-50% higher.

Sanjay Manyal: Okay. I mentioned ■8. So what we are trying to say is that we are probably, I'll be making anywhere between ■11 or ■12 a litre from maize.

Tarun Sawhney: That’s right.

Sanjay Manyal: Okay. Perfect. So from my capacity perspective or rather from the allocation perspective, my question was regarding because you mentioned that the total capacity of ethanol is not 2 ,300 litres , if I'm not wrong . And given the fact that 20% ethanol would require not more than 1 ,200 crore litres and maybe another 250-odd crore from the ENA. So , total demand would be 50% and so most of the industry level capacity utilisation will not be more than 65 %-70%. That's what my understanding is. Can we like assume that your capacity is 26 crore litres ? So in that sense, you will also be running at similar levels of utilisation?

Tarun Sawhney: No. I think that's not correct . I think that we will be running at, you see the total capacity as far as Triveni is concerned depends on whether you use maize or not use maize. You have to factor that out. So , it depends on the proportion of maize that we actually convert during the year , because that has, as you know, when you're using maize, it is 20% lower . Your capacities are 20% lower. So , when you're looking at 26 square litres , it is not with maize. However, whatever portion you use with maize reduces it. We anticipate functioning at 100% capacity utilization . However, the margins in maize are actually very attractive. And therefore we will, with the 60 -40 rule, try and maximize wha t we can do with maize as well.

Does that answer your question?

Sanjay Manyal: Yes, sir. It was pretty helpful . My second part is on the sugar recovery. Do you mentioned it's an early time, it's just a week that we started your operations ? But if you can get a sense from the fact that you have changed the sugarcane variety in the catchment area from Co 0238 to the other newer varieties, what is your sense or what is your understanding that what kind of an improvement we can see in sugar recovery? And also you mentioned that there has been a reallocation of the command area, so what kind of an increase we can see in the sugarcane crushing in the current season?

Tarun Sawhney: Okay. S o it's actually a combination of the two things and without giving you an actual number, I think let me talk about recovery first .

Recovery is impacted by 3 very important factors . The first is rainfall and water . The water is untimely rains and it is also flood water that impacts us in certain factories, as you know and I've talked about this on previous calls . When we stand today, we've had a reasonably dried last 30 days . That's been very good. The last 2 years actually before the factories have started, we've had rains in the last 30 days before the season started, which has led to a lot

of soil moisture and it still led to a little bit of weaker poles as cane comes . By and large, the drier start , I think it's been very good and this year has been relatively drier, so that is a positive attrib ute.

The second is with respect to disease. Last year, we had some amount of red rot at a certain number of factories . I talked about 3 of our factories having been impacted more than others and the remainder having been relatively unscathed and a lot of work has been done in terms of not just roguing but replacement and taking out all these red rot clumps and clots and actually getting farmers to plant other crops in that area so that the soil received a break, which is technically the system. I mean, if you have red rot, you're actually not supposed to plant sugarcane, just supposed to plant something else and then return to sugarcane a year or so later . A lot of that has already happened, which means that the diseased cane that will be coming to the

Triveni factories is a massive, massive reduction. We anticipate, I'm not saying that we've gotten rid of all red rot, because we do have 238 . And the 238 is, I forget the total percentage of 238.

Sameer Sinha: Just under 40%.

Tarun Sawhney: It's under 40%, but that's not necessarily a bad thing. Let me be very honest, especially as far as the high -lying areas are concerned . It is giving great recovery , and it is disease -free. And we w ill slowly replace that as well, and also steadily replace that as well. But the fact is that diseased cane is looking much, much lower than the possibility . Everything is looking well within our limits. So that is extrem ely positive right now, Sanjay.

The third thing is pest. This year, where in the early part of the g rowth season, we had some white fly infestation in 1 or 2 factories in West UP. But that was treated with pesticides and it was no longer after we recognized it. So a relatively disease -free, and a pest -free crop is what we're expecting this year .

So from that perspective, the recovery looks pretty good. We need to get all the factories to start. We need to start getting sugar to be able to give you accurate estimates of what the recoveries are . By and large, they're looking positive. So I'm very hopeful that a tool will give a good recovery. I'm fairly certain that plant cane will be a much better recovery than it was last year. That's very important . So, when you look at recovery, you've got to look at both parts of it. You've got to look at ratoon . We've got a great ratoon crop. What does that mean? We're not going to s tart untimely crushing of plant cane, which is something that happened last year, negatively impacting recoveries, which is crushing immature cane early . And that leads to a lower recovery as a season. So this year, enough cane means we have enough ratoon , and we have enough plant. And the work that was done on plant means it's disease -free, it's pest -free so far. A nd I have to add that caveat and that bodes very , very well. S o that's very good.

Season started pretty much on time and we're looking at a higher crush rate for the group , which will mean that we're not looking at essentially extending and dragging on the season into the very , very hot month end of May , etc. and that, again , is another reason for better crush , better crushing , better cost of production and , of course , better recovery .

Moderator : Thank you. The next question is from Shailesh Kanani from Centrum Broking . Please go ahead .

Shailesh Kanani: My question was with respect to our deck assumption , where we have mentioned that more than 3 million tonnes of sugar would be diverted towards ethanol . Just wondering in terms of the SAP price increase, does it make

sense, economic sense to do that, especially considering that the ethanol prices have not risen or sugar cane will stop. So what's your view on that?

Tarun Sawhney: Okay. Good question. It's over 3.25 million is what we are looking at in terms of the diversity of sugar. SAP as you are aware is only for Uttar Pradesh and the 3.25 million tonnes of sugar that gets diverted is nationwide . It includes Karnataka, Maharashtra, other states which don't pay UP SAP , they pay FRP et cetera . Also , there are very strict penalties for non -compliance and the OMCs actually exercise those penalties rigorously . I see very little risk in this number going down. If anything I see this number actually going up , because based on the 200 crore litres of R3 to R4 tenders and the split between grain - and sugary -based feedstock ethanol manufacture, it could enhance that 3.25 a little bit more for the season , perhaps take us up to about 3.4 or 3.5 million tonnes . Sorry, I think it could be as high as 3.5.

Shailesh Kanani: Sir, just to clarify, but there would be some portion of U P assumption as well in this 3.25 ,

right?

Tarun Sawhney: Correct. And I don't see any danger of that not happening , because of very strict fines that are imposed by all marketing compani es for non -delivery of ethanol.

Shailesh Kanani: Sir, just to get it right, economically it would not make sense, but because we have entered into the contract, we will be doing it . That is what you are trying to say?

Tarun Sawhney: No, that is not for fair sake. That's not what I'm saying at all. I don't know how people have quoted for juice as far as Uttar Pradesh is concerned, I can't comment on their financials . So, therefore, I am not taking any comment on anybody's viability. What I am saying is that the diversion of Uttar Pradesh of the 3.25 million is approximately 0.7 million tonnes of Uttar Pradesh done by a few groups in the state . I don't see them , because they are also supplying C -heavy molasses, they're also supplying B -heavy molasses and ethanol made from other sugary feedstocks. I don't see them putting their ethanol programs at risk . Plus, they have operating facilities. So to shut it down and not supply means they're still incurring a substant ial fixed cost.

So, rather than look at it from a profitability perspective, I'd rather look at it from a cost perspective . And this makes sense to them from a cost perspective and I don't see them and the significant penalties that will be imposed for this large quantum of 0.7 million tonnes is actually detract, I mean, is a disincentive to millers in terms of non -compliance .

Shailesh Kanani: Okay . Just to kind of close this loop on this. In your estimates, what will be the EBITDA per litre, the way you mentioned about maize will be somewhere in the range of ■11 to ■12 per litre. If you can just give a ballpark assumption in terms of working back of the envelope, seeing the season and seeing the S AP prices right now, what will be the time, say , juice B -heavy and C -heavy?

Tarun Sawhney: As far as juice is conc erned, we're not making juice. I can't offer you the EBITDA calculations for juice , since we have not tendered for juice. Neither have we tendered for B -heavy. I imagine that B -heavy is going to give you something a little bit lower than maize right now, maybe ■9 or ■10. C-heavy molasses will give you north of ■6.

Shailesh Kanani: Okay . That's useful . So, my second question is on the PTB division . So this is the second quarter there is slowdown in topline growth . Can you throw some light further, right, what ha s happened? Because last time you had mentioned that there was some difference from the client side in terms of execution. Are

we getting impacted because of any other reason s which you would like to know?

Tarun Sawhney: If you t rack the last 20 quarters of PTB , because we've always given PBIT results for the Power Transmission Business . And if you track the last 20 -odd quarters, you will always see that Q1 and Q2, Q1 more than Q2 is usually a little bit weak . Q1, while it came as a little bit of a surprise, Q2 is actually better. It's not in line with what I would like to be delivering and I recognize that straight at the very start of this course, but it is still better than the previous corresponding quarter. And from a profitability perspective is actually pretty good, to be absolutely honest. I see that with the orders that we have planned for Q3 and Q4 were very much on track . I mentioned that during my opening remarks that I stand behind my internal estimates. While I've not shared it with you, my internal estimates for growth for this business, for this annual year. And I anticipate that Q3 is going to be pretty good and Q4 is going to be absolutely fantastic . And that is just the way that classically every year i t follows that type of a cycle.

I do think that when we have more export business, when it becomes a very meaningful portion, then Q3 will become even

more substantial . Because the year-end for our global customers is typically the calendar year -end. And the more dome stic business we have, the year -end is Q4, therefore, to capture depreciation, the people want delivery of their gearboxes in Q4, of the Indian financial year, which is March . You may see that dynamic over the next few years that will change, but I'm not concerned about t he performance of the business.

Moderator : Thank you. Next question is from SKP Securities . Please go ahead .

Unidentified Analyst: Hi, everyone. Could you please provide a brief overview of the ethanol production in litres at Triveni through the B -heavy, C -heavy route derived from a kg of sugarcane?

Tarun Sawhney: I'm afraid we don't provide those details .

Tarun Sawhney: Thank you. Next question is from Maulik Chaudhari from Monarch Networth Capital . Please go ahead.

Maulik Chaudhari: I have a few questions on our Power Transmission Business . Say, particularly on the domestic side, over the last 2 to 3 quarters, our order inflows have been relatively subdued. Could you please provide some clarity on this? Second, given our H1 order inflows were subdued, but what kind of ordering flow are we expecting in H2 both in domestic and export market? And third question is, could you share the breakup of current closing order book between short -tenure and long -tenure? And within long -tenure, how much is attributed to defence?

Tarun Sawhney: Absolutely. Let me answer your first question . You see, I think it's important to also note that our large domestic OEMs have at least the 2 large domestic OEMs in the steam turbine space have now converted their business to supply to the world from India . And as a result, while there may have been some softness in Q1 and Q2, and there definitely was, with respect to domestic order build -up, I think from a global perspective, things were moving along a little bit better . I don't see that as the case. We are almost halfway through Q3. I think there has been a real change in the last 5-6 weeks in terms of domestic order inflows for domestic customers.

For global customers, I think that is moving along reasonably well . And y es, we're seeing a change in demand domestically as well. Of course, internation ally I've already spoken about.

Could you rem ind me of your second question?

Maulik Chaudhari: A break up of closing order book between short -tenure and long -tenure .

Tarun Sawhney: Yeah. I thought that was your third question. In terms of the break up of short -tenure and long -tenure, as of September 2026, our short -tenure is ■210 crore and long is ■185 crore . Total is about ■395 crore . The previous corresponding year, the shorter was ■239 crore , the longer was ■106 crore , about ■345 crore . There's been an increase in the total order book of abo ut 15% from quarter to quarter.

Maulik Chaudhari: And sir, within long -tenure, how much is attributed to defen ce?

Tarun Sawhney: As far as the long tenure, as far as that is concerned, the vast majority of that is defen ce. And in the short -tenure, there's very little defen ce. The exact numbers you can perhaps contact us offline and we'll share it with you. It's just that I don't have it on hand with me right now.

Moderator : Thank you. Next question is from Sanjay Manyal from DAM Capital . Please go ahead.

Sanjay Manyal: Yes, just one question I have on the PT B business. I think this is what you have seen almost 400 basis point plus kind of a margin improvement . And you have mentioned that this is because of the favourable product mix. But what could be the normative margin in this business, EBITDA or EBITDA margin? And, specifically , from the defen ce part, you will be commencing your facility in December . So, what can we expect from this defen ce facilities in FY27, now, what kind of an order, we have the bigger

order if we have from the defen ce and on what can we expect in FY27.

Tarun Sawhney: So For the half year, the Power Transmission Business has a PBIT margin of about 36% . I think it's part of our results , it’s given in terms of the segmental break up. Your second question, as far as defen ce is concerned, yes, a lot of the long-term order books that we have, we get executed . The facility will be up and running in December of this year which is exactly what I had mentioned 3 months ago when we spoke.

I think in terms of what you can expect in the following year , while I don't give estimates in terms of production, I think it will go a long way to have a facility on the ground, showcasing not just to the Navy and to the armed forces but also to partners around the world . And in our presentations and in our participation in global defenc e events and exhibitions, et c., we're seeing a lot of traction. So , I think that the defence facility will be off the ground, will be a massive sales point in terms of attracting partners to us .

Now, in terms of, what does that mean for financial year 2026-2027, I think that is very difficult, Sanjay. It's very difficult because , defen ce orders now with the way the world is, some of it you're seeing a little bit more urgency . You're seeing a little more advancement of orders. You're seeing a little more acceleration. So , it's not necessarily everything is long-term. You're seeing a lot of short -term stuff that is also coming up . But it's very difficult to ascertain. It's a younger business for us a s well. These numbers can vary quite dramatically. I' d be hesitant to give a number. But to have the facility off the

ground is a very, very big step in terms of the credibility, in terms of the footprint and the manufacturing capability of our business .

Sanjay Manyal: Right, sir. No. Understood. What I meant by this first question about 400 basis point improvement, so we have seen a 41% kind of PBIT margin this year, so we should not take this as a normalized should be 3 5%-36% as you have mentioned in the first half?

Tarun Sawhney: No, that's not what I mentioned. That's not what I'm saying at all. You're taking quarter and half year. Yes, the quarter was very good. We would like to deliver the best possible EBITDA margins. I think we're very much on track . 41% is very, very high, I think that is a tough ask, to be brutally honest, but we don't necessarily have to reduce 500 basis points. I can't give you a number, but certainly not 500 basis points. I think that is the strength of what I've talked about , about Rajiv and his team in terms of looking at products and services and looking at what we're dispatching and looking at the types of orders that we're taking in and dispatching from quarter to quarter .

Moderator : Thank you very much. That was the last question in queue. I would now like to hand the conference over to the management team for closing comments .

Sanjay Manyal: Ladies and gentlemen, thank you very much for joining us for the H1 FY26 earnings call for TEIL. I think the last few weeks have been very, very telling . We've had a heavy of news, some negative, some not negative, not positive, but I think that has been factored in by the business . We've hit the ground running. I think we've done a lot of work and we a re more resilient today across our Sugar, Alcohol, and Engineering Businesses, when we've literally ever been. And I'm very confident that going forward, we will be able to deliver the best possible results given factors, some factors are beyond our control . But given that, I think we are in the best possible position that we've been in years in order to be able to give exceptional results across all of our businesses. I look forward to discussing our Q3 results with you in about 3 months’ time . Feel free to contact , Himanshu , in case you have questions

that
have not bee n answered in this call. Thank you very much and have a great weekend.

Call: Feb 2026

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Sub: Transcript of Analyst/ Investor Conference Call held on 2nd February, 2026
Dear Sirs,
Pursuant to Regulation 46 of SEBI (LODR) Regulations, 2015, please find enclosed
transcript of the Analyst I Investor Conference Call held on 02nd February, 2026 post
announcement of unaudited financial results of the Company for the Q3 & 9M FY26
ended on December 31, 2025. The transcript is also available on the website of the
Company at: www.trivenigroup.com
You are requested to kindly take the same in your record.
Thanking you,
Yours' faithfully,
for TRIVENI ENGINEERING & INDUSTRIES LTD.
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Group Vice President &
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Triveni Engineering & Industries Limited
Q3 & 9M FY26 Earnings Conference Call Transcript
February 02 , 2026

Moderator: Ladies and gentlemen, good day, and welcome to the Triveni Engineering & Industries Limited Q3 FY 2026 Earnings Conference Call.

I now hand the conference over to Mr. Rishab Barar from CDR India. Thank you, and over to you.

Rishab Barar: Thank you. Good day, everyone, and a warm welcome to all of you participating in the Triveni Engineering & Industries Q3 and 9M FY 2026 earnings conference call.

We have with us today , Mr. Tarun Sawhney, Vice Chairman and Managing Director , Mr. Suresh Taneja, Group CFO , Mr. Sameer Sinha, CEO Sugar Business Group , and Mr. Rajiv Rajpal, CEO of Power Transmission business as well as other members of the senior management team.

Before we b egin, I would like to mention that some statements made in today's discussion may be forward -looking in nature and a statement to this effect has been included in the invite, which was shared with everyone earlier. I would also like to emphasi se that while this call is open to all invitees, it may not be broadcasted or reproduced in any form or manner. We will commence this call with opening remarks from the management, follow ed by an interactive question -and-answer session.

May I now hand it over to Mr. T arun Sawhney. Over to you.

Tarun Sawhney: Thank you, Rishab. Good afternoon, ladies and gentlemen, and welcome to the

Q3 & 9M fiscal 2025-2026 earnings conference call for Triveni Engineering & Industries Limited. The revenues from operations stood at ■4,782.5 crore , which was an increase of 17.8%. The PBT for the quarter stood at ■102.8 crore against ■57.6 crore in the same period last year. This is despite an exceptional cost this year, which I will talk about a little bit later. The profit after tax stood at ■77.8 crore v/s ■42.6 crore in the same period last year.

The key highlights of these results, the net turnover, as I mentioned, increased quite substantially for the 9M to 17.8% for the nine months and 16.5% for the quarter under review due to higher sales in Sugar and Distillery segments and improved sugar reali sation. The turnover of the Engineering business increased by 11% and 15% during the 9M of 2026 and Q3 of 2026 , respectively.

There was a strong operating performance in terms of profitability in the 9M and it is mainly attributed to a strong performance in the D istillery and Sugar segments. A major turnaround has happened in the distillery segment due to higher sales volumes , lower procurement costs, especially on maize and other

internal efficiencies, whereas much improved performance in the Sugar segment has ha ppened despite the significant increase in sugarcane price, and this is primarily due to a higher sales volume, better sugar reali sation, lower a much smaller inventory write -down of sugar inventories in view of the higher recoveries, and of course, there has been cost optimi sation as well, which has played out in terms of the financial performance, especially for the quarter under review.

There has been a provision of ■22.4 crore , which has been estimated because of the changes brought about by the new labour codes in respect to the employee benefit expenses, as disclosed in our exceptional items. This is for the standalone business. The debt position stood at ■783 crore on December 31, 2025, almost at the same level, ■775 crore for the period last year. And it comprises of term loans of ■288 crore , of which a ■136 crore are loans with interest subvention.

On a consolidated basis, the gross debt stood at ■1,073 crore compared to ■981 crore on 31 st December 2024. And the overall cost of funds is 6.1% for Q3 fiscal 2026 . I want to say it is important for us to note that the cost of borrowings is trending downwards in line with what is happening across the country. I think we have been very cognizant of the chang es that have been happening and have ensured that our cost of borrowings reduces quite dramatically.

To give you an example, our working capital for the quarter under review stood at under 6.5%, which is substantially lower than the 7.7% in the previous q uarter, so quite a substantial reduction in interest costs, and that will, of course, flow through in the next quarter and s ubsequent quarters come about.

Turning towards the business wise review. I'm going to first start with our sugar business, where re venues for the 9M increased by 19%, supported by 12% increase in sugar dispatches and 5% in reali sation. For the quarter, revenues increased by 12%, and this was supported by 8% due to volumes and 6% in price reali sation . Again, going back to our conversation about a quarter ago where I had envisaged stability in terms of sugar pricing and frankly speaking, they have remained reasonably stable. Some amount of variation, but by and large actually it has been positive and this is reflected in the res ults and in the comparison QoQ and nine-month period v/s the previous nine-month period. This is all despite a price increase of ■300 per metric tonne by the Uttar Pradesh state government. And that's quite a substantial - the largest ever sugarcane increas e in the history of the Uttar Pradesh sugar industry, very substantial.

And of course, this was because there were high recoveries that are present, as I speak right now. There has been substantial cost optimi sation and that is prevalent in terms of the c ost of productions at the unit levels. And of course, there's a lower inventory write -down for the units that don't perform as well as the ones that are right on top of their performance.

The sugar inventories on the 31st of December 2025 stood at 30.7 lakh quintals valued at just over ■39 per kilo, whereas in December 2024, it was 29.5 lakh quintals closing stock valued at ■38.8 per kilo. As we speak today, our refined sugar reali sation has crossed ■41.50 per quintal and sulphitation su gar is about ■1 lower, but it does vary quite substantially.

An important point to note is that while the sulphitation prices are that much lower , the bulk of our sulphitation sugar is contracted to institutional buyers that pay premiums above what the av erage retail sale prices is - what I'm reporting to are the retail sale prices.

The industry scenario has been very complex for the quarter under review. There's been a lot that has happened domestically and internationally. The net sugar production was e xpected to

rise about 20% YoY, supported by the favourable monsoons that we had over the last summer, which led to higher cane acreage and improved yields, and the recovery is stronger in the western and southern regions as well as the north. In fact it is because of a delayed start of one month in Maharashtra, t hat's specifically about Maharashtra. In the investor brief, we have given some details of the crushing updates thus far. But I'd like to point out some important distinction and important developments that have taken place, including some of our surveys t hat have come back as of this past weekend. And I'm happy to share some of that information and data with you.

Now Triveni estimates were far more conservative when compared to the industry estimates previously. We had forecasted actually a closing balanc e somewhere around 8 million tonnes for September 2026 , whereas the industry association had that somewhere around about 1.5 million odd tonnes lower around about the 6 million mark. And this is primarily due to a couple of reasons. The first one was, we h ave taken a very conservative approach on consumption, where our target stood at about 27.8 million metric tonnes. This was about 700,000 tonnes lower than what had been estimated and is still probably estimated by the industry. I would like to actually po int out that the releases for this year are actually 400,000 tonnes lower than the same quantum of releases in the previous year. And therefore, I do believe that while a hot summer is expected and a hot summer means significant decrease in sugar consumption. And that has been proven out by the test of time, we do hope to see at least our sugar consumption number coming accurately thereabouts. I think we're very much sticking to our guns on that number.

As far as the total country's production is concerned, the averages were broadly the same. Triveni had an estimate of about 31.1 million tonnes when we last spoke , and the industry associations estimate was slightly higher at about 31.5 million tonnes. There have been many developments actually, including unseasonal rain that has hit several parts of the country, et c. And also a much more realistic picture with respect to sugarcane recoveries and the migration from ratoon crop into plant crop across the country. This is not just in North India , but across the country. And as a result, we have some updates for our figures as well. So we are looking at Maharashtra factories starting to close earlier than anticipated towards the end of February. And therefore, what had been earlier forecast as about 11.5 million metric tonnes of production in Maharashtra could be lower by 1 million metric tonnes, maybe a little bit more.

Similarly for Karnataka, the 5.6 million metric tonnes we had assumed could be lower by up to 0.5 million metric tonnes. Uttar Pradesh stands exactly as what we had assumed, ~9 million metric tonnes. So this is very important because it actually changes th e stockholding ratio between the South and the North. It also means that the Northern sugar mills will benefit by carrying the stock later into the sugar year where prices I anticipate will inch slightly higher, given that we have a lower closing stock.

By the way, the closing stock assumes the full export of 1 million metric tonnes of sugar, and I will just address that point in a second. Essentially, I think the demand -supply position has changed in favo ur of more robust sugar pricing for the next few qu arters, certainly. And I think that is a hidden positive and a hidden positive expectation that investors should have from the industry.

On a global scenario, we've actually seen near historic lows , such catastrophic fall-off in terms of commodity pricing has not left sugar as well unscathed . And we've seen, as of the last close, New York March contract close d at 14 .7 cents

per pound and London closed at

405.1. And these are very substantially falls in international sugar pricing. And as a result, I do have to wonder whether the full 1 million metric tonnes of exports will take place at these prices. I do believe that commodities are under pressure. Sugar is in an oversold position in our estimates. And I do believe that some amount of boun ce back will happen.

I do think that we should if not touch the million metric tonnes should come reasonably close because from an entrepreneurial perspective, a large amount of sugar has been contracted, not all of that 1 million, but I do believe that there will be clear opportunities for export especially as we come closer to the March expiry. And let's hope India benefits by those sentiment chang es, both domestically and internationally.

Turning to our Alcohol business. The sales volume for the quarter was up 27%, higher production and sales volume were account of full operations in the current period . Whereas in the previous period, the producti on was slightly impacted by a stabili sation period for the new grade distillery that was commissioned in 2024, as well as distilleries not operating for some period due to a non-availability of feedstock in the previous quarter. So I think all of those things have been abated, have been planned for very much in line with what we had discussed on the last earnings call.

We've registered a significant improvement in the profitability on the back of correction of input prices, particularly maize, and of course, the focus on cost optimi sation and some amount of steam optimi sation as well and some lowering of energy costs.

I would like to point out that , today, if we had to do an analysis on margins, the highest margin that you could get as an input wo uld be maize , followed by C - heavy molasses , followed by B, followed by FCI rice and then followed by juice. But t hat is how it stands as of today. The improvement in profitability is due to higher sales volumes and of course, lower procurement on maize. The ethanol constitutes 92% of our alcohol sales during Q3 fiscal 2026 compared to 89% in Q3 fiscal 2025. Our ratio of molasses to grain was 45% - 55% and our margins have clearly benefited by the lower procurement price of maize, which is exactly what we have used for our grain -based operations for the quarter under review.

The blending percentage achieved in ESY, looking at the overall industry scenario is 20%. During ESY 2024-2025, it was about 19.24%, and today, it's considered at 19.98% which is pretty much very maximum. And Inter -ministerial Group, along with NITI Aayog is working on the road map for beyond E20. I think that has gained more traction. In the last few weeks, we believe that there is further impetus. And we can see that signs from the budget, the Union budget that was announced yesterday, the focus on energy , etc and clean energy is something that is definitely being driven home by North block, and we hope that they will have a positive impact on the ethanol blending program as it follows through this year and the next ethanol suppl y year.

During cycle 1, OM Cs have secured just shy of 1,050 crore litres, 1,048 crore litres to be precise of ethanol. Cycle 2 tender is expected shortly. I believe that there was a court case in Karnataka that held up the issuance of Cycle 2 tender. We anticipate that it may happe n this week itself. I do believe that the tender has been ready for the last fortnight. I'm just waiting for it to be published.

Having said that, unfortunately, we understand that the focus of the Cycle 2 tender, which is primarily for Q3 and Q4 supplies , it will be focused primarily on rice-based ethanol, which is FCI rice -based ethanol, followed them by B -heavy and C molasses. So not sure how much B -heavy and C molasses will make its way through to Q3, Q4. However, there's plenty of rice available acros s the cou

ntry, et c albeit at a slightly lower margin.

I'd like to turn towards the engineering businesses now. The Power Transmission business has seen a significant uptick in our inquiry levels, I would say at least 75% as compared to last year , driven b y growth, especially in the export market , so I think that has been the primary focus . Despite a reasonably tough operating environment , after absorbing incremental costs related to capacity increase, our PBT margins improved by 90 bps YoY on the back of better gross margins and favo urable product mix and a strong focus on cost optimi sation.

And this was also during the period , in fact, in the last quarter, we had a very significant amount of development that happened to the digital transf ormation of the business at power transmission, including the initiation of implementation of a CRM solution, a smart factory solution and of course, the migration of our ERP to a much more cutting -edge SAP HANA platform. So a lot of activities that are happening on that front.

The export growth is primarily driven by market share gains in the Compressors and Pump segment, and we continue to focus on relationship building efforts with high -profile customers. And I think that has shown a lot of development. Even in the month under review, in this month, we've seen big changes in terms of inquiries and order booking frankly speaking, there's been a massive change. In the last quarter, as you will notice from our results, it was muted. The hope was that Q3 wou ld result in significant increases in order booking and that did not transpire.

And I think a lot of that is not due to the business itself, but due to delayed decision -making, primarily caused by global factors, in my opinion, where our customers, in my personal engagement with customers, I find that it is not the unwillingness to place orders. But it is just a sense of uncertainty in which they have just kept that decision pending for a short while. I do believe that this is a time-based decision, and we 're seeing that correct.

In fact, the month of January itself has been a very positive month for a rebound of order booking to take place. The inquiry book, as I mentioned, nevertheless, still remains fairly strong. The Middle East is emerging as a major end user market for growth and is expected to be the primary contributor as well to aftermarket export growth. We participated in several premier and prestigious exhibitions in the region, and we'll continue to do so to build our brand presence and enhance our global footprint.

But as the quarter ended, our order booking stood at ■409 crore , which was an increase of 8% from the ■377 crore previous year. And in the month of December itself, we received orders, as I mentioned in both the Gears as well as D efence segments. The Defen ce segment, I'm happy to report that we've received a very recent order of about ■45 crore from a customer. Of course, the gears order booking is in addition to all of that.

Turning quickly to the Defen ce business. The delays tha t we've been waiting for was commissioned last month in the month of December as planned and as I had discussed, the factory has commenced manufacturing operations. The remainder of the facility development is underway. It should be complete, certainly in the next few months, 2-3 months, again, as per what I have discussed on previous conference calls.

However, the manufacturing part of the defen ce facility is all underway with the lathe being commissioned and the other balance machinery also under

execut ion and being commissioned as we speak right now. So there is manufacturing output happening in that facility.

Turning quickly to the Water business. The Water business results include the operations of the wholly owned subsidiaries, which is Mathura, bot h the subsidiaries of Mathura and Pali. The outstanding order book on t

he 31st of
December stood at ■1,598 crore , which includes just under ■1,100 crore of O&M contracts, which are over a slightly longer period of time. So yes, there was a little bit of va riation. I think the business did not perform as much as well as we would have liked to. The inquiries are still quite substantial. And frankly speaking, I think the domestic climate across the board, as we've seen and I talked about, including in our Powe r Transmission business has been muted, and I think the last quarter was pretty much across the board as far as India incorporated was concerned in capacity additions over there.

Looking at the outlook of our various businesses. The sugarcane crop looks very healthy - in Uttar Pradesh, especially. And as far as the rest of the country is concerned , I mentioned the slightly muted outlook for Maharashtra and Karnataka, which means that the total production is going to be a little bit lower between abo ut ~1.5 million tonnes lower. And this will reduce the closing stock. So as we had estimated a reasonably high closing stock, rightly speaking at, around about 8 million metric tonnes, we will be approaching the 6 million metric tonne number, which is very good and bodes extremely well for sugar prices and the stability of sugar prices going forward. I think that is what's very important because we are in an environment where global prices , and as much as we'd like to think that India has no impact, no corr elation between what's happening in New York and London and what's happening in India, there is some sentiment impact of course, that does creep through. But despite that, we have been remarkably resilient. And I think a lot of that credit goes through to DFPD in terms of very well thought out and well planned quotas. And I hope that, that does continue. And I hope that, that does allow the industry to actually see an increase in sugar prices as we move forward because cost of cane has gone up, not just in Uttar Pradesh but across the country.

We have heard a lot of conversations about increases in MSP, et c. The reason I have not discussed that during this call thus far is because there's no point talking about it until it actually happens. My understanding is it's going to be in the high ■37 bracket, that is the expectation. I believe that is too little becau se the prices are already higher. And if we're looking forward after so many years, we need to look at it from a future perspective. And to look at the impact that it would have on farmers going into the future and on the industry going into the future. An d so that's important. But I still sincerely hope that it is something being considered , and I believe it is , by GOI, and it may happen in the near future.

We are looking at improved sugar recovery trends. In Uttar Pradesh as we see the advent of the plant cane, especially in the Central part and Eastern part of Uttar Pradesh . We've seen plant coming in Western Uttar Pradesh , the start has been small, we are at the beginning of February, and so plant cane is certainly going to come in full force in the next 10 -odd days across Western Uttar Pradesh as well. And that is pointing towards better recoveries. You can see that from all the various reports that I'm su re you're all privy to. The reali sations right now when compared to last year are higher than they were. I think that is another positive. And we continue and plan on continuing to make some investments, small investments in sugar to especially improve our cost of production and improve our efficiency. I think those are things that have been highlighted by our operations this year. And you should anticipate that over the coming off season, we will be looking very closely at our cost of production and findin g ways of lowering those costs of production with very short return investment plans. And nothing substantial, all funded by internal accruals

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The alcohol business, as I mentioned, we've seen a marke d improvement in the operations, primarily led by exce ptional procurement of maize. Now maize, as I had mentioned earlier will possibly be curtailed in Cycle 2 as for additional deliveries in Q3, Q4. That is a slight negative, very honestly speaking. And it kind of poses a hiccup, but I can understand that th ere are huge quantum of rice stocks available in the country. And depending on what type of quality of rice that one can procure from FCI, I think we should be able to make some more improvements in the margin structure on rice. And yes, we will be tendering for the small portion of extra capacity that we have for the Q4 delta. We will be participating in Cycle 2 as well and in Cycle 3, which we believe will come in the next couple of months. I think that is also an expectation th at has been made fairly clear that there is expectation that there could be a Cycle 3 as well. We believe that ethanol prices do need to be revised upwards. And this will certainly help increase the diversion of sugar towards ethanol. However, lot of this is under consideration - that we don't believe any of this will happen until the next ethanol supply year. The one thing and important thing to consider is the massive overcapacity that exists in the nation and the planning for that is actually very import ant from the government perspective.

Turning to the Engineering businesses. I think in this particular quarter, while we continue to focus on really building the brand on a global perspective and coordinating, participating, gaining qualifications with cu stomers across the world , we've seen huge successes in the recent past in terms of getting into AVL. There have been many clients where we are now on the AVL globally. And a lot of that has factored into the increased inquiry book as I had mentioned, as we have seen orders close out both in terms of OEM orders as well as in terms of retro in the month of January. So a change in position really from the previous quarter rather the quarter that's under review.

Towards the water business, yes, we are looking at a large number of orders both domestically and internationally because of the significant gap that exists between the demand and current availability of water and wastewater treatment, and there are new opportunities that are emerging in the recycle, reuse and Zero LD in the form of EPC and HAM models. So that's quite interesting to see that there are more tenders coming in those 2 niche areas and we hope to certainly benefit from those that we are tendering on several jobs as far as that is concerned.

On an overall level, we have implemented a series of strategic and well - considered initiatives, a lot of which is playing out and a lot of which, as I mentioned on the last conference call will have had a benefit, and you've seen that benefit in this quarter's results.

Lastly, with respect to the proposed scheme of amalgamation of SS EL and the demerger of the Power Transmission busine ss to unlock value and to drive operational efficiencies, the scheme has been approved by shareholders of creditors, this was in December of 2025. We have another hearing in front of NCLT in the month of February. And we find that we are very much on track , as I have previously said, for this to happen during under this quarter, this calendar quarter. So on that front, nothing really stands unchanged. We are, of course, as we get closer to this demerger. Looking at the Power Transmission business, gaining a lot of skill set s in terms of ability to operate as a separate company. A lot of systems work is being done as we speak to let them hit the ground sprinting, frankly speaking, and have the same kind of efficiencies that we've had at Triveni Engineering an d any of the other businesses that the company has run.

With that, I'd now like to open th

e call to questions.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from Vishal Prasad from VP Capital . Please go ahead.

Vishal Prasad: Tarun, we had signed MoU for 4-megawatt marine gas turbine generators with Rolls Royce. So could you provide an update on our marine GTG partnership?

Tarun Sawhney: Certainly. So this is for the next -generation vessels being considered by the Indian Navy. And this is at the architectural stage right now. The main decision point for the Indian Navy is whether they would like to go for a gas turbine propulsion engine v/s a diesel generated engine. And at this particular point, we have made a number of presentations, et c. We expect that decision to be taken reasonably soon.

However, the decision is not in our domain, it is with the India Navy. I believe that if it is a gas turbine option that is considered, you could only consider one or the other because there's too much work that will go in. The solution then being offered by Triveni and Rolls Royce becomes a very compelling one, where there is a large amount of indigeni sation that will occur. That is the kind of conversation that we've had, and therefore, creating, for the first time in our country's history, a gas turbine technical solution being available indigenously and having that technology in it. So it would be a big technological tick mark.

However, that decision really isn't ours. It is one which is with the Navy and their designers, and they will be taking that ve ry soon.

Vishal Prasad: Let's assume that, let's say, they agree to our proposal, so would Triveni move from manufacturing gears into manufacturing turbines as well?

Tarun Sawhney: But listen, for any new program, by the time you actually supply the equipment, it's about 5 years out. So we're talking about medium to long -term projections right now. And the work share between Rolls -Royce and Triveni Engineering, I'm afraid I cannot di sclose those details right now because it is at an MOU stage, it is not a definitive agreement. But there will be obviously some portions that will be done by Triveni and some portions that will be done by the technology provider, in this case, Rolls -Royce .

Vishal Prasad: Got it. My second question is, we have talked about our ability to gain market share in the exports market. And one of the reasons that you have given is that nobody can match our timelines . So if I have to compare Triveni with the new -based turbo gears suppliers, what would be the price differential between us and EU players if we are supplying to the same customers?

Tarun Sawhney: You see that's a very different , it's a very loaded question. And let me tell you why it's a loaded question. We find that we're substantially lower. What we have done is we've estimated cost of manufacture because I can't control what a competitor prices their product at. But I can have an estimate in terms of how much it costs them to make. And I'm sur e you understand the difference between the two. They can cross -subsidise perhaps in an area where I have not received approval or not on an AVL, they may be able to eke out higher margins. In fact, that is the exact thing that has been happening, and that is why we're trying to get on to all the major A VLs across the world and have had very good success thus far.

We believe the historic numbers that we have, we believe that we are cheaper by at least 25% - 30% in terms of cost to manufacture. I'm generali sing here across turbo gearing. It could vary. It could be higher, it could potentially be lower as well. However, in the sale price to a customer, it's very difficult because we

have certain policies in terms of minimum margin levels, et c which we do not cross.

I can't talk to the margin profiles for our European competition. So it should give yo

u a broad idea. In terms of delivery, because you did speak about that as well, what I'm hearing today is that our European competition, which is doing reasonably well, so they have reasonably good factories, which we hope to benefit in terms of cannibali sing their market share, they are northwards of 12 months in terms of average deliveries for new units. And for Triveni, we can be ex-factory in a period of somewh ere between 6-8 months, depending on the complexity of the turbo gear. And then it takes a short while for shipping. But frankly speaking, in some cases, and we're having these discussions, we can even airlift certain gearboxes, if required and if the customer is giving us a sufficient margin for.

Vishal Prasad: Fair. And could you speak about opportunities that you see in steam a nd gas turbines? It seems some of our customers are fully booked in '32, '33, so 5 years, 6 years, 7 years down the line. And I believe we have a good play there.

Tarun Sawhney: I don't know anybody who's 4-5-6 years down the line, unless it's gas.

Vishal Prasad: That's right, gas turbines.

Tarun Sawhney: Yeah. So in the gas space, we're seeing a lot of traction. You'll have to understand that our journey as a gearbox manufacturer for gas centred applications in the Western Hemisphere is a relatively recent one. Now we've completed and supplied several unit s. And therefore, when I say that I see great traction coming, we have excellent relationships with the larger gas turbine manufacturers globally. And I'm hoping that a lot of that is alre ady on our inquiry book, and it will translate into regular ordering across sciences, across facilities across the world. The growth in the export business will be driven by compressors and gas.

Vishal Prasad: Do we cover everything between 2 megawatt to 600 megawatt in terms of gas turbines or we have a sweet spot in between 2 and 600?

Tarun Sawhney: No. Gas turbines larger than 50 -60 megawatts are directly coupled, they don't need a gearbox. For high -speed gearboxes, the largest application that I've se en is 90 megawatts.

Vishal Prasad: Okay. And last question is on LM2500 program, you had mentioned that packaging will be happening at Triveni. So could you help me understand what all activities are covered under our scope of work?

Tarun Sawhney: I think this is still yet to be drawn out in greater detail. As and when it is and as we find out, I'm happy to share it, but it depends because right now, there's been changes. The casing has been changed to composite which changes the nature of workflow, et c. So until all of the I ’s are dotted and the T ’s are crossed, I myself wouldn't know what our work share is. And I don't know that as yet.

Moderator: Thank you. The next question is from Shailesh Kanani from Centrum Broking. Please go ahead.

Shailesh Kanani: Good afternoon , everyone and thank you for the opportunity. I have a few questions on my side . So my question is with respect to PTB division . The inquiry book has been strong, but the conversion to orders have been kind of lagging. So just wanted to get some sense in terms of timeline when we see that to happen? And also, if you can just share guidance for FY 2027?

Tarun Sawhney: We don't really share guidance numbers, so I can't help you there, but the inquiry book has been strong and its conversion, you're absolutely right, in Q3, it was weak, the conversion was weak and I started off my opening comments by saying that it was weak.

However, month of January h as picked up quite substantially. When we look at this quarter , I mean, when I say this, I could I know what I see being co ncluded over the month of February or over the month of March, it looks very positive, much stronger than I had envisaged and hopeful ly covering up for the differences in Q3, which is not bad, but it was not nearly as much as what we h

ad thought in terms of conversion of inquiry to order booking.

A lot of that, frankly speaking, and you've not asked this, because of some weakness from our OEMs. And it's not because that end user segments don't require new products or repaired products, but it's because of decision -making ambivalence. And I very honestly believe this is due to geopolitical factors and geopolitical uncertainties in terms of their businesses driving this type of uncertainty.

Now when you look at new product and you look at aftermarket, you have to look at both separately because new product usually refers to greenfield, brownfield expansions. A lot of those decisions have to be well thought out, and gearbox is only a small portion of the capital decision for any plant, et c. And so we will be tied into that process, probably last of all, since it is the product that is made fastest and costs the least.

However, from an afte rmarket perspective, that really surprised me in terms of the decision for customers not to repair and to forgo repairs of critical nature. A high-speed gearbox is a mission -critical decision. It's not as if you keep spares of them lying about , just becaus e of the nature of the product. And therefore, if there is a breakdown, it has a catastrophic impact on the plant. It leads to a complete shutdown. And so I find it a little surprising to see what had happened in Q3, but I'm glad to see in terms of even th e bookings that we've had in the month of January for aftermarket, a big bounce back. So it was a momentary lapse, according to me, and I think we're back on track.

Shailesh Kanani: Just to extend this point, the reason I was asking is because the last year, fourth quarter has been very strong in terms of revenue booking. On the back of nine months FY 2025, that is last year, we had a very robust order booking and order backlog. And t his time around, obviously, there has been a dip, as you highlighted. So just wanted to get some sense of the fourth quarter revenue, would we kind of be able to post some growth over the fourth quarter last year ?

Tarun Sawhney: Fourth quarter last year, you're asking about , I don't have an answer to that question in front of me. You can contact us. I'm not sure what we can share or not because we don't give forward -looking estimates. But I do think that the Q4 booking is going to be robust. I can see it f rom January data itself that is looking very positive. And it will cover up for most of the shortfall of Q3 , so in addition to what we have had for Q4.

Shailesh Kanani : Okay. Fair enough. Thanks. My second question is with respect to prevailing maize prices, and you alluded to something in your opening remarks that they are the most profitable right now. So can you outline the unit economics across different production routes, that would be helpful ?

Tarun Sawhney : Yes, again, we don't really give you your contribution per litr e. But the maize contribution is definitely a very robust double -digit contribution, higher than C -heavy. However, I don't see next few cycles coming to support maize. In fact , if anything you've got problems with maize coming from different parts of the

country. Starting off with Karnataka and then a large number of other maize -growing states. Maize prices have continued to fall, and they continue to be softened. They've been stable, but they've been very soft right now. And as it when the next maize crop , as the next maize crop from Bihar comes about in the next two months, I think that Bihar prices are going to be massively different from where they left off last year, massiv e difference.

Unfortunately, I wish I could say that we would take great advantage with our small spare capacities, but I don't see that happening. I don't see maize being treated favo urably, but we will fill those capacities with rice, of course.

Shaile sh Kanani: Just to ext

en d this one. Last time, you had shared that maize prices were something in the range of ■22.30 per kg to ■22.50, depending whether they are coming from Bihar or UP.

Tarun Sawhney: The delivered prices were ■20. And the current prices are also about ■20 - ■20.5.

Shailesh Kanani : Okay. So QoQ , they are flattish that way.

Tarun Sawhney : Yes. I mean they certainly gone down since October. The numbers that you have, which were ■22, they've come down ■20, so that is lower. But by the time we spoke, which was in November, from November to today, they are flat. Yes. I want to finish that point . I still believe there is a softness. The difference between November is with the fag end of the supply coming from the southern states, from Rajasthan, from Madhya Pradesh, et c. And look, of course, UP finished earlier on in September, but the MP crop th at came in, that is pretty much finished.

Now the next crop that's going to come is Bihar. So the prices today are really of saved and stored maize v/s fresh crop. You understand what I mean? So when you see typically when the harvesting season is over, y ou'll see some increases because there's no pressure on harvesting. There's no pressure on fresh arrivals at the mandi . Today, you don't have that scenario, yet you have soft pricing. Now the moment the Bihar crop hits the market, I believe it will be at lower price points.

Shailesh Kanani : What would be the timeline when Bihar hits the market?

Tarun Sawhney : April.

Shailesh Kanani : April, okay. Can I squeeze in one more question?

Tarun Sawhney : Sure.

Shailesh Kanani : I was reading one of the articles where UP , it seems that there has been some increase in farmer dues. Obviously, from the larger and listed players the payments would have been in time. Would you like to update anything on that front, highlight any curren t position in terms of farmers dues for UP?

Tarun Sawhney : Absolutely. In the last list, we were right on top in terms of best performers as Triveni. And we were always well ahead in terms of our cane price payments. Having said that, I think there are ce rtain groups, and I don't talk about my peers in the industry that have been delaying payments, et c as their crop dwindles. You see, I think there is going to be again a demarcation between those who crushed well this year and those who don't crush well th is year in the state of Uttar Pradesh.

And w hen the results are known, you will be able to differentiate those , discover those results themselves. And I think that those millers they are seeing an early arrival of plant crop, an early arrival, which means an immature arrival of plant sugarcane. It's all based on their cane price payment to farmers and the relations hip management with farmers. So you're seeing that happen.

I don't have the exact numbers with me in terms of week -on-week change. But if you like, you can contact us offline. We'll share weekly data for you in terms of changes in cane price arrears and e xcess cane price payments, if that's of interest.

Moderator: Thank you. Next question is from Abhisar Jain from Monarch AIF. Please go ahead.

Abhisar Jain: My question is on the new multi -model defen ce facility. So you have indicated that we have started commissioning this facility. Can you just tell us how much is the CAPEX that has been spent till now for this facility?

Tarun Sawhney: I don't have the number for what has been capitalised in defence. We don't have that right now. You could contact us offline, and we will give you that number. But ballpark, what was approved by the Board. And I don't think we'll spend all of it. But what was approved by the Board for the defen ce facility was just north of ■100 crore .

Abhisar Jain: Okay. And in terms of now after the initial trial runs on some of the products that are to be made in that facility go through, how do we see the revenue trajectory? And what would be those products that we would be supplying first in say sometime in FY 2027?

Tarun Sawhney: No, so I don't give forward -looking estimates, so I'm not going to do that, you'll excuse me. But what I will tell you is what we are already qualified for. And the list is, of course, detailed and it's on our website. I would encourage you to go through our PT B and defen ce presentation on our website, which gives you a huge detail of the various partnerships that we have in various products that we are tendering for and have orders for. And they include, b ut are not limited to, and I'm talking about the breadth of relationships thus far. F in stabilizers, gearboxes, propulsion equipment, PSI, gas turbines, smaller gas turbines, deck machinery, we've recently signed an MOU for at -sea transfer from ship -to-ship systems, cargo bay handling systems, et c. So, there's a lot of work that is and the list goes on. There's repair work that happens on compressors or pumps, etc, different metallurgy, different materials. So it's a very extensive list. You're welcome to come and visit the facility and see things in greater detail. But for now, I would encourage you just to have a look at our website.

Abhisar Jain: Yes. Right, T arun-ji. I've seen the list of the products. I was just wondering that do we kind of start making most of these products in the first year? Or how does the kind of ramp -up of supply of these products go through .

Tarun Sawhney: That's a good question. Yes . I would say quite a lot of the products will be made in the first year. Then there are different sizes and scale. So for example, in shafting we have won several orders. We will do one set of sha fting, but the others will happen subsequently in other yea rs. As far as gearboxes are concerned, some will happen next year, some will happen the year after, most of them will happen the year after, et c. So there's a cascading effect, but we're not limiting ourselves to one in one particular year where we're goin g as per contracted supplies.

Abhisar Jain: Understood. And just last one on the same thing. So the defen ce facility , in how much time do we see we can ramp it up to its full potential? Is it like 3 years? Is it like 5 years, or what indications you can g ive at this point of time?

Tarun Sawhney: I think it depends on what orders we win from the Indian Navy or from other branches of Indian defence, where we are now going to be tendering and form a part of our inquiry base. And frankly speaking, the defen ce facility is a very large facility, it's not fully built . We have only built Bay 1 and this is one of four large facilities that can be erected on the same premises as per the master plan.

We're at the very start and inception. We're not limiting o urselves. We're going after everything that rotates, frankly speaking, as far as the Navy is concerned and our immediate focus is on how do we branch out and address the requirements of the other branches of the armed services.

Abhisar Jain: Sure, I look forward to coming to this plant and look at it. It looks very interesting and a very long -term good thing for us. Thank you so much for answering the questions.

Moderator: Thank you. The next question is from Nisha Garg from Samco Mutual Fund . Please go ahead.

Nisha Garg : Good evening. My first question is, there is a significant improvement in your sugar recovery to 10.5% till December 2025 as compared to last year 9.1%. Could you please advise us the key factors contributing to this?

Tarun Sawhney: Absolutely. I think in the 2 sugar years, and I think the trend is even better, frankly speaking. But in the 2 sugar years, we had very high quantum of unseasonal rainfall in the previous year, which impacted the recoveries. We also had disease and pests as much significant , a much higher portion

of diseases
and pests, especially the red rots that impacted 238 variety for Triveni in the sugar year 2024-2025.

In the sugar year 2025-2026, which is the year under review, the one that you talked about right now, actually, the disease has been under all limits, and our limits are very stringent, and so therefore, means that healthier cane, non - disease cane comes to the sugar factories. I think the quantum of rainfall that has fallen this year has also been pretty good with the exception of our factory at Deoband which had excessive rainfall.

However, the only negative factor this year there's b een some incidents of some new pests, white fl ies etc and so our performance could have been even better, frankly speaking. And the hope is that for the plant cane crop, a lot of this gets abated. Also, the recoveries are not apples -to-apples comparison because we had a couple of our sugar factories in the previous year that were operating with B-heavy molasses, which obviously takes out a little bit. So I'm not sure if you were looking at the gross figure or the net figure of recoveries. But this year, all the sugar factories are operating on C -heavy molasses, so yo u will have to normalise the two.

Nisha Garg: Okay. Got it. And my second point is, especially for UP, what is your current outlook on cane areas recovery and cane crush overall, this season v/s last year?

Tarun Sawhney: So as I mentioned in my opening r emarks, we're looking at the production of Uttar Pradesh broadly the same this year v/s last year. So approximately 9 million tonnes of sugar being produced last year at about the same amount , sorry, well, broadly speaking, I mean, a few percentage points here or there are out. Broadly, the same.

Nisha Garg: And cane area would also be approximately .

Tarun Sawhney: Cane area was a little bit higher this year than last year but yields in certa in parts of the state have been lower. And we're seeing that, especially in central and the eastern parts of Uttar Pradesh and some parts of Western Uttar Pradesh as well. You're seeing that for a variety of agroclimatic reasons, the yields have not kept u p, whereas the cane is very healthy.

You can see that in terms of the recovery. It is by and large disease free. That is a result of not having excess rainfall, et c and also a lot to do with the management and cane development that happens across the fact ories. However, due to some climatic reasons, we've not seen the yields keep on par. And I think that is a major focus area.

As we move past the eradication of 238 variety for next year, the great plan has to be how we better manage the yields and agronom ic activity at the farm level including at Triveni to ensure that we actually get the most amount of cane. We have been fortuitous in terms of getting excellent allocations of cane area from the G overnment of Uttar Pradesh in terms of the reservation polic ies. And I think that should have a positive result for our overall performance this year v/s last year. However, at this particular point in time, we're halfway through the season, and there is half of the season that's still remains.

Moderator: Thank you. Next question is from Rajesh Majumdar from 361 Capital . Please go ahead.

Rajesh Majumdar: Good evening. Thanks for the opportunity. My first question was on the sugar prices outlook. Of course, you mentioned the fact that MSP can sti ll come, which I'm not doubting. But suppose this year, we end up with 6 million tonnes inventory and in all likelihood, next year, there is a 60% possibility of El Nino, which means the next year crop will also be lower. In which case, will the inventory position come to such a point that the prices can go up even much stronger from the current levels? And a related question is that like you've seen many years ago governments step in to put a cap on the sugar price. Yes, yo

ur
thoughts on that ?

Tarun Sawhney: The government has n't placed a cap on sugar price per se.

Rajesh Majumdar: No. Not yet. But if it goes, let's say, ■45 - ■46.

Tarun Sawhney: I'll answer your complete question. I think we're dealing in the realm of possibilities and percentages and to extend the same example, let me also tell you about the history. In the last 15 years, to the best of my knowledge, there have been 4 years that have been considered El Nino years, not one has happened, not one. And in the last 15 years, only one year has been below the long-term average of rainfall across the country, only one. Now statistically speaking, for as long as monsoon or rainfall data ex ists in India, that has never happened. That has never ever happened. So you could extend that example as well. But every year, you extend it, we have a great monsoon.

I won't go into the hypothetical. But the fact that the matter is that you do have some amount of buffer in terms of the sugar that is diverted towards the ethanol blending program. And you have a huge quantums of grain that is available at reasonable prices across the country. So it's not that the ethanol blending program is going to suffer . And we at, Triveni, that is why we have got large portions, majority of our distilleries, et c are multi -feed distilleries only for that eventuality that if you have lower cane availability in the country.

For any reason, as there is a push towards makin g the sugar for domestic consumption, then you have to keep your distilleries gainfully occupied. And you do that because you've got dual feed capabilities. Now, to your question about sugar prices. Sugar prices will obviously go up where we are not immune to the forces of demand and supply. And if you see a substantial difference in terms of projected closing stock. And now I'm talking about September 2027, which is the year that you're talking about. You can see prices go up quite substantially. If you lo ok at sugar inflation and track it for 10 years, we are well below agri price or rather food inflation, well below.

We are tracking at 50 %-60% below food inflation for the same period of time. So I would say it is about time that our prices go up. Is ■45 significant? No, of course, not. It's nothing. I think ■45 even today, the government will be happy with. It's if the price goes to ■60 that you have something to worry about. Not at ■45.

Rajesh Majumdar: In the last 15 years, I think there's one instance where the government has imposed the cap, if I'm not mistaken.

Tarun Sawhney: Yes. There is one instance, yes. But even that was highly re strictive. It was for certain quantities, not for other quantities, et c., and if I remember correctly, it was at the very end of the levy sugar era.

Rajesh Majumdar: Right. That's helpful. And secondly, I had a question on Sir Shadi Lal , despite of a larg e increase in the crush and prices going up, we are still seeing the gross recoveries lower in SSEL. Why is this? And when can we expect this company to turn around realistically?

Tarun Sawhney: It's an excellent question. As I mentioned, we've had very good yields. We've got good areas. However, we've had a breakout in something called white fly, very specifically only in that part of the state, and we have factories close by where we don't see the incidence of this pest.

This has created some amou nt of nuisance factor in the ratoon supply. The hope is that when plant ca ne starts coming in full in Shaml i, we will be back. It infected the ratoon. That does not mean that it's going to affect the plant. And we will see the plant cane supplies coming I think 100% in Shamli in the next 10 days -or-so. And that is wh en you should see the expectations for the remainder of this year. That's one.

The second thing is that in the month of November for some strange reason, there was a little

bit of urea dosing t hat farmers in Western Uttar Pradesh did because of their perception of climatic factors. This turned out to be a little bit of a negative. And this is something that we will very strongly discourage. It does not happen at any of our other sugar factories. And we've had relationships for 50-60-70-100 years. Shamli being a new unit and the relationships speak new, our sway over the farming population needs to improve and increase so that they don't engage in practices where the 350,000 farmers that deal with us in other 7 factories don't engage in a cross the state. So we have to do that. And we've noticed that these are two possible and probable issues for the underperformance of Shamli. I do think that there is positive news ahead in terms of the remainder of the sugar season as far as Shamli recove ry is concerned. We've also had a couple of breakdowns, which led to intermittent factory operations at Shamli. It is an old factory , while despite doing a lot of repair and maintenance, there were 2 significant breakdowns that had an operational impact on the plant. Again, things that we have resolved, and we will complete ly resolve it during this off season.

Rajesh Majumdar: Just one added question here . Can we expect the sugar year 2025-2026 to be still loss -making for Sir Shadi Lal . And should we take next year as a turnaround? What would be a sort of that? That's all.

Tarun Sawhney: I think that is a very fair assumption.

Moderator: Thank you very much. We'll take that as the last question. I would now like to hand the conference over to the man agement team for closing comments.

Tarun Sawhney: Ladies and gentlemen, thank you very much for joining us today for the Q3 nine month s fiscal 2026 results earnings conference call for Triveni Engineering. I think the next time we speak in all probability, this will be two separate companies. And with that, I would like to thank everybody that has participated over the years of this call for your valuable feedback and constructiv e feedback and guidance to the management team of Triveni Engineering.

Thank you very much, ladies and gentlemen. We are deeply appreciative of your constructive commentary. Over the next few months, we anticipate very good news as far as the Power Transm ission business is concerned in terms of order booking, in terms of new wins in export markets, et c. We also book for a big rebound that we see domestically.

As far as sugar is concerned, I think all the bad news is pretty much out of the picture across t he Distillery and Sugar segment. And anything that happens for here will have a direct positive impact on pricing and therefore improve margins further. That is my hope for the next few months. How much of that converts to the reality we will see. And it i s very much in line, even with the last question asked by the last speaker about Sir Shadi Lal . Frankly speaking, if sugar prices rise by 5%, then yes, it will be a profitable year for every single factory, a very big difference and a big bounce back even for our subsidiary today. So all of those things are possibilities, and we hope that they all fructify.

Thank you again for your time. We look forward to speaking to you in about three and half months.

Call: Jun 2026

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Sub: Transcript of Analyst/ Investor Conference Call held on 041h June, 2026
Dear Sirs,
Pursuant to Regulation 46 of SEBI (LODR) Regulations, 2015, please find enclosed
transcript of the Analyst/ Investor Conference Call held on 04th June, 2026 post
announcement of audited financial results of the Company for the Q4 & FY26 ended on
March 31, 2026. The transcript is also available on the website of the Company at:
www.trivenigroup.com
You are requested to kindly take the same in your record.
Thanking you,
Yours faithfully,
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Triveni Engineering & Industries Limited
Q4 FY26 Earnings Conference Call Transcript
June 04, 2026

Moderator: Ladies and gentlemen, good day and welcome to the Triveni Engineering & Industries Limited Earnings Conference Call.

I will now hand the conference over to Mr. Gavin Desa from CDR India for opening remarks. Thank you, and over to you.

Gavin Desa : Thank you. Good day everyone , and a warm welcome to everyone participating in the Triveni Engineering & Industries Q 4 and FY26 earnings call. We have with us today, Mr. Tarun Sawhney, Vice Chairman and Managing Director; Mr. Suresh Taneja, Group CFO; Mr. Sameer Sinha, CEO Sugar Business; and Mr. Rajiv Rajpal, CEO of Power Transmission business as well as other members of the senior management team.

Before we begin, I would like to mention that some statements made in today's discussion may be forward -looking in nature and a statement to this effect has been included in the invite, which was shared with you earlier. I would also like to emphasi se that while this call is open to all invitees, it may not be broadcasted or reproduced in any manner. I would like now to hand over to Mr. Tarun Sawhney to make opening remarks. Over to you.

Tarun Sawhney: Thank you, Gavin. Good afternoon, ladies and gentlemen, and welcome to the Q4 FY26 earnings call for Triveni Engineering & Industries Limited. It's a great pleasure to be with you today. Unusually, for the first time, we're having this call a few days after the results due to certain business exigencies and travel commitments. We wanted all the senior management team to be present for this very important and in some ways, historic call. I'm delighted to inform you that the composite scheme of arrangement is effective from th e 19th of May, 2026 after the approval of the NCLT. The revenues from operations of the company net of excise stood at ■6,291 crore , and the PBT stood at ■378 crore . There was a strong turnaround in the operating performance of the Distillery segment.

In the Power Transmission Business, the highlight was an order booking of 25% higher than previously, a significant increase of enquiries as well during this period. However, the engineering business's Q4 was impacted by global and domestic uncertainty, especially in a wide variety of industrial sectors. And I will be talking more about that and the future through this call. The board has also recommended a final dividend of ■1.25 per equity share. Looking at the consolidated financial results, I'd like to mention that the ■6,291 crore of revenues was a growth of 10.6% versus the previous fiscal year. This expansion was propelled by stronger sales volumes in our sugar and distillery verticals, along with better sugar reali sations.

For the quarter under review, revenue stood at over ■1,500 crore , which was slightly down from the previous corresponding quarter, primarily due to a calibrated scale -down of some ethanol dispatches aligning with the OMC's delivery timelines and also because of some short delivery deferment in the Power Transmission Bu siness. The EBITDA margins for the business rose to 16.9%, to approximately ■624 crore , up from ■533 crore in the previous fiscal year. We have accounted for an exceptional charge of ■14 crore in FY26 , which reflects the estimated retroactive impact of the new labo ur codes on employee benefit provisions. The net profit as a result for the full -year reached ■268.7 crore , which was up by 12.8% versus the previous corresponding year.

Reflecting the sound balance sheet and commitments to investors, the board has recommended, as I mentioned, a final dividend of 125% or ■1.25 per share. The balance sheet remains strong. Our consolidated debt stood at ■2,148 crore on the 31st of March 2026, which was slightly higher than the ■1,969 crore on the 31st of March 2025. However o ur long -term debt on a consolidated basis, stood at ■472 crore at the end of March 2026, which was lower than the previous period where it was ■506 odd crore . I am very proud to announce that post the scheme having been approved, ICRA has reaffirmed our long -term credit rating as AA+ Stable, lifting it from its previous under watch status. I think that's a return to the highest rating of Triveni Engineering historically, and something that we at the business are quite proud of.

Turning quickly to the operating businesses. I will first talk about the sugar business. In this vertical, we delivered a stable baseline profitability despite the ambient agricultural challenges. The revenues grew by almost 13%, while the PBIT grew very marginally and ended up at about ■272 crore . The sugarcane crush for the 2025-26 season ended at 8.25 million tonnes, lower by 8.8%. This was due to agro -climatic factors on cane yields, as well as aggressive diversion of sugarcane to local jaggery production in select areas. The steepest decline in cane crushing was witnessed in Western Uttar Pradesh, 17%, where our significant capacities are. And t his was a little bit of a surprise, very honestly speaking, to the management team. A lot of that had to do with aggressive diversion towards the Gur an d Khandsari sectors, where they were paying aggressive amounts for harvesting sugarcane from local areas.

I am, and I will like to mention, very comforted with the fact that the central government is looking at a revision in the Sugarcane Control Order, which will also look at a revision in the Gur and Khandsari Act. And b ringing that under the central ambit, which will then rein in the same kind of conformity that is much desired to have a progressive ecosystem, and one that is truly fair to the Indian farmer and to the Indian sugarcane farmer. Our Khatauli unit, having sa id that, in West Uttar Pradesh, was th e only one in the state to cross 200 lakh quintals of crushing capacity during this season. We are, of course, very hopeful for all of these. I'll discuss that when I give you the output and outlook of the sugar business going forward.

Furthermore, our intensive cane development initiatives have yielded excellent outcomes, especially in the season under review as compared to the previous year. Our gross recovery rose by 26 basis points to 11.06%. Operating entirely on C -heavy molasses, o ur net sugar production was about 913,000 ton nes, almost at the same level as the previous year, despite a slightly lower level of crush. Outperforming the Uttar Pradesh state average, where there was a decline of 3.4% as an average in that state. Certainl y, a better performance by Triveni compared to the state average and most other groups in the State of Uttar Pradesh. Our domestic sal

es volume, up at 10.4% at 9.79 lakh ton nes,
had strong reali sations for the year under review at ■40,680 per metric ton ne.

The higher recoveries and cost optimi sation measures insulated our margins against the ■300 per metric ton ne increase in cane pricing in the state of Uttar Pradesh. So, I think was a very well -absorbed hit because the cane price increase, as I had mentioned on previous calls was higher than what we had anticipated certainly at Triveni and by the industry at large. We were able to compensate that through better efficienc ies in the system.

Furthermore, an upward revision of export power tariffs with effective 1st of April 2024 under the UPERC regulations brought an additional ■31 crore of income during the fiscal year. The inventory of sugar as on the 31st of March 2026 stood at a shade under 60 lakh quintals, and it was valued at ■38.1 per kilo, absorbing the impact of the increase of ■300 per metric ton ne.

Currently, ex -mill prices for refined sugar are approximately ■42.20 with sulphitation sugar being about ■1 per kilo to ■0.75 per kilo lower than these average prices.

Turning quickly to the distillery business. The segment has achieved an outstanding operational turnaround, posting its highest ever production and sales volume in FY26 . Annual revenue net of excise reached ■1,550 crore , driven by better availability of feedstocks, lower procurement prices for maize, and sharp cost optimi sation. And w hat I want to say is that actually it is the variance in grain prices that has been the biggest surprise, especially for the year under review.

And it gives a lot of credence to the huge amount of work that happened in the supply chain activities of the company in order to be able to procure the feedstock from various states at the best possible price, transport it efficiently, and store it efficiently f or this to be converted and reflect in terms of the profitability of this business. That has been a big success of the distillery segment and something that actually we've talked about in previous calls as well. While the average reali sation prices shifted slightly lower to ■61 per litr e due to the higher mix of FCI rice allocated ethanol, which carries a relatively lower pricing than maize, the volume growth more than compensated for this variance. Grain -based feedstock constituted 56% of our total ethanol sales in the year.

We have secured a solid allocation pipeline of 17.18 crore litr es under cycle one of the OMCs and the private tender program mes. And we expect further allocations of ethanol both from the OMCs and private tender in the subsequent cycle, which is anticipated very shortly now that the legal hurdles are getting sorted and are expected to get sorted very shortly. And I think it is this legal issue that's happened in the south of the country that has really played havoc with the ethanol blending program me at a t ime when the nation actually needs as much ethanol because there has been a willingness, frankly speaking by OMCs to even blend slightly more than 20%. There's been talk of at least in the metros, slightly higher blending percentages being attempted by the OMCs. I cannot certify as to where and when, et c. But t hese are certainly press reports that have gone out and it kind of makes sense at a point in time where the rupee has created a little bit of havoc, and the import bill is only rising in one direction.

Our branded IMIL business outperformed the broader industry growth metrics in Uttar Pradesh as well, solidifying its position amongst the top five players in this business within the state of Uttar Pradesh.

Turning very quickly to our engineering businesses, I'd like to focus first on the power transmission business. Our power transmission business has experienced a challenging quarter under review, and this was because of some order finali sation issues in the steam t

urbine and other turbine markets for

domestic pro jects as well as for some European and Middle Eastern projects, especially in the fourth quarter. And t his was the geopolitical inactivity in West Asia. And in fact, I think that would be the most significant contributor. Actually, it had some delays in terms of our customers and OEMs accepting completed or near -complete gearboxes and also had an impact on some finali sation. But honestly speaking, looking at where oil prices are, looking at where industrial activity is going, and the kind of ind ustrial growth that is happening around the world, because the addressable market is a global one. I am very happy that the enquiry book has been even more robust and in fact , our order booking, as I mentioned in my opening remarks has also seen robust increases. Therefore, the future, very honestly speaking, actually holds great promise for this business, especially the present fiscal year.

During the Q4, business secured a landmark order of an axial compressor test gearbox from a premier defen ce establishment, the first of a kind in Asia, and one of the very few orders for this type of gearbox that have been placed anywhere in the world. This is a breakthrough order for supply of a test rig, along with all the electricals and mechanical equipmen t, a very comprehensive scope. It actually gives a broader scope of just beyond just the gearbox and adds a newer dimension of adding more bells and w histles and of great value to the gearbox value proposition, not just for this stream, but also for other gearbox streams going forward. This test facility will support indigenous gas engine development and reduce the reliance on foreign test facilities.

And w e are hopeful that other such test facilities, not just in India, but also around the world, will be promising targets for this business. They're high -value orders, and they represent the pinnacle of high-speed gas turbine technology. Our success here actually is a validation of the technology that we have in -house. Key machinery items have been commissioned at our defen ce manufacturing facility, which has been completely launched during the fourth quarter, including our lathe machines, deep hole drilling m achines, floor boring machines, et c. The testing facility will be installed sequentially over the next couple of quarters as well.

We concluded this year with a very strong order book of just under ■500 crore , 25% higher than the previous year, providing distinct revenue visibility for the coming quarters. I would like to mention, we've talked about it, and I'm sure there may be a question coming up. I'm going to pre-empt it by saying that the CapEx that the board of Triveni Engineering has approved in three tranches totals exactly ■340 crore . For the gearbox business, this represents an output of about ■700 crore based on the product mix. It could be higher also, very honestly speaking and does not reflect the output of the defen ce facility. I want to mention that. Of course, all of this CapEx is anticipated to be complete by, as we have previously mentioned, September 2026. ■231 crore has been incurred up to the 31st of March, 2026. Of the ■231 crore , ■78 crore has been for the defen ce facility. As you can quickly do the backward calculation, about ■109 crore will be incurred in this quarter and the next quarter, completing the ■340 crore .

A lot of that is already planned, executed, underway, things being delivered at various stages of final execution, frankly speaking. So w e are exactly in plan with what we had targeted, pretty much with a small slip up in the defen ce facility, but the rest of the targets are pretty much as planned and having no material impact on the operations of the company, which actually has been very very important.

Of course, as power transmission migrates into Triveni Power Transmission Limited, the co

mpany is armed with sufficient cash flows and a balance sheet to be able to incur all of this CapEx and OpEx and more.

Turning quickly to the water business. The consolidated revenues of our water business increased by 15% to ■270 odd crore , driven by an acceleration in execution of our EPC portfolio. The prior year's PBIT also included a one -time favourable arbitration award, making the normal ised underlying operational profitability for FY26 quite encouraging.

Key operational highlights include the successful completion and formal handover of the Exim Bank -funded Maldives Water and Sanitation infrastructure project across six islands. Our closing order book for this business stood agai n around about the same level at just over ■1,500 crore , out of which longer duration O&M maintenance contracts comprised just over about ■1,077 crore .

I want to spend just a few minutes talking about the strategic outlook for all these businesses. In sugar, the overall domestic production for this season is anticipated to be 27.8 million metric ton nes with Maharashtra and Karnataka registering a substantial increase of 23% and 16% respectively, over the previous season, with Uttar Pradesh witnessing a decline of approximately 3.4%. Of course, West U .P. has seen the greatest decline.

However, on average, our performance in West U.P. is significantly better than all of our neighbo uring factories and groups. With an opening stock of 5 million metric ton nes, production estimated at 27.8 metric ton nes, our consumption estimates for this year at Triveni stand at about 27.5 million metric ton nes. Exports will be about just a shade above 0.5 million metric ton nes. And therefore, the closing stock for sugar season 2026 is anticipated to be lower than the opening stock at about 4.6 to 4.8 odd metric ton nes, by and large. Hopefully, with the quotas from the DGFT being what we anticipate as well. Now, this actually bodes very well for the remainder of the sugar year and beyond as far as robust sugar pricing is concerned. And y ou will note that with an average sugar pricing of refined at ■42.20 and sulphitation at about ■41.50 today, it has broadly been the same in this quarte r, it is a stark increase to the overall average refine that we had at Triveni of ■41.32 for all of our sugars for the previous fiscal year. So q uite a substantial difference in terms of average sugar pricing, and I think that bodes very well and is reflective in one part of the balance sheet of the country. And a lso the second part, very honestly speaking, is about the anticipated emergence of this El Ni no, some say Super El Ni no, and the concerns that has on the impact of the monsoon for 2026. A lot of th at is unknown. Frankly speaking, if you were in Delhi today, the thunderstorms are of a very vigorous monsoon. But the anticipation, of course, is that as the monsoon progresses, it will have an impact of El Ni no, potentially a Super El Ni no is occurring. And b oth Skymet and the India Meteorological Department concur with the findings of major meteorological bodies around the world in their impact of the El Ni no and especially of the impact of the Indian monsoon.

Now w hat does that mean for India and for the Indian sugar industry? Very honestly speaking, it means that there could be an impact, especially where there are areas of water stress. Water stress is primarily in the central and southern part of the country and towards the eastern part of the country , Eastern Uttar Pradesh, et c. These places can feel the stress because they do rely more heavily on monsoons , and on monsoon, of course, filling not just groundwater, but also the dams.

In Western Uttar Pradesh, I have always maintained that we are relatively insulated because we get a lot of Himalayan melted water, et c. In fact, the problem for the last few years has been of excess water, not of less water

. As
you will remember from earnings calls for the last few years, it has been because of flooding, because excess water has actually been let off by Nepal, et c. And then w e've not been able to control it by our dams, and the dams have been

opened, which led to flooding. Flooding that has impacted the crop for and has had standing water for three, four, five weeks.

Now t hat, frankly speaking in a scenario where El Ni no actually doesn't happen.

There is a significant possibility of early maturity of the sugarcane crop. I think that is what we're sensing. We've had excellent planting. The planting, of course, is over. We've had excellent planting across our sugar factories. And t he anticipation is for western central Uttar Pradesh that there could be an earlier maturing if there is less rainfall of the sugarcane crop. And t hat ties in very well because you have an early Diwali, which frankly speaking, always is a signal for the start of th e sugar season, which is, I would say, still anticipated towards the second half of October of 2026. Very much in line with previous years of an early Diwali.

Turning towards the ethanol business. The government bodies, alongside NITI Aayog, are actively formulating policies for applications in "Beyond E20." There has been ample coverage in newspapers and ample discussion in government circles on applications of higher than 20%. I alluded to a little bit higher being tried in cities. Certainly, that is a distinct possibility, both in informal and formal basis. Provided this issue of the court case that has prevented the tenders from South India, prevented the tenders of India for the nation to continue. If that issue gets sorted out, I think we can handsomely see higher blends being attempted. It does help in terms of saving crucial Forex. Also, when the rupee now is almost touching $100.

In addition, draft notification amendments for the CMVR, the Central Motor Vehicle Rules of 1989, propose a higher inclusion of ethanol blends under the emission norms and providing a regulatory basis for formal introduction of FFVs and isobutanol -blended diesel -capable vehicles in India. You will be happy to know that one of the leading car manufacturers this year has had a very important launch of their flex fuel vehicles. And I'm delighted to inform you that we are one of the first five purchasers of sai d vehicle, and we hope to get officers of Triveni to be able to drive it around with suitable advertising across the streets of New Delhi. So w e're, of course, very supportive of this entire program me. The ATF norms, airline turbine fuel norms, have been redefined to include synthetic hydrocarbons enabling sustainable aviation fuel integration, which includes the ethanol -to-jet pathway. So it is laying the grounds, of course, for investment into that very important industry. Again, these are roots taking pl ace, ladies and gentlemen, and I think it actually gives an insight to what can be anticipated over the next few years from this particular industry.

We look forward to well -coordinated policy action, effectively utili sing the existing capabilities of the country. We expect the government to follow a rational policy regarding the pricing of ethanol from sugarcane -based feedstocks to match cane price, and also of grain -based feedstocks to match the pricing of grain in the country. And t he hope is that as we approach October and the next tender, there is a good deal of review that happens in a sector which actually has not benefited from any pricing increa se of note over the last two years.

Within the Power Transmission Business, our strategic push to clearly move towards, of course, the independent listing of TPTL. Our capital expenditure program mes are progressing very smoothly and I've already covered that in my opening remarks. The export market continues to be the major growth driver of the business. The establishment of our Swiss subsidiary has provided huge engine of growth, as we're seeing in terms of our order book as well as our enquiry book.

The qualification orders for pumps and compressors supplied to major customers will increase the Power Transmission business es presence in the oil

and gas sector, a lot of which is under commissioning now, already having been dispatched from the business. So w e're very hopeful for that also to be adding another significant push to the business.

Compressor test rig is emerging as a promising growth segment for suppliers in Europe especially, and in the Middle East and as you are aware, there's a very important pipeline being built urgently in the Middle East, and there's quite a lot of refurbishment of pipelines that are happening. We hope to be a beneficiary of this CapEx over the next couple of years.

Finally, in the Water segment, the market remains buoyant. Stricter environmental clients, including the liquid discharge management rules and the expanding corporate ZLD norms, are driving commercial demand for water recycle and reuse infrastructure, an area where our technological excellence is highly competitive. So I'm hopeful that we will be receiving more orders in the very near future in this business.

Before I open up the floor for questions, I'd like to just offer a comment on the demerger. As I mentioned at the very outset of this call, the approval of NCLT has been granted on the 19th of May and has been informed to the stock exchanges and the ROC. T he appointed date for the scheme is the 1st of April 2025, and the appointed date for the demerger is the 1st of April 2026.

In respect to the record date, we have two record dates. The issuance of shares for Sir Shadilal, a group company of Triveni is the 3rd of June. That is the record date for the issuance of shares to Sir Shadi Lal shareholders. For the issuance of shares for Triveni Engineering shareholders, I anticipate that over the next four weeks, we will be able to set the record date. This is subject to the approvals of the stock exchange for the dispersal of shares to the shareholders. In a nutshell, one is anticipati ng that by the end of August, we will have a listing of Triveni Power Transmission s Limited.

I do want to assure all those on this call and other investors of Triveni Engineering that the end of August 2026 will probably be after our Q1 board meetings for TEIL as well as TPTL, and we fully intend on publishing our results in the papers and on our web pages and holding earnings conference calls for both companies so that our shareholders are fully knowledgeable about the progress that the businesses have made in Q1 of FY27.

With that, ladies and gentlemen, I'd like to open up the floor for questions.

Moderator: Thank you. Ladies and gentlemen, we will now begin the question -and-answer session. Anyone who wishes to ask a question may press * and 1 on their touch - tone telephone. If you wish to remove yourself from the question queue, you may press * and 2. Participants are requested to use their handsets while asking a question. Ladies and gentlemen, we will wait for a moment while the question queue assembles. Participants who wish to ask a question, please press * and 1.

We take the first question from the line of Ashish Ajit Golechha from B ee Ventures LLP. Please go ahead.

Ashish Ajit Golechha: Hi, sir. Good afternoon. There were two questions. First, I'll ask the first question, and then I'll come on the second question. You had basically planned a CapEx for a multi -modal facility. With respect to the defen ce, you were planning something on the propulsion part. If you could throw some light on that. And a lso wanted to understand the next 3-4 years plan with respect to PTB. Because I understand that you are in talks with Aramco, Rolls -Royce, and also you are targeting basical ly

a good addressable market with respect to exports. If you

could throw light on this, it would be very helpful. This is my first question. Second, I will come when first is completed. Thank you.

Tarun Sawhney: Okay. The first question is actually two questions, but happy to answer that. With respect to the CapEx for the defence facility, as I mentioned in my opening remarks, of the ■231 crore that has been already incurred by the 31st of March this year, ■78 crore has been for the defence facility. Of the balance, ■109 crore , a small portion of that is also for the defence facility. But this multi -modal facility is now fully operable in Mysore at a short distance from our earlier facility. It will cater to not just propulsion shafting, but also a wide variety of other projects that the company has won. I'm combining the second part of your question with this in terms of the future market, both as far as defence is concerned, as well as gearboxes.

Tarun Sawhney: As far as defence , yes, we have had significant and good success with the Indian

Navy as far as mechanical products are concerned. For that, technology partnerships with some of the largest and best -known firms has been essential, and it will continue to happen in the futu re in order to be able to expand our value proposition to enable customers. However, the defence business is looking at other parts of Indian defence and providing mechanical solutions to them as we speak as well. We have no t had success with the Army or Navy. However, we anticipate that this year could be a breakthrough year for those two branches as well. Our hands are still full with the Indian Navy that actually has significant CapEx plans, not just this year, but also for the years going forward in terms of revamping and new builds of vessels as per the DPP, which has already been published and is availa ble for you to download.

With respect to the gears business, there are a variety of relationships that continue, primarily in terms of technology and development, et c. But I'm afraid we do not give forward -looking and advanced estimates. The fact is that the gearbox business now is a global one. We compete with all the global companies, both domestically as well as in their home countries. And w e are now looking at that as the entire addressable market. Caveat to that is areas where, or rather third parties where we do not have AVL , approved vendor listings. Those are things that are being worked on very , very actively. One such company you've taken the name of in your question, and we are very aggressively working on getting those AVLs done so that we have absolutely no restrictions in the overall high speed gearbox market.

But y et again, let me say that we don't give forward -looking estimates, et c. So I'm afraid I'm constrained to give you any future -looking numbers. What is your second question?

Ashish Ajit Golechha: Second question is with respect to the Atmanirbhar Bharat and Make in India program mes, they are creating significant opportunities for indigeni sation of imported gearbox installations in PSU units, and this trend is further expected to increase. Wanted to understand how is the company focused for this aftermarket business as well as this defence business? Because the government itself is batting full like Sachin Tendulkar in this segment. How is the company targeting this vertical? If you could throw some light. Thank you.

Tarun Sawhney: Right. In terms of indigeni sation of technologies, actually, Triveni doesn't need to indigeni se any further technologies. As far as high-speed gearboxes are concerned, we have the entire gamut of technology. So n either do we need to partner with anybody, nor do we need to develop areas that we don't have technologies in. Yes, we continue to improve, and there's research and development to continue to improve. As far as Make i

n India or Buy in India is
concerned, w e've had the support of all parts of the Indian government, and we

have a huge market share. So, I don't see that as being any different in years past.

With respect to specific defence applications like marine gearboxes, in that area, yes, we are seeing a lot of support by the Indian Navy, and we have been successful in gaining some orders. And t here are many important tenders that are pending. However, f or marine gearboxes, we do intend on having some collaborations for that specific thing. But t hat is not a high-speed gearbox, technically. It's sort of in between, to be very honest. And i t's a heavily speciali sed gearbox. We have a wide variety of relati onships in that, and we are very hopeful of gaining the same kind of market share that we have in the high-speed space across the country.

With respect to aftermarket, we have a significant aftermarket team in -house that is able to reach a customer within 24 hours and I think a lot of our proposition for the aftermarket is very compelling, not just for India. A nd a s we roll it out internationally, it will be even more compelling. Now t his actually is catered towards other people's gearboxes, not Triveni -made gearboxes. And i t's about not just replacing or repairing, but also about providing upgrades and downgrades technologically and providing unique technological solutions to other people's and other make rs of gearboxes, of which we have pretty much repaired and refurbished almost every single make in our 50 -year history. I hope that answers your question.

Ashish Ajit Golechha: Thank you so much. Can we expect TPTL listing in next one year, please?

Tarun Sawhney: I think I've just answered that question already earlier in the call.

Moderator: Thank you. We take the next question from the line of Siddharth Shah from SRS Capital. Please go ahead.

Siddharth Shah: Thanks for taking my question. In the high-speed gearboxes, you mentioned the Pumps and Compressor segment. Are we also working on the Gas segment? I think in the last quarter you mentioned you're seeing a lot of traction there. Can that be a big growth leg for us going forward as well, especially in th e export market?

Tarun Sawhney: 100%. You're absolutely right. We are working on qualification orders. Because you see, the gas infrastructure domestically is very very little, and it's only for a few models of gas turbines, of which we have been supplying those gearboxes. But the real growth in the gas market actually is in the medium and small scale. As gas turbines and engines get paired to data centr es, especially in the United States and other parts of the world where there's been a boom in that sector.

For us to partner with said OEMs that are supplying into that is a huge area of growth, and I anticipate successes in terms of being on the AVL of said companies in the next few quarters. We are in active discussions with all. There's a lot of marketing th at has been happening. All the companies are familiar with Triveni, but for specific orders, we may need to have additional conversations. But it is something that the entire team and I are cognizant of as an opportunity and hope to develop quite significa ntly, especially this year and going forward.

Siddharth Shah: Understood. And f rom a technology perspective, I know you just mentioned actually that we have the full gamut and range of technology required. That is not something we have to work on to get on these approved vendor lists for that end market.

Tarun Sawhney: That is correct.

Siddharth Shah: Okay. Just my second question was, I think RENK, which seems to be a global competitor, had opened a local unit last year, so it may have ramped up fully. And then g iven very high market share in this segment, are we seeing more competitive intensity from them?

Tarun Saw

hney: Yes. We are seeing RENK pop -up more in terms of tenders. I don't think it really has changed our competitive positioning. I think the value proposition that we bring is still very compelling. I can't comment on specific company because then I don't want to comment on RENK's operation s. What I can comment is on our history. This has happened in the past as well. 15 years ago, a very significant global firm had a test bench and packaging facility in India, and eventually they decided that it wa s not competitive, and they would focus on their home market, also in Europe. Another very significant name.

As far as RENK is concerned, whether it is only for high-speed, because RENK actually has a huge portfolio of low speed as well as defence gearboxes and activities. I don't know what exactly is happening at that said facility. Competition for high-speed gearboxes, yes, we're seeing their name more. Are they winning more? No, I don't think so.

Siddharth Shah : Got it. Thanks for that background. That helps.

Moderator: Thank you. Participants who wish to ask a question, please press * and 1. We take the next question from the line of Somnath Saha from 360 O NE Capital. Please go ahead.

Somnath Saha: A few bookkeeping questions . If you can help with the crushing numbers for the fiscal year along with net sugar recovery for FY26 ?

Suresh Taneja : During the just concluded season for 2025-26, we crushed 825 lakh quintals with a gross recovery of 11.06%.

Somnath Saha: Okay, secondly if you can help with the order inflow for the water business during the financial year ?

Suresh Taneja : Total orders received for water business during this year is ■165 crore .

Somnath Saha: ■165 crore ?

Suresh Taneja : That's right.

Somnath Saha: Thank you . Okay. As you've already mentioned, the CapEx for the gear business of ■340 crore . Can you quickly just recap how much is for the defen ce part?

Tarun Sawhney: Yes. Of the ■231 crore that has already been incurred by 31st of March, ■78 crore of that has been for the defen ce business. Of the ■109 crore that is balanced, which will be incurred in Q1 FY27 and Q2 FY27, a smaller portion is still pending. I would anticipate about 40% of what is pending will be for the defen ce business.

Somnath Saha: Okay. Thank you . Lastly, if you can give us a sense how much the maize landed cost come currently for your distillery part and how the margins are going on?

Sameer Sinha: The maize cost over here right now is much lower than last year, and we are anticipating that it would be lower to the extent of about ■0.75 to ■0.80. However, we have to be careful in terms of the rupee depreciation because the exports to that extent increases. But o therwise, we are seeing a much lower pricing versus last year.

Moderator: Thank you. We take the next question from the line of Lakshminarayanan K .G. from Tunga Investments . Please go ahead.

Lakshminarayanan KG: Thank you. My questions are pertaining to the Power Transmission Business. If I just look at the business that is a part of.

Moderator: Lakshmi, I do apologi se to interrupt you. But your audio is not coming in clear. Could you please use your handset and proceed with your question?

Lakshminarayanan K .G.: I just want to understand the PT B business, and there is something that would come from CapEx related projects, and some of them would come from just refurbishment. For example, let's say in a cement factory, you have a captive power plant, and they want to change the gearbox after a coup le of years, you would have a play there. I want to understand, if you just look at the overall business mix, how much would come from the CapEx part and how much would come from these OpEx related th ings, and whether that has actually changed in the last one year? That is the first question related to domestic PT B business.

Seco

ndly, I understand that as we expand in international markets, one of the key reasons to succeed is to have distribution partners or tie -ups with certain firms who would actually in turn work with the end clients . It could be EPC contractors or whoever it is. So, in the second front, I just want to understand how our progress has been in the last one year, because I understand that we have been accelerating our partnerships in European markets in particular.

Tarun Sawhney : Okay. I'm going to answer the question in terms of the way that we actually disclose data. It is slightly different with the way that you've asked the question. But I do appreciate how you've asked it. It is the way that one should actually look at sales, frankly speaking. We don't typically give out data to segment between original equipment sales as well as replacement sales of original equipment. Okay? Because, I'l l tell you why. The customer of ours is typically the same. For a new projec t, if we are selling to either a Siemens or a Mitsubishi or a Triveni Turbine s, or to Atlas Copco or a BHEL, and the list can go on. Typically, it is our OEMs that are securing the overall order with the end customer for a new gearbox.

For aftermarket, the end third -party users, like a said cement company, contacts us and asks us for replacement. It could be of something that we had installed 20-30 years ago, even earlier. It could also be of a replacement of somebody else's make. The vast majority are other people's makes. If I look at FY26 , actually the percentages, typically about in previous years, historically, it has just been above 30 -odd% that has been the aftermarket share.

However in FY26 , the aftermarket share was about 40% of overall gears. So that is part of the reason why even with slightly lower revenues, our profitability margins, et c are very good and remain unabated despite a slightly lower revenue and higher overheads, obviously as time has elapsed. That's one.

Looking at this particular market globally, it remains exactly the same. You mentioned resellers and retailers. So u nlike low -speed gearboxes, which are catalog unit products are sold on an axis, frankly speaking, and can be stocked etc. Ours are heavily engineered gearboxes, which are customi sed to a particular requirement and a set of conditions, and therefore it has to be engineered and then supplied uniquely. So w e can't operate within the same type of retail type system that other companies within the industrial landscape comply. How ever how we operate this, and it's a very good question, I'm happy to answer it, is through a different type of structure. The first thing, of course is that our OEMs are the same, broadly speaking. So if we are selling to the said

OEMs, be it Triveni Turbine s, Siemens, Atlas Copco, Mitsubishi, Sulzer, I'm giving you a smattering of names. The list is very , very extensive.

It is the same OEMs that will buy in Germany, in France, in the U.K., in the United States, in Korea, in Japan. Wherever their offices are, wherever their plants are, they will be buying. So it is about marketing to the supply chain teams in said geographies. That is something that we do aggressively, and we do that internally. We don't outsource that. That is a critical part of our value proposition and something that actually creates a lot of s tickiness. Why does it create stickiness? Because we are able to give responses to enquiries in the shortest possible time. And a huge part of our IT development continuously is about reducing the time it takes to give very complex quotations so that an OEM of ours has that comfort that they can get it so much faster than anybody else that this is the firm to partner with going forw ard. That has been part of our USP.

Now g etting on to third -party AVLs is very important, especially when we look at the oil and gas segment. People who buy on A

merican Petroleum Institute
compliance norms. That, of course, is an ongoing process. We have had a huge amount of success. In the last 3 years, it has been massive, much more than I personally anticipated. However w e are not fully there. There are still some critical companies around the world. We don't disclose names, but I would just assure you that we are working on, and we expect even more success this year. Hopefully the next couple of years, we should be covered with pretty much everybody of note around the world or anybody of importance around the world.

Having said that, our aftermarket business globally is one where we can work with partners. And w e have accelerated agencies, so having agents in local countries that can go out and do. These are small mechanical companies that have engineers, et c that can go out, do dimensions, have relationships with third-party users, and secure aftermarket business for us because a ftermarket business needs proximity. It needs somebody to be at the site, take dimensions and convince end users that Triveni is the solution provider for any problem, especially when it's a gearbox of somebody else's make.

That is a program me that is ongoing. That is a program me that needs a lot of strategic attention by the business and by the marketing teams. Yes, we've had successes, but there is a long way to go as far as that is concerned.

Domestically, our aftermarket business is handled by a very professional and strong te am in Mysore, which has decades of relationships with OEMs. So w e don't need anybody else to be able to do that. In fact, we're the first port of call for not just our gearboxes, but everybody's gearb oxes pretty much across the country. I hope that answers your question.

Lakshminarayanan K .G.: Yeah, that's helpful. Just one more question. If I just do a cursory glance across some of the results by steel companies, cement companies, and paper companies, et c, I get a mixed view that some of the cement companies are reducing their CapEx, even the large ones, and some of the steel companies want to sharpen their CapEx, and they want to actually debottleneck and things like that. How much of that is actually, whic h from your vantage point you are seeing, that potentially would g ive some kind of a pathway into one or two years ahead?

Tarun Sawhney: So you asked a very important question, very honestly speaking, and I can't offer you any core numbers. But I can offer you a sentimental picture, very honestly. In Q3 and Q4, we did see domestic Indian industry relooking at the way that they were incurring CapEx. That had an impact. That had an impact in terms of our OEMs, et c. However a lot of that has changed in Q1. In Q1, we've seen a huge amount of domestic enquiries coming from the 2 sectors that you mentioned, plus a whole load more .

It is the same trend that actually happens globally, except globally, it's a much larger market with the same industries and many many more players that actually are there. I think the rupee depreciation will make exports this year, and this quarter, next quarter, et c going forward, very very competitive and compelling. So as you see a realignment, basically Rupees and Dollars and Euros being spent more carefully with more care in terms of efficiency, et c, I think that TPTL will actually be a great benefici ary for that, simply because of our price point, simply because of our efficiencies, and because of our time to produce and deliver.

Moderator: Thank you. Participants who wish to ask a question, please press * and 1. We take the next question from the line of Tanuj Na ngalia from SKP Securities. Please go ahead.

Tanuj Na ngalia : Thanks for the opportunity. Can I get to know what is the EBITDA margin impact after the demerger? Do we see any positive side or negative side in the PTB business?

Suresh Taneja : As regards to the PTB busines

s, it has got its own dynamics, as a matter of fact. So far, we have been maintaining about 35% PBIT. I think the same trend is expected to continue in future also.

Tanuj Na ngalia : Okay. My second question will be, can you give me a breakup of how much was the ethanol production through maize, if that is not a mistake?

Sameer Sinha : So w e can talk about the product mix of this year, wherein the total maize over here was about 33%, versus it come down a little bit from 44%, but that was largely because the ESY tender said that 40% of all grain allocation has to come from FCI rice.

Tanuj Na ngalia : Okay. And w hat was the breakup of the entire grain portion of the total production?

Sameer Sinha : In the total product mix, it was about 56% was the grain feedstock.

Tanuj Na ngalia : Okay. Can you give us an expectation about crushing numbers? Will this season be better than the previous season or something in that line?

Tarun Sawhney : If one had a magic ball, we would certainly be able to tell you. If you refer to my opening remarks, in early June, the only thing that we can talk about is planting. Let me just go over the process, because I think it's important that you understand the entire process and what one can expect over weeks and calendar months.

The planting in Uttar Pradesh classically starts off in the month of March and finishes just after wheat harvesting and can conclude by the end of May. However, this year it was concluded by the first half of May. By the 10th of May, pretty much all of it was concluded in the state of Uttar Pradesh. And t his was pretty good because one was expecting a very hot summer, and planting is not ideal at very very hot temperatures because the germination gets infected. The next process after that is, because intern ally we have got enough checks and controls to figure out how much planting has happened.

But y ou have an official survey that is done for the Uttar Pradesh state government. The process starts in June and finishes in July. That is the next process that is underway. We can happily report that there is an increase in area under cane, which will be certified during the upcoming survey process. However, even until early July, the mons oon hits around about that time as far

as Uttar Pradesh is concerned. And t hat is the most important hurdle in terms of the grand growth period. The veracity, strength, duration, spread, and quantum of rainfall that happens.

All of these little factors are important contributors. How much rain, how well it's spread out, and where it is, and how dispersed it is. These are important parameters that we will not know the result of that until we come to August. From August onwards, you have the second stage of grand growth period, which then continues and then of course, we have more detailed internal surveys that continue and we have a better projection of the crop.

Today, with the technologies that Triveni has invested in, including overhead drone and satellite coverage, and a much better ability, in fact, with the work that we've done in the last six months should substantially improve our predictive capabilities fo r the upcoming season. Because of exposure to newer technologies and newer AI and ML models, I think that will give us a much better picture as we approach the start of the season to have more effective control and analysis of how much cane is there.

But a t this point in time, it is very difficult to tell, because what we know is that the planting has happened, it's been better, and disease thus far compared to last year has been much much better than before , pest, not disease . Pest has been much , much better than before. So it looks good, but there is so much more to come.

Tanuj Nangalia: Okay. Got it. Thank you so much for that detailed explanation. Just last question. Compared to last year, your distillery busines

s has performed very well. So I wanted to know whether the conversion costs has decreased in the business or not compared to FY25 ?

Sameer Sinha : Yeah. So compared to that, the conversion cost, definitely after accounting for by-product credit, et c., has significantly come down. And t his coupled with the decrease in the raw material cost has led to the significant turnaround in the performance of the business.

Tanuj Nagalia: Okay. Can you give me a number, like how much the conversion cost has decreased in the percentage terms ?

Tarun Sawhney: We try not to give that.

Tanuj Nagalia: Okay. Got it. Thank you so much.

Moderator: Thank you. We take the next question from the line of Rajesh Majumdar from 360 ONE Capital. Please go ahead.

Rajesh Majumdar: Yeah. Good evening, everyone. So I had a few questions. The first one is on the working capital. The short -term debt is very very high compared to inventory position. So I would assume that a large part of it is also due to the Water business. Is it possible to quantify the kind of receivables, et c., we have in the Water business?

Suresh Taneja: I think the total receivables are about ■500 crore . If you look at water business, that will be approximately about ■125 crore to ■150 crore that is because of the nature of their business. Mostly they do EPC business, so therefore, the receivables are normally higher in this kind of an industry. Now a s far as the cash credit is concerned, you must reali se that there has been an increase in the cane price also. As a result of increase in cane price, you require a higher working capital. So that's why the short -term borrowings is little higher. Now t his is something which you would find from the month April onwards, it would very

rapidly start decreasing, so that by September or October or so, it would almost be at zero level.

Rajesh Majumdar: Okay. That's useful. Secondly, this policy of maize versus broken rice, how do we read it? I mean, y ou had earlier mentioned that because of maize prices falling, the ethanol profitability will improve, but that doesn't seem to be happening , despite maize prices falling. Where is the guarantee that the government policy on rice versus maize will continue interfering with our ethanol EBITDA in the future as well? If you could give us some colo ur on the FY27 grain EBITDA on some ethanol, plus from maize ?

Sameer Sinha: So in terms of the profitability of the distillery, it's gone up significantly, and that's also to do largely with the performance of the grain distilleries, which I just mentioned, wherein both the conversion costs as well as the raw material costs have come down significantly and therefore enhance the profitability. And w e have been very dynamically looking at all the feedstocks that are possible, and in terms of broken rice, we find maize far more competitive as of now.

In terms of the EBITDA going forward, it would all depend on what you are able to the next ethanol tender year. And t hat is something, and what are the conditions over there that we need to be aware of, and how much quantum do we get. And h aving said that, let's say that maize has the largest margin, followed by C molasses that we are seeing.

Tarun Sawhney: But Rajesh, your question also alludes to the government's prerogatives and what they are looking at.

Rajesh Majumdar: Yes. That’s right.

Tarun Sawhney: I think a reali sation around that is very important. And w hile Sameer and I are trying to give you that rational expectation, the government's imperatives at a particular point in time, especially in October, November, become most paramount. So m y reading is that the government is trying not to push maize after having pushed it a lot, to be perfectly honest. And i t is also because India has now been in the newspapers about its massive number one rice, you have huge stocks,

et c. A lot of publicity about rice, the quantum of rice in the country, and the balances, et c. And so l ogically, it showcases to me that the push is going to be towards rice. Now t here is a huge difference in the margin structure, whether we look at FCI rice, or we look at broken rice, or we look at any other variant of rice. And f rankly speaking, I think that is the nimbleness and the discretion that MoPNG and the various government departments that have an impact on the EBP policy will have in terms of pushing out the margins, et c. The very good thing is that unless a proper price increase is given, you're not going to see huge increases in available quantities as we start looking at massive quantities for E85. Will that happen for the ethanol blending year for 2027/2028? I think that's a bit premature, t o be honest. But it will certainly be something to be considered for subsequent years.

Rajesh Majumdar: Sure. And one last question from my side is, what is the export mix in the PTB business for the year? And w e had earlier, actually, a related question because we had earlier been talking about the fact that after the technology tie -up with Lufkin ended, we'll have access to a lot of global markets, and the export share will continuously go up. So w hat has happened in this regard, and when do we see that kind of playing out in our numbers? Yeah.

Tarun Sawhney: Rajesh, I am not going to answer your question. I'll tell you why. The real reason is because Q4 was not a good quarter for the PTB business. It is a blip. It is a significant blip, but it is a blip of one quarter in time due to global changes where we had a lot of gearboxes that were scheduled to be exported that are in finished

goods in the business and are not exported and will be exported during this quarter and some in the following quarter.

Now t he trend towards higher exports is certainly there. The enquiry book is massively skewed towards export orders, both from domestic OEMs as well as global OEMs taking product out of the country. And t hat has an impact on profitability , margins, et c., obviously, and is an exciting growth trend for the business. But to reflect on the data of the year gone by in terms of that increasing trend, unfortunately, does not give you the accurate picture because of the events of Q4.

Rajesh Majumdar: Right. I mean, so h ow should we read it going forward in that case? If you could give us some colo ur as to what proportion, say 2-3 years out, the exports would be as a percentage of sales from the PTB business, that could also be useful.

Tarun Sawhney: Yeah. I think the growth target says that exports, as far as original equipment is concerned, should be more than half in the very near future. A lot of it is going to come from Indian OEMs exporting their products coupled with the gearbox abroad, as well as del iveries of gearbox to global OEMs. More than 50% in the very very near future.

Rajesh Majumdar: Got it. That's useful. Thank you.

Moderator: Thank you. We take the next question from the line of Resham Jain from VVD Asset Managers. Please go ahead.

Resham Jain: Yeah, hi. I have three questions. First one is, in the defence business, what kind of order size which we can have? Like i s it like a smaller, piecemeal kind of orders, or these are like typically larger orders? What is that we are looking for?

Tarun Sawhney: Okay. Resham, the orders in the defence business, I don't know what you would define as large or small, but if I look at it from the perspective of a gearbox , because t hat is the business where our defence business has been incubated and is growing. It is a much larger size than the value of a gearbox , okay.

So from our perspective, it is a significant value and order business. Now t he orders that we've been receiving are in double -digit crore to triple -digit crore . The delivery of

said orders is between one or two years, sometimes to three or four years. We are yet to receive orders that are part of the 10 -year program mes, etc. I think we're well on the way in terms of getting those orders. And y ou can just multiply the size, frankly speaking.

The good thing, of course, is that a lot of the orders that we're getting are repeatable, which means that the government has and the Indian Navy has the ability, without a fresh tender, of assigning it to the person that has won it the first time over. That is why technical decisions that are being taken now under the latest DPP are very important, especially for a company like Tri veni.

Resham Jain: Understood. Got it. The second and the third question is with respect to the overall sugar business, where given the overall volatility in policies in the last two, three years, the tilt towards CapEx is more in the engineering business, while we are a lit tle slow, I guess, on the sugar. But g oing forward with the overall mix of ethanol being changing from sugar towards grains, how are we looking at the overall CapEx, let's say in the next 2-3 years, just from a thought’s perspective? And f rom where the growth can come in the sugar business overall?

Tarun Sawhney: Right. Okay, so there are multiple places where growth can come. Within sugar, of course, there's so much work that is happening on varietal replacement of

238. So a dding the yields and therefore top -line growth by processing more cane. The addition of the Shamli factory and the return of Shamli to its crush levels that are expected by our management team is another area of increase. From a profitability perspective, the CapEx that are presently being incurred is only to lower the cost of production within sugar.

Turning towards the distillery business, I think the ethanol tender this year has been a huge disappointment. R2, R3, we should have been at R4. We haven't even had R2 this year. And so t he growth organically in the ethanol business that should have happened has not actually happened this year, and I anticipate in future years you will see that.

Having said that, for Triveni, we are seeing some capacities being de - bottlenecked, and most importantly, we have the distillery at Shamli, which has not operated since we acquired the unit, that will add to our capacity and top line for the distillery bus iness. This is without incurring any new CapExes for greenfield or brownfield expansion. So this is just organic growth. Of course, with the cash flows that the company is generating, you can look forward to favourable policy -related greenfield and brownfi eld expansions within our commodities business of sugar and distillery.

Resham Jain: Okay. Understood. Yeah, that's it from my side. All the best. Thank you.

Tarun Sawhney: Thank you.

Moderator: Thank you. We take the next question from the line of Siddharth Shah from SRS Capital. Please go ahead.

Siddharth Shah: Yeah, thanks. I just had one question on the aftermarket business. I just broadly wanted to understand why are the OEMs, why are the other manufacturers we are competing with letting this business go and letting us kind of replace or refurbish their gears? Is it just a question of cost or are there some other factors at play?

Tarun Sawhney: I'll answer your question in detail. It really depends on what the aftermarket solution is , okay . So w hat exactly is aftermarket solution? It could be, and it's not limited to, is a gearbox that fails , okay . What you do is you get the exact same gearbox with the same dimensions and replace it. A second solution could be that your bull gear or some of your gear teeth get chipped off, and during the annual maintenance, you do some replacement of parts, or perh aps the entire gear train, or you d o a bearing replacements, et c., or wear and tear. That's the second. The third could be a

speed upgrade and a speed downgrade. The fourth could be a complete refurbishment because the footprint of where the gearbox actually sits does not change. It adds value, and you can go out and put in a much bigger gearbox in the same footprint designed by a company like Triveni, for example. It's part of our compelling value proposition.

And t hen there are other variants of aftermarket sales and service. What distinguishes us in each one of these various segments is different . In the classical aftermarket that you probably were thinking about, there, what our value proposition is that we can deliver much faster than anybody, anywhere in the world. Even if we have to ship this 3,000 miles, 4,000 miles, we can do it delivered fas ter than anybody, which means our time to manufacture sometimes, because of our supply chain initiatives, because o f our stocking policies, et c., can be 2-3 months. We have the capacity. We are able to do it.

For global firms, I am led to understand by my teams that this could be as high as 12 months. So there's a substantial difference in terms of the time period. To get mission -critical, as you can appreciate, a gearbox is tied to a turbine or a

compressor or a pump or an alternator. It is a much smaller value than what it is coupled to at either end, but it is just as mission -critical. So if a gearbox goes down, a plant goes down. It's just as bad as if a compressor goes down or a turbine goes down or an alternator goes down, the plant goes down. So it is the same type of criticality, frankly speaking. And t herefore, for a customer that has broken gear teeth, for example, for them to find a time, an appropriate solution is very very important.

We have some other tricks of the trade in terms of how we do dimension ready sites, and we do a lot of pre -activity work, and we work with our third -party users in helping them with predictions, et c. All of these things are more on the relationship side, and they work very beautifully, which is why domestically we have such a fantastic market share because of the service that we can provide. That is not product. Now I'm coming to the service side of i t. Internationally, it's going to be a challenge. Obviously, because we're based in India. We don't have somebody sitting in Arg entina. We don't have somebody sitting in South Korea. I'm just taking two countries' names as examples. And h ow we're going to develop solutions around that will be with local partners, and then as the business progresses with other Triveni staff that sit in international locations, et c. But t hat is something that we will have to bridge. Not just on the product side, but also being able to add the service, which then leads into guaranteeing product orders. But it's a complex arrangement. I think the fact t hat we can do it at a lower price point also plays a very significant part of the value proposition. Sometimes we are a fraction of what is usually offered by the original equipment gearbox manufacturer to a client. A fraction and y et, it's a highly profitable business for us.

Siddharth Shah: Got it. Sorry, just to clarify, I think our aftermarket time to delivery is one of our competitive strengths, the fact that we have like a dedicated aftermarket bay of facilities just focused on that, where maybe some other people won't.

Tarun Sawhney: I'm glad that you asked that question. Yes, the new aftermarket bay facility is to further accelerate the time for delivery. We are looking at further meeting what we do well already. Why? Because today, to be able to export an aftermarket solution needs even faster time because we can't do anything to accelerate shipping. So w hat can we do from a production perspective to be even faster? And w e've done that already. The team that runs the aftermarket part of this business is extremely entrepreneurial. They are constantly reinventing the
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roduct and the solution. And p art of that, of course, was the infrastructure for that was in the new repair facility in Mysore.

Siddharth Shah: Okay. This is very helpful. Thank you so much for clarifying all this.

Moderator: Thank you. As there are no further questions from the participants, I now hand the conference over to Mr. Tarun Sawhney for his closing comments.

Tarun Sawhney: Ladies and gentlemen, thank you very much for joining us for this earnings conference call. I think we've had a productive discussion. We're at a very important inflection point for Triveni. The growth trajectory for TPTL looks extremely robust. We're very excited about the new journey, as that company and that business also completes its 50th year, a year worth being celebrated.

As far as Triveni Engineering is concerned, there's a lot of excitement in both the commodities parts of the business. I think it's unfortunate that El Ni no has such a devastating impact, but for the sugar industry, it can only be considered positive in some respects. As far as the distillery business is concerned, we've seen with what's happened with oil prices, with the rupee, and with the government's ren ewed push and look at higher blends and more ethanol. I'm personally very excited about the next path of that business as well.

Our water business, too, continues very , very well in terms of its progress as well. I look forward to discussing both Triveni Engineering and Triveni Power Transmission with you separately in August. Thank you very much.

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